

Fusion Loan IQ

Circle Edit and Validation Rules



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Document Revision History

Version	Date	Description of Revision(s)
7.6.2.2	29/04/2022	As part of <i>Cost of Carry for Alternative Reference Rates</i> functionality, the following sections are updated: - Page 47 – Updated <i>Detail Tab</i> section with new indicator (check box) information. - Page 121 – Updated <i>Delayed Compensation Window</i> section with new UI fields information.
7.5.1.3 HF13	10/27/2021	Page 113 – Added information about change in lender share type.
NA	22/12/2020	Page 78 – Added information to the Settlement Details section.
7.3.1.19	12/05/2020	Updated as per LIQ-112704 Page 143 – Added validations related to Skim behaviour for Ongoing Fee.
7.6.0.0	30/11/2020	Page 22 – Added information to the Transaction Type attribute.
7.5.1.1	31/01/2020	Updated as per LIQ-112128 Page 170 – Added the Open Circles with Portfolio Allocations Completed section.
All	25/06/2019	Page 120 – Added a note about Outstanding Ongoing Fee at the Delayed Compensation.
7.4.5.4 HF6 and later	03/05/2019	Page 38 – Added a note about Buy/Sell Price at the Facility Window of Circle notebook
	27/02/2019	Updated as per LIQ-95424 Page 73 - Added a note.
7.4.7.2	28/12/2018	Updated as per LIQSC-29177 Page 150, 151 – Updated the definition of <i>Buy is Matchfunded</i> and <i>Sell from Matchfunded Balance</i> attributes
All	13/07/2018	Updated as per LIQ-97531 Page 149 – Added a note.
All	30/05/2018	Updated as per LIQ-93911 Page 146 – Added explanation at Actual settlement Date
7.3.1.19 and later	06/23/2017	Added a paragraph to fix LIQ-75051—page 55.
All	10/20/2015	Added note to Multi-Currency Discount Analysis re: single currency – page 42
7.3	09/30/2014	Updated as per separately licensed <i>Interest Pricing by Borrower</i> functionality. - Page 139 – Added Levels column to <i>Fee Decision</i> window. - Page 139 – Added note regarding levels of Ongoing Fee.
6.0.13.05 and later	09/16/2014	Updated as per ticket #LIQ-47808: Page 56 – Added Change Host Bank Servicing Group
7.2.7	11/29/2013	Updated as per the following separately licensed enhancement: <i>RAC-MLA by Lender</i> - Page 40 - Added RAC Applies button to the <i>Facility Details</i> window. - Page 40 - Added RAC by Lender window. Licensed clients Refer to the Facility Online Help for more information. For licensing and further details regarding this functionality, please contact your Loan IQ Account Manager.
7.2.7	11/29/2013	Updated as per the <i>Add Audit Trail View</i> enhancement: Page 29 - Added the View Audit button to the F8 Update Information window.
7.2.7	09/13/2013	Updated as per the Markit Phase 2.1 enhancement.

Version	Date	Description of Revision(s)
		- Page 78 – Updated so Delayed Compensation Adjustment amount matches Markit Clear Compensation Amount. - Page 78 – Added note regarding Servicing Groups on Trades.
N/A	07/10/2013	Updated as per ticket #LIQ-36623: Page 43 – Added note to the Target Close Date field on the Amt/Dates tab.
6.0.13.05	03/22/2013	Updated as per the Markit Trade Settlement – ISIN and LOANX Support enhancement. Page 63 – Added note to E-Settlement regarding support for ISIN and LOANX.
7.2	03/15/2013	Updated as per the <i>Enhancements to Event Management</i> enhancement: Page 51 - Added Event Queue button to Events tab.
6.0.12.11	12/18/2012	Updated as per the separately licensed <i>Cost of Carry Multi Currency Loan Calculation</i> enhancement: - Page 133 - Added features to the One Time Post Trade Date Fee window. - Page 135 - Modified Purchase Price for Cost of Carry calculations.
TBD	08/31/2012	Updated as per the Assignment Recordation Fee Income Allocation enhancement - Page 123- Added information on Assignment Recordation Fee Income Allocation functionality for circle assignment fees. - Page 131 - Added <i>Applies to Income</i> and <i>Applies to Expense</i> indicators to Assignment Recordation Fee window Clients must refer to the Circle, Expense and Branch Code Association , <i>Circle Notebook - Expense and Branch Code Association</i> topic in Online Help for more information.
TBD	08/31/2012	Updated as per the Default Processing Area for Block Allocated Trades enhancement Page 58- Added information on Processing Area for Codes Tab in Circle Notebook. Clients must refer to the Circle, <i>Default Processing Area for Block Allocated Trades</i> topic in Online Help for more information.
TBD 6.0.08.08 (Patch)	07/20/2012	Updated as per the separately licensed Markit Clear Trade Settlement Phase 2. - Page - 61, 61, 63, 64, 66 - Added limited E-Settlement functionality to outside assignments for E-Settlement indicator, Status and System drop-down lists, Trade ID, and Deal Closer information. - Page 65, 65 - Added Modify E-Settlement Trade ID button and Non-Recurring Fee Benefactor drop-down list to the Circle Notebook, Confirm tab. - Page 77 - Added ability to process the Settlement Details message sent from Markit. - Page 79 - Added automatic processing of Trade Close message.
7.2.4 6.0.12.02 (Patch)	07/06/2012	Updated as per the Changes to Delayed Compensation for LSTA PAR/Near Par Trades enhancement. Page 120 – Added information on delayed compensation calculations for LSTA par trades Clients must be licensed for the Delayed Compensation functionality to use this enhancement. For additional information, refer to the <i>Online Help (Circle module)</i>.
	05/02/2012	Updated as per the artefact revision. Page 169 – Updated as per client query regarding Benefit Of Commitment Reduction
TBD 6.0.10.05 (Patch)	03/30/2012	Updated as per the <i>Add Net Yield Interest To Loan Interest Circle Notebook</i> enhancement. Page 147, 148 – Add note regarding Net Yield Cycle Due to Interest Pro-Ration for Interest Decisions default based on the Net Yield Rate for those Outstandings to which the Servicing Fee is applicable.
TBD 6.0.11.02 (Patch)	12/16/2011	Updated as per the <i>Add Online Accrual to the Consolidated Approval Process</i> enhancement: Page 89 – Added functionality to Approver Details screen.

Version	Date	Description of Revision(s)
		Clients must refer to the Deal, Deal Notebook, Deal Maintenance, <i>Approving Consolidated Transactions</i> topic in Online Help for more information.
TBD 6.0.11.02 (Patch)	12/02/2011	Updated as per the separately licensed <i>Approval Screen additional</i> enhancement: Page 89 – Added functionality to Approver Details screen.
TBD 6.0.08.08 (Patch)	10/28/2011	Updated as per the Circle Funding Indicator Default enhancement. Page 41 – Updated the Circle Funding indicator default on the Amts/Dates tab.
TBD 6.0.11.02 (Patch)	09/30/2011	Updated as per the Control Updates of Fields enhancement. Page 29 – Added note on new functionality allowing restricted access to data fields in Circle Notebook.
TBD 6.0.10.05 (Patch)	08/31/2011	Updated as per the separately licensed Withholding Tax Rate Calculation enhancement. Page 44 – Added Deal Borrowers Tax Information button to the Circle Notebook, Amts/Dates tab. Licensed clients must refer to the Facility, <i>Withholding Tax Rate Calculation</i> topic in Online Help for more information. If you are not a licensed client and would like further information about this functionality, please contact your Loan IQ Account Manager.
TBD 6.0.08.08 (Patch)	07/29/2011	Updated as per the separately licensed Markit Clear Trade Settlement enhancement. - Page 24, 64 – Added values to the Assignment Fee Decision drop down list on the Circle Selection window and Confirms tab of the Circle notebook. - Page 61 – Added ESettlement Status to the Confirm page. - Page 66 – Added Standard OTT (Other Terms of Trade) section to the Confirm page. - Page 74 – Added Generate TSI XML file menu protection for Markit trades. - Page 74 – Added Send Trade to ESettlement manual send. - Page 75 – Added Trade Message Interactions for Loan IQ/Markit. - Page 80 – Added View ESettlement Trade menu protection for Markit trades. Licensed clients must refer to the Circle, <i>E-Settlement</i> topic in Online Help for more information. For licensing and further details regarding this functionality, please contact your Loan IQ Account Manager.
TBD 6.0.10.05 (Patch)	05/31/2011	Updated as per the following enhancement. Page 52 – Added note regarding Release Transaction with No Cashflows.
TBD 6.0.09.08 (Patch)	05/27/2011	Updated as per the separately licensed enhancements: <i>Borrower Credit Limits</i> - Page 16 – Added note under Primary Circles and Secondary Circles. <i>Highlight Deal Branch enhancement.</i> - Page 31 – Added Deal Branch to title bar of Circle Notebook. Licensed clients must refer to the Deal, <i>About Opening Deal</i> topic in Online Help for more information. If you are not a licensed client and would like further information about this functionality, please contact your Loan IQ Account Manager.
7.1	03/31/2011	Updated as per the separately licensed Fee ID on Fee Notebook and Fee Lists enhancement. - Page 138 – Added Fee ID (Alias) to Circle Fee Decision Screen. - Page 139, 139, 140 – Added Fee ID (Alias) to Ongoing Fee, Upfront Fee, and Additional Circle Fees section of Circle Fee Decision Screen. Licensed clients must refer to the Fees, About Fees topic in Online Help for more information. If you are not a licensed client and would like further information about this functionality, please contact your Loan IQ Account Manager.
6.0.08.08 (Patch)	02/05/2011	Updated as per the separately licensed Cash on Transfer enhancement. Page 31, 35 – Added Cash on Transfer information Facilities Table.
Patch to 6.0.09.08	02/04/2011	Updated as per the separately licensed Validate Host Bank and Risk Book Selection at Circle Level enhancement.

Version	Date	Description of Revision(s)
		- Page 19 – Add validation to Internal Circles on Circle Selection window. - Page 20 – Added limitation of available Host Bank for the Legal Entity field, Circle Selection window. - Page 21 – Added limitation to the Risk Book field, Circle Selection window. - Page 35 – Added validation to the Buying Risk Book field. - Page 119 – Updated the Change Lender/Location screen with new validation. - Page 159 – Added validation to the Risk Book field in Portfolio Allocations window.
6.0.08.08	11/15/2010	Updated as per the Delayed Compensation Based on Facility Performing Status enhancement. - Page 34 – Added Performance Status Code column to Facilities section of the Facilities Tab. - Page 39 – Added Facility Performing Status field on the Lender Details screen.
6.0	10/12/2010	Updated as per the separately licensed enhancement Auto Completion of Portfolio Allocations: - Page 112 – Added Trade Amendment functionality which can cause Portfolio Allocations reduction to zero. - Page 114 – Added Automatic Portfolio Allocation after trade amendment involving lender share/transaction types which change assignable amount. - Page 114 - Added Automatic Portfolio Allocation after trade amendment involving a lender change. - Page 114 – Added Automatic Portfolio Allocation after trade amendment involving a share change prior to close. - Page 115 – Added Automatic Short Portfolio Allocation. - Page 115 – Added Automatic Allocations when the Risk Book is amended. Licensed clients must refer to the Circle, Additional Functionality, <i>Auto Completion of Portfolio Allocations</i> topic in Online Help for more information. If you are not a licensed client and would like further information about this functionality, please contact your Loan IQ Account Manager.
6.0.08.08 (Patch)	09/30/2010	Updated as per separately licensed enhancement, Circle Amend Summary Screen Enhancement. Page 29 – Added Summary Tab to the Circle Notebook. Licensed clients must refer to the Circle, Additional Functionality, <i>Circle Amend Summary Screen</i> topic in Online Help for more information. If you are not a licensed client and would like further information about this functionality, please contact your Loan IQ Account Manager.
6.0.09.08 (Patch)	09/10/2010	Updated as per the separately licensed enhancement Enhanced Approval Process: - Page 98 - Added enhancement to Approval for Settlement. - Page 99- Added enhancement to Return to Open. Licensed clients must refer to the <i>Loan IQ Online Help Approvals Matrix</i> for more information. If you are not a licensed client and would like further information about this functionality, please contact your Loan IQ Account Manager.
6.0.08.08 (Patch)	09/03/2010	Updated as per the Long & Short Exceptions functionality. Page 164– Added Reallocate button to Portfolio Allocations window.
6.0.10.05 (Patch)	08/31/2010	Updated as per the separately licensed enhancement: <i>Transaction Cost Calculation and Amortization</i> Page 25 - Added Transaction Cost Adjustment to Circle Buy. Licensed clients must refer to the Facility, Additional Functionality, <i>Transaction Cost Calculation and Amortization</i> topic in Online Help for more information. If you are not a licensed client and would like further information about this functionality, please contact your Loan IQ Account Manager.
6.0.08.08 (Patch)	06/18/2010	Updated as per the separately licensed enhancements:

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		<i>Trade Settlement with Pending Loan Transactions</i> - Page 145 - Added lender share adjustments to Pending Outstandings on Funding Decision screen. <i>Warehousing of Specific PLS Shares Based on Portfolio</i> - Page 150 - Added generation of Portfolio Loan Shares based on new indicator. - Page 160 – Added generation of Portfolio Loan Shares for Circle Buy transactions <i>Commitment Reductions & Trade Entry</i> - Page 169 – Added ability to process commitment reductions and trade entry and reflect relevant changes to the trade. If you are not a licensed client and would like further information about this functionality, please contact your Loan IQ Account Manager.
6.0.08.08 (Patch)	05/28/2010	Updated as per the separately licensed enhancement: <i>Allow Change to Processing Area and Servicing Group Location in Circle</i> - Page 55 – Modified Servicing Group Selection in Circle Notebook. - Page 58 – Added drop down list of Processing Area values to Circle Notebook. If you are not a licensed client and would like further information about this functionality, please contact your Loan IQ Account Manager.
6.0.08.08 (Patch) 6.0.10.05	05/28/2010	Updated for the <i>LMA Par Trades to Follow Distressed Logic for Delayed Compensation</i> enhancement: Page 119 - Added information on delayed compensation calculations for LMA par trades Clients must be licensed for the Delayed Compensation functionality to use this enhancement. For additional information, refer to the <i>Online Help (Circle module)</i>.
6.0.10.05	05/19/2010	Updated as per the separately licensed enhancements: <i>Approval Screen</i> Page 86 – Added Consolidated Approval option to Circle Notebook. Licensed clients must refer to the <i>Loan IQ Online Help Approval Screen</i> for more information. If you are not a licensed client and would like further information about this functionality, please contact your Loan IQ Account Manager.
6.0.08.02 (Patch) 6.0.10.02	1/22/2010	Updated as per the following separately licensed enhancement: <i>Participation Fee, Premium or Discount Amount and other Amortized Fees</i> Page 140 – Added Fee Details button to the Circle Fee Decision Window. Refer to the <i>Loan IQ Participation Fee, Premium or Discount Amount and other Amortized Fees Setup & User Guide</i> for more information. If you are not licensed for this enhancement and would like further information, please contact your Loan IQ Account Manager.
6.0.10.02	1/22/2010	Updated as per the following separately licensed enhancement: <i>Income and Expense Deferred to FHAD</i> Page 101 – Added Close Circle Sell FHAD amount. If you are not licensed for this enhancement and would like further information, please contact your Loan IQ Account Manager. Licensed clients must refer to the <i>Loan IQ Income and Expense Deferred to FHAD Setup Guide</i> document for more information.
6.0.08.08 (Patch) 6.0.10.02	1/22/2010	Updated as per the E-Settlement Enhancements enhancement. - Page 61, 63, 64 – Modified E-Settlement Indicator, Submission Log, and Assignment Fee Decision. - Page 65, 65 - Added fields to the Circle Notebook, Confirm Tab, and E-Settlement CustID, and E-Settlement CustName are added.
6.0.09.11	10/5/2009	Updated to correct the core Loan IQ Service Pack for the SLM Interface.

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6.0.08.08 (Patch) 6.0.09.11	08/31/2009	Updated as per the separately licensed enhancement, <i>Extension of Autoshort Allocation Functionality</i>. - Page 104 – Addition of Automatic Reallocation of Long Positions to Short when a Circle is Cancelled or Reduced. - Page 177 - Addition of Trade Date Short Sell to Internal Trades. Licensed clients must refer to the <i>Loan IQ How to Prepare for Automatic Short Reallocations</i> document for more information. If you are not a licensed client and would like further information about this functionality, please contact your Loan IQ Account Manager.
6.0.08.08 (Patch) 6.0.09.08	5/29/2009	Updated as per the following separately licensed enhancement: Enhanced Change Share Prior to Close Option in Circle Notebook: - Page 83 – Addition of enhancements to Change Share Prior to Close Option in Circle Notebook functionality. Refer to the <i>Loan IQ Enhanced Change Share Prior to Close Option in Circle Notebook User Guide</i> for more information. Updated as per the following enhancement, available to the General Loan IQ audience. Benefit of Commitment Reduction to Internal Circles: - Page 171 – Addition of the Benefit of Commitment Reduction to Internal Circles enhancement.
6.0.08.08 (Patch) 6.0.09.11	05/29/2009	Updated as per the separately licensed enhancement, <i>Brokerage in Amount Format through TTE</i>. Page 124 – Addition of Brokerage Amount entered as a Percent or a fixed Amount defaulted from Trade Ticket Entry. Licensed clients must refer to the <i>Loan IQ How to Prepare for and Use Trade Ticket Entry</i> document for more information. If you are not a licensed client and would like further information about this functionality, please contact your Loan IQ Account Manager.
6.0.08.08 (Patch) 6.0.09.11	04/30/2009	Updated as per the following separately licensed SLM Interface functionality. - Page 31 – Added note regarding Trade Correction RID. - Page 48 – Added new SLM Eligible indicator on the Detail Tab. - Page 167 – Added menu option Toggle SLM Trade to the Maintenance Menu. Licensed clients must refer to the <i>Loan IQ Online Changes for SLM Interface Setup & User Guide</i> document for further documentation. If you are not a licensed client and would like further information about this functionality, please contact your Loan IQ Account Manager.
6.0.09.02	02/15/2009	Updated as per the following enhancements, available to the General Loan IQ Audience: <i>Automatic Calculation of Circle Discount</i> - Page 31 – Added note on Automatic Calculation of Circle Discount on Buy/Sell Price entry. - Page 51 – Added note on creating an Event when the Discount is automatically created. <i>Settling Multicurrency Discount in L/C Currency</i> - Page 42 – Added note on Settling Multicurrency Discount in L/C Currency <i>Color Coded Comment Tab</i> - Page 57 – Updated Comment tab to show highlighted whenever a comment exists. <i>Manual Circle Events</i> - Page 80 – Added Declare Events option. <i>Split Cashflows on Circle Event Fees</i> - Page 110 – Added note on Split Cashflows on Circle transactions. Refer to the <i>Loan IQ How to Prepare for 2008 User Group Enhancements 600902 SP</i> document for more information regarding these enhancements.
6.0.08.08 (Patch), 6.0.09.02 & Later Releases	12/01/2008	Updated as per the following separately licensed and separately secured enhancement: Page 152 - Cost of Funds Spread. This enhancement provides the ability to define a Cost of Funds Spread on an outstanding. The Spread may be positive, negative

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		or zero, and may be applied to all types of funding rates, and to both matchfunded and non-matchfunded loans. Licensed clients must refer to the <i>Loan IQ Cost of Funds Spread Setup & User Guide</i> for more information. All other interested clients, please contact your Loan IQ Account Manager for more information.
6.0.08.08	8/29/2008	Updated as per the enhancement, Navigation from Circle to Facility and Deal, Deal to Circle, & Deal to Customer Notebook, available to the General Loan IQ Audience. Pages 85, 86 – Addition of menu options <i>Facility Select</i> and <i>Deal Notebook</i> in the Options menu of the Circle Notebook.
6.0.08.08	08/15/2008	Updated for the following separately licensed enhancements: <i>Expense and Branch Code Association:</i> - Page 31 – Added note on Branch and Expense Codes. - Page 121 – Added note on Event Fees window. - Page 122 – Added note on Internal Commission. - Page 123 – Added note on Assignment Recordation. - Page 124 – Added note on Broker Fee. - Page 124 – Added note on Other Fees. - Page 143 – Added note on Ongoing Fees Skim. - Page 160 – Added note on Portfolio Allocations Expense Codes. Licensed clients must refer to the <i>Loan IQ Expense and Branch Code Association Setup & User Guide</i> document for more information. <i>E-Settlement Interface – Phase II:</i> - Page 64 – Addition of the E-Settlement TradeID field to the Circle Confirm tab. If you are not a licensed client and would like further information about the functionality above, please contact your Loan IQ Account Manager.
6.0.08.02 (Patch) 6.0.08.08	5/30/2008	Updated as per the New Fields for E-Settlement Interface XML and Selection of E-Settlement System enhancements, for the separately licensed enhancement, E-Settlement Systems: Page 62 – rules for determining the default selection of an E-Settlement System in the Circle notebook when the Circle is an E-Settlement trade.
6.0.08.02 (Patch) 6.0.08.05	05/15/2008	Updated as per the Enhance Zero Value Trades enhancement, available in the 6.0.08.05 Release: - Page 73 – Confirmation Received events are generated for Zero Value trades. - Page 96 – Added a message for required Portfolio/Expense Codes needed to settle event fees. - Page 107 – The creation of Block Trade Allocations for Zero Value trades is now allowed. - Page 125 – A Zero Value trade with event fees can now be sent for settlement approval.
6.0.08.05	05/15/2008	Updated as per the following separately licensed functionality: <i>Payment in Kind (PIK) Interest</i> - Page 32 – Added Sell or Buy Amount Less PIK to Facilities tab. - Page 32 – Added PIK Amount to Facilities tab. - Page 34 – Added note on Pro-Rata Share. - Page 43 – Added Accrued Not Pik'd Interest on the Amt/Date tab. - Page 119 – Added note on Delayed Compensation. - Page 152 – Added note on Funding Decision. - Page 153 – Added note on Funding Memo. - Page 163 – Added note on share change prior to Circle Close.

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		Licensed clients must refer to the <i>Loan IQ Payment in Kind (PIK) Interest Setup & User Guide</i> document for more information. <i>Multi-Currency Discount Analysis</i> Page 41 – Added Settle Discount in the Currency of the Outstanding indicator on the Amt/Dates tab. Licensed clients must refer to the <i>Loan IQ Multi-Currency Discount Analysis Setup & User Guide</i> document for more information.
6.0.08.02 (Patch) 6.0.08.05	05/15/2008	Updated for the following separately licensed enhancements: <i>Enhanced Cashflows for Multi-Counterparty Circles</i> - Page 43 – Added Redirect Funded Principal to Agent indicator on the Amt/Date tab. Licensed clients must refer to the <i>Loan IQ Enhanced Cashflows for Multi-Counterparty Circles Setup & User Guide</i> document for more information. <i>Block Trade Enhancement of Event Fee</i> - Page 106 – Event fees are now populated from the Parent Circle to each of the Child Circles. - Page 122 – Each of the Event Fee values from the Parent Circle are populated on a prorated basis to each of the Child Circles. If you are not a licensed client and would like further information about a separately licensed functionality, please contact your Loan IQ Account Manager for more information.
5.4.08.04	04/30/2008	Updated as per the Enhance E-Settlement to Work with Multiple Providers enhancement: available in the 5.4.08.04 Release: - Page 60 - The Confirm Tab section has been updated to apply to multiple E-Settlement Systems. - Page 62 - E-Settlement System drop-down list defaults as per the E-Settlement System defined in the Risk Book table in Table Maintenance.
Patch to 6.0.08.02	4/30/2008	Updated as per the Changes to Circle Confirmation Page enhancement, available in the 6.0.08.02 Release: - Page 60 – The E-Settlement Enabled indicator on the Circle Confirmation page is no longer protected once the Circle is approved. - Page 63 – The Assignment Fee Decision (AFD) value is now updateable at all times and is also included on the mismatch reason for the Exceptions Report.
5.4.07.08 (Patch), 6.0.08.02 (Patch), 6.0.08.05	03/31/2008	Updated for the following enhancement, Funding Memo Formatting. - Page 129 – Added Assignment Recordation Fee references. - Page 156 – Added notes to Funding Memo section. - Page 169 – Added Benefit of Commitment Reduction references to the Funding Memo.
5.5.08.02 6.0.08.02 and later Releases	2/15/2008	Updated for the following Trade Ticket Entry enhancement: Trade Ticket Entry is separately licensed functionality. Page 45– Addition of the Ultimate Account drop-down list. Licensed clients must refer to the <i>Loan IQ How to Prepare for and Use Trade Ticket Entry</i> and the <i>Trade Ticket Entry Edit & Validation Rules</i> for more information. If you are not a licensed client and would like further information, please contact your Loan IQ Account Manager for more information.
5.4.07.08 6.0.07.11	08/30/2007	Updated for the following separately licensed enhancements in 5.4 and 6.0: - Page 19 – Added Trade Id as per the <i>Trade Id</i> enhancement. - Page 31 – Added the Trade Id to the title bar on Circle Notebook as per the <i>Trade Id</i> enhancement. - Page 43 – Added Early Days Trade indicator as per the <i>Early Days Trades</i> enhancement. - Page 59 – Added Early Days Trades to Trade Settlement Standard as per the <i>Early Days Trades</i> enhancement - Page 95 – Added new approvable transaction as per the <i>Circle Approval</i> enhancement.

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6.0	11/30/2006	Updated for the following changes from 5.5 to 6.0: • Page 18 – Updated Lender section under Circle Selection, as per Customer Status enhancement. • Page 39 – Margin topic box relabelled to “Risk Participation Margin”. • Page 127 – Added “Paid By Buyer Directly to Agent” indicator as per the <i>Assignment Recordation Fee</i> enhancement. • Page 179 – Ongoing Fees due to a Risk Participant (or Funded Participant) are calculated based on the Participant shares on the Utilized and Unutilized balances.

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Choosing Primaries

The Deal Notebook in **Fusion** Loan IQ (hereinafter referred to as Loan IQ) allows the user to add a new or update an existing Origination or Distribution Primary (syndicate member), or, if deal has been approved, allows lender share changes and allows an Origination Primary or an approved Distribution Primary to be closed.

For details, Refer to the **Primaries** choice under the Distribution drop-down menu in the *Loan IQ Deal Notebook Edit/Validation Rules* document.

Adding a new syndicate member (via "Create Primary" screen) or selecting an existing member for update opens up the Circle Notebook. Since a syndicate may be set up with only member names, without specifying any dollar amounts and/or percentages, the user may exit directly back to the Deal Notebook (returning to the Primary List page). However, before the syndicated deal can be closed, the deal must have facilities, each member's share of the syndicate must be established and, if Host Bank is the Admin Agent, the total of all closed origination primaries and closed distribution primaries must add up to the global amount of the syndicated deal.

Create Primary

Normally, an **Origination** Primary is created; however, a **Distribution** Primary will be created instead, if the Transaction Type is overridden (from "Origination" to "Sell").

Important: User Profile Access to "Syndications" (under Deal) allows user to access the Syndication (Primaries) screen from either the Deal Navigator or Deal Notebook. It does **not** grant user the authority to **create** a primary circle. Only those users with "Update" access to "Circle Create" can create new primaries.

Circle Selection Screen - Selecting the Circle icon on the Loan IQ desktop brings up the Circle Selection screen, the alternative (and most common) method of gaining access to the Circle Notebook. Normally, a **Distribution** Primary is created if the user selects "Primary" on this screen; however, an Origination Primary will be created instead if the Transaction Type is overridden (from "Sell" to "Origination").

External/Internal Circles - Circle Selection Screen offers the user two (2) choices when creating a new circle: "New External" or "New Internal":

New External Circle - With the exception of primaries, all external circles define a trade between at least two (and sometimes three) "Legal Entities" (customers or "counter parties"), of which **only one can be a Host Bank**. Examples of **two-party** external circles are Assignments and Participations between the Host Bank and another "counterpart." Examples of **three-party** external circles are Participation Transfer Buys and Sells.

New Internal Circle - Used for Intra-Bank Assignments and Participations between two different Host Bank Legal Entities (Customers), (for example, BOTCH sells to BTU Delaware), or for Internal Trades between two different Risk Books within the same Host Bank Legal Entity. The Legal Entity (Customer) locations and/or branches may be different, but do not have to be. (For example, BOTCH New York, Par Trading Risk Book sells to BOTCH New York, Distressed Trading Risk Book).

If Selling and Buying Customers are **different**, the Internal Circle must be an **assignment** or **participation**.

If Selling and Buying Customers are the same, circle must be an internal trade between two different Risk Books in the same Branch.

Since the "Create Primary" and the "Circle Selection" screens are so similar, the latter screen is explained in detail below, and any significant differences between it and the "Create Primary" screen are pointed out.

Warnings if transactions go over the Approved Limits for a Borrower

Available as a patch to TBD Release 6.0.10.05, the following separately licensed functionality is available with the **Customer > Borrower Credit Limits** license. Licensed clients can store the current exposure for each of the Borrower Credit Limits defined on the Borrower.

Loan IQ displays a warning message when portfolio allocations affect a limit as follows:

Primary Circles

- Send to Settlement Approval – A limit warning is issued
- Settlement Approval – A limit warning is issued
- Circle Close – A limit warning is issued and limit is updated

Secondary Circles

Send to Approval - A limit warning is issued

Approval* - A limit warning is issued and limit is updated

Send to Settlement Approval - A limit warning is issued

Settlement Approval - A limit warning is issued

Close Circle - A limit warning is issued

***Note:** If at any time prior to close, if the Circle is sent back to Awaiting Send to Approval or the Circle is cancelled, the limit would need to be updated accordingly.

Circle Selection

Attribute	Req/Opt	Size/Format	Rules
New External / New Internal / Existing	Required	Indicator	Defaults to Existing. May be changed to "New External" or "New Internal." Not applicable to "Create Primary." Note: A new circle cannot be created if Circle Notebook is already open in Update Mode.
Buy/Sell	Required	Indicator	Must select either Buy or Sell. Both may be checked when selecting existing circles. Defaults to both "Buy" and "Sell" on Circle Selection screen. Defaults to "sell" on Create Primary screen or when "Primary" is selected as Circle Type.
Deal	Conditional	List Box: Existing Deals Entry Box: for entering search criteria	Deal name is required unless searching for only pending circles or for only open circles or for only circles awaiting approval. Deal list displays active or inactive deals, or both. (Default = active). Search method defaults to Deal Name. User can choose to see complete deal list presented by deal name (default) or by alternate search methods, or can type in a portion of the search criteria, and choose a deal from list presented. New: Deal selected must be in the proper selling stage in order to create a sell, (except for Origination Primaries, Broker Transactions and Outside Assignments). Warning will be issued when a Broker Transaction is created if selling stage is "Not For Sale." Existing: If existing, deal selected must have existing circles.
Lender	Conditional	List Box: Existing Lenders Entry Box: for entering search criteria	Not Applicable to Internal Circles (which must specify two Host Bank Legal Entities). Required if new, else is optional. Search method defaults to Short Name. User can choose to see complete list of customers with lender profiles presented by short name (default) or by alternate search methods, or can type in a portion of the search criteria and choose a lender from list presented. If adding new syndicate member, user may not select a lender who is already a member of the syndicate or whose lender location is not complete. Note: The Host Bank may not be selected as a lender prior to deal close, if the deal is assigned to a Distressed Sales Group. Note: Lender and Lender Location will be labeled as "Buyer" or "Seller," as applicable. The following <i>Customer Status Enhancement</i> functionality is available beginning with Release 6.0 and forward: Only customers with a status defined as "Active" are available for selection.

Attribute	Req/Opt	Size/Format	Rules
Trade Id	Optional	List Box: Existing Trade Id Box: for entering search criteria	The following Trade Id enhancement is available in Releases 5.4 and 6.0. Enter up to eight numeric characters for any circle type.
Lender Location	Conditional	Table: Location Code	A "completed" Lender Location must be specified for new external circles. Defaults if only one completed location exists for the selected lender. Multiple primaries for the same Lender are allowed, as long as each has a unique Lender Location.

Internal Circles between two Host Bank Entities - Available as a patch with Release 6.0.09.08, the following separately licensed enhancement is available, **Validate Host Bank and Risk Book Selection at Circle Level**. This enhancement restricts users the ability to create Internal Circles between two Host Bank Entities based on Deal Branch of the Circle.

Users can create Internal Circle if this enhancement is NOT applicable to the Branch of the Deal selected during Circle Selection.

Users can create Internal Trades (between two Risk Books) for Host Bank Entity associated with the Deal Branch only.

Circle Selection - New External Circles

Attribute	Req/Opt	Size/Format	Rules
Selection Criteria Applicable to New External Circles:			
Circle Type	Required	List Box	Sell: Select one value from: Assignment, Broker Assignment r Broker Participation, Participation, Primary, or Risk Participation. No Default (on Circle Selection). Buy: Select one value from: Assignment, Broker Assignment r Broker Participation, Participation, Primary, or Risk Participation. No Default. Note: If Circle Type/Transaction Type combination is not valid, Circle Type will revert to "Buy" or "Sell," as applicable. Note: Type selected is validated against Salability rules for allowability. Note: If a Sole Lender Deal is still open, only Primaries, Participations and Internal Trades may be created. If the Sole Lender Deal is closed, only Participations and Internal Trades may be created. Assignments and/or a second primary can never be added to a Sole Lender Deal. Note: Cannot add a primary to a Sole Lender Deal if another Primary already exists, even if deal is not yet closed. Primary Rules: 1. All primaries are automatically closed when a Host Bank Deal is closed, and cannot be closed independently by the user. 2. Primaries cannot be added to closed host bank deals. Host Bank primaries cannot be added to closed non-host bank deals. 3. Non-host bank primaries may still be added to and/or closed on closed non-host bank deals.

Attribute	Req/Opt	Size/Format	Rules
			Note: Refer to "Summary of Circle Types" for additional details.
Brought in By:	Conditional	Button	Not applicable at circle create for Host Bank Primaries and all Internal Circles (Internal Participations, Internal Assignments and Internal Trades). For all other circles, "Brought in By" selection is always optional at circle create, and has no validation. However, selection list presented depends upon circle type: Pooled Sales: User may select from list of existing pool members. All Other Circles: Brings up a window asking user to choose from either "Lenders in Deal" (default) or All Customers. Choosing "Lenders in Deal" presents a pick list that also includes pending lenders in the deal and choosing "All Customers" allows users to select any Customer known to Loan IQ, even ones without Lender Profiles. Note: "Brought in By" does not define the "Third Party" involved in three-party circles like Participation Transfer Buys. Rather, the required third party is defined on the Status/Locations page and changed via "Change to New Lender" option. Note: "Risk Book" button appears instead of "Brought in By" on Host Bank Primaries, and "Brought in By," if desired, must be entered in Circle NB on Status/Misc. page.
Counter party			
Legal Entity	Conditional	List Box: Existing Host Bank Lenders	Not applicable to Primaries and Pooled Sales, else required. Defaults to Legal Entity (Host Bank Lender) specified in creating User's Profile, but may be modified prior to "save" to any other Host Bank Lender valid for the User's Bank. Once circle has been created, must be changed via "Change to New Lender/Location" option. Note: The concept of "Booking Branch" has been replaced with Legal Entity (the Host Bank Lender with which this new external circle is associated). Note: Legal Entity, Location and Risk Book will be labeled as "Buyer" or "Seller," as applicable. Available as a patch in Release 6.0.09.08, the following separately licensed enhancement is available, Validate Host Bank and Risk Book Selection at Circle Level. System parameter CHBRD (Limit Circle Host Bank/Risk Book by Deal Branch) controls the Host Bank and Risk Book Selection and validation in Circles. When system parameter CHBRD is set to Y, the Host Bank lender associated with the Branch of the Deal defaults in the Legal Entity drop-down list when creating a new circle with this enhancement.
Location	Conditional	Table: Location Code	Not applicable to Primaries and Pooled Sales, else required. Defaults to Legal Entity Location specified in creating User's Profile, but may be modified prior to "save" to any other Location defined for this Host Bank Lender. Once circle has been saved, must change the Location via "Change to New Lender/Location" option.

Attribute	Req/Opt	Size/Format	Rules
Risk Book	Conditional	Risk Book List	With the exception of Pooled Sales, circles requiring Portfolio Allocations (Non-Broker Assignments and Participations and Host Bank Primaries) cannot be saved unless a Risk Book has been assigned. Risk Books available for selection are those for which the user has Buy/Sell authority. Note: The "Risk Book" button replaces the "Brought in By" button (above) on Host Bank Primaries. Risk Book for Pooled Sale will be entered later, after Pool Allocations are done, if a Host Bank Entity is allocated a non-zero pool amount. Note: "Risk Book" button is available if needed. Brings up a complete list of Expense Codes by Risk Books to aid in user selection. Available as a patch with Release 6.0.09.08, the following separately licensed enhancement is available, Validate Host Bank and Risk Book Selection at Circle Level. The Risk Books populated for selection in Circle is based on the user updateable Branch and Risk Book Association table with this enhancement. Loan IQ looks to the Deal Branch and Associated Risk Books of Deal Branch from the Branch and Risk Book Association table to populate the Risk Book drop-down list. Note: Only the Risk Books associated with the Deal Branch to which the user has Buy/Sell access are available for selection.
Transaction Type	Required	Table: Transaction Type	Primary: Defaults to "Origination" on "Create Primary." May be overridden to "Sell" to create a Distribution Primary Defaults to "Sell" on "Circle Selection." May be overridden to "Origination" to create an Origination Primary. All Others: On Broker Transactions, defaults "Broker Sell" and cannot be changed. On all other transactions, defaults to "Buy" or "Sell" according to selected Buy/Sell Indicator, and can be changed as follows: Sell - Eligible alternatives are "Swap Out," and, if Participation, "Participation Transfer Sell," "Sell More," "Sellback," "Sub-Participation Sell" or "Outside Participation Transfer." Buy - Eligible alternatives are "Swap In" and, if Participation, "Participation Transfer Buy," "Buy More," "Buyback" or "Sub-Participation Buy." Note: Internal Assignments and Participations may not be set to swap or participation transfer transaction types. Note: Buyback, Sellback, Buy More, Sell More, Participation Transfer Sell and Outside Participation Transfer now reference an existing Participation Agreement instead of a Source of Sale. Since these transactions amend an existing participation agreement, the list of eligible Source Agreements appears so user may make the proper selection. Buyer and Seller Name, Location and Servicing Group are displayed along with the Amount and Effective Date of the Source Agreement. Note: External Participation Buys (exclusive of Swaps and Participation Transfer Buys) can be changed to Participation Buybacks via the "Change to Buy Back" option.

Attribute	Req/Opt	Size/Format	Rules
			Available in Release 7.6.0.0 and later, as a part of the <i>Participation Elevation</i> functionality, the following two Transaction Types are added to list: Elevation-Buyback & Assignment Sell. - This option allows the user to process Participation Buyback and Assignment Sell circles. - If the Buy check box is selected in the Buy/Sell group, then the Elevation-Buyback & Assignment Sell is displayed in the Transaction Type list. Elevation-Sellback & Assignment Buy. - This option allows the user to process Participation Sellback and Assignment Buy Circles. - If the Sell check box is selected in the Buy/Sell group, then the Elevation-Sellback & Assignment Buy is displayed in the Transaction Type list.
Amendment Number	Optional	5 Characters	No default. Allows user to enter relevant Amendment Number, when new circle being created is related to Amendment. (Amendment number entered must exist).
Underwriter Indicator	Conditional	Indicator (Check Box)	Applicable only to Primaries. Defaults to "No." If changed to "Yes," sets one of the "Roles in Deal" to "Underwriter."
Pooled Sale	Conditional	Indicator (Check Box)	Applicable only to Assignments. Defaults to "No." May not be changed to "Yes" on Buys and/or broker transactions.
Pool Name	Conditional	List Box of Active Pools	Required if Pooled Sale indicator is set to "Yes," else not applicable. User must select Pool Name from list of active pools presented, and the selected lender cannot be a member of the selected pool. (An "active" pool is one whose start date is less than or equal to the current date, and whose expiration date has not as yet been reached). Warning: If the Pooled Sale indicator is not set to "Yes" on an assignment sale, and an active pool exists, a warning will be issued but may be overridden. Note: Primaries can no longer be pooled. Existing pooled primaries will display correctly in the Circle Notebook; however, if they are not closed, they can no longer be closed.
Distressed	Conditional	Indicator (checkbox)	Defaults to unchecked (par). Used to indicate if the trade is to be par or distressed. The choice flows through to the Details tab of the Circle Notebook, so that if the Distressed option is chosen, the Distressed indicator in the Circle Notebook is also checked and the Target Close Date is determined by the DSSND system parameter. If the Par option is selected, the Distressed indicator on the Circle Notebook is not checked and the Target Close Date is determined by the PRSND system parameter.
Ticket Mode Only	Required	Indicator (checkbox)	Based upon System Parameter 'CTKTM' – Circle Ticket Mode. If the parameter is set to 'Y', the ticket mode will automatically be checked. If the parameter is set to 'N', the ticket box will be unchecked and the Circle Notebook will open in normal Circle mode. Users may override the default value by unchecking the check box on the Circle selection screen. Default is set to 'Yes.'

Attribute	Req/Opt	Size/Format	Rules
			If "Yes," system presents an abbreviated Circle Notebook allowing user to quickly enter a circle and, if desired, to send it to approval/approve it. In addition to entering the required amounts (including facility breakdown), user may select and update contacts, modify pricing comment and/or enter an optional circle comment. In addition, Personnel page appears for distribution and secondary circles, and Transfer Fee page appears for secondary circles. Ticket Mode for Transactions that amend existing Participation Agreements (buybacks, sellbacks, participation transfer sells, etc.) require source agreements and swaps (that require linked transactions) will include the Detail page. If "Send to Approval" or "Send to Approval /Approve" option is selected and executed, system automatically exits from Circle NB.
Affects Trading Position	Conditional	Indicator (Check Box)	Applicable only to Assignments and Participations. Internal Circles - Both sides default to "No" and each may be changed to "Yes" independently of their contra side. Sells - Default to "No." Buys - Default to "Yes." Note: Can be modified at any time, including at circle creation. Users with "Circle Create" authority may change the setting of the "Affects Trading Position" indicator when creating the circle, regardless of their authorization access level to the indicator itself. Not applicable to Primaries, Blow-Up Agreements and Broker Transactions.
Selection Criteria Applicable to New Internal Circles:			
Circle Type	Required	Indicator	Select one value from Assignment, Participation or Internal Trade. Defaults to Assignment Must edit selection against salability rules to ensure type is not "Not Allowable." Note: In cases where the P&L may need to be deferred, a portfolio transfer must be done rather than an internal circle or an internal trade. Therefore, the system will not allow a sell to be allocated out of a cost portfolio (except for "In Syndication") or out of a LOCOM portfolio. Error Message is issued indicating a portfolio transfer must be performed instead.
Buyer Legal Entity, Location and Risk Book:			
Legal Entity	Required	List Box: Existing Host Bank Lenders	Defaults to Legal Entity/Location of creating user, but may be modified to any other Host Bank Lender valid for the user's Bank prior to circle close. (Changed via "Change to New Lender/Location" after circle save).
Location	Required	Table: Location Code	Defaults to Legal Entity/Location of creating user, but may be modified to any Location valid for Host Bank Lender prior to circle close. (Changed via "Change to New Lender/Location" after circle save).
Risk Book	Conditional	Risk Book List	If user creating the Internal Trade has "Buy/Sell" authority for more than one Risk Book, the Risk Book Selection screen appears. Internal Trades can be created with only one Risk Book, (Buys must specify Buying Risk Book and Sells must specify Selling Risk Book), but they cannot be closed unless both the Buy and the Sell sides have Risk Books, and the two Risk Books must be different.

Attribute	Req/Opt	Size/Format	Rules
			Note: If user has selected Risk Book(s) prior to setting Buy/Sell Indicator, the Selling Risk Book will be blanked out when 'Buy' is checked, and the Buying Risk Book will be blanked out when 'Sell' is checked (as a convenience for users who have Buy/Sell authority for only one Risk Book and wish to create Internal Circles).
Seller Legal Entity, Location and Risk Book:			
Legal Entity	Required	List Box: Existing Host Bank Lenders	Defaults to Legal Entity/Location of creating user, but may be modified. (See Buyer Legal Entity for rules). Also: ..Intra-bank Assignments and Participations must note two different Host Bank Lenders. ..Internal Trades must note the same Host Bank Lender as both Buyer and Seller.
Location	Required	Table: Location Code	Defaults to Legal Entity/Location of creating user, but may be modified. (See Buyer Location for rules). Note: While Internal Trades must note the same Buyer and Seller, the Buying and Selling Locations do not have to be the same.
Risk Book	Conditional	Risk Book List	See Seller Risk Book rules noted above.
Transaction Type	Required	Table: Transaction Type	Defaults to "Buy" or "Sell" according to selected Buy/Sell Indicator, and cannot be changed on an Internal Trade.
Assignment Fee Decision	Optional	Table: Front Office Assignment Fee Decisions	The method in which the Assignment Recordation Fee will be paid on the confirmation. Defaults to <i>Split</i> but may be modified by the user. The selection of the Assignment Fee Decision made on the Trade Entry window or Circle window flows down to the Assignment Fee Decision field in the Circle Notebook. Available in TBD Release 6.0.08.08 (Patch), the following separately licensed Markit Clear Trade Settlement functionality applies: The values Remitted By the Seller and Remitted By the Buyer are added to the list. If the circle is sell, the default value will be remitted by the seller. If the circle is buy, the default value will be remitted by the buyer. The Assignment Fee Decision field is part of TSI functionality, which is separately licensed. Licensed clients Refer to the <i>Loan IQ TSI Link Setup Guide</i> , the <i>Loan IQ TSI Link User Guide</i> , and the <i>Loan IQ TSI Link Edit & Validation Rules</i> for more information. If you are not licensed and would like further information about TSI functionality, please contact your Loan IQ Account Manager.
Amendment Number	Optional	5 Characters	See "New External Circles" criteria.
Affects Trading Position	Required	Indicator (Check Box)	See "New External Circles" criteria.
Ticket Mode Only	Required	Indicator (Check Box)	Same as "New External Circles" criteria, except the contacts button does not appear in the abbreviated Circle NB for Internal Assignments, Internal Participations and Internal Trades, allowing both the Buying and Selling Risk Books to be viewed/updated.

Beginning with Release 6.0.10.05 (Patch), the following applies as per the separately licensed enhancement, Transaction Cost Calculation and Amortization:

In the event that there is an Assignment Buy, Participation Buy, Participation Buy More or Sub-participation Buy, a transaction cost is adjusted based on the change to the facility portfolio share amount. Specifically, for every portfolio allocation, the transaction cost is adjusted.

When transaction cost is based on "Commitment Amount", the amount of the adjustment is calculated as follows:

The amount change to the facility portfolio share amount * Current Transaction Rate

The effective date of the Transaction Cost is equal to the settlement date (Circle Close Date) of the Circle Buy.

If the transaction cost is based on the "Funded Amount", the transaction cost is adjusted for each portfolio share in each outstanding with non-zero funding decision. The amount of the adjustment is calculated as follows:

The outstanding portfolio share amount * Current Transaction Rate

In the event of a circle Sell Back, the adjustment of the transaction cost resulting from the associated buy circle will be reversed as of the settlement date of the sellback transaction.

Circle Selection - Existing Circles

Attribute	Req/Opt	Size/Format	Rules
Selection Criteria Applicable to Existing Circles:			
Eight selection options below are not mutually exclusive (more than one, or all, may be set = "Yes"). However, at least one option in the group must be set = "Yes." If only one option is selected, and it is "Pending," "Awaiting Approval," or "Open," or "Awaiting Settlement Approval," or "Open/Settlement Approved," deal name is not required for the search).			
Pending	Required	Indicator (Check Box)	Defaults to No. If changed to "Yes" (checked), system will display all pending circles that meet the user entered search criteria. (Deal name not required for search, if this is the only one of the eight options selected).
Awaiting Approval	Required	Indicator (Check Box)	Defaults to "Yes" if Circle Selection window appears without specifying a deal and/or lender name (as happens when user double-clicks on the Circle icon). May be modified to "No." (Deal name not required for search, if this is the only one of the eight options selected). If "Yes" and not the only option selected or user does not have Circle Approval Authority, system will display all circles awaiting approval that meet the user entered search criteria on the regular Select Lender Commitment List. However, if "Yes," and is the only option selected, and user has Circle Approval Authority, the "Approve Circle" screen will appear listing all circles awaiting approval that meet the user entered Search criteria, and user can directly approve the listed circles.
Open	Required	Indicator (Check Box)	Defaults to "Yes" if Circle Selection window appears with deal and/or lender names already specified (as happens when deal and/or lender names are dropped onto Circle icon, for example). May be modified to "No." If "Yes" (checked), system will display all open approved circles that meet the user entered search criteria. (Deal name not required for search, if this is the only one of the eight options selected).

Attribute	Req/Opt	Size/Format	Rules
Awaiting Settlement Approval	Required	Indicator (Check Box)	Defaults to "No." If changed to "Yes" (checked), system will display all circles awaiting settlement approval that meet the user-entered search criteria. (Deal name not required for search if this is the only one of the eight options checked.) Note: Circles in this status have already gone through "front office approval," their full status is "Open/Awaiting Settlement Approval," and selection option would appear as "Open/ Awaiting Settlement Approval," if space would permit.
Open/Settlement Approved	Required	Indicator (Check Box)	Defaults to No. If changed to "Yes" (checked), system will display all circles that have been approved for settlement that meet the user-entered search criteria. (Deal name not required for search if this is the only one of the eight options selected).
Closed	Required	Indicator (Check Box)	Defaults to No. If changed to "Yes" (checked), system will display all closed circles that meet the user entered search criteria. (Deal name required for search).
Cancelled & Marketing	Required	Indicator (Check Box)	Defaults to No. If changed to "Yes" (checked), system will display all canceled and marketing circles that meet the user entered search criteria. (Deal name required for search). "Canceled" = Canceled before Close. Note: Canceled Circles whose Reason for Cancellation is 'MKTG' (Marketing) are termed 'Marketing Circles' and may be linked to any other circle that is not inactive (not canceled and not terminated). See "Option: Cancel," "Option: Link/De-Link with Marketing Circle" and "Option: Show Marketing Links" for more information.
After all selection criteria has been entered.			

Attribute	Req/Opt	Size/Format	Rules
OK	Optional	Button	If "Existing," system searches through all existing circles with specified deal and/or lender names, and presents the list of circles meeting specified search criteria for which the user may open the Circle Notebook. (These are circles in those Risk Books for which the user is allowed to "View Pricing"). List appears even if only one circle is presented. A "Remain open after making selection" checkbox is provided if more than one circle is listed, which defaults to "Yes." "Yes" keeps the Circle Selection list open after the Circle Notebook has been opened. An "Open Circle Notebook in Update Mode" checkbox is provided which defaults to "No." User may change to Yes. If more than one "Circle Select" option has been checked "Yes" or user does not have Circle Approval Authority, the "Select Circle Buy or Sell" List appears, displaying the following for every included circle: Deal/Lender name, Description (for example, Closed Internal Trade Sell), Current Amount, Currency, Circled/Legal Trade Date, Closed Date, Booking Vehicle and Risk Book). If deal is specified for lookup, the deal name appears in the title bar; otherwise, deal name appears in deal column. Both deal column and lender column are maximum size, and split bar appears after the lender column. "Canceled/Marketing" will appear as part of circle description for Marketing Circles (instead of just 'canceled'). The Print button is available to print the list of existing circles. First page of circle notebook appears if a circle is selected from the list. If user has Circle Approval Authority and only the "Awaiting Approval" option is checked "Yes," the "Approve Circle" screen appears, from which the user can quickly approve circles.

Approve Circles

Attribute	Req/Opt	Size/Format	Rules
List of Circles Awaiting Approval	System Generated	Display	Displays Deal/Lender Name, Description (for example, Assignment Sell), Current Amount, Risk Book, Interest Fee Settlement information and Pricing Comment. The Facility Investments within the circle are also listed, and the Facility Name, Current Amount and Buy/Sell Price are shown for each. Note: Only circles associated with Risk Books that the user has Buy/Sell Authority for will appear.
Approve Marked Circles	Optional	Button	If circle passes approval validation tests, it will be approved and removed from the list. User may approve one or more circles at a time, provided they have been marked. User drills down on the aggregate level to mark it with an 'X' and selects 'Approve Marked Circles.' Note: Circle Notebook may not be open when approving circles from the "Approve Circles" screen.
Mark All	Optional	Button	Marks all circles on the list with an 'X' for approval.
Unmark All	Optional	Button	Removes 'X' from all circles that have been marked.
Circle Notebook	Optional	Button	Opens the Circle Notebook for the highlighted circle. Aggregate lines or individual facility investment may be selected.

Note: Every Circle is uniquely identified by its RID (Record ID). From the Circle notebook select the **F8** function key to display the *Update Information* window, which displays the RID and Alias on the title bar, as well as the User ID, Date and Time of creation, and last update date. Loan IQ provides the ability to copy the RID and the Alias via the appropriate button, Copy to RID to Clipboard or Copy Alias to Clipboard (beginning with Release 5.5 and forward). Clicking the selected button copies either the RID or Alias to the clipboard so it may be pasted to any other document. In addition, users may always open the Circle notebook for a specific **RID** by selecting **RID Select** either the **Options** menu on the Loan IQ desktop or the **right mouse desktop menu**.

Note on RIDs: Loan IQ uses the following mechanism to generate RIDs, which are unique not only to a particular table but also throughout the database. The RID field is an 8-byte character string, which logically is split into two sets – a prefix and suffix. The RID is constructed such that it generates discreet character sets, which will uniquely identify a Loan IQ entity (deal, facility, customer, etc.) The RID prefix is the first two bytes of the character set and are randomly generated from a predefined character set. The last six bytes, the RID suffix, represent the number seconds elapsed since 1993-01-01-00.00.00.00, and are represented as a 6-byte base 36 value in character format. If multiple RIDs are generated in 1 second, 1 additional second is added to the previous RID value.

Circle Notebook

Summary Tab

For separately licensed clients with the **Circle Amend Summary Screen** functionality, beginning with Release 6.0.08.08 (Patch), the Summary tab has been added to the Circle Notebook.

Users must have Update access to the **Circle Summary Page** application function under Circle in order to view/modify the Summary Tab.

Note: With Inquiry Access, users can view the Summary Page but Update access is needed to modify the values on the Summary Page.

Users can view, modify, delete or cancel a trade from the Summary tab.

Updates made to the Summary tab are saved immediately and flow to Trader Desktop as per current functionality.

Available as a patch to TBD Release 6.0.11.02, access to certain data fields in the Circle Notebook can be restricted based on the user's job function. The system parameter **CUFNB** (Control Updates of Fields in several Notebooks) determines the availability of this functionality. For details, refer to the Circle > Navigating the Circle Notebook section of the Online Help.

Available in Release 7.2.7, the separately secured Add Audit Trail View functionality applies.

Loan IQ creates an audit trail for all auditable fields changed by users online or by an API call. The changes to all auditable fields on all of the Loan IQ notebooks are captured. Additionally, changes are captured on auditable fields within the sub-tabs of the notebooks, such as remittance instructions.

Users can access the Audit Trail List screen from any Loan IQ notebook by pressing the F8 button on the keyboard. The Update Information screen is displayed. Click the View Audit button. The Audit Trail List screen is displayed.

Please see the *Work in Process Edit & Validation Rules* document for more details on the Audit Trail List.

Data fields (listed below) amended on any of the Circle notebook pages are also reflected in the Summary tab.

Attribute	Req/Opt	Size/Format	Rules
Trade Date	Optional	Button	Displays the existing Trade Date. When selected, the Trade Date can be modified. The <i>Set Circled/Legal Trade</i> window is displayed. The new Trade Date entered is validated and saved.
Trade Type	Optional	Button	Displays the current Trade Type. When selected, the Trade Type can be modified. The <i>Change Lender Share</i> window is displayed. The new Trade Type entered is validated and saved.
Commitment (Buy/Sell Amount)	System Generated	Display	Displays the current Commitments.
Price	Optional	Button	Displays the current Price. When selected, the Price can be modified. The <i>Set Buy/Set Sell Price</i> window is displayed. The new price entered is validated and saved.
Settlement Doc Type	Optional	Toggle Button	Displays the current Settlement Doc Type. When selected the user can select either Par or Distressed as relevant.

Attribute	Req/Opt	Size/Format	Rules
HB/Branch	Optional	Button	Displays the HB Buyer/Seller depending on whether the trade is a buy or a sell. When selected the HB Buyer/Seller can be modified. The <i>Change Lender/Location</i> window is displayed. The buyer/seller is pre-selected as appropriate in the Change Field. The Host Bank Legal Entity can be modified. The changes entered are validated and saved.
Branch	System Generated	Display	Displays the branch of the circle's portfolio allocations.
Counterparty	Optional	Button	Displays the current Counterparty. When selected the counterparty can be modified. If the Counterparty is changed, the buyer or seller, as appropriate, is pre-selected on the <i>Change Lender/Location</i> window. The new counterparty entered is validated and saved. Note: If the circle is an internal circle and the counterparty is a Host Bank, the risk book selection screen will not appear.
Risk Book	Optional	Button	When selected the Risk Book can be modified. The <i>Select Risk Book</i> window is displayed. The new Risk book entered is validated and saved. Available only once changes are made to the <i>Change Lender/Location</i> window are made and based on the following rules: If the risk book previously selected for the circle is no longer valid once the Host Bank legal entity has changed, meaning that none of the portfolios included in the risk book are valid for any branch of the newly selected Host bank legal entity, the <i>Risk Book Selection</i> screen opens allowing users to select a new risk book for the Circle. If the user does not select a new risk book and clicks <i>Cancel</i> on the screen, the invalid risk book will remain on the circle until it is changed manually by the user. If the existing risk book is still valid for the new Host Bank, the <i>Risk Book Selection</i> screen will not appear. Auto Completion of Portfolio Allocation is separately licensed, the functionality for that enhancement still applies when changing the Host Bank, and may be invoked based on the rules set forth in that enhancement. If there are non-zero portfolio allocations, whether due to Auto Completion of Portfolio Allocation enhancement, or because only the lender location changed, the <i>Risk Book Selection</i> screen will not appear.
Par/Distressed	System Generated	Display Only	Displays either Par or Distressed.
Facility Details	System Generated	Display	Displays a list of facilities and the following information for each: Facility Name Amount (Buy/Sell amount from the Facility page in Circle) Price (from the Facility page in Circle) Currency
Change Share	Optional	Button	Opens the <i>Current Share Change</i> window. The new values entered are validated and saved. Note: If the circle is not yet closed, the screen will open in Change Share Prior to Close mode. If the circle is already closed, the screen will open in the Change Share After Close mode.

Attribute	Req/Opt	Size/Format	Rules
Portfolio Allocations	Optional	Button	Opens the current <i>Portfolio Allocations</i> window.
Event Fees	Optional	Button	Opens to the current <i>Event Fees</i> window.
Cancel Trade	Optional	Button	Opens the <i>Cancel Circle</i> window. Enter the Cancel date, Cancel Reason, and comment (optional). Click <i>OK</i> to save.

Facilities Tab

Beginning with Release 6.0.08.08 (Patch), the **Cash on Transfer** functionality is available for separately licensed clients. A **Cash on Transfer** indicator has been added to the Facilities tab to enable or disable the Cash on Transfer functionality for a trade. When the Cash on Transfer indicator is checked for a trade, this indicates that the user cannot select any of the remittance instructions set up for a customer in the customer notebook. Instead the user may only select the 'Custom Instructions' available. The user is also unable to release the cashflows involved before closing a Circle when the Cash on Transfer indicator is enabled.

For separately licensed clients with the **Enhanced Tax Withholding** functionality, a **Correction Trade** indicator has been added to the Facilities tab. When the **Correction Trade** indicator is checked, this indicates that the Circle is a correction trade. (For example, to reverse any Lender Tax Withholding applied as a result of the Circle Event Fee, users must check the Correction Trade indicator so the tax withholding amount is treated as the reversal tax amount for the Circle.)

Beginning with Release 6.0.08.08 (Patch) and Release 6.0.09.11, a Trade Correction RID is available **only** for clients who are licensed for Enhanced Tax Withholding functionality and available when the Trade Correction indicator is set to Y (checked). The field allows entry of a valid Loan IQ circle RID. If the value entered is not a valid circle RID, an error message is displayed. **Note:** Any RID can be entered, including the RID of the Circle.

Beginning with Release 6.0, the Trade ID is displayed on the title bar of the Circle Notebook.

Beginning with Release 6.0.09.08 (Patch), the title bar of the Circle Notebook displays <Deal Branch Code>/<Deal Name> for clients who are licensed for Highlight Deal Branch functionality.

As per the **Expense and Branch Code Association** enhancement, available with Release 6.0.08.08, the following separately licensed enhancement applies:

The Expense and Branch Code selection depends on whether the cashflow is from the buyer or seller side. If the cashflow is from the buyer, the Expense and Branch Code is the buyers. If it is from the seller, the Expense and Branch Code is the sellers.

Beginning with Release 6.0.09.02 and forward, Loan IQ automatically calculates and displays the appropriate amount in the Discount box, calculated as: *Facility Circle Current Amount x (100% - Buy/Sell Price %)*, at the time the Buy/Sell price is entered in the Circle notebook, if the Circle is created via the Circle icon.

Attribute	Req/Opt	Size/Format	Rules
Counterparty	System Generated	Display	Identifies the Counterparty to the Lender shown in the Title Bar. For example: Outside Assignment from A to B - B appears in Title Bar and A is identified as the Assignor Pooled Assignment to B from Pool One - B appears in Title Bar and Sellers identified as Sellers, Members of Pool One.
Aggregate Amounts:			
Current Deal Amount	System Generated	Display	Set to global current deal amount.

Attribute	Req/Opt	Size/Format	Rules
Currency	System Generated	Display	Flow down from deal.
Correction Trade	Conditional	Indicator (Check Box)	This is separately licensed functionality. If you are a licensed customer, Refer to the <i>Loan IQ Enhanced Tax Withholding Setup & User Guide</i> for more information. If you are not a licensed client and would like more information about this functionality, please contact your Loan IQ Account Manager. When checked, indicates the Circle is a correction trade.
Sell or Buy Amount	Conditional	System Amount Standard	Required (for circle approval) if Percent of Deal is not entered. If amount is entered, corresponding percent of global deal will be calculated by the system. (If desired, percent of global deal can be entered and amount will be derived.) Primary - Indicates lender's amount of the deal. Circle Sell: Indicates total amount across all facilities in the deal to be sold to lender. Circle Buy: Indicates total amount across all facilities in the deal to be sold by lender. Notes: The aggregate amount of the circle is always expressed in the currency of the deal. The facility amounts of the circle are always expressed in the currency of the facility. Multicurrency has been added to circle, to the extent that the aggregate deal level amounts are now calculated and validated using the appropriate FX rates when aggregate is entered. Individual Lender Shares of the Facility Commitment are in the Currency of the individual facility. System uses facility F/X rate, which for "In" Currencies is the spot Rate from the Euro Funding Desk. i.e. conversion is through the Euro. "Out" Currencies use the spot rate from the Funding Desk of the facility branch, or the user entered F/X rate from the facility.
Percent of Deal	Conditional	Percent	Required (for circle approval) if amount is not entered. If percentage is entered, corresponding amount will be calculated by the system. Percentage entered cannot be greater than 100%. Note: The deal/facility fx rate is frozen at circle close. Thereafter, if the facility fx rate changes, it does not affect the circle (the aggregate amount of the circle is still based on the old fx rate). Therefore, when the system calculates the percent of the global at the deal level, it is using the aggregate circle amount at the old rate.
Sell or Buy Amount Less PIK	Conditional	System Amount Standard	As per the Payment in Kind (PIK) Interest enhancement available in Release 6.0.08.05, the following separately licensed functionality applies:
PIK Amount	Conditional	System Amount Standard	As per the Payment in Kind (PIK) Interest enhancement available in Release 6.0.08.05, the following separately licensed functionality applies:
Int/Fee	Required for Send to Approval	List Box	Indicates how interest and fees will settle, and is applicable only to Host Bank Assignments and Participations, including Internal Assignments and Participations. Does not apply to any Primaries, Outside Assignments, Broker Trades or Internal Trades. When applicable, user must choose one of following three values before circle can be sent to approval: Actual/Settlement Date Actual/Other Date

Attribute	Req/Opt	Size/Format	Rules
			Flat There is no default value, unless: A circle is created by a user that is assigned to a distressed Sales Group (as defined in User Profile). The value will default to the value set in the Circle Settlement field on the Pricing Rules tab of the Deal Notebook. The values may be <i>Actual/Settlement Date</i> or <i>Flat</i>. The circle is a Risk Participation, and then the value can only be <i>Actual/Settlement Date</i>. Note: For Outside Assignments and Broker Assignments when the Host Bank is the Agent, the Deal's Circle Settlement field (<i>Actual</i> or <i>Flat</i>) will flow down for display purpose only (cannot be modified by user).
Actual/Other Date	Conditional	Date	If chosen, pop-up appears for user to enter the Accrual Changeover Date. The date must be prior to the circle's Expected Close Date. The date entered will determine when the buyer will assume ownership of their share of the interest for any loan being funded by this circle. This means that accruals for the buyer will begin as of this date, instead of the Circle Close Date. When funding occurs, if there is any past due interest prior to the changeover date, an Interest Settlement Decision made for that past due portion. Two interest share adjustments will be created when the circle closes, one for the interest settlement and one for the period of interest from the Accrual Changeover Date and the Circle Close Date.
Paid By:	Conditional	List Box	Applicable only if <i>Actual/Settlement Date</i> or <i>Actual/Other Date</i> is chosen. Choices are: Paid by Agent - default if Deal's Circle Settlement is <i>Actual</i>. Note: For Risk Participations, the value can only be <i>Paid by Agent</i>. Paid by Buyer - default if Deal's Circle Settlement is <i>Flat</i>.
Paid when Received / Paid at Close	Conditional	List Box	Applicable only if Interest/Fees are <i>Paid by Buyer</i>. Choices are: Paid When Received - default. Paid at Close.
Pro-Rate	Optional	Button	Pro-ration option applies to all types of circles, including Origination Primaries, and pro-ration may be requested across all facilities, or over a subset of selected facilities. When "Pro-Rate" button is selected, a tab list of all facilities appears, and user may select/deselect facilities to be involved in the pro-ration. When button is depressed, the system will calculate amounts for each selected facility. Also, user may optionally enter a single Buy/Sell price and flow it down to all of the selected facilities, as a by-product of the requested pro-ration. Notes: If pro-ration is not requested, the total of facility amounts must equal aggregate Buy or Sell amount entered, or system will not allow user to save the data. System displays informative legend (in blue) indicating whether or not circle is currently pro-rated. Pro-rata difference is determined and entered by the User, per currency, in the Currency Table in Table Maintenance. When determining whether the current allocation of a circle amount among the deal's facilities is proRata, the system calculates the

Attribute	Req/Opt	Size/Format	Rules
			proRata amount for each facility and compares it to the circle's share of the facility. If the amounts are within the pro-rata difference of each other, the circle is considered proRata. Note that the user interface for circle displays information as to whether the circle is currently proRata. When a circle closes, the knowledge of whether it closed proRata is save. When one or more of the selected facilities is in a currency other than the Deal Currency, warning is issued stating "Due to rounding during conversion, the aggregate of the facility amounts may not equal the aggregate amount entered and the aggregate amount may therefore be reset." Note: As per the Payment in Kind (PIK) Interest enhancement available in Release 6.0.08.05, the following separately licensed functionality applies: The Circle's Pro-Rata Share of the Accrued Not Capitalized Interest calculated from the last Payment/PIK Date is defaulted into the Circle's Interest Decision, where it is displayed for every Loan that is accruing PIK Interest. The defaulted amount may be overridden, but not have a price assigned to it.
Facility Investments:			
Facilities in Deal	Conditional	List Box: Facility Name, Currency, Amount, Buy/Sell Price, Discount, Interest and Ongoing Fees Skims, Margin (for Risk Participants) Expiry, Maturity, Global Commitment, Facility Type, Pef. Stat. Code, are displayed.	If pro-rata button has not been depressed, salesperson must select facilities and enter amount for each facility on the "Facility Details" screen. Total of facility amounts entered must equal total amount, or entries cannot be saved. Prior to save, user may select the "Circle Amount" button to set the total Circle Buy/Sell Amount to the sum of the individual facility amounts. If pro-rata button has been depressed, sales-person may select individual facilities and inspect the system-calculated amounts on the "Facility Details" screen. Note: In multicurrency deals, when a facility in a currency different than that of the deal and the currency is an "In" currency, conversion of the lender share amount into the deal currency is using the Euro rate for that facility currency.
Set Buy/Sell Price	Option	Button	Flows down entered price to all facility investments in the circle, so user does not have to drill down on each one individually. Note: Changing the price on a Circle Sell adjusts P&L, as appropriate.
Risk Book	Conditional	Button	Risk Book is labeled as <i>Buying Risk Book</i> on a Buy and <i>Selling Risk Book</i> on a Sell. Circles requiring Portfolio Allocations (Non-Broker Assignments and Participations and Host Bank Primaries) cannot be saved unless a Risk Book has been assigned. Risk Books available for selection are those for which the user has <i>Buy/Sell</i> authority. Pooled Primaries and Assignments - Will not require a Risk Book until pool allocations have been made, since it is not known until then whether or not the Host Bank is one of the pool members. Notes: The Risk Book for a Pooled Primary is selected the same way as the Risk Book for a Pooled Assignment. There is really no longer any difference between a Pooled Primary and a Pooled

Attribute	Req/Opt	Size/Format	Rules
			Assignment other than whether the new lender is considered a primary. There is no relationship between a Pooled Primary and the Primary circles of any pools member. The pool members must have servicing group (contractual) positions, but they need not be primaries in the deal. So there may not even be a primary circle for a pool member. The Circle Notebook cannot be opened for any circle assigned to a Risk Book for which the user does not have View Price authority. Risk Books can be changed before Portfolio Allocations occur and after circle close. When a circle is pending or open, there is a definite relationship between the circle's Risk Book and its Portfolio Allocations, because the portfolio allocations must be within the assigned Risk Book. However, once the circle is closed, there is no longer a guaranteed relationship between the circle's Risk Book and its portfolio allocations. Risk Book is then used only for access to the circle, and may be changed. Available as a patch with Release 6.0.09.08, the following separately licensed enhancement is available, Validate Host Bank and Risk Book Selection at Circle Level. Loan IQ validates the Circle Risk Book linkage with the Branch of the Deal throughout the Circle at every status change. If the linkage is broken between Circle Risk Book and Deal Branch of the Circle, an error message is displayed and workflow progression is stopped.
Contra Risk Book	System Generated	Display	For Internal Trades (trades between two Risk Books from the same Host Bank Customer, the Contra Risk Book is displayed, and is properly labeled as either the <i>Selling Risk Book</i> or the <i>Buying Risk Book</i> . On a Buy, the Contra is the Selling Risk Book; on a Sell, the Contra is the Buying Risk Book.
Cash Flow from Point of View of Buyer	Required	Indicator (Check Box)	Defaults to Y (Cashflows are from buyer's point of view) unless the default Servicing Group found for the seller is the same as the Agent's Servicing Group (in which case the checkbox defaults to N (Cashflows are from seller's point of view).
Pricing Comment	Conditional	Button	Not applicable to Internal Trades. The system parameter CPCRQ (Circle Pricing Comment Required) determines whether or not the Pricing Comment is required to send other circles to approval. See the System Parameter Guide for more information. When the Pricing Comment button is selected, new circles default to Full Interest, Full Ongoing Fees and No Upfront Fees (referred to as <i>Default Borrower Pricing</i>). There is no default Pricing Comment for a Risk Participation Sell. Note: Pricing Comment text is copied over to the Contra investment, if one exists. Unlike other comments, the circle's Pricing Comment may be modified and/or deleted by any user with the proper updated authority in User Profile.
Cash on Transfer	Conditional	Indicator (Check Box)	Available as a patch with Release 6.0.08.08, this is a separately licensed functionality. If you are a licensed customer, Refer to the <i>Cash on Transfer</i> functionality in the Circle Online Help for more information. If you are not a licensed client and would like more information about this functionality, please contact your Loan IQ Account Manager.

Attribute	Req/Opt	Size/Format	Rules
			When checked, this enables the Cash on Transfer functionality for a Trade and when generating cashflows for the trade the user may only select the Custom Instructions available for COT trades. Custom Instructions are accessible from the Cashflows screen.

Facility Window

Attribute	Req/Opt	Size/Format	Rules
Lender Details:			
Amount	Conditional	System Amount Standard	If pro-rata was not selected the user is required to enter one of the three fields - amount, percent of global or percent of our share. Entering the amount automatically calculates the two percent fields. Circle cannot be approved unless this field (either input or calculated) is populated. Amount is expressed in the currency of the facility. If the currency of the facility is different to the currency of the deal the amount and / or pro rata entry from the Facilities page of the Circle notebook is disabled and the user must enter the amount from this screen (thereby specifying an amount specific to the facility; share of the deal is calculated in the currency of the deal.) Because many aspects of the facility and / or circle may change prior to circle close this field has limited validation at this time and is not checked until portfolio allocation is attempted. Amount cannot exceed system maximum field size. The amount field has different meaning if the circle is: Primary - Indicates lender's amount of the selected facility. Circle Sell - Indicates amount of selected facility to be sold to lender. Circle Buy - Indicates amount of selected facility to be sold by lender. If pro-rata was selected, facility amount is calculated by the system, but can be overridden from this screen.
Percent of Global	Conditional	Percent	If "amount" or "percent of our share" is entered, percent of global will be calculated, and vice versa. If percentage is entered, must be less than 1,000%. Percent of Global is calculated as: $PG = A / GFCC$ Where: PG = Percent of Global A = Amount entered above GFCC = Global Facility Current Commitment
Percent of our Share	Conditional	Percent	If <i>amount</i> or <i>percent of global</i> is entered, percent of our share will be calculated, and vice versa. No validation is performed on the percentage input although "overflow" will appear in one or both of the other calculated fields if the maximum field size is exceeded.

Attribute	Req/Opt	Size/Format	Rules
			Percent of Our Share is calculated as: $PS = A / HBNC$ Where: PS = Percent of Our Share A = Amount entered above HBNC = Host Bank Net Commitment in the Facility
Pricing			
Buy/Sell Price	Required	Percent	Defaults to zero and cannot exceed 900. Buy/Sell Price can never exceed 100 on any origination or distribution primary. Amendment primaries (converted from closed assignments or outside assignments) may have prices greater than 100. Any circle beyond the pending stage must have a Buy/Sell price greater than zero for all facilities in which the lender is investing with the following exceptions: 1. Buy/Sell price is not required for any Broker Transaction or Outside Assignment. If Host Bank is not the Agent, Buy/Sell price is not required on any primary other than the Host Bank primary itself. If Host Bank is the Agent, Buy/Sell price is unconditionally required for every primary except the Host Bank primary. For Host Bank primaries when Host Bank is Agent, a Buy/Sell price is required before portfolio allocations may be created in any portfolio other than "In Syndication." If allocations already exist in a portfolio other than In Syndication and the user attempts to set the buy sell price to zero, an error message will be issued. 2. For Outside Participation Transfer, Buy/Sell price is copied from the Participation being transferred, and is optional. 3. Commitment Increase Circles default to Buy/Sell price of 100%. Warning is issued if Buy/Sell price is less than 5 or greater than 150. Error is issued at circle close if Buy/Sell prices are required to close and Buy/Sell price for a given facility in which the lender is investing does not agree with the total upfront fees, additional circle fees/discount specified for that facility in circle pricing. Buy/Sell Price may be updated either here or on Circle Fee Decision Worksheet. (see "Fee Pricing" option). An optional button, "Set Buy/Sell Price" is available on the first page of Circle N/B to flow down an entered price to all facility investments in the circle, so user does not have to drill down on each one individually. Note: Buy/Sell price (which must verify with discount and upfront fees) is required in order to produce a Funding Memo. Note: Buy/Sell price may still be set even if circle has not yet had its Risk Book assigned. (But Risk Book must be added before portfolio allocations can be done or circle can be closed).

Attribute	Req/Opt	Size/Format	Rules
			Note: Changing the price on a circle sell prior to circle close adjusts P&L, as appropriate. Note: Whenever the Buy/Sell Price is changed on a Secondary Circle, an Internal Notification ("Circle Buy/Sell Price Change") indicating both the old and the new prices is sent to the Distribution List defined in the Notifications Matrix, and a Buy/Sell Price Change Event is also generated. In addition, if the circle is already approved when the buy/sell price change occurs, the Circle will be returned to "Awaiting Approval" status. (Notification and event are not needed when price is changed from zero.) Note: The Buy/Sell Price cannot be updated in a closed circle. If the user tries to update the Buy/Sell Price, "Buy/Sell price on a closed Circle cannot be updated" error message is displayed.
Interest Skim	Optional	BPS	Defaults to zero. May be updated either here or via the "modify" button on the "Interest Pricing" option.
Interest Type	System Generated	Display	Pricing Types are Skim, and Skim All. A skim of zero is the equivalent of "Full Interest Pricing." Note: When circle is in a post-pending state, changing the Buy/Sell price, discount, interest skim, or interest type is done for documentation purposes only. The real pricing is not affected and no price change events are created. To be effective, such changes must be made via "Facility Share Adjustments." (See "Lender Shares" Query in Facility Notebook).
Amount of Discount	Optional	System Amount Standard	Defaults to zero. Accepts either a positive or negative discount amount, whose absolute value cannot exceed lender's share of the selected facility. May be updated either here or on Circle Fee Decision Worksheet (see "Fee Pricing" option). Error is issued at circle close if Buy/Sell price for a given facility in which the lender is investing does not agree with the total upfront fees/additional circle fees/discount specified for that facility in circle pricing.
Portfolio for Interest Skim	Conditional	Button	Branch/Portfolio/Expense Code for Interest Skim must be present prior to circle close. Defaults according to first portfolio bucket in list of portfolio allocations under following circumstances, but may be overridden: .. Defaults when Interest Skim is entered, if portfolio allocations already exist. .. Defaults when portfolio allocations are entered, if Interest Skim already exists. Note: If portfolio allocations are later reduced to zero (for example, because Lender Share Type is changed from a Participation to an Assignment), the portfolio bucket assigned for Interest Skim will not be affected. Note: Skims are allowed on internal assignments and participations, but not for Internal

Attribute	Req/Opt	Size/Format	Rules
			Trades. Separate portfolio "buckets" must be defined for the Buyer and the Seller. Note: The buyer of the Risk Participation may receive a skim of the interest receivable to the seller.
Margin Rate The following Risk Participation Pricing functionality is available beginning with Release 6.0 and forward. The field name in these releases is "Risk Participation Margin"	Conditional	Button	Applicable only to Risk Participations and is optional. Risk Participants do not receive a share of the interest from any loans under any facilities in which they have purchased a risk share, as Risk Participants do not fund. However, they can receive a margin payment on the loan. Margin payments will accrue based on this rate and the interest accrual cycles of any
Portfolio for Margin	Conditional	Button	Required even if Margin Rate is not entered. Brings up Portfolio Selection allowing selection of branch and choice of Portfolio/Expense Codes available for selection of branch. If no Portfolio/Expense Code is selected, will default to the Portfolio/Expense Code of the first Portfolio Allocations entered. Note: Branch must match the branch of the circle's portfolio allocations.
Facility Expiry Date	System Generated	Display	Displays Expiry Date for the investment.
Facility Performance Status	System Generated	Display	Available beginning with Release 6.0.08.08 (Patch) the following functionality applies with the Delayed Compensation license. Displays the Facility Performance Status description and code. The Description value must match with the Performance Status Code value.
Performing Status History	Optional	Button	Available beginning with Release 6.0.08.08 (Patch) the following functionality applies with the Delayed Compensation license. Displays the Facility Change Performance History with dates.
ISIN	System Generated	Display	Displays ISIN number from the Facility Notebook, if present.
CUSIP	System Generated	Display	Displays CUSIP number from the Facility Notebook, if present.
Facility Maturity	System Generated	Display	Displays Maturity Date for the investment.
Upfront Fees/Discount Paid	Optional	Button	Applies only to closed circles with associated Upfront Fees and/or Additional Circle Fees. At circle close, the amount of any Upfront Fees and/or any additional Circle Fees associated with each facility investment is calculated and saved to be downloaded to the Syndication Fee Spreadsheet upon request. User may add/change/delete any of the displayed Fee amounts after circle close.
Reaggregate Circle Amount	Optional	Button	Re-sets the total Buy/Sell Amount for the circle to equal the sum of the individual facility amounts.

Attribute	Req/Opt	Size/Format	Rules
RAC Applies	Optional	Button	Available in Release 7.2.7, the separately licensed, RAC-MLA by Lender functionality applies. The ability to indicate whether RAC applies for a new lender added via a circle is provided on the Facility Details window. The RAC Applies button displays the RAC by Lender window with all of the currencies in that facility where the RAC applies based on the indicator in the Currency Detail window. The window contains the RAC Applies indicators. Note: Users must drill down in each facility in the Circle notebook individually to set the RAC Applies indicator. Once the circle is closed, the lender and indicator are updated in any funded loans and the Facility notebook.

RAC by Lender Window

Note: The window is in tree format. Users can expand (+) or collapse (-) each currency to display or hide the lenders for each one.

Attribute	Req/Opt	Size/Format	Rules
Currency	Optional	Tree	Displays the Currency where Reserve Access Cost (RAC) applies based on the indicator in the Currency Detail window.
Lenders	Optional	List	Lists all the facility lenders
RAC Applies	Optional	Indicator	The Rate Applies indicator defaults to checked for all lenders. The indicator can be overridden at any time. Changes to the settings flow down to new outstandings, do not affect existing outstandings, and are saved to the database.
Cancel	Optional	Button	Clicking Cancel exits the window without saving any changes
Expand All	Optional	Button	Clicking Expand All expands all rows.
Collapse All	Optional	Button	Clicking Collapse All collapses all rows.
Check All	Optional	Button	Clicking Check All checks all RAC Applies indicators.
Uncheck All	Optional	Button	Clicking Uncheck All unchecks all RAC Applies indicators.

The Circle notebook provides the ability for users to specify whether a new Lender is eligible for RAC by Currency at the Facility level.

This applies to all circle types such as primaries, outside assignments, and brokered circles. Participations and risk participations are not included.

If the new lender has funding decisions, Loan IQ continues to track the interest decisions for the buyer and seller, when applicable. The interest decisions made reflect the lenders' current rate at the time.

Example: RAC is applicable to Bank A but not Bank B:

On March 10, Bank A sells part of its position to Bank B. The shares of the interest for the cycle of March 1 – March 31 are as follows:

Bank A	40,000,000	March 1	March 9	9	3.504	34,560.00
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	20,000,000	March 10	March 31	21	3.504	40,320.00
					Total:	74,880.00
Bank B	0	March 1	March 9	9	3.5	0
	20,000,000	March 10	March 31	21	3.5	40,273.97

Amts/Dates Tab

Attribute	Req/Opt	Size/Format	Rules
Circled Amount	System Generated	System Amount Standard	Origination Primary: Displays the current amount at the time the Circle Option was selected, establishing the syndicate member's share of the deal. (Prior to Circle Option, will be blank). All Others: Displays the current amount at the time the Circle Option was selected, or if not selected, displays the current amount at the time the circle was approved. (If neither Circle nor Approval Option has occurred, will be blank).
Closing Amount	System Generated	System Amount Standard	Displays the current amount at the time the circle was closed. Prior to closing, will be blank. Once established, can be changed only by the "Change Share" Option.
Corrected Closing	System Generated	System Amount Standard	Displays the closing amount of the circle, amended to reflect any changes made after circle close. (Changes made to circle after circle close are for documentation only, and do not affect the lender positions).
Settle Net/Gross	Required	Indicator	Available as a patch to Release 6.0.08.08 (patch) as per the Circle Funding Indicator Default enhancement, system parameter DCSN (Default Circle to Settle Net) determines the default value. "Settle Gross," meaning monies owed to Buyer (for fees, discount, etc.) will be paid separately from monies owed to Seller. Remittance Instructions to the Buyer are required when settling gross at a price other than par. "Settle Net," meaning fees and discount owed to Buyer will be netted against gross proceeds of sale, and Seller will be paid the difference. Note: Setting of the "Settle Net/Settle Gross" indicator drives the Funding Memo calculations. Note: If creating funding when the circle is settling net causes a discount rounding adjustment (funding memo discount, calculation does not match the circle calculation) and G/L entries subsequently do not balance due to this, (meaning the circle cannot be closed), user must do the following: Change the circle to "Settle Gross" in order to close it. Direct the outgoing cashflow to Special Accounts Payable (SPAP). Incoming cashflows can be matched to those entries.
Settle Discount in Currency of the Outstanding	Optional	Checkbox (Indicator)	As per the Multi-Currency Discount Analysis enhancement available in Release 6.0.08.05, the following separately licensed functionality applies: If system parameter MCCYD is set to <i>OFF</i> for the Branch of the Deal, the checkbox on the circle defaults to unchecked and is protected.

Attribute	Req/Opt	Size/Format	Rules
			If system parameter MCCYD is set to <i>SETTL</i> for the Branch of the Deal, the checkbox on the circle defaults to checked but can be unchecked by the user. If system parameter MCCYD is set to <i>MAINT</i> for the Branch of the Deal, the checkbox on the circle defaults to checked and is protected. Note: A value is not automatically assigned to the “Settle Discount in Currency of Outstandings” indicator in pending Circles that exist for clients licensed with this functionality. For Licensed clients opening a pending Circle in INQUIRY mode, Loan IQ displays the default setting for “Settle Discount in Currency of Outstandings” indicator, if it’s current setting is NIL, but the Circle will not be updated. For licensed clients opening a pending Circle in UPDATE mode, Loan IQ displays the default settling for “Settle Discount in Currency of Outstandings” indicator, if it’s current setting is NIL. This setting is then saved when the circle is saved if other changes are made. Important: This functionality does not apply to single currency facilities. Licensed clients must refer to the <i>Online Help > Portfolio Position > Multi-Currency Discount Analysis</i> for more information. Available in Release 6.0.09.02 and forward, Settling Multicurrency Discount in L/C Currency is an add-on to Multicurrency Discount Analysis. This functionality allows the ability to stipulate whether the discount associated with the Letter of Credit balance is settled in the currency of the L/C or in the currency of the facility. To support this ability, a new branch-specific system parameter is introduced. When set to Yes, SMDLC (<i>Settle MultiCCY Discount in the CCY of the L/C</i>) ensures that the discount for the L/C balance is settled in the currency of the L/C. The default value for this parameter is No. All trade settlement cashflows related to the discount are settled as follows: If the MCCYD system parameter is set to Off, all cashflows for the discount are settled in the currency of the facility. If MCCYD is set to Settl (and is not overridden in the individual circle) or is set to Maint, then: That portion of the discount attributable to the funded outstandings is settled in the currencies of those outstandings. If SMDLC is set to Y, that portion of discount attributable to the unfunded L/Cs is settled in the currencies of those L/Cs. If SMDLC is set to N, that portion of discount attributable to the unfunded L/Cs is settled in the currency of the facility. The remainder of the discount is settled in the currency of the facility. To use Settling Multicurrency Discount in L/C Currency, clients must be licensed for Multicurrency Discount Analysis. For more information, please see <i>Loan IQ How to Prepare for 2008 User Group Enhancements 6.0.09.02 SP</i> document.

Attribute	Req/Opt	Size/Format	Rules
Accrued Not PIK'd Interest	Optional	System Amount Standard	As per the Payment in Kind (PIK) Interest enhancement available in Release 6.0.08.05, the following separately licensed functionality applies: Defaults zero. Accepts the amount of uncapitalized PIK interest the user intends to buy or sell. Note: This amount only represents a note for the user and has no operational effect. Licensed clients must refer to the <i>Loan IQ Payment in Kind (PIK) Interest Setup & User Guide</i> document for more information.
Redirect Funded Principal to Agent	Optional	Checkbox (Indicator)	Beginning with Release 6.0.08.02 (Patch) and 6.0.08.05, the following separately licensed functionality applies: Defaults to (N) unchecked, meaning Loan IQ automatically separates the cashflows between the agent customer and the counterparty of the trade. Note: This indicator is disabled if the buyer or seller (with the same Customer and Branch) is the Agent. If the user selects (Y) checked, the Set Amounts button is enabled. Only users with proper authority are able to change the Redirect Funded Principal to Agent setting to checked and back to unchecked. Set Amounts If Set Amounts is selected, the <i>Redirect Funded Principal to Agent</i> window is displayed where users can enter the <i>Amount to Redirect</i>. Drill down on <i>Amount to Redirect</i> and enter the Amount to redirect to Agent. Notes: • If the Amount to Redirect is zero, then the entire funded amount is included in the redirect cashflows to the Agent. • If the Amount to Redirect is non-zero, whatever is entered is included in the redirect cashflows to the Agent. If the Amount is greater than the funded amount, an error message is displayed. • Once an Amount to Redirect to Agent is entered, if changes are made to the funded amount, it will be validated at <i>Send to Settlement</i>. Also, if there is a mismatch between the Amount entered and the Funded Amount, an error message is displayed. Licensed clients must refer to the <i>Loan IQ Enhanced Cashflows for Multi-Counterparty Circles Setup & User Guide</i> document for more information. If you are not a licensed client and would like further information, please contact your Loan IQ Account Manager for more information.
Target Close Date	Conditional	Date	Calculated by the system depending on the setting of the DSSND System Parameter for circles that are marked Distressed and PRSND System Parameter for Par Trade circles. Must be a valid business day (and will be adjusted forward to the next business day, if necessary). If Circle is created prior to Deal close, Target Close Date will not appear. Not applicable to primaries. Available with the <i>Rule Based Comprehensive Delayed Compensation</i> enhancement, if Early Day Date is updated in the

Attribute	Req/Opt	Size/Format	Rules
			Facility, Codes tab, the Target Close Date is updated with the same date.
Expected Close Date	Required to Close	Date	For all circles except primaries in a host bank deal, Expected Close Date is required for settlement approval and to close the circle. Must be a valid business day, and must be greater than Circled/Legal Trade Date, (if one exists). No default. Cannot enter after circle close. Required for Funding Memo. Note: When closing a circle, Circle Close Date defaults to Expected Close Date. (If incorrect, user must modify the Expected Close Date before closing the circle). Note: If present, will be considered by the "View Shares As-of" option in Lender Shares, when projecting shares into the future. Circle will not affect those shares until the Expected Close Date.
Accrual Changeover Date	Conditional	Date	Initially set via a pop up when "Actual/Other Date" is chosen for Interest/Fee Settlement. May be modified at any time, even after circle close, but cannot be less than Deal Close Date. When Interest/Fee Settlement indicates "Actual" or "Actual/Settlement Date," the text "Settlement Date" will be shown for Accrual Changeover Date, rather than an actual date. If Interest/Fee Settlement is not applicable, has not yet been specified, or is 'Flat', the text N/A will be shown. Note: The Accrual Changeover Date is applicable only when the interest/fee settlement type set in the circle is Actual/Other Date. (See the Int/Fee drop list on the Facilities tab of the circle notebook.) In that case, an accrual changeover date is required. It represents the date on which interest and fee accruals begin to accrue to the buyer of the circle rather than to the seller of the circle. It is used when that date is a different date from the circle close date.
Circled/Legal Trade Date	System Generated	Date	Effective Date of Circled Amount. If Origination Primary, represents the date on which Syndicate Member agreed to take a share of the loan. For all other circles, represents the Legal Trade Date. Cannot be greater than Expected Close Date.
Final Approval Date	System Generated	Date	Date circle was approved.
Closed Date	System Generated	Date	Effective date of Closing Amount.
Pro-ration Requested	System Generated	Display	Static text is hidden until circle is closed, and then displays either "Originally closed pro-rata" or "Originally closed non-pro-rata." The pro-ration status of the circle at initial close is not affected by any subsequent re-openings, re-closings and/or share changes.
Confirmation Letter Received Date	System Generated	Date	Date Confirmation Letter was received.
Confirmation Letter Received Time	System Generated		Time Confirmation Letter was received.
Conditions to Close	Optional	Button	Brings up "Closing Conditions Comments" screen. Not applicable to origination primaries.
Deal Borrower Tax Information	Optional	Button	Beginning with patch to Release 6.0.10.05 and forward, this option is available with the Withholding Tax Rate Calculation separately licensed enhancement.

Attribute	Req/Opt	Size/Format	Rules
			Available if the Deal Admin Agent is a Host Bank Entity and at least one Facility owning branch's system parameter HBATW is set to Y. Secured and disabled in the Circle notebook when system parameter HBATW is set to N or when the lender is no longer a 'New Lender to Closed Deal'. Available on Secondary (not Primary) Circles, whenever a new Lender to A Deal is added through the Circle. Brings up the <i>Deal Borrowers Tax Information</i> screen. The new Lenders go into a Closed Deal either by external/internal and through Assignment/Participation types of Circles, when closed. These transactions can be either Buy or Sell. When a new Lender has more than one open Circle, each Circle enables users to enter Deal Borrower Tax Information details independently. The first closed circle updates the Tax attributes in the Deal notebook. This button is disabled and tax attribute values are lost without save. The first closed Circle details are committed to the Deal notebook, making other open circles as not a new Lender to Deal. All borrowers which are associated with the Deal are displayed in the Deal Borrower Tax Information. An Event is displayed in the Circle notebook and Deal notebook when the Circle is closed for a new Lender. Every time user enters or updates tax attributes on the Deal Borrower Tax Information screen, an Event is displayed in the Events tab of the Circle notebook and Deal notebook. If users do not enter any tax attribute and try to progress the transaction from 'Sent to Approval', a warning message is displayed "Deal Borrower Tax Information is required.". When user clicks OK, the Circle, Amt/Dates screen is displayed with the Deal Borrowers Tax Information button. For more information, see also the <i>Loan IQ Facility Edit & Validation Rules</i> document.

Detail Tab

Attribute	Req/Opt	Size/Format	Rules
Ultimate Account	Optional	Drop-down list	This functionality applies to Trade Ticket Entry functionality and applies to Release 5.5.08.02 and 6.0.08.02 and Later Releases. Trade Ticket Entry is Separately Licensed functionality. If a Master Account is being used, the Ultimate Account displays the Master Account, but it is modifiable by the user. If a Counterparty is selected, the name of the Customer Master Account associated with that Counterparty (if one exists) is displayed in the Ultimate Account drop-down field, but it is modifiable by the user. If a Counterparty is selected and there is no Customer Master Account found for that Counterparty, the Ultimate Account will remain blank, but it is modifiable by the user. The user may select any active value from the Customer Master Account table. Licensed clients must refer to the <i>Loan IQ How to Prepare for and Use Trade Ticket Entry</i> and the <i>Trade Ticket Entry Edit &</i>

Attribute	Req/Opt	Size/Format	Rules
			<i>Validation Rules</i> for more information. If you are not a licensed client and would like further information, please contact your Loan IQ Account Manager for more information.
Admin Agent	System Generated	Lender Name	Flow down from deal, and is display only.
HLT	System Generated	Indicator (check box)	Flow down from deal until circle close. When circle is closed, HLT indicator is copied from deal into circle and is never modified.
Transaction Type	System Generated	Table: Transaction Type	Will reflect any Transaction Type selected on Lender Commitment Selection or Create Primary screen. Same edit validation rules apply here, with the exception that a Primary's Transaction Type may not be changed. May change Type on Assignments and Participations.
Amendment Number	Optional	5 Characters	If entered, must correspond to an Actual Amendment Number in the Deal, and indicates this circle is related to that Amendment. Amendment number may be changed, even after circle close, and may be specified for all types of circles except internal trades.
Pool	Conditional	Button	Selectable only for pending circles, if an active pool exists for the deal, and allows the user to flag a pending sale as a "pooled sale" and/or to remove the "pooled" designation. Applies only to assignments, and is not valid for Buys and/or broker transactions. User selects Pool Name from list of active pools presented, and the selected lender cannot be a member of the selected pool. (An "active" pool is one whose start date is less than or equal to the current date, and whose expiration date has not as yet been reached).
Brought in By:	Conditional	Button	Applies to all types of circles, and is informational only. (No validation). Pooled Sales: Required. User must select from list of existing pool members, who are presented in alphabetical order. All Other Circles: Brings up a window asking user to choose from either "Lenders in Deal" (default) or All Customers. Choosing "Lenders in Deal" presents a pick list that also includes pending lenders in the deal and choosing "All Customers" allows users to select any Customer known to Loan IQ, even ones without Lender Profiles.
Benefit of Commitment Reduction to Buyer	Required	Indicator (Check box)	Defaults to "Yes." All unclosed circles (pending, awaiting approval, approved, awaiting settlement approved, approved for settlement) are adjusted automatically by the system for all decreases (scheduled and unscheduled), but not for any increases. When the circle allocations are reduced, the associated P&L and discount are adjusted accordingly. The "benefit" of the commitment reduction defaults to the Holder of Risk, the Buyer, unless prior to the commitment reduction, the "Benefit of Commitment Reduction" Indicator in the Circle Notebook is changed to indicate the benefit must accrue to the Seller. If the benefit is to the Buyer, an additional portfolio allocation is created for the circle in order to adjust realized P&L. Changing the circle indicator after the commitment reduction occurs does nothing to change the P&L. Note: Benefit of Commitment Reduction to Buyer is no longer being calculated for internal circles. Note: If benefit of commitment reduction for a sell is negative (because buy/sell price is greater than par), benefit is posted as a receivable instead of a payable. Specifically:

Attribute	Req/Opt	Size/Format	Rules
			Sell at a discount - benefit posted as a payable Sell at a premium - benefit posted as a receivable Buy at a discount - benefit posted as a receivable Buy at a premium - benefit posted as a payable
Use Spread Adjustment From Outstanding For COC	Optional	Indicator (Check box)	This check box is introduced to support Loan Market Association (LMA) trades where Spread Adjustment can be included in the calculation of Cost of Carry. When creating a new Circle, the value for this check box is cascaded from the <i>Cost Of Carry Mapping</i> table line item based on Currency, Branch, and Trade Settlement (LMA) combination. If the circle is created in multiple facilities, each having different currencies, then each facility is mapped with their currencies to the Cost Of Carry Mapping table and if any one facility is mapped to a line item in the mapping table where the <i>Use Spread Adjustment From Outstanding</i> check box is selected, then the <i>Use Spread Adjustment From Outstanding For COC</i> check box at the Circle level is also updated as selected. However, the user can still manually override the value of the Use Spread Adjustment From Outstanding For COC check box at the Circle level (Detail tab). Notes: - The Use Spread Adjustment From Outstanding For COC check box at the Circle level is available to use when <i>M-38975 - Cost Of Carry for Alternative Reference Rates</i> license is in Update mode. - The <i>Use Spread Adjustment From Outstanding For COC</i> check box is available to use only when the Trade Settlement Type is LMA. - If the <i>Use Spread Adjustment From Outstanding For COC</i> check box is selected in the middle of the Delayed Compensation period, then Delayed Compensation starts accruing from the beginning of the Delayed Compensation period using the Spread Adjustment value from the Outstanding.
Qualified Buyer:			
Affects Trading Position	Conditional	Indicator (Check Box)	Applies only to assignments and participations. Internal Circle -Both sides default to "No," and each side may be changed to "Yes" independently of the other. Sells - Default to "No." Buys - Default to "Yes." Note: Can be modified at any time, including circle creation. Not applicable to Primaries, Blow-Up Agreements and Broker Transactions. Additional Note: All processing previously driven by the "Affects Trading Position" indicator has been removed, and will not be restored until Trading Lines have been redesigned. Therefore, at the present time, the Trading Position accumulators will not be adjusted by the system under any circumstances, regardless of the setting of the "Affects Trading Position" indicator.
Blow-up Agreement	Required	Indicator (Check Box)	Defaults to No. "Blow-Up Agreement" Buys and Sells do not affect trading lines, baskets or positions. Not enterable field if

Attribute	Req/Opt	Size/Format	Rules
			primary or Outside Assignment or if "Affects Trading Position" = "Yes."
Distressed	Conditional	Indicator (Check Box)	In new circles, the "Distressed" indicator will default to "Y" (checked), if the logged-on user creating the circle belongs to a distressed sales group. In all other cases, it will default to "N" (unchecked), indicating a "Par" circle. The indicator is modifiable by any user with authority to update the Circle. If "Distressed Trade" indicator is set to "Yes", the circle's Target Close Date will be calculated by the system (and protected) as Circle / Trade Date plus the number of business days defined in the "Distressed Settlement # of Days" parameter. Otherwise ("Distressed Trade" indicator is set to "No" or nil), the circle's Target Close Date will be calculated by the system (and protected) as Circle / Trade Date plus the number of business days defined in the "Par Settlement # of Days" parameter. The Target Close Date will be re-calculated (as above) whenever the Circle / Trade Date changes. The default settings for the Interest/Fee Settlement indicators will be based upon the Circle's "Distressed Trade" indicator: If set to "Yes" (distressed), the Interest/Fee Settlement indicators will be defaulted. If the DTSPA System Parameter is set to "Yes", the users in distressed sales groups may not approve the same circles they sent to approval, and all distressed circles must be approved by users other than the users who sent them to approval. Note: A user assigned to a Distressed Sales Group may not approve a circle (whether or not it is distressed) which that user has sent to approval. However, a user that is not in a Distressed Sales Group may not approve a distressed circle which that user has sent to approval.
SLM Trade	Optional	Indicator (Checkbox)	Beginning with Release 6.0.09.11 and forward, the following separately licensed SLM Interface functionality applies: Defaults to N (unchecked) which indicates the circle is a regular trade. When set to Y (checked), the Circle is marked as a SLM Trade. The indicator is automatically set to Y (checked), if: The Trade Counterparty is SLM eligible (meaning the SLM indicator is set to Y in the Customer Notebook) The Deal is SLM Eligible (meaning the SLM indicator is set to Y in the Deal Notebook and all the underlying Facilities in which the circle has an actual share have their SLM Eligible indicator set to Y) Note: If the Counterparty is not SLM Eligible or any of the Facilities that are included in the Circle (and in which the circle has an actual share) are not SLM Eligible, the SLM Eligible indicator on the Circle will be disabled and cannot be switched to Yes. If the Counterparty then becomes SLM Eligible and all of the Facilities included in the Circle are SLM Eligible, the Circle will be enabled and set to Y (checked). The actual behavior of the toggle for the circle notebook is to set the indicator to No. Setting the toggle back will clear the No setting and reset based on the current eligibility criteria. This indicator may be unchecked or checked prior to the Circle being Settlement Approved. If the indicator has been unchecked and any of the criteria is changed (Deal or Counterparty Customer SLM Eligible indicator is set to N), then

Attribute	Req/Opt	Size/Format	Rules
			users will not be able to recheck the SLM Trade Indicator until the Deal and or Facility have been reset to SLM Eligible. After creating an eligible trade and then manually changing it to NOT SLM eligible, if the user unchecks the Deal Agent and makes it ineligible for SLM when the user goes back to the Circle, they will not be able to make the trade SLM eligible since the Agent no longer is eligible. If the trade is also eligible for being sent to one or more E-Settlement systems and is SLM eligible, then SLM will take precedence and the circle will be a SLM trade, completely overriding the E-Settlement functionality. The trade will not be sent to the E-Settlement system in this instance (in which SLM is considered the preferred system). If a Circle is SLM Eligible, a warning is issued if one tries to close the Circle manually online, instead of via the API, stating "This Circle is designated as a SLM Trade & all Workflows must be done by SLM". Licensed clients must refer to the <i>Loan IQ Online Changes for SLM Interface Setup & User Guide</i> document for further documentation.
Qualified Buyer for Lender Booking Location	Required	Indicator (Check Box)	Indicates the "Qualified Buyer" status of the Customer (for this lender booking location). Cannot be overridden in the Circle NB. Applies to both Buys and Sells. If changed from "Yes"(qualified) to "No" (not qualified) in the Customer Notebook, all circles for that lender booking location will have their Circle Qualified Buyer Indicator set to "No." Setting the Customer's Indicator to "Yes," on the other hand, has no effect on any existing circles for that lender. Note: Indicator is always protected for Internal Circles.
Qualified Buyer	Required	Indicator (Check Box)	Indicates the "Qualified Buyer" status of this individual Buy or Sell Circle. Flows down from Customer at Circle Create. Can be modified prior to close, if the Customer's "Qualified Buyer" status is "Yes." Cannot modify after circle close. Note: Internal Notification ("Circle with Unqualified Buyer") will be sent to the Distribution List defined in Notifications Matrix whenever a new Host Bank (Non-Broker) Assignment or Participation is created with its "Qualified Buyer" Status = 'No'. (Normally, notification will be directed (by Notifications Matrix) to Compliance, who may want to reset the indicator to "Qualified" because of the P&L implications). Note: Indicator is always protected for Internal Circles.
Expiration Date	Conditional	Date	Applicable if Circle's "Qualified Buyer" status is "Yes." Defaults at circle creation to Create Date plus 45 days, and cannot be modified. Note: Circle QB status is not affected when a circle fails to close prior to its Expiration date. However, a nightly tickler process could be set up to report all circle sells that are within 5 days of their QB expiration date (or later), so that the user may adjust the Qualified Buyer status of individual sell circles, as desired.
Linked Transactions	Conditional	Button	Applicable only to Swaps and appears only when circle is a swap. Displays all existing linkages and all swaps eligible for linking to the swap being created/updated. Swap Outs must be linked to Swap Ins and vice versa. Linked transactions must be for the same lender and different deals, and links must be established prior to close, although

Attribute	Req/Opt	Size/Format	Rules
			transaction amounts do not have to be equal. Swap Out may be linked to more than one Swap In, and vice versa. Swaps cannot be linked after circle closes.
Source Agreement	Conditional	Button	Appears only when participation transaction type requires a source agreement. Closing a Participation Buy, Sub Participation Buy, Participation Transfer Buy, Participation Sell, Sub Participation Sell, Swap In or Swap Out always creates a new Participation Agreement. All other types of participation transactions (Buy Back, Buy More, Sell Back, Sell More, Outside Participation Transfer Sell and Participation Transfer Sell) amend existing participation agreements. All amending participations require a Source Agreement. When creating an amending participation transaction or changing a participation's Transaction Type to an amending Transaction Type, the "Select Source Agreement" screen will be automatically displayed and a Source Agreement must be chosen. The Buyer's Name/Location/Servicing Group and the Seller's Name/Location/Servicing Group of every agreement are displayed, along with the Effective Date and the Participation Agreement Amount. Note: Source Agreement of an amending transaction (including an Outside Participation Transfer) may be changed at any time prior to circle close, but is protected after circle close.
Original Lender Share Type	Required	Table: Investment Type	Applicable only to closed circles. Defaults to Circle's Lender Share Type at circle close. User may modify after close by selecting an (active) value from Investment Type Table.
Lender Activity Code	Conditional	1 digit	Applicable only to closed circles. Set by system at circle close to 1, 2 or 5: 1 = Lender's last activity was less than 12 months ago 2 = Lender's last activity was 12 months ago or more. 5 = This is the first activity for this lender. Notes: User may modify after circle close (valid values are 0 thru 9). Also, all closed circles that were converted were set to "1."
Sales Difficulty Factor	Required	1 to 3 digits followed by up to 5 decimals	Flow down from deal at circle close and may be modified by user after circle close. Valid values range is 0.00001 to 999.99999.

Events Tab

Attribute	Req/Opt	Size/Format	Rules
List of Events	System Generated	List Box	Displays the Event Description, Date, Time, User, Effective Date, and Comment for every Event. Note: The "Cashflows Completed" event is always created for circles, even ones that do not have any cashflows. If applicable, the event comment will note, "Transaction does not have any cashflow". Note: "Event Detail" browser at bottom of screen displays information for selected event.
Export Events	Optional	Button	Exports Events to a file.

Attribute	Req/Opt	Size/Format	Rules
Print Events	Optional	Button	Prints Events
Event Details:			
Event	System Generated	Table: Event Type	Displays event type of system-generated circle event. Beginning with Release 6.0.09.02 and forward, Loan IQ creates an event in the Circle notebook any time that the Discount is automatically updated.
Effective Date	Optional	Button	Displays effective Date of event. Button only enabled for events whose effective dates can be changed. Note: Circled/Legal Trade Date may be changed before or after Circle close; however, after Circle Close, Circled/Legal Trade Date cannot be greater than the Circle Close Date. Circle Close Date may be changed, but user will receive warning that change is for documentation purposes only and that lender shares must be adjusted via Facility Lender Share Adjustment. Note: Any circle event for a share change to the circle (including a share change due to a commitment decrease) which is effective as of the circled/legal trade date will not have an effective date on the event. This is because the circled date may change; yet the share change is still considered effective as of whatever the circled date is. If the event comment says the change is effective as of a type of date rather than as of a specific date, the event will not have an effective date.
Event Queue	Optional	Button	Available in Release 7.2 the following Enhancements to Event Management functionality applies. Introduced on Event tab. Select an event and click Event Queue. Brings up the Event Queue window displaying the list of Event Output records that resulted from the selected event.
User	Optional	Button	Displays User ID of person creating the event, and pressing the button displays the User ID, Username, and User Alias.

Workflow Tab

Displays the Workflow Item Description and any applicable Target Date for all workflow items associated with this unclosed Circle. Users refer to this page to see “What needs to be done next” for this circle.

Target Date - System creates target dates for all generated workflow items.

The “Workflow” page will be shown for all **potential** circles (i.e., pending, awaiting approval, approved). As a workflow item is completed, it will be removed and a corresponding event created. **The workflow items may be executed via either drill down or the corresponding menu item.** The following are some of the possible workflow items:

Circle – for all secondary circles. Also, pending Non Host Origination Primaries as well as Host Bank Origination Primary in Host Bank Agented deals.

Pool Allocations - for pooled circles only. The workflow item is created when a pooled circle is created, when the pool to which a pooled circle is pointing changes or when a non-pooled circle is changed to a pooled circle. **The target date is the date created.**

Complete Portfolio Allocations - for circles, which require portfolio allocations only. The workflow item is created when a non-pooled circle is created or when pool allocations for more than zero are created for a host bank pool member. If host bank members are later changed so that they all have zero allocations, the portfolio allocation workflow item is removed. If portfolio allocations are removed because of a

change of booking vehicle, host bank primary, lender share type or transaction type, a portfolio allocation workflow item is added. **The target date is the date the workflow item is created.**

If a Short Position is created by the initial Portfolio Allocation, the “Complete Short Portfolio Allocation” Workflow item will remain on the Workflow Page until the Position is made long (i.e., the allocation is reconciled so that the short position no longer exists).

Send to Approval - created when the circle is created as pending. **Target date is date created.**

Approval - created when the circle is sent to approval. **Target date is date sent to approval.**

Close – Does not exist for primaries, as they are closed when deal is closed. For other circles, created when the circle is approved for settlement. Target date is the circle’s expected closing date, if it exists, and is changed if the expected closing date changes. If there is no expected closing date, the target date for assignments and participations is the circle target closing date, if it exists. It will not exist if the deal is not closed; however, if the deal is then closed (which will cause the target date to be set), the target date of the workflow item is set. If the deal is not closed, the target date is the projected closing date of the deal, if any. Otherwise, the target date of the workflow item will not be set.

Target Close Date, Expected Close Date, Circle Close Date are validated against Calendars associated with branches affected by the Circle’s Accounting and Calendars associated with the currencies of the Circle’s Cashflows.

Set Cashflow F/X Rate – Will appear on the Workflow Page if a Settlement Currency has been selected, but an F/X Rate for that Currency has not been set. Transaction cannot be released until this workflow is satisfied.

Warning is issued if Expected Close or Close Date falls on a non-business day for any Calendars Date is being validated against.

Funding Memo or Funding Decision - created for circles, which require funding. If a funding memo is required, the Funding Memo workflow item is created. If funding but not a funding memo is required, the Funding Decision item is created. A funding memo workflow item is not removed until a funding memo is sent; it is not removed just because the funding decision was made. If the funding decision or funding memo has already been done and the funding status is changed to “needs review”, another funding decision or funding memo workflow item is created. The target date for a funding decision workflow item is the same as the target date for the Close item. The target date for a funding memo workflow item is three days before the target for close (except not earlier than the Create Date for the workflow item). Even if there are no outstandings, a funding memo may be required if the circle is being sold at a discount or premium or certain other fees are changing hands, so Funding Memo Workflow Item will still appear.

Note: Release Cashflows workflow item for IMT Cashflows (payment methods SWIFT or Telex) **does not** appear on the Workflow page for the Circle notebook.

Release Transactions with No Cashflows - Available as a patch to Release 6.0.10.05 the Release Transactions with No Cashflows functionality is available. Loan IQ clients users can release transactions without cashflows regardless of Users’ setting of *Release Cashflows with Cashflows* application function.

Contacts Tab

Displays summaries of the **Contacts and Servicing Groups** selected for this circle.

Contacts

The user may **add or delete** contacts for this circle, and may drill down to **set/unset** a contact as the contact for the **Confirmation Letter**. Only one Confirmation Letter Contact may be designated. A checkmark appearing next to the Lender Name in the Contact list box indicates that contact will be used when generating a Confirmation Letter. (See “Option: Generate Confirmation Letter” for more information).

On the Contacts Page, the Contact Name, Purpose, Location, Primary Business Phone, Primary Fax Number and **E-mail Address** are displayed.

In **Ticket Mode**, pressing the "Contacts" button on the first page of the abbreviated Circle Notebook brings up the Contact List for the Buying (or Selling) location of the Host Bank's Counterparty for Assignments, Participations and Broker Circles, and the Primary's Booking Location for both Origination and Distribution Primaries.

Pressing the "Add Contacts" button in the **full** Circle Notebook (user is not in Ticket Mode) brings up the Contact Selection screen allowing a choice of Lender and Location for adding contacts. Upon selecting, the Contact List for that Lender appears.

Origination Primaries: Contacts are optional and are picked from the lender's Booking Location.

All Other Circles: At least one contact must be present in order to send the circle to approval.

Contacts may be added for any customer (**Buyer, Seller and/or the Third Party**) associated with the circle that has an associated location. If a **Servicing Group** (see below) has been associated with the **Booking Vehicle, a Pool Member, Third Party or an Outside Assignor**, the **location for the contact will be taken from the Servicing Group**.

When adding contacts, the user will always be presented with a screen to choose the Lender and the Lender Location for which contacts are desired.

As soon as the contact is added to the circle, it is **de-normed**, meaning that the contact's name (first, middle, last), primary phone number, and primary purpose are copied into the circle. Since there is **no need** for a link between the circle and the actual contact on the database, **inactive** contacts can be **deleted** even though they were once picked as circle contacts. The advantage of de-norming the circle contacts is that it allows active contact listings to be kept to manageable size. The disadvantage of denormalization is that subsequent changes to the contact detail record (to name, phone number, etc.) will **not** flow down and be reflected in the circle.

Servicing Groups

Will hold servicing contacts (for faxing) and remittance instructions.

Multiple Servicing Groups may be assigned to a circle for each lender associated with that circle, and they may be assigned for **particular purposes (Closing, On-Going, Transfer Fee)**, and a purpose may be used only **once per lender**.

For Outside Assignors, Servicing Groups for **all of the Lender's Locations with a position in the deal** will be displayed for selection.

For all other **Lenders** associated with the circle, Servicing Groups for the **Lender's selected Location** will be displayed.

When assigning Servicing Groups to a circle, the user is presented with a screen from which to choose the **Lender, the Lender Location and the Purpose** for the Servicing Group.

In cases when an Ongoing Servicing Group is **not required** (for example non-host primary in a deal where a Host Bank is not the Agent), Ongoing Servicing Groups are **optional** for the non-host lender (whether buyer or seller).

Ongoing and Closing Servicing Groups that are **required may not be deleted**, but **may be changed** via the "Servicing Group Selection" screen.

The Closing Servicing Group is the Servicing Group used for funding (i.e., cashflows and funding memo).

Drilling down on a Servicing Group displayed on the Contacts page brings up (in **Inquiry Mode**) the Customer Location Level screen displaying all of the Servicing Groups for the Lender\Location associated with the selected Servicing Group.

General Rules: The following are the General Rules governing the need to assign a Servicing Group to a circle:

It is possible to **add** a Servicing Group to a **canceled** circle, as well as to any active circle.

An Inactive Servicing Group **cannot be added** to a circle. A Servicing Group that is in use **cannot** be inactivated.

For Amendments to participation agreements and participation transfers, (whose Servicing Group is taken from the participation agreement being amended), the circle cannot close if one of the Servicing Groups is being increased and is inactive.

Ongoing Servicing Groups are required for the Host Lender on **all** Host Bank circles, regardless of whether the Host Lender or any other Host Bank is the Agent for the Deal.

A Host Lender may have only one Servicing Group position **per Branch**. Circle validates **at circle close** that the branch of the host ongoing servicing group is the same as the branch of the circle's portfolio allocations. Therefore, all portfolio allocations for the circle (except pooled circles with more than one host pool member must be for the same branch. **Different facilities cannot have allocations in different branches.**

The circle cannot close unless all the branch of all ongoing host Servicing Groups is the same as the Branch of the portfolio allocations.

In conjunction with this, the Host Bank Servicing Group will, in most cases, be set automatically. (See "Assigning a Servicing Group to a Branch" and "Option: Set Default Servicing Groups").

Changes to a Host Lender's Servicing Group position from "None" to a Servicing Group must be done **manually** through the Deal-level or Facility-level Servicing Group Change functionality.

At Circle Close, circle's Servicing Groups are assigned to newly created Facility Lender Share. Changing Circle's Servicing Groups after circle close is therefore done **only for documentation purposes**. To be effective, Servicing Group Changes must be made via the Deal or Facility "Servicing Group Change" options.

Primaries - If Host Bank is Agent, both a Closing and an On-going Servicing Group are required for every primary. If Host Bank is not the Agent, only the Host Bank Primary Lender requires a servicing group.

Assignments - With the exception of Outside Assignments, both Closing and On-going Servicing Groups are **always required**, regardless of whether or not the Host Bank is the Agent.

Participations - Both Closing and On-going Servicing Groups are **always required**, regardless of whether or not the Host Bank is the Agent. However, no position checking is performed, and no "arithmetic" needs to be done to validate the Servicing Group's position in the deal when participations are being closed.

Outside Assignments - **Closing** Servicing Group is **optional** and **on-going** Servicing Group is **required when the Host Bank is the Agent**. The **location** for an Outside Assignor is changed by changing its Ongoing Servicing Group to one from a different location. The Servicing Group list for Outside Assignors includes those Servicing Groups from all locations that have sufficient position to cover the circle. When the Host Bank is **not the Agent**, Servicing Groups of either type are optional.

No updates to an Outside Assignor's Servicing Group may be made from the Servicing Group screen within the **Circle** Notebook, but must be made from the Servicing Group screen within the **Customer** Notebook. This rule applies to adding/deleting Remittance Instructions to/from the Outside Assignor's Servicing Group.

Internal Circles - An on-going Servicing Group is always required for **both** Host Banks involved in an **Internal Assignment, Participation or Internal Trade** (If one of the Host Banks is the Agent, the Agent's Servicing Group will not be used to calculate or validate position). The Host Bank Seller needs an Ongoing Servicing Group for the Buyer in order to service the Buy. The Host Bank Buyer needs an Ongoing Servicing Group for the Seller in order to service the Sell.

Pools - Servicing Group for a pool member is set to the ongoing Servicing Group assigned to the pool member's primary circle. It **cannot be changed for pooled primaries**, but may be **changed to another Servicing Group** at the **same location for pooled assignments**. It can never be deleted.

Broker Transactions - **Same** Servicing Group rules as other Assignments and Participations except no position checking is ever performed for Broker Participations and is performed for Brokers Assignments only when Host Bank is Agent.

Note: At both “Send to Settlement Approval” and Circle Close, system checks that the location of any Ongoing Servicing Group is the same as the location of the circle (specifically, the lender’s servicing location or, if the lender is our counter-party, the lender’s buying/selling location).

Also, when choosing a new Ongoing or Closing Servicing Group for a circle, the previous Ongoing or Closing Servicing Group is **removed**, even if it is at a different location.

Note: Deal Servicing Group Change does NOT change the circle location.

Available from Release 7.3.1.19 and later, a warning message has been introduced in Loan IQ when a servicing group is updated or a default servicing group is changed for a lender. The warning message informs the user that the servicing group has been locked. The users are asked to save changes made to circle and unlock the servicing group. If the user clicks **Yes**, the changes are saved and the servicing group is unlocked. This unlocked servicing group is made available for other users to progress with their data change actions.

Position Validation Rules - Whether Host Bank is Agent or not, Ongoing Servicing Group position validation is always performed for the Host Bank **seller** of an assignment and the circle cannot close if the sale will make the Host Lender's on-going Servicing Group position negative. In addition, if Host Bank is the Agent, additional validation must be performed for all non-host lenders, to ensure that their On-going Servicing Group's "Contractual Gross Position in the Deal" will not become negative. In other instances (for example, Sub-participations and Participations), the mere presence of a Servicing Group is sufficient, and no balance checking is performed. Also, **no position validation is ever done for Closing Servicing Groups**.

1. When the Host Bank is Agent, validation will be done at circle closing to ensure that any lender's Servicing Group position (for the **On-going Servicing Group** assigned to the circle) does **not become negative**. When Host Bank is **not** the Agent, position checking will be performed only for the Host Lender's contractual position. (Position checking includes the Servicing Group position for the pool members' shares of pooled circles.) Participations are never checked for position. Broker Assignments are checked for position only when Host Bank is the Agent.

This validation is also performed for the On-going Servicing Group Position for non-agent Host Bank primaries and assignments at circle close.

When the host bank is not Agent, the amount of an outside assignment will still be checked (if an assignor was designated), but only against the assignor's contractual amount.

Regardless of whether the host bank is the Agent, the host bank legal entity that is the booking vehicle on the circle will have its **facility position** (in addition to Servicing Group position) validated to ensure that the Host Bank lender's position (net for participations; lesser of contractual and net) does not become negative. This **check will not be done if the transaction is a brokered transaction**.

As per the separately licensed **Allow Change to Processing Area and Servicing Group in Circle** enhancement, available in Patch Release 6.0.08.08, the Servicing Group Selection window is modified to display all the completed locations of a host bank lender when the servicing group purpose is “Closing”. When users select the location and click the “Servicing Groups” button the corresponding serving groups for the location are displayed for selection.

Assigning Servicing Group to Branch

For the first circle buy (or primary) into a branch, the user must specify an ongoing servicing group for the host bank. When the first buy closes, its host bank ongoing servicing group will be assigned to the branches of its portfolio allocations. [There may be only one branch per facility investment, and each facility investment must reference the **same branch**.] However, if a servicing group has already been assigned to a branch but the branch net position is now zero, a circle buy into that branch can change the servicing group assigned to that branch. E.g., servicing group 1 is assigned to branch A, which has a zero net position. A circle buy assigns servicing group 2 to the host bank. Closing the circle buy will cause servicing group 2 to be assigned to branch A.

For sells and buys other than the types of buys referred to in the previous paragraph, the servicing group must be the one currently assigned to the branch or branches of the circle's portfolio allocations. **Since there may be only one host ongoing servicing group per circle, it will not be possible to have different facility investments allocated to different branches.**

Servicing Group Window - Selecting the **Servicing Group** button brings up the *Servicing Group Selection* window. On this window, choose the Lender, Location, and Servicing Group Purpose (Ongoing, Closing, or Transfer Fee). Selecting the **Servicing Groups** button on this window brings up a three-part window:

The first part displays the Alias and name of every Servicing Group defined for this Lender's Booking Location and indicated purpose

The second part displays members (contacts) for the selected Servicing Group.

The third part displays the Remittance Instructions for the Selected Servicing Group.

Note: Remittance Instructions are assigned to a Servicing Group rather than directly to a particular circle, and a Servicing Group may have the same contacts (members) as another Servicing Group (since it may be desired to assign different sets of Remittance Instructions to the two groups). However, the **system will not check that the assigned Contacts and/or Remittance Instructions are, in fact, different** (since this would be time-consuming and complicated). Therefore, it is **possible that multiple Servicing Groups may have the same members (contacts) and the same Remittance Instructions, and the users must be aware of this fact.**

The system-assigned Servicing Group Alias is composed of the first and last initials of each member, separated by slashes, may be modified by the user and must be unique within the lender location. The system-assigned Servicing Group Name is composed of the last names of each member, separated by slashes and must also be unique within the Lender Location. Pressing the 'OK' button assigns the selected Lender Servicing Group to the circle.

Change Host Bank Servicing Group

As per the separately licensed functionality, available in Release 6.0.13.05 and later, the following scenarios occur when the application is licensed for the Delayed Compensation functionality:

1. When a user attempts to make a portfolio allocation for a new pending circle without assigning any servicing group for the host bank (in Contacts tab), the following error message appears:

"No host bank servicing group was found for 'Name of the host bank customer comes here'. For a circle with delayed compensation, a host bank servicing group must be assigned before portfolio allocations are created".

2. After making the portfolio allocation, when a user attempts to change the current host bank servicing group to a different servicing group, the following error message appears:

"The selected host bank servicing group is not valid. For a circle with delayed compensation, the servicing group of portfolio allocations and host bank servicing group must be same".

3. When a user saves the portfolio allocation with a different or invalid servicing group (if the assigned servicing group is different from the servicing group in the Contacts tab) for the host bank, the following error message appears:

"The current host bank servicing group is not valid. For a circle with delayed compensation, the servicing group of portfolio allocations and host bank servicing group must be same".

4. When circles are created containing different servicing groups in the portfolios and in the Contacts tab, or when a user attempts to change the portfolio allocations with different branch (or branch servicing group), the following error message appears:

"The current host bank servicing group is not valid. For a circle with delayed compensation, the branch of portfolio allocations and host bank servicing group's branch must be same".

Personnel Tab

Personnel tab applies only to **Distribution Circles**.

Attribute	Req/Opt	Size/Format	Rules
Sales Personnel/Traders	Required	List Box	Multiple personnel selections can be made for this circle. Defaults to user creating the circle. Normally, personnel can be added/changed only prior to circle approval and after circle close. However, if user is granted "Change Sales Credit After Approval" authority, sales personnel and/or sales credit may be changed after circle approval. At least one personnel selection must be made in order to send a Distribution circle to approval. Only active sales personnel/traders in the proper bank can be assigned to a circle. Note: Default Trader functionality is separately licensed and allows the Trader to default when the Portfolio Allocations are completed for a Trade, in the case where the Trader has not yet been selected by the user. When creating a Circle, the Trader Name of the user creating the circle defaults on the Personnel tab, Sales Personnel/Traders section. The Pct Sales Credit defaults to 0.0000. When a Circle is created via Trade Entry, a personnel assignment is created in the Circle Notebook (in the Sales Personnel/Traders section of the Personnel tab) for the Trader Name specified as the selection in the Trader drop-down list, on the Trade Entry window. The Pct Sales Credit defaults to 100.00, but may be modified by the user. In addition to the Default Trader, all Trader Names that are associated with the collection of portfolio allocations for the trade also appear in the Sales Personnel/Traders listbox, and the Pct Sales credit for each defaults to 100.00, but may be modified by the user. If the Risk Book is changed after the portfolio allocations have been completed, the portfolio allocations are reset to zero and the assigned Trader (whether manually entered or defaulted) is removed from the Sales Personnel/Traders listbox .
Percent Sales Credit	Required	Percent	Any percentage equal to or greater than zero and not greater than 100% must be entered for each person receiving credit. Warning is issued if percentage is zero. Total sales credit of all sales personnel involved in a circle has no edits, and may exceed 100%. Defaults to 100%.
Other Deal Personnel	System Generated	List Box	Flow down from deal, and is display only. All deal personnel will be displayed. User may drill down to view personnel details.

Comment Tab

Comments are **optional**, and **multiple** comments may be entered for a given circle. For each comment entered, a Subject is required, along with the comment itself. Author and Date are not entered, but are filled in by the system. **Only the original author and the Loan IQ Security Manager may change and/or delete an existing comment.**

Beginning with Release 6.0.09.02 and forward, the Comments tab or Comment Icon (if using Explorer Mode) are highlighted whenever a comment exists. The comment tab highlight is removed, if the comment is deleted.

Attribute	Req/Opt	Size/Format	Rules
Created On:	Required	System Generated	Date comment was entered.
Created By:	Required	System Generated	Name (first, last) of user who entered the comment.
Modified On:	Required	System Generated	Date comment was last modified.
Modified By:	Required	System Generated	Name (first, last) of user who last changed the comment. Only the original author and the Loan IQ Security Manager can change and/or delete an existing comment.
Subject	Required	40 char	Free-form entry
Comment	Required	256 char	Free-form entry

Codes Tab

Attribute	Req/Opt	Size/Format	Rules
MIS Code Types List Box			Existing MIS Code Types (and their associated values) pertaining to this Circle are listed. Double-clicking on a particular selection brings up a window allowing the user to view/update the selected MIS Code (and associated value).
Add	Optional	Button	Brings up a window allowing the user to add a MIS Code Type (and associated value) to the Circle.
Delete	Optional	Button	User may delete a selected MIS Code Type (and associated value) from the Circle.
Processing Area	System Generated	Display	The processing area of the circle is displayed. Only users who have a processing area that matches the Circle's processing area may perform portfolio allocations, approve the circle for settlement or close the circle. Note: Circle Processing Area is not user-enterable, but is derived from the facilities in which the circle has a share. To enter portfolio allocations, approve for settlement and/or to close the circle, all facilities in which the circle has a share must be in the same processing area. As per the separately licensed Allow Change to Processing Area and Servicing Group in Circle enhancement, available in Patch Release 6.0.08.08, the Circle Processing Area is User updateable. The Circle Processing Area defaults to the Primary Processing Area of the user creating the Circle. Any user with access can change the default Processing Area to any other Processing Area available in the drop down list of values. This functionality applies to all types of Circles other than Primary Circles. Available in Release TBD, the processing area defined for a parent trade is copied to the child trades. This functionality applies to block allocations defined by the system or the user via E-Settlement, APIs or in the Loan IQ application. When a block trade allocation is reallocated, the parent processing area is copied to all child trades. This functionality is available only to clients licensed for Allow Change to Processing Area and Servicing Group in Circle enhancement.

Attribute	Req/Opt	Size/Format	Rules
Trade Settlement Standard	Optional	Drop-down list	User may select a Trade Settlement Type from the drop-down list. The Trade Settlement Standard drop-down list either does not appear or is disabled on the Codes Tab of Primary Circles, Brokered Assignments, Brokered Participations, Internal Trades, Closed Circles. The items available for selection are populated based on those entries defined by the user in the Trade Settlement Number of Days table in Table Maintenance. The Trade Settlement Branch and Portfolio Mapping table in Table Maintenance is used to determine the default value for the Trade Settlement Standard. The value set for the Trade Settlement Standard is initially blank, but when the portfolio allocations are completed, the value of the Trade Settlement Standard defaults as follows: If there is a row (Loan IQ searches the table by the Order column) found on the Trade Settlement Branch and Portfolio Mapping table that matches the Branch of the Circle's Deal, or matches both the Branch of the Circle's Deal and the first Portfolio Code of the Circle, then the value of the corresponding Trade Settlement Standard, as defined on the Trade Settlement Number of Days table will be the default value in the Trade Settlement Standard drop-down list. If there is not a row (Loan IQ searches the table by the Order column) on the Trade Settlement Branch and Portfolio Mapping table that matches the Branch of the Circle's Deal, or both the Branch of the Circle's Deal and the first Portfolio Code of the Circle, then the value of the Trade Settlement Standard will default to blank. The user may change the selection manually. Note the following: The user may manually change the setting of the Trade Settlement Standard at any time and the Target Close Date will be recalculated, provided the circle has been updated. The value of the setting of the Trade Settlement Standard determines the trade settlement number of days that will be used by the system in calculating the Target Close Date ($T + X$; X being the trade settlement number of days that is defined in the Trade Settlement Number of Days table. If the trade settlement number of days does not exist, then the Target Close Date ($T + X$) will be calculated based upon the value set for the either the PRSD (<i>Par Settlement Number of Days</i>) system parameter (which defaults to 10) or the DSSND (<i>Distressed Settlement Number of Days</i>) system parameter (which defaults to 20), whichever applies. Note: The Trade Settlement Standard, Early Days Trades functionality allows calculation of the circle Target Close Date when the trade date occurs on a date that is less than or up to six business dates after the deal close date. The delayed compensation start date is different for these trades and this enhancement supports the automatic calculation of the Target Close Date for these trades. For Early Days Trades, delayed compensation does not accrue until Deal Effective Date + 14. This is separately licensed functionality. If you are a licensed client of the Trade Settlement Standards functionality; Refer to the <i>Loan IQ Trade Settlement Standard Indicator in the Circle Notebook Setup & User Guide</i> for more information.
Early Days Trades	Conditional	Indicator (Check Box)	This is separately licensed functionality. If you are a licensed customer, Refer to the <i>Loan IQ Early Days Trades Setup & User Guide</i> for more information. When checked, indicates the Circle is an Early Days Trade

Circle MIS Code Details

MIS Codes is an option. If defined, the required information has to be **Saved**.

Attribute	Req/Opt	Size/Format	Rules
Selected MIS Code Name	Required	Table: Selected MIS Code Table	Select one MIS Code Type from list of (active) codes. Note: If MIS Code Name contains only one possible value, list defaults to that Name.
MIS Code Value	Required	Table: Selected MIS Code Values or free-form entry	The system will determine whether the MIS Code Value is selected from (active) values in the particular list pertaining to the MIS Code Type, or is entered (free-form) by the user. If selected, choose one value from the list of (active) codes. No Default. Value entered must be numeric, if the Amount Field indicator on the MIS Code table entry has been checked on (set = yes). Notes: If MIS Value drop list contains only one possible value, list defaults to that Value. Users have the ability to search for an MIS Code Value associated with an MIS Code. By entering a portion of the appropriate MIS Code Value in the Value field, the system will display all MIS Code Values that match the character entered in the Value field. For example, if the number 5 is entered in the Value field, then Loan IQ will display all MIS Code Values, which are associated with the selected MIS Code, that begin with the number 5.

Confirm Tab

The Confirms tab is part of **E-Settlement System** functionality, which is separately licensed. Licensed clients Refer to the *E-Settlement* topic in Online Help, and the *Loan IQ E-Settlement System Edit & Validation Rules* for more information. If you are not licensed and would like further information about **E-Settlement** functionality, please contact your Loan IQ Account Manager.

Field Name	Req/Opts	Size/Format	Rules
E-Settlement			
Enabled	Required	Indicator	Designates whether or not the Circle will be sent to the E-Settlement System. This indicator will default to checked (Yes). A Circle is eligible for E-Settlement if all of the following criteria are met: The Loan IQ Customer is linked to an E-Settlement Customer. The Deal is linked to a Deal Closer (via the <i>E-Settlement Mapping View</i> window). The associated Risk Book has the E-Settlement indicator set to Yes (checked). The Circle is an Assignment. As per the Changes to Circle Confirmation Page enhancement, available in 6.0.08.02, the E-Settlement indicator is updateable at all times until the circle has been approved for settlement. It is not protected once the trade is approved. Once the circle is approved for settlement, it is not updateable. If the trade has been sent to the E-Settlement System (TSI), and the indicator is unchecked, the Loan IQ trade is disconnected from the trade at the E-Settlement System and there will no longer be any interaction between the E-Settlement System and Loan IQ

Field Name	Req/Opts	Size/Format	Rules
			with this trade. It will no longer be considered an “E-Settlement Trade”. When the E-Settlement indicator is unchecked, the following occurs: A warning is issued, alerting the user that they are about to change the trade from an E-Settlement Circle to a regular circle and asking if they wish to continue. If “Yes” then the indicator is unchecked and the trade is no longer an E-Settlement trade. An internal notification is sent to a designated group of Loan IQ users [unchecking the E-Settlement indicator is a notifiable event in the Notifications Matrix.] Re-checking the E-Settlement Trade indicator will re-link the circle with the TSI trade provided that a trade exists in TSI with a RID that matched the RID of the circle. A message will be sent, resubmitting the trade to TSI. If the indicator was unchecked when the circle was approved, checking the indicator sends the circle to TSI. Provided that both circles are in the same stage and that no data has been updated on with side, the trades will re-synch. If, however, the E-Settlement Trade has moved to a different status or any pertinent data has been updated in either trade, they will not be in synch and will appear on the Exceptions report. Beginning with Release 6.0.08.08 (Patch) and Release 6.0.10.02 and forward, the following E-Settlement Enhancements functionality applies: Users with update authority are allowed to change the status of the indicator from checked to un-checked and the status of the trade from E-Settlement to non-E-Settlement. Users with inquiry or access denied authority can view the indicator but not change it. Note: This existing functionality is now separate under the E-Settlement Mapping function. Please see the <i>User Profile Application Function Security</i> document for more information. Available in Release TBD and patched to Release 6.0.08.08, the following Markit Clear Trade Settlement Phase 2 functionality applies: Limited E-Settlement functionality is applied to outside assignments for this indicator. Note: Defaulting for Trade settlement standard is supported for outside assignments via the API/Front-End and if the value is passed via the API it overrides the table default.
E-Settlement Status	Optional	Drop-down list	Available in TBD Release 6.0.08.08 (Patch), the following separately licensed Markit Clear Trade Settlement functionality applies: Indicates the current status of the Markit trade. The items available for selection are populated based on those entries defined by the user in the Markit ESettlement Status table in Table Maintenance. Users with update authority are allowed to select statuses. Available in Release TBD and patched to Release 6.0.08.08, the following Markit Clear Trade Settlement Phase 2 functionality applies: Limited E-Settlement functionality is applied to outside assignments for this indicator.

Field Name	Req/Opts	Size/Format	Rules
			Note: Defaulting for Trade settlement standard is supported for outside assignments via the API/Front-End and if the value is passed via the API it overrides the table default.
E-Settlement System	Required	Drop-down list	Displays the E-Settlement System to which the Deal is linked. The user may select an active E-Settlement System that has already been set up in the E-Settlement system. Once the Circle is Approved, the trade information is sent to the E-Settlement system table in Table Maintenance. If there is only one active E-Settlement system defined, it will be the default selection. As per the Enhance E-Settlement to work with Multiple providers enhancement, available in Release 5.4.08.04 a default E-Settlement System may be defined in the Risk Book table in Table Maintenance. If a default E-Settlement System has been defined for a particular Risk Book, then the E-Settlement System drop-down list will default to the selected E-Settlement System for all trades in or out of portfolios housed in that Risk Book. This may be overridden by the user. Note: The E-Settlement System drop-down list is only available in the 5.4.08.04 SP; this functionality does not work in later releases. In 6.0.08.02 (Patch) , 6.0.08.08, and later releases, the default for the E-Settlement System drop-down list is based upon the following logic: When the trade is created, Loan IQ first checks the E-Settlement Systems that are mapped for the Deal, Agent and Counterparties and determines the set of possible E-Settlement Systems. Loan IQ looks at the circle and determines whether the trade is <i>Par</i> or <i>Distressed</i>. Loan IQ looks at the circle's Trade Settlement Standard indicator to determine whether it is <i>LSTA</i> or <i>LMA</i>. Using <i>Par/Distressed</i> and <i>LMA/LSTA</i> values of the circle, Loan IQ determines which of the E-Settlement Systems from step 1 are still eligible based upon the values from the E-Settlement System Ranking table in Table Maintenance. Loan IQ must determine which system fits the criteria (for example, <i>LMA Par</i>, <i>LMA Distressed</i>, <i>LSTA Par</i>, or <i>LSTA Distressed</i>) and if more than one E-Settlement System fits the criteria, Loan IQ looks at the ranking to determine which system will be the default E-Settlement System in the Circle Notebook. If only one E-Settlement System fits and its ranking is not "N/A", then that one will be the default E-Settlement System. If none fit, then the trade cannot be sent for E-Settlement. If more than one E-Settlement System fits, Loan IQ will default the E-Settlement System drop-down list to the one with the best rank value ("1" being the highest). Notes: Until the trade is sent to the E-Settlement service provider, Loan IQ will update the default E-Settlement service provider if any changes are made that can affect the default provider. Once the trade has been sent for E-Settlement, any changes to the circle will not reset the default. Any changes made to the Deal/Customer mapping will not impact the default setting. Only those changes done to the circle that can change the distressed indicator or the trade settlement standard will change the default.

Field Name	Req/Opts	Size/Format	Rules
			The default E-Settlement System cannot default until after the portfolio allocations are completed and saved, unless the user manually selects it. Once Loan IQ has selected the E-Settlement System default, if the user selects another E-Settlement provider, and chooses to send the trade, Loan IQ will only validate whether the selected provider is mapped to a Deal and Customer. Available in Release 7.2.4 and Release 6.0.13.05 the following Markit Clear Trade Settlement Phase 2 functionality applies: Limited E-Settlement functionality is applied to outside assignments for this indicator. Note: Defaulting for Trade settlement standard is supported for outside assignments via the API/Front-End and if the value is passed via the API it overrides the table default. Available in Release 6.0.13.05, Loan IQ now supports ISIN and LOANX for Markit Clear Trade Settlement Incoming messages processing. This enhancement supports ISIN and LOANX (as a MIS Code) in addition to the Facility CUSIP for validating facilities during the processing of Markit Trade Settlement incoming messages. The value of ISIN can be used for additional lookup in the similar way in which CUSIP id is currently used. The CUSIP is checked first and if it is not found then it will look for the ISIN. The value of LOANX can be used for additional lookup in the similar way in which CUSIP id is currently used. The CUSIP is checked first and if it is not found then it will look for the ISIN. If the ISIN is not found, then it looks for the LOANX. There can be any combination of (CUSIP, ISIN, LOANX) on the Facility in Loan IQ and the message from Message Director can contain any combination of (CUSIP, ISIN, LOANX) as well since the schema allows for multiple identifiers.
Submission Log	Optional	Button	Allows the user to view status information (Processed Timestamp, Status, and Failure Reason) regarding Trade status (<i>Trade Created Successfully</i> or <i>Trade Creation Failed</i>) that has been sent to the E-Settlement System. Once the Circle is Approved, the trade information is automatically sent to the E-Settlement System. Beginning with Release 6.0.10.02 and forward, the following E-Settlement Enhancements functionality applies: Users with update or inquiry authority can view the submission log. Users with access denied cannot view the log. Note: This existing functionality is now separate under the E-Settlement Mapping function. Please see the <i>User Profile Application Function Security</i> document for more information.
Assignment Fee Decision	Required	Drop-down	Displays the method in which the Assignment Recordation Fee will be paid on the confirmation. The Assignment Fee Decision defaults to <i>Split</i> but may be modified by the user. The selection of the Assignment Fee Decision made on the Trade Entry window or Circle Select window flows down to the Assignment Fee Decision field in the Circle Notebook. As per the Changes to Circle Confirmation Page enhancement, available in Release 6.0.08.02, the following functionality is provided:

Field Name	Req/Opts	Size/Format	Rules
			The Assignment Fee Decision drop-down list is updateable at all times until the Circle is sent for settlement approval. Whenever this value is changed, an automatic resend to TSI will be triggered. The status of the circle does not change when this value is updated. This value can be updated in the Loan IQ circle at any time prior to the circle being sent to settlement approval. Loan IQ no longer accept values from the E-Settlement System for this attribute – it is only updateable via the Circle Notebook. The value for the Assignment Fee Decision is included on the mismatch reason for the Exception Reports so that if there is a mismatch in the Assignment Fee Decisions value between a trade in Loan IQ and a trade in the E-Settlement System, then this will appear on the Exception Report. Mismatch reasons are the following: Counterparty (CTPY), Amount (AMT), Trade Date (TRDT), Price (PRICE), Assignment Fee Decisions (AFD). Beginning with Release 6.0.10.02 and forward, the following E-Settlement Enhancements functionality applies: Users with update authority are allowed to change the value of the fee decision. Users with inquiry or access denied authority can view the fee decision but not change it. Note: This existing functionality is now separate under the E-Settlement Mapping function. Please see the <i>User Profile Application Function Security</i> document for more information. Available in Release 6.0.13.05 and Release 7.2.4, the following separately licensed Markit Clear Trade Settlement functionality applies: The values Remitted By the Seller and Remitted By the Buyer are added to the list. If the circle is sell, the default value will be remitted by the seller. If the circle is buy, the default value will be remitted by the buyer.
E-Settlement TradeID	System Generated	Display	The E-Settlement System application sends an E-Settlement System Internal ID the first time Loan IQ sends a create E-Settlement Trade message. Loan IQ receives the E-Settlement System ID immediately, and it appears in the E-Settlement TradeID field on the Confirm Tab of the Circle Notebook, provided that the trade has been created successfully in the E-Settlement System application. Loan IQ sends back this E-Settlement System TradeID to the E-Settlement System so that the trades in the E-Settlement System may be found easily. The E-Settlement TradeID is sent in the following scenarios: A new Loan IQ trade creation message for a Loan IQ Parent Trade is created. New Loan IQ trade creation for a Loan IQ child trade (Loan IQ Parent is created and cancelled after a child trade is created. That Loan IQ child trade is sent to the E-Settlement system. A Loan IQ parent trade is successfully sent to the E-Settlement System The E-Settlement System creates child trades (two or more) and sends that data to Loan IQ via a SUBAL message with the E-Settlement System Internal Trade ID's (one ID for each child trade). Loan IQ accepts the SUBAL message, stores the E-Settlement System Internal ID's, creates child trades, and sends the E-Settlement System new Loan IQ Circle RID's/Trade ID and the E-Settlement System Internal ID's. Available in Release 6.0.13.05 and Release 7.2.4 the following Markit Clear Trade Settlement Phase 2 functionality applies: Limited E-Settlement functionality is applied to outside assignments for this indicator.

Field Name	Req/Opts	Size/Format	Rules
			Note: Defaulting for Trade settlement standard is supported for outside assignments via the API/Front-End and if the value is passed via the API it overrides the table default
Assignment Fee Remitted By	Required	Drop-down	Available in Release 6.0.13.05 and Release 7.2.4,, the following separately licensed Markit Clear Trade Settlement functionality applies: The Assignment Fee Remitted By drop down list provides the "Remitted By the Seller" and "Remitted By the Buyer" values from the Front Office Assignment Fee Decisions code table. If the circle is sell, the default value is remitted by the seller. If the circle is buy, the default value is remitted by the buyer.
Modify E-Settlement Trade ID	Optional	Button	Available in Release 6.0.13.05 and Release 7.2.4,, the following Markit Clear Trade Settlement Phase 2 functionality applies: Users with update access can modify the E-Settlement Trade ID on all circles that are E-Settlement enabled, including outside assignment. Note: This functionality is separate under the E-Settlement Mapping function. Please see the <i>User Profile Application Function</i> help for more information.
Non-Recurring Fee Benefactor	Optional	Drop-down	Available in Release TBD and patched to Release 6.0.08.08, the following Markit Clear Trade Settlement Phase 2 functionality applies: Added for Trade Inception outbound message and is captured at the trade level. Users can select Buyer or Seller from the list.
E-Settlement CustID	System Generated	Display	Beginning with Release 6.0.08.08 (Patch) and Release 6.0.10.02 and forward, the following E-Settlement Enhancements functionality applies: As part of this enhancement, Loan IQ uses the parent counterparty if the child counterparty is not mapped and child trades are created, reducing block allocation failures. The system parameter UPCNM, (<i>Use Parent counterparty if child counterparty is not mapped</i>), must be set to "Y" for the branch. Please see the <i>Loan IQ E-Settlement System Setup Guide</i> for more information on the system parameter. If a child trade is created using the parent as the counterparty, then the E-Settlement Customer Id is displayed.
E-Settlement CustName	System Generated	Display	Beginning with Release 6.0.08.08 (Patch) and Release 6.0.10.02 and forward, the following E-Settlement Enhancements functionality applies: As part of this enhancement, Loan IQ uses the parent counterparty if the child counterparty is not mapped and child trades are created, reducing block allocation failures. The system parameter UPCNM, (<i>Use Parent counterparty if child counterparty is not mapped</i>), must be set to "Y" for the branch. Please see the <i>Loan IQ E-Settlement System Setup Guide</i> for more information on the system parameter. If a child trade is created using the parent as the counterparty, then the E-Settlement Customer Name is displayed.
Other Terms of Trade	Required	Free form text Added Standard OTT section	Displays the Other Terms of Trade information as setup in the Other Terms of Trade table in Table Maintenance but may be changed as necessary. Note: When creating a Circle with an amount of zero, the Other Terms of Trade box defaults to blank. If the amount is greater

Field Name	Req/Opts	Size/Format	Rules
			than zero, then the applicable free form text defaults in the Other Terms of Trade box. The following rules apply for Circles that contain both Revolver and Term facilities: If the entire Circle amount is allocated to the Revolver facility (or facilities), then all Other Terms of Trade information that are marked as <i>Applies to Revolvers</i> in the Other Terms of Trade table appears on the Other Terms of Trade section. If the entire Circle amount is allocated to the Term facility (or facilities), then all Other Terms of Trade information that are marked as <i>Applies to Term</i> in the Other Terms of Trade table appears on the Other Terms of Trade section. If the Circle amount is allocated to both Revolver and Term facilities, then the only information that appears on the Confirm tab is the Other Terms of Trade information that is marked as <i>Applies to Revolvers</i>. Refer to the <i>Loan IQ E-Settlement System Setup Guide</i> and the <i>Loan IQ Table Maintenance II (J – Z) Edit & Validation Rules</i> for more information regarding the Other Terms of Trade table. Available in Release 6.0.13.05 and Release 7.2.4,, the following separately licensed Markit Clear Trade Settlement functionality applies: The Other Terms of Trade table is changed from updateable to NOT updateable. Loan IQ pre-defines all the OTT rules and associated values in the table. Based on the indicators setup on the table, the rules and associated values flow to circle notebook. This change affects all the e-settlement systems, Markit Clear, Clear Par and TSI. Other Terms of Trade now contains two sections, Standard OTT and Free-form OTT. The rules for the standard OTT continue to flow from the Other Terms of Trade table in Table maintenance. A check box is added next to each of the standard OTT rules on the confirm page. The default value for the check box is checked. Users have the ability to check or uncheck particular standard OTT rules. If a standard OTT rule is checked, this rule is sent to Markit. If a standard OTT rule is unchecked, this rule is not sent to Markit. In addition, the content of the standard OTT rule on the confirm page is not updateable. If there is a rule that is not predefined in the Other Terms of Trade table, users have the ability to enter additional rules in the Free-form section. This section allows 4,000 characters. Free-form OTT rules and associated values are sent to Markit but do not need to be matched in Markit.
Reset to Default	Optional	Button	Resets the Other Terms of Trade information back to the default information as set in the Other Terms of Trade table.
Closer – Displays the Deal Closer information Available in Release TBD and patched to Release 6.0.08.08, the following Markit Clear Trade Settlement Phase 2 functionality applies: Limited E-Settlement functionality is applied to outside assignments for this indicator. Note: Defaulting for Trade settlement standard is supported for outside assignments via the API/Front-End and if the value is passed via the API it overrides the table default.			
Name	System Generated	Display	If the Deal associated with the Circle is designated as an E-Settlement Deal, the Deal Closer's name will appear in the Closer

Field Name	Req/Opts	Size/Format	Rules
			section at the bottom of the Confirm tab. The Name flows down from the <i>E-Settlement Mapping View</i> window.
Email	System Generated	Display	If the Deal associated with the Circle is designated as an E-Settlement System Deal, the Deal Closer's E-mail Address will appear in the Closer section at the bottom of the Confirm tab. The E-mail Address flows down from the <i>E-Settlement Mapping View</i> window.

Circle – File Menu

Save As

The **Save As** option is available to users who have circle creation authority. The circle selected as the source must be an **origination** or **distribution primary** whose status is *Pending, Awaiting Approval* or *Approved*. **Save as** creates a new pending origination or distribution primary for the **same deal**, preserving some fields from the existing primary and defaulting the remaining ones to their standard initial values.

Choosing **Save As** brings up a window requiring the user to select the new Lender Name, new Lender Location, and, if applicable, new Risk Book. The user can choose to see a complete list of customers with lender profiles, presented by short name (default search method) or by alternate search methods, or can type in a portion of the search criteria and choose a lender from the list presented. Lender/Location combination chosen must be different from the Lender/Location on the existing (source) primary. (Two primaries may exist for the same Lender, as long as they have different Lender Locations).

The Lender Location will default if only one complete location exists for the selected lender. Only completed locations will be available for selection as the Booking Location.

Once the Lender, Booking Location and Risk Book have been chosen, the Circle Notebook appears, initialized with all the deal-related fields (flow down from deal), and all the standard default values with the exception of the following fields, which are taken from the source primary:

Buy/Sell Indicator

Circle Type

Transaction Type

Lender's Amount of the Deal

Facility Investment Amounts

HLT Indicator

Advice Type

Open Contra Circle

Applicable only to Internal Circles. Creating an Internal Circle always creates both a "Buy" and a "Sell" side, and when the Circle Notebook is open for one side, selection of the Open Contra Circle" option will open the Circle Notebook for the other ("contra") side of the transaction.

Circle – Options Menu

Circle Options that update the circle create **events**, and each event will carry both an actual Create Date and an Effective Date. In order to perform Options that update the circle, the "Update" Option must be selected first. **The Create Date, and in most cases, the Effective Date of an event may never be changed.**

The following are accessible to users from the "Options" menu:

- Update
- Inquiry
- Circle
- Generate Confirmation Letter
- Confirmation Letter Received
- Send Notification
- Change Share Prior to Close
- Default Portfolio Allocations
- Verify Buy/Sell Price

Update

When the Circle Notebook is initialized for an existing circle, all information is "display only." Choosing the "Update" Option switches the user from "Inquiry Mode" to "Update Mode," locking the record and allowing the user to modify/update selected circle information, as applicable. All other Options on the Option pull-down menu that update the circle and that are available to the user are now unprotected and may be selected. Only users who are authorized to update the circle in its present state may choose the "Update" Option. **Three** possibilities exist: **"Update Pending Only," "Update Open Only" and "Update Closed Only."**

Informational message is issued if user attempts to open the Circle Notebook in Update Mode while the Facility Notebook is open. Message indicated that the Circle Notebook can only be opened in Inquiry Mode (since the Facility Notebook is open).

Error message is issued if user attempts to switch an open Circle Notebook from Inquiry into Update Mode while the Facility Notebook is open.

Putting a circle into Update Mode locks only time regions of the facilities affected by the circle. In addition, whenever portfolio allocations are created or updated, the time regions of the facilities affected by the circle are locked.

Inquiry

This Option is always available to switch the user out of "Update Mode," and returns the Circle to "display only."

Circle

1. "Circled" Option is available to Circles in "Pending" or "Awaiting approval" status that have not been circled already. It sets the "Circled" Amount to the Current Amount and sets the **Circled/Legal Trade Date, but does not change the circle status**. Circled/Legal Trade Date must be a valid business day, cannot be greater than today, and defaults to the current date (or to the **previous** business day, if today is not a business day), but may be changed at any time, **by anyone with circling authority**, to reflect a different effective date (either when the event is created, or subsequently by drilling down on the event and entering another valid date). Changing the Circled/Legal Trade effective date will appear as an individual event.

2. When circling an external, Host Bank Assignment or Participation (exclusive of Broker Trades and/or Participation Transfers), a **Confirmation Letter document** is automatically created in Document Tracking. (Similar to Assignment and Participation Agreement Documents, the Confirmation Letter document can be created only through the Circle Notebook, not through Doc Tracking directly.)
3. If an Origination Primary has not been circled, selection of the "Confirmation Letter Received" option in the Circle Notebook will set the Circled/Legal Trade Date and Amount, and will create two (2) events: The Circled event and the Confirmation Letter Received event.
4. When an Origination Primary that has never been circled is automatically closed (as a by-product of the Deal Close process), system will set the Circled/Legal Trade Date and Amount and will create two (2) events: The circled event and the closed event.
5. If a circle is approved without having been circled, the Approval Option will set the Circled/Legal Trade Date and Amount, and will create two (2) events: The Circled event and the Approval event.
6. Target Close Date is set by the Circle action to be 14 **calendar** days after Circled/Legal Trade Date or Deal Closed Date, whichever is later, and cannot be overridden. **Warning** (previously an error) will be issued if a non-business day. Date is validated against the Calendar associated with the **branch of the deal**. If circle is created prior to deal close, Target Close Date will not appear. Not applicable to primaries.
7. Circle Workflow item will appear for any Non-Host Bank Origination or Distribution primary that has not been circled in a Host Bank agented deal.

Generate Confirmation Letter

1. The "Generate Confirmation Letter" option is available only to external **non-pooled** Host Bank Assignments and Participations that have already been circled. Selecting this option will cause a file of data for the confirmation letter to be saved. (A dialog box for designating the file name appears). This data may then be merged into a Microsoft Word template for the LSTA ("Loan Syndication and Trading Association") Par Trade or Distressed Trade Confirmation Letter or for the LMA ("Loan Market Association") Par Trade or Distressed Trade Confirmation Letter. The choice of template is up to the user when selecting a template for the merge in MS Word.
2. **Note:** In the data file, double quotes (") are used to enclose any data which contains within it carriage returns or tabs. This enables the data to be successfully merged. These quotes do not show up in the merged file.
3. In order for a "Deal Closer" to be included in the LSTA or LMA Par Trade or Distressed Trade Confirmation Letter, an Loan IQ User with the Job Function of "**Compliance Person**" or "**Compliance Manger**" defined in their User Profile **must** be included in the Personnel List on the Personnel Page in the Deal Notebook.
4. A "Confirmation Letter Issued" event is recorded and the Event Comment notes the date and the name of the saved data file.
5. In order for this procedure to work, the parameters for Microsoft Word must be correct in the LS2APP.INI File (Word) and the document path must be correct. This path must contain the following files: **distressedtrade.doc, partrade.doc, lmaptrade.doc, lmadtrade.doc**, and the header file **LSTA&LMAConfirmHeader.doc**.
6. To Generate a Par Trade or Distressed Trade Confirmation Letter, Refer to the Quick Reference Card *LSTA&LMA Confirmation Letter Quick Reference Card*, available on the Loan IQ Support Site (under the Business – Trade Confirms link).
7. The Trade Confirmation Letter can be automatically generated by setting the Auto Merge Documents indicator to Yes in the LS2APP.INI File (Trade Confirms). Refer to the *Auto Generate Confirmation Letter* section below for more information.

Certain Items must be noted in the templates for the LMA letters:

Note: Beginning with Release 5.5 and forward, the following functionality applies. Both Addressee and Addressor emails are included on the Header of both the LSTA/LMA confirmation letters.

Under credit agreement details:

- 'Facility' in the template means the Deal in Loan IQ.
- 'Date' in the template means the deal agreement date in Loan IQ.
- 'Facility Amount' in the template means the deal amount in Loan IQ.

Under Details of Traded Portion:

- 'Contractual Margin' means the spread on all the pricing option in all the loan IQ facilities being traded by the circle. If there is matrix pricing, the spread for the options for the matrix level currently in effect will be used.
- 'Recurring Fees' means the ongoing fees for the loan IQ deal and all its facilities being traded by the circle. If there is matrix pricing, the ongoing fees for the matrix level currently in effect will be used.

Under Traded Portion of Commitment:

- 'Amount' in the par template is the total amount of the circle.
- 'Drawn' in the par template is the total amount being funded by the purchaser in the currency of the deal. Thus, if the letter is generated prior to freezing funding decisions, it will use the default proRata share.
- 'Undrawn' is the difference between the total amount of the circle and the total drawn (i.e., funded).
- 'Traded portion commitment drawn' in the distressed template is the amount being funded by the purchaser by facility, in the currency of the facility.

Note: Although the sample-distressed template indicates a percent calculated as utilized/facility commitment, it has been determined that this is not necessary; the drawn (i.e., funded) amount by facility is sufficient.

Under Pricing:

- 'Upfront Fee' in the par template is the same as upfront fee in the LSTA template (i.e., the total discount/premium - upfront fees included in price plus discount/premium entered. This is the total for the circle, in the currency of the deal.
- 'Traded Margin' in the template is par (100%) minus any skim.

Auto Generate Confirmation Letter

The **Generate Confirmation Letter** option is available only to external non-pooled Host Bank Assignments and Participations that have already been circled.

The confirmation maybe created manually or automatically, depending on the Trade Confirms settings made in the LS2APP.INI file. If the **Auto Merge Documents** indicator is set to Yes, in the LS2APP.INI File (Trade Confirms), then selecting the **Generate Confirmation Letter** option brings up the *Create Trade Confirm* window.

Create Trade Confirm Window

Attribute	Req/Opt	Size/Format	Rules
Template	Optional	Button	Opens the <i>File Selection</i> window. Allows the user to select an appropriate confirmation template.
Template file	System Generated		Displays the confirmation template file and path. Defaults the appropriate template based on the value set for Par/Distressed indicator in the Circle Notebook.

Attribute	Req/Opt	Size/Format	Rules
New Confirm	Optional	Button	Opens the <i>File Selection</i> window. Allows the user to save the confirmation letter with a different name and/or to a different file location.
Confirmation Letter file	System Generated		Displays the name and file path of the confirmation letter.
OK	Conditional	Button	Creates the confirmation letter.
Cancel	Conditional	Button	Cancels the creation of the confirmation letter and closes the <i>File Selection</i> window.

If the **Auto Merge Documents** indicator is set to *No*, in the LS2APP.INI File (Trade Confirms), then the confirmation letter must be generated manually. Refer to the Quick Reference Card *LSTA&LMA Confirmation Letter Quick Reference Card*, available on the Loan IQ Support Site (under the Business – Trade Confirms link) for information on creating confirmation letters manually.

Confirmation Letter Received

The **Confirmation Letter Received** option cannot be selected unless the circle has a Buy/Sell amount greater than zero. Receipt of the Confirmation Letter will **circle** an Origination Primary that has not already been circled. No other circle Option affects the Confirmation Letter Received information. **Receipt of Confirmation Letter is not required to close a circle, and is not allowed unless Circle Buy/Sell amount is greater than zero.**

Note: As per the Enhance Zero Value Trades enhancement available in Release 6.0.08.05 (Patch also for 08.02), the following functionality applies:

Loan IQ now allows Confirmation Received events to be generated for Zero Value trades.

The *Confirmation Letter Received* event may be recorded at any time (even after a circle is closed). It will default to the current date, but may be changed at any time to reflect an earlier effective date (either when the event is created, or subsequently by drilling down on the event and entering another valid date). Effective Date is validated against Holiday Calendars associated with branch of the deal. A **Warning** is issued if Effective Date is a non-business day. Changing the Confirmation Letter Received effective date will appear as an individual event.

When a Confirmation Letter is marked as received in the Circle Notebook, the Confirmation Letter **Document** in Doc Tracking, if there is one, is also marked as received (if it has not already been so marked). Conversely, marking a Confirmation Letter Document as *received* in Doc Tracking updates the Circle's Confirmation Letter Received information.

Confirmation Letter generated by circle includes a deal level total discount amount paid to the buyer, which is calculated properly (using the correct FX Rate) for circles in multi-currency deals.

Confirmation Letter Window

Attribute	Req/Opt	Size/Format	Rules
Date Received	Required	Date	Defaults to the current business date, but may be changed at any time to reflect an earlier effective date. Effective Date is validated against Holiday Calendars associated with branch of the deal. A Warning is issued if Effective Date is a non-business day. Changing the Confirmation Letter Received effective date will appear as an individual event.
Time	Optional		Allows the user to enter the time the Confirmation Letter was received.

Notes:

If the **Trade Confirmation Letter Received** date is before the circled legal/ trade date (**Trade date**), then the warning message *"The trade confirmation date<> is earlier than circled /Legal trade date<> ". Do you wish to continue?"* appears. User can choose **Yes** to continue.

If the **Circled/Legal trade date** is updated in such way that the updated date is after **Confirmation Letter Received date**, then the warning message *"The circled /Legal trade date<> is later than trade confirmation date<>. Do you wish to continue?"* appears. User can choose **Yes** to continue.

If the trade **Confirmation Letter Received Date** is after the **Expected Close Date**, then the warning message *"Trade confirmation received letter date<> is later to Trade Close date. Do you wish to continue?"* appears. User can choose **Yes** to continue.

If the **Expected Close Date** is updated in such a way that the date is prior to **Confirmation Letter Received Date**, then the warning message *"Expected closing date<> is earlier than Trade Confirmation letter received date<>. Ignore error and continue?"* appears. User can choose **Yes** to continue.

Generate TSI XML File

This command will only be available for licensed users of the TSI API functionality. These users can select this command to create a single XML file containing Trade Confirmation, Funding Memo, and Credit Agreement information for uploading to the Trade Settlement Inc. (TSI) system, facilitating the Secondary Loan Trading settlement process. This command is also available from the **Options** menu of the *Funding Decision* window.

Note: If the Circle has a status of *Awaiting Settlement Approval* or *Open/Approved for Settlement* the TSI XML file can only be created from the Options menu of the *Funding Decisions* window.

For more information, licensed users may refer to the *TSI API Guide* on the Loan IQ Support Site. Non-licensed users interested in learning more about this functionality must contact their Loan IQ Account Manager for more information.

Available as a patch to TBD Release 6.0.08.08, the following separately licensed, Markit Clear Trade Settlement functionality applies.

This option is protected if the trade is a Markit trade for both circle buys and sells.

Send Trade to E-Settlement System

Sends the trade to the selected E-Settlement system. This option can be selected multiple times as long as the Circle has not been sent to settlement approval. Once the trade information has been sent to the E-Settlement System, the information on the Confirm tab cannot be edited.

The **Send Trade to E-Settlement System** menu option is part of **TSI** functionality, which is separately licensed. Licensed clients Refer to the *Loan IQ TSI Link Setup Guide*, the *Loan IQ TSI Link User Guide*, and the *Loan IQ TSI Link Edit & Validation Rules* for more information. If you are not licensed and would like further information about **TSI** functionality, please contact your Loan IQ Account Manager.

Available as a patch to TBD Release 6.0.08.08, the following separately licensed, Markit Clear Trade Settlement functionality applies.

Selection of this option sends the trade to the E-Settlement system manually and can be selected multiple times as long as the circle has not been sent to settlement approval for both circle buys and sells. When this menu is manually selected Loan IQ creates an event and a trigger.

Note: Event Management has to be setup to initiate the appropriate (Inception or Update) message to the E-Settlement system. For more information, licensed users may refer to the Event Management help on creating events and triggers. Non-licensed users interested in learning more about this functionality must contact their Loan IQ Account Manager for more information.

All mandatory fields must be entered in a trade before it can be sent to Markit. Any changes to the mandatory fields after a trade inception is successfully sent to Markit, triggers the trade amendment message.

- Message Type (title of the message, not a field)
- Trade Date
- Trade Id
- Buyer (MEI)
- Seller (MEI)
- Transfer Party (MEI): party buy into / sell into
- Deal CUSIP
- Total Quantity (Trade Amount)
- Form of Purchase (Assignment, participation, risk participation)

- Market Value (LSTA, LMA)
- Accrual Treatment (Interest Fee Treatment)
- Assignment Fee Paid by (assignment fee decision)
- Assignment Fee remitted by (assignment fee decision)
- Doc Type (Par, Distressed)
- Facility CUSIP
- Trade Type (primary, secondary trade)
- Voting Right (mandatory only if trade is participation)
- Collateral Treatment (mandatory only if trade is participation)

The list of Events and corresponding messages that get triggered are:

- Trade Sent to E-Settlement System (ESSTS) : message tradeInception
- Trade Updates Sent to E-Settlement System(ESSTU) : message tradeAmendment
- Trade Cancelled in E-Settlement System (ESSCA) : message tradeCancel
- E-Settlement System Changed (ESSCH) : message tradeRemove

Trade Messages Interaction Loan IQ - Markit

All trade messages must be processed in sequence.

- Outbound message - Loan IQ sends the trade messages to Markit Clear
- Inbound message - Loan IQ receives the trade messages from Markit Clear

Trade Inception message - Outbound

The initial trade is automatically sent to Markit upon approval of the circle if all criteria are met. Criteria are as follows:

- Deal is mapped to be eligible for e-settlement trade
- All mandatory fields are entered on the trade
- Trade is Markit trade. (E-settlement indicator is checked and E-settlement system is selected as 'Markit Clear' in the circle notebook)
- MEI is entered for Buyer, Seller and Agent (MEI sends to Markit and each bank is responsible for entering correct MEI)
- Facility CUSIP# is entered at the facility level (Facility CUSIP sends to Markit and each bank is responsible for entering correct CUSIP #)

Event Management checks these validations upon approval of a trade. If one of the criteria is not entered/setup properly, event management stops processing the trade and an error message "Trade inception message cannot be sent to Markit <Buyer MEI is missing>" is displayed.

Loan IQ sends the trade inception message to Markit when trade is sent to Markit. If the trade inception message is not sent to Markit, none of the other trade messages are sent. After the trade is resent to Markit, Loan IQ resends the trade inception message to Markit. Once a trade inception message is sent to Markit successfully, Loan IQ only sends the "Trade Amendment" messages to Markit thereafter.

After a trade is successfully sent to Markit, the E-Settlement status of the trade displays "Pending" on the confirm page of the circle notebook.

Trade Match message - Inbound

After a trade is matched in Markit, Markit sends a trade match message to Loan IQ. The e-settlement status of the trade is changed to 'Matched' on the confirm page of the circle notebook.

New event 'Trade is matched' and 'Confirmation letter received' are created in Loan IQ. Drilling down to this event retrieves the exact trade messages Loan IQ receives from Markit.

After the trade is matched in Markit, the Markit trade identifier is populated in the E-settlement TradeID field on the confirm page in the circle notebook. Markit trade Identifier is displayed in the trade match event comment. The Markit Trade Id is 15-25 characters, alphanumeric. Example of the Markit Trade Id is MC0000000000000012.

After a trade is sub-allocated, the E-Settlement status for all child trades displays 'Matched' on the confirm page of the circle notebook.

Trade Suspend message - Inbound

After a trade is matched, if Loan IQ amends the trade, Loan IQ sends the trade amendment message to Markit. If the other counterparty amends the trade, Markit sends a trade status update notification message to Loan IQ. The E-Settlement status is changed to 'Suspended' on the confirm page in the circle notebook.

New event 'trade is suspended' is created. Drilling down to this event retrieves the exact trade messages Markit sends to Loan IQ.

Trade Remove message - Outbound

Trade is allowed to be removed at the parent trade level or at the individual child trade level.

A trade is considered "Removed" when the trade is changed to non-Markit from Markit trade.

After users change the E-Settlement system in Loan IQ, Loan IQ sends a trade remove message to Markit. The E-Settlement status changes to 'Blank' on the confirm page in the circle notebook.

An event "E-settlement system is changed" and "Trade is removed" is recorded. Drilling down to this event retrieves the exact trade messages Loan IQ sends to Markit.

Once the trade is removed in Loan IQ, all other trade messages are ignored from the Markit thereafter.

If a trade is removed from Markit and assigned to Clear Par, Loan IQ triggers the trade remove message and automatically resends the trade to Clear Par and vice versa. However, if a trade is changed from Markit to E-Settlement other than Clear Par, the user has to manually resend the trade to the selected E-Settlement system.

Trade Cancellation message - Outbound

Cancellation message will be triggered at the master level only.

After a trade is cancelled in Loan IQ, Loan IQ sends the trade cancellation message to Markit. The E-Settlement status of the trade is changed to 'Cancelled' on the confirm page in the circle notebook.

Once the trade is cancelled in Loan IQ, all other trade messages are ignored from the Markit thereafter.

If the trade is sub allocated, after the last child trade is cancelled, Loan IQ sends the trade cancellation message to Markit with the parent trade Id.

If one of the child trades is cancelled, it generates an amendment at the parent level for the remaining amount.

Sub allocation message - Inbound

Sub allocation can be created in Loan IQ or by Markit. If sub allocation is created in Loan IQ, Loan IQ does not send any trade message to Markit. The link between Loan IQ and Markit will be broken. If sub-allocation is created in Markit, Markit sends the trade allocations message to Loan IQ. Loan IQ creates the child trades via trade API based on the allocations message.

Trade Amendment message - Outbound

If a trade is amended in Loan IQ, Loan IQ sends the trade amendment message to Markit. If a trade is amended in Markit, Markit sends a trade status update notification to Loan IQ. The E-Settlement status of the trade is changed to 'Suspended' or 'Matched' based on the Markit message on the confirm page of the circle notebook.

All trade amendment messages are triggered at the master level.

If a trade is sub-allocated and users modify the trade amount, trade price, trade type, trade settlement type, other terms of trade or trade date at an individual child trade in Loan IQ, a warning message is displayed:

“Warning: The trade price is changed at one child trade; all other child trades must be updated. Do you want to continue? Yes or No”.

If the user clicks Yes to the warning message, Loan IQ sends a trade amendment message to Markit. Markit sends a trade status update notification to Loan IQ. The E-Settlement status of each child trade is changed to ‘Suspended’ or ‘Matched’ based on the Markit message on the confirm page in the circle notebook.

After a trade inception is successfully sent to Markit, any changes to the fields Markit used to match trades triggers the trade amendment message.

When users change the customer MEI or facility CUSIP, an event is created on the respective notebook and this event triggers the same trade amend message. Note: Loan IQ writes a new Inquiry API function to get all the Markit trades that are not in closed, cancelled status for the customer or facility then sends trade amend message for each trade.

Users have the ability to view all the failed trades with e-settlement Markit Clear via E-Settlement window - Maintenance tab, to use the Retry functionality via E-Settlement screen to resend a failed trade to Markit, and to view all open trades with e-settlement Markit Clear via E-Settlement window - Open Trade tab.

Note: Loan IQ has a hierarchy model to specify the E-Settlement system. Loan IQ uses the E-Settlement system table ranking to determine which E-Settlement system a trade is designated for. Each bank is responsible for adding Markit Clear to the E-Settlement system table and designating what ranking Markit Clear has as an E-Settlement system. Licensed clients Refer to the Circle, E-Settlement, Setup, Table Maintenance help for more information. If you are not licensed and would like further information about **E-Settlement** functionality, please contact your Loan IQ Account Manager.

Settlement Details

Available in Release TBD and patched to Release 6.0.08.08, the following Markit Clear Trade Settlement Phase 2 functionality applies.

The Settlement Details message is sent to each counterparty by Markit, after a trade is matched in Markit. Settlement Details messages are sent only to counterparties in the trade but not to Agent. This enhancement provides Loan IQ the ability to process the Settlement Details message sent from Markit.

The Settlement Details message contains key pieces of information such as the delayed compensation calculations, scheduled to close date, revised commitment amount, payment amount, remittance instructions and assignment fees.

The message is processed on trades which are approved and are in open status. If the trade status is not approved, Loan IQ does not process the Settlement Details message and fails the message. After successful processing of the message, Loan IQ sets the trade status to Awaiting close.

The Settlement Details message is not processed if there are any exceptions during the validations and while performing trade workflow steps and will sit in an exception queue for manual processing.

If any validations or workflow steps fail, the state of the trade rolls back to its original state (prior to processing the message).

Users can retry the failed message for processing.

An Event “Settlement details message” is written in the trade after processing the trade settlement message on the trade. Each incoming Markit trade settlement message is available to view from the event in the trade. Event comments show the overridden values.

Any value which is overridable in Loan IQ by the values in the settlement details message are configurable. Clients have the choice to whether they want to allow the overrides or fail the message if values do not match.

Loan IQ validates attributes of the settlement message against the trade in Loan IQ before processing in Loan IQ. Some values of Loan IQ are allowed for override by the values which are available in settlement details.

Loan IQ processes and displays this information as follows for the applicable trade:

1. Scheduled to close date is stored in the "Expected Close" date field in Loan IQ and overrides the value on the trade.
2. Revised commitment amount is stored on the trade in Loan IQ. If the commitment amount is different, the message fails.
3. A new field is created in Loan IQ for the Markit Clear delayed compensation amount. The value from Markit is stored in the new field and compared to the Loan IQ delayed compensation value by the user.

Available with Release 7.2.7 with the *Markit Phase 2.1* enhancement, Loan IQ captures the Markit Clear Delayed Compensation Amount at the Cost of Carry and Interest/Fee Level and makes adjustments in Loan IQ at the level of Cost of Carry and Interest/Fee level to match the Markit Clear Delayed Compensation. Cost of Carry is included in the Delayed Compensation calculation as a separate line item and makes adjustments based on the Cost of Carry in Loan IQ versus what is transmitted from Markit Clear. Cost of Carry is displayed in the Delayed Compensation.

4. Assignment fees are stored in the "Event Fees" Assignment Recordation Fee section under a circle. The fees are sent for buyer and seller and are applied respectively. The event fee's tab also takes into account a checkbox that indicates whether a fee is "Paid By Buyer Directly to Agent" or "Paid By Seller Directly to Agent".
5. Remittance instructions coming through the settlement message always creates custom Remittance Instruction on the Circle, even if a Remittance Instruction has been selected by the user or even if a standard Remittance Instruction exists at the Customer servicing group level.
 - o If there is no Remittance Instruction coming through the settlement message, then Loan IQ uses the standard Remittance Instruction available at the Customer servicing group level.
 - o If there is no Remittance Instruction coming through the settlement message and there is no Standard Remittance Instruction in servicing group, then Loan IQ sets Cashflows to None.
6. Cash On Transfer is processed from the settlement details message as follows: "Active" turns on the "Cash On Transfer" tag on the Facilities tab of the circle. "Inactive" and "NotEligible" turn off the indicator.

Descriptions for the Cash On Transfer status:

- Active - Trade is 'turned on' for COT
- Inactive - Trade is 'turned off' for COT
- Not Eligible - Trade does not qualify for COT and is 'turned off'

Delayed Compensation

Loan IQ captures the details of the Markit DC calculation sent in the message and displays this information in the delayed compensation module screen for users to compare the difference of the DC calculation components. The details captured in the DC module from the message are contract, buyer share, days, rate, basis, FX rate, carry rate, delayed comp and accrual. Every time a settlement details message is processed, Loan IQ looks for delayed compensation values in the message (if any) and overrides the Markit delayed compensation values to reflect the new values.

Servicing Groups

Available in Release 7.2.7 with Markit Phase 2.1 enhancements, Loan IQ has been enhanced to use default Servicing Groups on trades based on Buyer/Seller Servicing Group logic.

Buyer/Seller Servicing Group Logic:

Loan IQ uses multi-sorting based on the below attributes to set the default servicing group on the trade by collecting all servicing groups under complete Locations for Customer Lender Profile. Servicing Groups must be sorted in the order listed below:

1. Position in the Facility (greater than zero)
2. Standard Servicing Group
3. Servicing Group total amount in all the facilities being traded
4. Servicing Group Alias

The first Servicing Group will be selected from the list after applying multi-sorting on the above attributes.

System parameter **CSGLT** (Customer Servicing Group Logic on Trades) must be set to Y (Yes).

This enhancement modifies the Inquiry API functionality to include this logic.

Note: A default Servicing Group will not be set on the trade if there are no Servicing Groups under complete Locations and if there are no complete Locations under Customer Lender Profile. A default servicing group will not be set on the trade if there are no complete locations under Customer Lender Profile. Servicing Group will be left blank in these scenarios. For all other scenarios a Servicing Group will be defaulted based on the logic above. **This is important because Servicing Group default logic is required for processing Markit Clear Trade Settlement/ClearPar messages via message director (for example, Settlement details, allocation and close messages).

Remittance Instructions

The Settlement Details message has Remittance instructions details. While processing the Settlement Details message, Loan IQ creates a custom instruction on the trade for the cashflows. If there is no Remittance instructions in the message then Loan IQ looks for the system parameter "Set the Remittance instructions to status None on Markit clear trade ".If the system parameter is set to No, then Loan IQ uses the default Remittance instructions and if the system parameter is set to Yes, then Loan IQ sets the cashflow status to None.

Notes:

- After successful processing of the message, trade is set to "awaiting close" in Loan IQ and status of the incoming settlement details message is set to successful.
- After successful processing of the message, event – 'settlement details message' is written on the trade and displays the incoming Markit settlement details message in the trade. Event comments display the overridden values.
- If the settlement details message is not processed due to Loan IQ validations then it is available in the Exceptions queue with failed status and retry option is available.

Trade Close

Loan IQ automatically processes the Trade Close message (for counterparty) coming from Markit. Loan IQ closes the trade based on the trade close message regardless of the trade status.

Trade close message processing adjusts the delayed compensation amount in Loan IQ to match the delayed compensation amount received in the settlement details message from Markit.

Trade close event displays the incoming Markit trade close message in the trade and event comments display the overridden values.

If the trade is in a closed status and the closed message is received then Loan IQ ignores the message for processing. The message is considered successfully processed. Each message contains information about one trade only. The trade is identified by allocation ID first and if not found by ID then the E-Settlement ID trade ID is used. Failed trade close messages are viewable from the exception queue and users can retry processing the message again.

Note: Retry action changes the status of the message and places the message in the queue for processing.

Loan IQ validates attributes of the trade close message against the trade in Loan IQ before processing in Loan IQ.

Loan IQ automates all the steps for closing a circle utilizing the Markit Clear messages. Loan IQ processes the Settlement Details message to advance the trade to “Awaiting close” status and automatically closes the Markit Clear trade when the Markit Clear trade close message (for agent or counterparty) is received.

Notes:

- After successful processing of the message, trade is closed in Loan IQ and status of the incoming trade close message is set to successful.
- A new event *Delayed Comp. Amount Adjusted by Markit* is available in the trade if the delayed comp. amount is adjusted during the trade close message processing.
- After successful processing of the message, trade close event displays the incoming Markit trade close message in the trade and event comments display the overridden values.
- If the trade is in a closed status and the closed message is received then Loan IQ ignores the message for processing. The message is considered successfully processed.
- If the trade close message is not processed due to Loan IQ validations then it is available in the Exceptions queue with failed status and retry option is available.
- Circles that have the Cash On Transfer check box enabled automatically close the trade.

View E-Settlement System Trade

Allows the user to view the submitted trade via the E-Settlement system’s website.

The **View E-Settlement System Trade** menu option is part of **TSI** functionality, which is separately licensed. Licensed clients Refer to the *Loan IQ TSI Link Setup Guide*, the *Loan IQ TSI Link User Guide*, and the *Loan IQ TSI Link Edit & Validation Rules* for more information. If you are not licensed and would like further information about **TSI** functionality, please contact your Loan IQ Account Manager.

Available as a patch to TBD Release 6.0.08.08, the following separately licensed Markit Clear Trade Settlement functionality applies.

This option is protected if the trade is a Markit trade for both circle buys and sells.

Declare Events

The following functionality is available beginning with Release 6.0.09.02 and forward.

Selection of this option allows users to declare manually created circle events.

Manually entered circle events are optional. To enter, the user chooses a manual circle event type from the drop down list of event titles, an effective date and an optional comment.

Manually entered circle events may be deleted by the user.

Attribute	Req/Opt	Size/Format	Rules
Event	Required	Table: Circle Event Type	Select one Event from list of manual circle Event codes.
Effective Date	Required	Date	Defaults to current business date and may be overridden to any earlier date. Note: The Effective Date of event cannot be greater than the current business date.
Comment	Optional	256 Char	Free form comment may be entered.

Attribute	Req/Opt	Size/Format	Rules
OK	Optional	Button	The manual circle event is added to the Events tab. Returns to the circle Events tab.

For more information, Refer to the *Loan IQ How to Prepare for 2008 User Group Enhancements 600902 SP* document.

Send Notifications

Selection of this Option presents the user with a pop-up dialog allowing the user to create and send a free-form message to any person who has an *Active* or *Notifications Only* (Beginning with Release 5.5 and forward) Loan IQ User Profile. **Initially, the "Send to" list (Notification List) is populated from the list of Deal Personnel assigned to the deal augmented by the list of salespersons and traders.** The user may customize the Notification List before sending the message. The lists of salespersons and traders and personnel assigned to the deal are not changed; only the Notification List is modified, **and only for this particular notification.** If "Send Notifications" is subsequently selected again for this same circle, the Notification List will initially default again as explained above, and may be customized again. However, the customized version is not saved. The subject box is automatically filled in with the deal and lender names, but may be overridden.

Attribute	Req/Opt	Size/Format	Rules
Notification List	Optional	List Box	Displays User ID, Name, Job Function and E-mail ID of all users on the Notification List.
Modify List	Optional	Button	Allows anyone on the list of salespersons and traders or anyone on the Deal Personnel List (person must have an <i>Active</i> or <i>Notification Only</i> (Beginning with Release 5.5 and forward) Loan IQ User Profile) to be added to/removed from the Notification List for this particular message.
Subject	Conditional	40 char	Required if Message text is entered.
Message	Conditional	256 char	Required if Subject is entered. Free form text.
OK	Optional	Button	Sends composed message to all users who are members of the Notification List.

Change Share Prior to Close

This Option must be used to change the amount on any existing circle, prior to close, once an initial circle amount has been entered and saved. It is not available after circle close.

The Option is used to change just the Circled Amount, both the Circled and Current Amounts, or just the Current Amount. User may pro-rate a new aggregate amount, or may enter amounts for selected facilities that must add up to the new aggregate amount. User may enter either the "New Aggregate Amount" or "New Percent of Global," and the system will calculate the value not entered.

If someone who does not have "approval authority" changes the current amount on an approved circle, the circle status reverts to "Awaiting Approval," and availability is affected as per availability rules. If changed by someone with approval authority, the same validation rules that were enforced when the original pool allocations were performed will be reapplied. If the circle had 'source' portfolio allocations that had been used, the sale's portfolio allocations will be adjusted accordingly. If an increase occurs and insufficient approved available exists, so that the portfolio allocations cannot be automatically adjusted by the system, the existing portfolio allocations will be deleted. The user may always make any further portfolio allocation adjustments desired.

When **Change Share Prior to Close** is selected for a Pooled Sale, the edit validations that governed the original pool allocations will be reapplied. A warning is issued if **Change Share Prior to Close** is selected for a Swap or Buyback transaction.

Changing the share(s) of an unclosed circle to zero no longer changes the Buy/Sell price to zero. (However, it is still invalid to try to change the buy/sell price to anything other than zero, if facility investment share is zero).

The following options are available under this Option:

Option 1: Change Circled Amount Only:

Not a selectable option unless transaction has already been circled. Changes Circled Amount only as of the Circled/Legal Trade Date. Will not alter the current amount.

Option 2: Change Circled and Current Amounts:

This is the only option allowed if transaction has not yet been circled. Changes the Current Amount and, if transaction has been circled, also changes the Circled Amount. Effective date is Circled/Legal Trade Date (if one exists) or the current date and cannot be changed. This is the **default** selection for **unapproved** distribution circles.

Option 3: Change Current Amount Only:

Not a selectable option unless transaction has already been circled. Changes the Current Amount as of the **selected date**. Effective date defaults to current date but can be overridden to another earlier date not less than Circled/Legal Trade Date. This is the **default** selection for **approved** distribution circles, and any Origination Circles (primaries and outside assignments).

Notes:

Changing the allocated amount on an approved Buy (or Sale to Qualified Buyer) that affects the trading position will increase (or decrease) the usage, as appropriate.

Share changes adjust Trade Date P&L as appropriate. If the Circle is a Sell and the lender's share of any facility investment is being increased, and the circle has portfolio allocations in a portfolio other than an "In Syndication " portfolio, and that portfolio is amortizing, then the *Select Purpose of Circle Commitment Increase* window appears, and user must choose either "Error Correction (Original WAC)" or "Top-Up after Commitment Reduction (Current WAC)." The portfolio allocations created for the share change will affect P&L based on the Selected WAC (original or current "Weighted Average Cost").

For internal circles, the WAC must be selected even when the share change is being performed for the Buy, since this also causes the sell to increase.

Pooled primaries with Host Bank pool member allocations (and consequent Host Bank outgoing portfolio allocations) are treated like sells for the purpose of selecting either Original or Current WAC.

Notes:

Changing share prior to close on a circle with ongoing fee skims will adjust the circle's fee skims, as appropriate. Also, for circles that amend participations agreements that have interest skims, changing share prior to circle close will properly adjust the interest skims attached to the source agreement.

When reducing a **primary's** share of a facility investment to zero, the facility investment will be deleted from the database if:

The deal is not closed

The facility investment has no portfolio allocations, or its portfolio allocations are allowed to be deleted from the database.

A facility whose facility investments have all been deleted from the database can be subsequently deleted itself.

Notes:

Changing a primary's share of a facility investment to zero does **not** create an event. (Since share change events point to facility investments, there can be no share change event in this situation).

If Sales Targets exist for a Host Bank Circle and the **Circled** Amount is changed via a "Change Share Prior to Close" or a "Change Share After Close" request, the following warning message is displayed: "Changing the host bank circled amount will affect Sales Targets. Review Sales Target information."

Change Share Prior to Close - Enhancement

The enhancement to the **Change Share Prior to Close Option in Circle Notebook** functionality is separately licensed and available in Release 6.0.08.08 (Patch) and Release 6.0.09.08.

The **Change Share Prior to Close Option** functionality in the Circle Notebook has been enhanced to provide the following:

Upon selecting the **Change Share Prior to Close** option in the Circle Notebook, the *Change Share For <>* window opens and the New Amount for each facility is automatically pre-populated with the current amount (i.e., the same amount that is in the Old Amount column).

The ability to be able to amend any price on each facility, all on the *Change Share Prior to Close* window.

When increasing from zero the amount of a facility which currently has a price of zero, the price will automatically be set to the average price of the existing non-zero facilities.

When the **Change Share Prior to Close** option is selected, Loan IQ auto populates all New Amounts for each facility to be equal to their corresponding Old Amounts in the Circle Notebook. You may then selectively change one or more of the pre-populated **New Amount** fields to be a different value as well as amend the price on any Facility item. Highlight and drill down on a Facility and a pop-up window opens, whereby you may enter a **New Amount** and/or **New Price**. Loan IQ recalculates **New Aggregate Amount** and **New Percentage of Global** when a change is entered in the **New Amount** fields.

When a facility for which the old amount and old price are zero has the new amount set to non-zero, the system automatically sets the new price for that facility to the average price (based on the old amounts and old prices). That default new price may then be changed. You must press **OK** on the **New Amount** and **New Price** window to save all the changes. The average price is calculated as follows:

Loan IQ takes all non-zero shares and prices in the circle and multiplies the Old Amount by the Price, and accumulates one at a time, and when complete, divides the accumulated result by the accumulated Old Amount fields. When a new Facility is added, the Price is defaulted to the Average Price of the previous items. If we add more than one facility item, the Price will be defaulted to the same price. The Average price, after calculation based on the Current Amount and Price of the Facility shares prior to any changes being made, is not saved; it is always recalculated.

Refer to the *Loan IQ Enhanced Change Share Prior to Close Option in Circle Notebook User Guide* for more information.

Default Portfolio Allocations

Action is available prior to circle close to Non-Broker Assignments and Participations and Host Bank Primaries, under the following circumstances:

If a circle requires portfolio allocations for only one host vehicle (non-pooled external circles), and that booking vehicle has only one branch, or the circle requires outgoing allocations and only one branch for the deal currently has any portfolio position, then default allocations will be created for that branch as follows, if the following conditions are met:

1. Circle Buy/Sell Amount must be present.
2. Buy/Sell Prices must be present for every facility in which the lender is investing.
3. No Portfolio Allocations have yet been created for this circle.

4. One of the processing areas assigned to the user **matches** the Circle's Processing area. (See "Circle Processing Area" write-up in the Appendix).

When the option is selected, default portfolio allocations will be created **if possible**, as follows:

1. If user's Risk Book has only one portfolio/expense code combination:

Buys - Incoming portfolio allocation is automatically created for this portfolio/expense code combination.

Sells - Outgoing portfolio allocation is automatically created for this portfolio/expense code combination, as long as sufficient position exists to cover the allocation.

If user's Risk Book has more than one portfolio/expense code combination:

Buys - Default allocations cannot be made.

Sells - If the facility is totally allocated to only one portfolio/expense code "bucket," and this portfolio/expense code combination is included in the user's Risk Book, then an outgoing portfolio allocation can be automatically created for this portfolio/expense code combination, as long as sufficient position exists to cover the allocation.

If a circle requires portfolio allocations for more than one host vehicle (pooled circles with pool allocations for more than one host vehicle pool member and internal assignments and participations) or the one host vehicle has multiple branches, selecting "Default Portfolio Allocations" will bring up a screen from which the user must choose the branch for the portfolio allocations. The user must always choose a branch for at least one host vehicle. However, if there are multiple host vehicles involved, the user may select branches for fewer than all the host vehicles (a warning will be displayed). In the latter case, portfolio allocations will, of course, be created only for the host vehicles for which branches were chosen.

For internal trades, the default allocations will always be created for the sell first (if it has a Risk Book), even if default portfolio allocations are selected from the buy. When saving portfolio allocations created for the sell via the portfolio allocations screen, default allocations will be created for the buy if they do not already exist. Warning message will be issued if the default portfolio allocations cannot be created for the buy, so user will know that they were not done.

Branch Selection List - Appears whenever the Branch for a Portfolio Allocation cannot be defaulted. Summary of conditions under which it appears:

1. For all circles, the Branch Selection List will not be displayed if all Host Bank Vehicles for which default portfolio allocations may be created

- a. Have only one Branch

-Or -

- b. Require outgoing portfolio allocations and have only one Branch currently has any portfolio position for the deal.

For Internal Assignments and Participations, if the Branch Selection list is required to be displayed and default portfolio allocations may be made for both sides of the trade, both Host Bank Vehicles will appear in the list. If only one side of the trade qualifies for default allocations, then only its Host Bank Vehicle will appear in the list.

If the Branch Selection List screen must be displayed (because at least one Host Bank Vehicle in the list does not have a default branch), any Host Bank Vehicle in the list that does have a default branch will have that branch automatically filled in by the system before the list is displayed.

Notes:

On Internal Trades, the default allocations for the buy are always created in the same branch as the allocations for the sell.

If the conditions for the creation of default portfolio allocations are not met, none will be created, and the user must perform the required allocation.

Notes: This section applies only to those clients who are licensed for the **Available by Branch & Organization Code** functionality.

The relevant Org Code is derived and displayed on the *Circle Portfolio Allocations* window whenever the allocations are performed for a Host Bank branch. For each Host Bank Portfolio Allocation defined in the Circle, the system derives and displays the relevant Org Code (if one exists), as per the active entries of specific combinations of Risk Book, Portfolio, Branch and Facility Line of Business, set on the **Org Code Mapping** table in **Table Maintenance**. For more information regarding the Org Code Mapping table, Refer to the *Online Help > Table Maintenance*.

Verify Buy/Sell Price

Option is available to all circles in any status, except Broker Transactions and Outside Assignments.

At close, an error is issued and (circle will not be able to close) if Buy/Sell prices are required to close and the Buy/Sell price for any facility in which the lender is investing does not strike to the Upfront Fees/Additional Circle Fees/Discount allocated to that facility.

Selection of this option prior to close allows the user to verify the relationship between the circle's Buy/Sell price(s) and its Upfront Fees/Additional Circle Fees/Discount, prior to attempting to close the circle. However, option may still be selected after circle close.

Option is disabled for Broker Transactions and Outside Assignments. Option may be selected in the other situations where Buy/Sell prices are not required to close:

- Non-Host Bank Primary when the Host Bank is not the Agent.

However, if the Buy/Sell prices are not present when the "Verify" option is selected, an informative message is issued indicating that the requested verification cannot be performed due to missing prices.

When verification is performed **prior to close**, warnings are issued if the Discount/Upfront Fees/Additional Circle Fees allocated to a particular facility do not strike to the Buy/Sell Price for that facility. Every facility covered by the circle is verified independently, and warning messages are issued as applicable. **If errors are not corrected, and Buy/Sell prices are required to close, circle will not be able to be closed.**

It is possible to flag certain Upfront Fees (in GTM's Fee Type Table) and certain additional Circle Fees (in GTM's Additional Circle Fees Table) to be **"Excluded from Pricing."** Only those Fees whose "Exclude from Pricing" Indicator is set to "No" will be considered when verifying Buy/Sell prices.

Comparison is made between the **included Upfront Fees and Additional Circle Fees**, rounded to eliminate decimal positions, Discount Amount and Buy/Sell Price, as follows:

- Upfront Fees, Additional Circle Fees, and Discount Amount rounded = Facility Investment Amount - (Facility Investment Amount * Buy/Sell Price) rounded.

For example:

Total Included Fees	=	250,000.30
Discount	=	0
Buy/Sell Price	=	95%
Facility Investment Amount	=	5,000,000
250,000	=	(5,000,000-(5,000,000*.95))

Note: "Discount" may be positive or negative, but the included upfront and Additional Circle Fee must always be positive.

Facility Select

This option is available to the General Loan IQ Audience beginning with Service Pack Release 6.0.08.08. When this option is selected, the **Facility Notebook** opens, provided there is only one Facility under the Circle. If there is more than one Facility under the Circle, then the **Facility Navigator** window opens and displays a list of all the facilities of the Deal that owns the Circle. Select any Facility from the Facility

Navigator and drill down to open the Facility Notebook. Refer to the *Loan IQ How to Prepare for the 2008 User Group Enhancements 6.0.08.08 SP* document for more information.

Deal Notebook

This option is available to the General Loan IQ Audience beginning with Service Pack Release 6.0.08.08. When this option is selected, the Deal Notebook [of the Deal that owns the Circle] opens. Refer to the *Loan IQ How to Prepare for the 2008 User Group Enhancements 6.0.08.08 SP* document for more information.

Consolidated Approval

Available beginning with Release 6.0.10.05 and forward, the following separately licensed **Approval Screen** functionality applies.

Provides the ability for authorized users to view and approve single sets of items for the following:

Deal approval

Circle Settlement approval

Outstanding Loan Initial Drawdown approval

SBLC Guarantee Issuance Approval

The Consolidated Approval option opens the Consolidated Approval screen.

Licensed clients must refer to the *Loan IQ Online Help Approval Screen* for more information. If you are not a licensed client and would like further information about this functionality, please contact your Loan IQ Account Manager.

Consolidated Approval Screen

The Consolidated Approval Screen is displayed in the existing navigator format. The items displayed are populated based on the existing data in Loan IQ. The screen displays the same information regardless of whether it is opened from the deal, initial drawdown, SBLC issuance, or circle. The screen contains a Notebook button that opens the Notebook in update mode and an Approver Details button that opens the Approver Details screen. A row of Loan IQ navigator buttons allows users to Print the Details screen, Go Back, Refresh the screen, Go Forward, and View History.

A Deal name hyperlink opens the Deal information screen displaying:

Name

Primary Borrower

Expense Code

Agreement Date

OK to fund

Admin Agent

Status

Classification

Closed Date

Deal Cusip/ISIN

Deal Pricing Options – (# Items)

The Deal section displays summary information and displays default items that are currently displayed for a deal. The rate related information is displayed for all the pricing options defined for the deal.

Deal Pricing Options	Rate Setting, days in advance	Rounding decimal precision	Initial fraction rate	Initial fraction rate round
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Note: All the deal information and approval details continue to display even after the deal closes.

Facility Pricing Options – (# Items)

The Facility section displays all the facilities under the deal, sorted by facility type and within each facility type, alphabetically by name.

FCN	Facility Name	Pricing Option	Spread	Final Float Begin Date
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Note: Drilling down a row displays all the additional information related to the Facility in a separate screen:

Commitment

Aggregate Outstandings

Available to draw

Effective Date

Expiry Date

Note: All the facility information continues to display after the deal closes.

Outstandings – (# Items)

The Outstanding section displays all the initial drawdowns and SBLC issuances under the deal that are awaiting approval or have been approved, sorted alphabetically by outstanding type and within each outstanding type alphabetically by pricing option and within each pricing option, alphabetically by alias.

Outstanding Type	Alias	Global Original Amount	All in Rate	Effective Date	Maturity Date
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Note: Drilling down a row displays all the approval information related to the Outstanding in a separate screen:

Loan Information:

Property Name. (This is in a MIS code with the same name.)

Facility

Currency

Borrower

Amortization periods from Repayment schedule

Payment from Repayment schedule

(This is the first unpaid payment from the repayment schedule. If it is a P&I schedule, it is the first unpaid P&I.)

Global current on loan

Actual due date on Loan

First date of principal payment in Repayment schedule. (This is the date of the first unpaid item in the schedule.)

Seller Loan #. (This comes from an MIS code with same name.)

Number of payments on Repayment schedule

Rate basis in pricing at loan

Pricing Option

Prepayment Information:

Prepayment Type

Prepayment Term

Permitted Prepayment

YM Expiration

Lockout Expiration

Interest Only Loan/Partial Interest Only Loan

Interest only payment from Repayment schedule. (This is the first available unpaid interest item from the schedule.)

P&I payment from Repayment schedule. (This is the first available unpaid principal & interest item from the schedule.)

First date of interest payment. (Date of the first available unpaid interest item from the schedule)

Last date of interest payment. (Date of the Last available unpaid interest item from the schedule)

First date of P&I payment. (Date of the first available unpaid principal & interest item from the schedule.)

ARM Information

Reamortization date from Arm plan on Loan.

Repricing Date on Loan.

All in rate on Loan.

Spread on Loan.

First payment from Repayment Schedule.

Pricing option on Loan.

Reamortization frequency on Loan Arm plan.

Repricing Frequency on Loan.

Rate Increase Cap on Arm Plan loan.

Periodic Rate Increase Cap on Arm Plan loan.

Lifetime Rate Decrease Floor.

Periodic Rate Decrease Floor.

Final Float Information

Reamortization frequency on loan Arm plan

Repricing Frequency on loan

Next P&I adjustment (reamortization date in the ARM plan)

Notes:

Once an initial drawdown has been released, its information is not displayed on the screen, but its approval details are still displayed.

Once an SBLC Issuance has been released, its information is not displayed on the screen, but its approval details are still displayed.

Circles – (# Items)

The circle section displays all the circle buys under the deal that are awaiting settlement approval or have been settlement approved, sorted alphabetically by Transaction type and within each transaction type alphabetically by lender share type and within each lender share type, in alphabetical order of circle RID.

RID	Transaction Type	Lender Share Type	Buyer	Seller	Customer ID of Seller	Current Amount	Targeted Closing Date	Expected Closing Date
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Note: Drilling down a row displays all the settlement approval information related to the Circle in a separate screen:

Settlement Approval Information:

Payment Method.

Description.

Name.

Type.

Beneficiary Account.

Depending on the RI, Loan IQ populates the relevant label (ABA#, Account # etc.)

Fed – ABA #

IMT – Account #

DDA – DDA #

Book Transfer – Book Account #

Account Identifying #

Servicer Number of different Customer ID of Admin Agent on Deal. (This is always the customer ID of seller.)

Buy-Up or Buy-Down Discount on Trade. (This is the amount of discount on Drilling down the facility from the circle notebook.) or

One Time Post Trade Date Fee Payment on Trade. (This is displayed by going into event fees on the circle notebook.) Display both - one is N/A.

Interest. (calculated) This is the value of Decision from the interest on the funding decision screen for all the loans.

Once a Circle Buy has closed, its information is not displayed on the screen, but its approval details are still displayed.

Approver Details Screen

The Approver Details button on the Consolidated Approval screen opens the Approver Details screen. Two sections, All Transactions and Transactions awaiting approval based on user profile are displayed.

The Approver Details screen is displayed in the existing navigator format. The screen contains a Refresh button that collapses open items and refreshes the information, and Expand All, Collapse All buttons that expands or collapses items on the screen. Approve, Select All, and Unselect All buttons allow users to select all displayed items, unselect them, or Approve all selected items.

Available in a general release TBD and patched to Release 6.0.11.02, the following separately licensed Approval Screen additional functionality applies:

Print functionality is provided to print details with the date/time stamp for audit trail and details of approved users of deals, circles, initial drawdowns, and SBLC's.

When a deal is approved then identifiers/statuses of the deal with associated facilities are displayed with approver details.

The Date column displays the time stamp of approval transactions in addition to approved date information.

Available in a general release TBD and patched to Release 6.0.11.02, online accrual is automatically invoked when an outstanding is released manually or via an API. The online accrual is run such that the 'Purchase Interest' is considered in the online accrual and included in the cashflows going out to the seller during circle close.

Note: The Purchase Interest is displayed in the Interest Decision column of the Funding Decision screen and is displayed in the Consolidated Approval Screen only if the Approval Screen additional functionality is in place.

All Transactions

Depending on the approval matrix set up for the transactions and the security, Loan IQ displays the following:

Entity (Deal/Facility/Circle/Outstanding).

Transactions awaiting approval/settlement approval and transactions approved/settlement approved.

Transaction identifier (Deal Alias/Initial Drawdown Alias/SBLC Issuance Alias/Circle RID).

Approved By:

Approval Date

Items are displayed in the following order:

Deal

Loans

SBLCs

Circles

Note: Loans, SBLCs, and Circles are displayed as a collapsible list sorted by Alias.

For deals the deal alias is displayed in the first column and the deal RID in identifier.

For outstandings, the alias is displayed in the first column and, under identifier; the RID of the drawdown/issuance is displayed.

For circles, in the first column, the seller name is displayed and under identifier the circle RID.

If any of the underlying transactions require multiple approvals, each approver is presented the same consolidated screen and is able to see the earlier approvers.

Example:

If Deal A, Initial Drawdown B and Trade C are being approved assume that Deal A needs 2 approvers.

When Approver 1 goes to the deal and selects to approve, Approver 1's details and time stamp appear on the consolidated screen.

When Approver 2 goes to the deal to approve, Approver 1's details and time are visible on the consolidated screen. Once Approver 2 approves, his/her details and time stamp must also be visible on the screen.

For a transaction awaiting approval/awaiting settlement approval, the display is a line for each approver along with the status of the approval. From this list, only those items requiring a specific user's approval display in the Transactions awaiting specific user approval when that user accesses the screen.

Loan IQ provides search functionality from this screen. Users can select the search entity from a drop-down list which contains the following values: Circle, Facility, Loan, SBLC. On selecting any of the entities, the system provides a Search By drop-down list to select an identifier for searching as follows:

- For Circle: Alias, RID
- For Facility: Facility Name, RID
- For Loan: Alias, RID
- For SBLC: Alias, RID

Note: If the approval is performed in the Approval Screen, approval details (user/date and time stamp) are displayed on the approval screen's "all other transactions" section and also in the appropriate notebook's events.

Transactions awaiting approval based on user profile

Once a user who is also an approver accesses the Approval Details screen, from the list of all transactions awaiting approval/settlement approval/approved, Loan IQ filters and displays identifying details of only those transactions awaiting approval/awaiting settlement approval (as applicable based on security profiles) for the user.

The entities are displayed in the following order:

- Deal
- Loans
- SBLCs
- Circles

Note: Loans, SBLCs, and Circles are displayed as a collapsible list sorted by Alias. For deals and outstandings the alias is displayed. For circles the seller and the circle RID are displayed.

Loan IQ provides ability to users to select the transactions to approve. The default is all transactions. An Approve button is provided to approve the transactions. As each approver reviews the data and does the approval, their details and date/time stamp is populated in the "All Transactions" section.

Example:

If there are 3 approvers for a transaction, once approver 1 gives approval, their details are populated for subsequent approvers to view.

Approve Transactions

Loan IQ provides the ability to approve all the circles/initial drawdowns/SBLC Issuances under a Deal from the Consolidated Approval screen provided users have the required security and authority. The Initial Drawdowns/SBLC Issuances are those that are Awaiting Approval only or in case of circles (Buys), those that are awaiting settlement approval.

- Consolidated approval functionality also applies to closed deals in approving new loans/SBLC's/Circles.
- Once all the underlying transactions have been approved from the consolidated screen from all approver(s), the screen still displays information. The displayed information is the same as the current information in Loan IQ.
- Warnings that currently display on the individual transactions when they are approved display on the Approval screen.
- After an approval of a Deal/Circle/Initial Drawdown/SBLC Issuance, if its status is changed to Awaiting Approval, on the approval screen, previous approvers from the initial approval are not displayed.

- If the status is changed to anything other than awaiting approval/awaiting settlement approval for circles, the transaction is not displayed on the screen.
- If a deal and loan have been approved and then the loan's status is changed to Awaiting Approval, there is a warning on the Approval screen.
- If the deal is still pending and not yet awaiting approval (or not yet fully approved), this screen is still available from an outstanding or circle that is currently awaiting approval. However users are not able to approve the outstanding until the Deal is approved.
- Approvals done from the Consolidated Approvals screen write events to the deal/circle/initial drawdown/SBLC Issuance event tab. Loan IQ displays in the comments section "Approval completed using the consolidated approval screen."
- When a deal, initial drawdown, SBLC Issuance or circle has been fully approved, the details shown on the consolidated approval screen at the time of final approval (including all the Approver details) are saved in a text format associated with the final approval event. Users can access and view this text from the Events page of the respective Deal/Initial Drawdown/SBLC Issuance/Circle, by Drilling down the event.
- Users have the ability to print and export the data on the consolidated screen. All the information in all pages on the screen is printed or exported.
- During approval using the consolidated approval screen, if there is an error preventing any single transaction approval, then none of the selected transactions can be approved.
- There is no change to existing approval functionality. It is possible to use the Workflow tab and approve transactions without accessing the consolidated screen.

Circle – Status Menu

The following options are accessible to users from the “**Status**” menu:

- Send to Approval
- Send to Approval/Approve
- Approve
- Send to Approval for Settlement
- Approve for Settlement
- Return to Pending
- Return to Open
- Close
- Cancel
- Show Settlement Approval Status

Send to Approval

Can send a circle to approval without having selected either the "Confirmation Letter Received" or the "Circled" event. However, the "circled" event will be automatically generated at "Send to Approval," if not already present.

If circle is in “Ticket Mode” and has not yet been circled, the default “Circled/Legal Trade Date” will be displayed, and the user may change it prior to continuing with the Send to Approval:

If Expected Close Date is not present, “Circled/Legal Trade Date” defaults to current business date (date on which circle is being sent to approval).

If Expected Close Date is present, “Circled/Legal Trade Date” defaults to the **earlier of** the Expected Close Date and the current business date.

All the normal validation rules for “Circle/Legal Trade Date” will apply if user chooses to modify the default value.

Cannot send a circle to approval if it has zero amounts or is missing a Pricing Comment. Also, with the exception of all Outside Assignments and Broker Transactions and Primaries where Host Bank is not the agent, all facilities in which the lender is investing must have a non-zero Buy/Sell price. If a pooled sale, "Brought In By" must be present. Unless circle is for an Origination Primary or both the Buyer and the Seller are the Host Bank, at least one contact must have been assigned to the circle.

A buyback or participation transfer sell cannot be sent to approval unless the "source of sale" is specified.

Warnings previously issued at "Send to Approval" if aggregate amount of a Circle **Buy** exceeds trading lines, baskets or positions are currently being bypassed, and will not be reinstated until Trading Lines have been redesigned.

Warnings will be issued at "Send to Approval" if any of the following conditions apply. (User must either acknowledge the warning or cancel the 'Sent to Approval' request):

Circle Sell: If assignment or participation, warning will be issued if aggregate sell amount exceeds host bank's available for sale or if a facility sell amount exceeds host bank's available for sale in the selected facility. This does not apply for internal circles.

Pooled Sale: If pooled assignment sale, warning will be issued if total Host Bank's share of the pooled sale exceeds host bank's available for sale or if total Host Bank's share of a facility exceeds host bank's available for sale in the selected facility. This does not apply for internal circles.

Send to Approval Notifications - When circle status is updated to "Awaiting Approval," an Internal Notification (“Circle send to Approval”) is sent to the Distribution List defined in the Notifications Matrix.

Normally, they will be sent to the **"Sales & Trading Manager"** of any Sales Group to which the deal is assigned and to the **Syndicate Manager** for the deal.

Note: Send to Approval and Approve are **not** required for Host Bank Origination Primaries

Send to Approval/Approve

Combines the "Send to Approval" and "Approve" functionality into a single option.

1. When selected, the circle will be validated for both actions and if valid, the Approval screen will be displayed. Approving the circle will automatically circle it as of the current date (or as of the previous business day, if today is not a business day), if not already circled; however, the user may modify the Circled/Legal Trade Date from the Approval screen.

Both "Send to Approval" warnings and "Approval" warnings (circle includes share of a matured facility, insufficient available for assignments or participations) will be displayed prior to displaying the Approval screen. Warnings that are issued for both "Send to Approval" and "Approval" will be issued only **once** when "Send to Approval/Approve" is selected.

"Approval" event is created for the circle; the "Send to Approval" event is suppressed.

If the user cancels from the Approval screen, the circle will be rolled back to "Pending," and any automatic circling will be undone.

For Internal assignments and participations, "Send to Approval/Approve" will approve the **selected** circle and will update the "Contra" circle to "Awaiting Approval," since the two circles must be approved independently of one another. An "Approve" event is created for the selected circle, and a "Send to Approval" event is created for the contra circle.

Approve

This option is the **"front office approval"** of the circle. and it is **not** governed by the Approvals Matrix. The approval requirements defined in the Approval Matrix for circles govern its **"Approval for Settlement,"** not its "front office" approval.

Circle status must be "Awaiting Approval," all required data and any conditional data applying to this circle must have been entered. Circle cannot have zero amounts, and if distribution, must have at least one salesperson contact. If buyback or participation transfer sell, the required "Source of Sale" must be present.

Note: Once a circle requiring a "source of sale" has been approved, it cannot be saved unless the "source of sale" exists. The required "source of sale" may be changed at any time prior to circle close, but cannot be deleted, and cannot be changed after circle close.

The **"Affects Trading Position"** indicator is displayed (defaults to "No" on all Internal Circles, to "Yes" on Buys and "No" on Sells) and may be changed if approver possesses the proper update authority. The **Customer's** "Qualified Buyer" indicator (for the Lender's Booking Location) **flows down to the circle**, and if **"Yes,"** the **Circle's "Qualified Buyer"** indicator may be modified from **"Yes" to "No" (only)**. The approver will be unable to set the **circle's** indicator to "Yes" if the **customer's** indicator is "No." Note: **When any Buy (or Sell to a Qualified Buyer) is approved, it increases (or decreases) the usage against the trading line or basket, as appropriate, if "Affects Trading Position" indicator is set to "Yes."**

Warnings will be issued when the "Approval" Option is selected if any of the following conditions apply. (User must either acknowledge the warning or cancel the "Approval" request):

Circle Buy: Warnings previously issued pertaining to trading lines, baskets or positions are currently being bypassed, as is the creation of the "Violation of Trading Lines" event when the aggregate buy amount of the Circle being approved exceeds trading lines, baskets or positions. In future releases, after Trading Lines have been redesigned and the warnings have been restored, the Distribution Manager will be

notified when the warning is overridden, and if the warning is related to exceeding a trading **line**, the Credit Officer will also be notified.

Circle Sell: If assignment or participation, warning will be issued if aggregate sell amount exceeds host bank's available for sale or if a facility sell amount exceeds host bank's available for sale in the selected facility. This does not apply to internal circles.

Pooled Sale: If pooled assignment sale, warning will be issued if total Host Bank's share of the pooled sale exceeds host bank's available for sale or if total Host Bank's share of a facility exceeds host bank's available for sale in the selected facility. This does not apply to internal circles.

Upon approval, circle status is updated to "Open," Final Approval Date is set to current date, and Approval event is created. **User may not subsequently select the Approval event to change the date of Final Approval.**

If a circle is approved without having been previously circled, the Approval Option also sets the Circled/Legal Trade Date and Amount and creates a Circled event (in addition to the Approval event). The displayed Circled/Legal Trade Date defaults to the Approval Date, but may be modified to reflect an **earlier** date. If a circle is approved after having been circled, only the Approval event is created.

Origination primaries - Host Bank and Non-Host Bank Origination Primaries will only be circled - they will **not need to** be approved individually. (All Distribution Primaries (which are always Non-Host-Bank) continue to require approval).

A user application function "Approve No Longer Available for Sale," has been added to the user profile. User must have update authority for this function in order to approve the following:

circles, other than internal trades, in deals which are no longer available for sale;

assignments in deals, which are no longer assignable;

participations in deal, which are no longer participate-able.

If user selects 'Approve' or 'Send To Approval/Approve' in a situation where the user does not have the proper update authority, an appropriate error message is displayed. If the deal is not for sale and the user chooses 'Send To Approval/Approve', the user must have both 'Send To Approval/Approve' update authority and 'Approve No Longer Available For Sale' update authority; for 'Approve', only 'Approve No Longer Available For Sale' update authority is needed.

For the fast approval function from the circle selection screen (accessed if only awaiting approval circles are selected and the user has 'Approve' update authority), 'Approve No Longer Available For Sale' authority is checked when the user presses the 'Approve' button for a selected circle.

After the circle has been approved and the status is updated to "Open", an Internal Notification ("Circle Approved") is sent to the Distribution List defined in the Notifications Matrix.

Note: Beginning with Release 5.4 and 6.0, separately licensed functionality, **Circle Approval**, provides second approval functionality.

Circle Approval only applies to the front office approval functionality that currently exists in the Circle Notebook and utilizes all of the current functionality available for transactions in the Approvals matrix. Circle Approval applies to all Circle types.

When the appropriate approval rules are met a user may only create the circle and send it to approval. A second user must approve the circle. This also includes circle creation by trade entry.

Send to Approval for Settlement

1. Circles whose status is "Open" (those that have already gone through "front office approval") must be "Sent to Approval for Settlement" before they can be Approved for Settlement.
2. Same validation tests are enforced at "Send to Approval for Settlement" that are enforced at "Approve for Settlement."

3. The “Send to Approval for Settlement” function ensures that all cashflows and all accounting entries are correct. When Host Bank is Agent, **all** circles must be approved for settlement prior to being closed except for the sole lender primary in sole lender deals. When Host Bank is **not** Agent, the **non-host bank primaries** are exempted from the “Approve for Settlement” requirement, but **all other** circles must be approved for settlement prior to close.
 - A circle that has been sent to settlement approval has a status of “Open/Awaiting Settlement Approval” until it is approved and, like a circle already approved for settlement, cannot be updated.
 - Warning is issued at Send to Settlement Approval (and at Settlement Approval and Circle Close), if Expected Close Date is **less than** the Facility Effective Date of any facility in which the circle has a non-zero facility investment.
 - IMT cashflows, associated with a circle sell when the Host Bank has a zero position in the deal and is buying and selling on the same day, can be released, provided that the Servicing Group can be defaulting from any unclosed circle buys for the branch. Defaulting the servicing group allows the Circle Sell to be sent to Settlement Approval, after which the IMT cashflows can be released in the normal manner.

Note: Send to Settlement Workflow item may not appear in the Circle workflow page if the Admin Agent was changed after the Circle has been created.

Note: As per the Enhance Zero Value Trades enhancement available in Release 6.0.08.05 (Patch also for 08.02), the following functionality applies:

A message is displayed if Zero Value circles are sent for settlement approval without prior portfolio allocations. The message states that Portfolio/Expense Codes are required to settle event fees. When the message is clicked the Enter Portfolio/Expense Codes for Event Fees window opens to allow Portfolio/Expense Code selection.

Enter Portfolio/Expense Codes for Event Fees Screen

Attribute	Req/Opt	Size/Format	Rules
List of Portfolio/Expense Codes	System Generated	Display	Selected Portfolio/Expense Codes from the risk book. The selections event fees can be pro-rated.
Percent to Allocate	System Generated	Display	The percent of the total event fees covered by the given portfolio/event code.
Add	Conditional	Button	Select a Portfolio/Expense Code to add from the risk book of the circle.
Delete	Conditional	Button	Removes the selected Portfolio/Expense Codes from the list.
Pro Rate	Conditional	Button	Brings up the Event Fee Pro Rate window to pro rate a percent value over any or all portfolio/expense codes in the list.
Branch	System Generated	Display	The branch of the Host Bank servicing group.
Risk Book	System Generated	Display	The risk book of the circle.
Total Allocated	System Generated	Display	The sum of all portfolio/expense code allocations (must equal 100%).

Attribute	Req/Opt	Size/Format	Rules
OK	Conditional	Button	Accept any changes if made, and continue send to approval.
Cancel	Conditional	Button	Do not settle event fees. Send to Settlement Approval is cancelled.

Portfolio Allocation Screen

Attribute	Req/Opt	Size/Format	Rules
Portfolio/Expense Codes	System Generated	Display	The list of available portfolio/expense codes from the circle risk book.
OK	Conditional	Button	Add the selected portfolio/expense code to the event fee pro ration.
Cancel	Conditional	Button	Exit the window without adding any new portfolio/expense codes to the event fee pro ration.

Pro-Rate Event Fees Over Portfolio/Expense Codes Screen

Attribute	Req/Opt	Size/Format	Rules
Percent	System Generated	Display	The percent value to pro rate over the selected portfolio/expense codes.
Portfolio/Expense Code	System Generated	Display	The portfolio/expense codes to pro rate event fees over.
Percent	Optional	Button	The percent of event fees covered by a given portfolio/expense code.
OK	Conditional	Button	Apply the pro rata decisions.
Cancel	Conditional	Button	Cancel without changes.

Approve for Settlement

1. The Approve for Settlement” function ensures that the cashflows and all accounting entries are correct. When Host Bank is Agent, all circles must be approved for settlement prior to being closed except for the sole lender primary in sole lender deals. When Host Bank is not Agent, the non-host bank primaries are exempted from the “Approve for Settlement” requirement, but all other circles must be approved for settlement prior to close.
 - Circle status will progress from “Pending” to “Open/Settlement Approved” to “Closed” on circles that do **not** require approval.
 - Circle status will progress from “Pending” to “Awaiting Approval” to “Open” to “Open/Awaiting Settlement Approval” to “Open/Settlement Approved” to “Closed” on circles that **do** require approval.
 - Workflow item “Send to Settlement Approval” will now appear in place of “Close” for Open circles. Workflow item “Settlement Approved” will now appear in place of “Close” for Pending circles that do not require approval.
2. In order to be approved for settlement, the circle must have frozen funding decisions that do not need review. (Note: Circle Funding Status can no longer be set to “Funding” unless funding decisions are frozen). This validation will be imposed at circle close also.

3. In addition, with the following exceptions, all validations that must be passed in order to close the circle must also be passed in order to approve the circle for settlement:
 - "Not enough pool available"** generates an error at circle close, but a **warning** at settlement approval.
 - If existing **portfolio allocations cannot be closed** (due to insufficient closed position), neither a warning nor an error is issued at settlement approval.
 - Warning** is issued if the circle closing date is less than the effective date of any of the facilities in which the circle has a share.
 - Validation performed at circle close that checks the deal status (to see if it is valid to close the primaries) is **not** performed at settlement approval.
4. Upon being approved for settlement, circle status is updated to "Open/Settlement Approved," and the "Approved for Settlement" event is created.
5. **Once a circle has been approved for settlement, no updates are allowed other than changes in status** ("Return to Open", "Return to Pending" or "Close"), although **Funding Memos** may be created. Also, any action that sets the circle to **"Funding Needs Review"** (such as adding a new drawdown or releasing a payment) will automatically reset the circle status back to "Open".
6. **Internal Circles** - Internal Circles must be approved for settlement separately, and one side may not be approved for settlement unless the other side has progressed to at least the "Open" state ("Approved"). Also, once one side of an Internal Circle has been approved for settlement, no updates may be made to the other side, even if it has not yet been settlement approved. Returning one side of an internal circle from "Open/Settlement Approved" back to "Open" or "Pending" status will also return the other side to "Open" or "Pending" status.
7. Non-Host Bank Origination Primaries moving from "Pending" to "Open/Settlement Approved" will be automatically circled, if not circled already. **Window pops up allowing user to set the Circled Date.** (Automatic circling was previously performed at circle close).
8. All actions performed outside of the Circle Notebook, such as facility commitment decrease, that currently return open circles to pending status will also return to pending circles that have been approved for settlement.
9. All outside actions that set funding to "Needs Review" will return circles that have been approved for settlement to "Open" status.
10. As per the separately licensed **Enhanced Approval Process** available in Release 6.0.09.08(Patch), if the 'Processor May Approve' indicator in the Online Approval Editor is set to 'N' for a particular Circle Settlement Approval transaction, the user who approved the circle is subsequently allowed to approve this circle transaction provided this user is not already one of the processors of the transaction.
 - If the license for ENH 1417 – Approve Circle Using Matrix is not turned on, the following functionality applies:
 - o The user who sends a Circle to Approval is added as a processor of the Circle and is not allowed to approve the Circle subsequently.
 - o The user who uses the "Send To Approval/Approve" function via the Circle notebook → Status menu option, is considered as the user who sends the Circle to Approval and is added to the list of processors of that Circle. This user is not allowed to Settlement Approve the Circle subsequently, if the "Processor May Approve" indicator in the "Online Approval Rule Editor" screen is set to "N" for Circle Settlement Approval transaction.
 - If the license for ENH 1417 – Approve Circle Using Matrix is turned on, the processors will not be deleted upon the Circle being approved, but will continue to remain as processors of the Circle and will not be allowed to Settlement Approve the Circle subsequently, if the "Processor May Approve" indicator in the "Online Approval Rule Editor" screen is set to "N" for Circle Settlement Approval transactions.

Return to Pending

- Any open approved circle can be returned to "Pending" status, and an Internal Notification ("**Circle Return To Pending**") will be sent as defined on the Distribution List in Notifications Matrix (normally to all Sales Assistants in the deal's primary sales group).
- Returning to Pending status **does not** affects portfolio allocations.
- If an open approved Buy (or Sell to a Qualified Buyer) that affected the trading position is returned to Pending, the usage against the trading line or basket will be **decreased (or increased)** as appropriate.
- Choosing the "Return to Pending" Option brings up a window allowing the user to enter an optional comment describing the reason why the circle is being returned to Pending status.

Note: Separately licensed functionality, **Suppress Circle Automatic Return to Pending**, allows Loan IQ to prevent automatically circles from returning to a pending status when changes are made to the Deal associated with the respective circle(s). This is controlled by the setting of the system parameter, **PC RTP** (Prevent Circle Automatic Return to Pending). Users may also create one or many exceptions via the **Branch and Risk Return to Pending Exception Table** in Table Maintenance, so that circles with a specific Branch and Risk Book combination are not automatically returned to pending. Circles will be returned to a pending status when any of the following conditions exist:

A facility is added to a Deal
A scheduled commitment reduction is released
An unscheduled commitment increase in a closed Deal (via an amendment) is released
The Deal amount is changed on a pending Deal
OR
The facility amount on a pending Deal is changed

Note: Circles that have a status of *Awaiting Settlement Approval* and *Approved for Settlement* are returned to an open status.

All licensed Customers must Refer to the *Loan IQ Automatic Return Circle to Pending – Setup Guide* for more information. All other interested clients, please contact your Loan IQ Account Manager for more information.

Return to Open

As stated above (see "Option: Approve for Settlement") once a circle has been approved for settlement, no updates are allowed other than changes in status ("Return to Open", "Return to Pending" or "Close". Selection of "Return to Open" resets circle status to "Open", so that additional changes may be made to the circle.

As per the separately licensed **Enhanced Approval Process** available in Release 6.0.09.08(Patch), the following functionality applies for Circles when a user returns a Circle to Pending or Open state via the Options menu → "Return to Pending" or "Return to Open" menu option:

The list of processors, who modified the Circle prior to returning the Circle to Pending or Open state, is not deleted by the system. Instead, these users remain as processors of this Circle and all such processors are not allowed to (i) approve the Circle subsequently if the license for ENH 1417 is turned on and "Processor May Approve" indicator in the "Online Approval Rule Editor" screen is set to "N" for Circle Approval or (ii) settlement approve the Circle subsequently if the "Processor May Approve" indicator in the "Online Approval Rule Editor" screen is set to "N" for Circle Settlement Approval transactions. This applies both when returning the Circle from Open/Awaiting Settlement Approval or Open/Settlement Approved and also when returning the Circle from Awaiting Approval or Open when the license for ENH 1417 is turned on.

The user who returned the Circle to Pending or Open state, regardless of whether the Circle was already approved or approved for settlement and regardless of whether the license for ENH 1417 is turned on, is not added as one of the processors of the Circle and is allowed to (i) approve the Circle subsequently, even though license for ENH 1417 is turned on and the "Processor May Approve" indicator in the "Online Approval Rule Editor" screen is set to "N" for Circle Approval transactions or (ii) settlement approve the Circle subsequently, even though the "Processor May Approve" indicator in the "Online Approval Rule Editor" screen is set to "N" for Circle Settlement Approval transactions, provided this user is not already one of the processors of that Circle.

Close

1. Close Option is available as follows:

- a) **Primaries-Only** Non-Host Bank primaries attached to a closed Non-Host Bank Deal may be closed independently by the user. (All primaries (Host Bank and Non-Host Bank) attached to a Host Bank Deal are **automatically closed by the system** when the deal closes **if** closing validation tests detailed below are passed.
- b) All circles other than primaries - circles must be approved for settlement, and Deal must be closed.

2. In order to close a circle, the following validation tests must be passed:

- a) **Must have at least one facility with a non-zero amount, which cannot be greater than the facility global amount.** If a pooled sale, all pool allocations must add up to the lender share amount. If a Host Bank circle, all portfolio allocations must add up to the amount being bought from/sold to the Host Bank (which will equal the total lender share amount, unless transaction is for a pooled sale). Swapped transactions must be linked.
- b) Requirements for **Closing and/or On-going Servicing Groups** must be met. In addition, the Branch assigned to the Servicing Group must be the same as the Branch of the lender's portfolio allocations, and the location of any Ongoing Servicing Group **must match** the location of the circle (specifically, the lender's servicing location or, if the lender is our counterparty, the lender's buying/selling location).
- c) Circles that will increase the Host Bank Net position cannot cause the Host Bank net position in any facility to become greater than the global amount of the facility. (Edit is not performed for internal circles (internal assignments, internal participations and internal trades), since the effect on the host bank net position is zero).
- d) If the deal is **"Not Available for Sale"** (NAS), circles that were created prior to the date on which the deal assumed the "Not Available for Sale" status may still be closed, as long as the user closing the circle has the proper update authority. Closing Outside Assignments will not require any higher level of access, but closing any other circle whose Deal is currently "Not Available for Sale" will not be permitted unless the user possesses the proper **"Close No Longer Available for Sale"** authority (in "User Profile").
- e) **If Buy/Sell prices are required to close the circle**, an **error** will be issued if the Buy/Sell price for any non-zero facility amount does not strike to the applicable Upfront Fees/Discount allocated to that facility. See "Buy/Sell Price" and "Verify Buy/Sell Price" for more information).
- f) If circle has Outgoing portfolio allocations from an Amortizing position with a weighted average cost not equal to 100, and the expected closing date of the circle is other than today, an error message is issued and the circle cannot be closed ("Outgoing portfolio allocations may not be entered for an amortizing position which does not have a weighted average cost of 100, unless the expected closing date of the circle is today.")
- g) In order to close a circle with fee skims, the Branch noted for booking all fee skims must be the same as the Portfolio Allocations Branch.
- h) Cannot close the circle unless User's Processing Area matches the Circle Processing Area and all facilities covered by the circle have a Matching Processing Area. (System rechecks

covered facilities again, since this processing area may have changed. (See "Circle Processing Area" write-up in Appendix).

3. Error messages will be issued when the Close Option is selected if any of the following conditions apply. (User will not be permitted to close the circle):

Primary: Closing the primary prior to deal close causes the total lender contractual gross in the facility to exceed the global amount of the facility. (Applies only to the primaries that are automatically closed by the system when deal closes).

Circle Sell: Host Bank Booking Vehicle net share is insufficient to cover the sale or Host Bank Booking Vehicle gross current is insufficient to cover an assignment sale.

As per the separately licensed enhancement, Income and Expense Deferred to FHAD, available in Release 6.0.10.02, the following functionality applies:

- When closing a circle sell, Loan IQ automatically includes the appropriate FHAD amount created through free form event fees, based on the specified Facility/Branch (es) included in the Circle Sell notebook as well as the circle's own FHAD (caused by circle event fees or buy/sell at a price not equal to par in syndication) and offsets against Realized P&L..
- The circle continues to post its own FHAD amounts, as per current functionality, separate from the new FHAD postings.

For more details, Refer to the *Loan IQ Income and Expense Deferred to FHAD Setup Guide*.

Pooled Sale: Cannot close a Pooled Sale if the Deal is not closed. If sale is to a **primary**, error will be issued if any pool member's share of the sale (aggregate and/or individual facility amount) is greater than member's **primary** position or greater than his **contractual gross amount** (whichever is **lower**).

If pooled sale is an **assignment**, error will be issued if any pool member's share of the sale (aggregate and/or individual facility amount) is greater than member's **contractual gross amount**. All pool member positions are checked, and pooled sale cannot close unless all proposed pool allocations can be satisfied.

Validation of pool members' Servicing Group positions will be performed at close (and at "Change Share After Close") to insure that the Non-Host Bank Pool Members' Servicing Group position does not become negative

Circle Buy: Host Bank is admin agent and aggregate buy amount exceeds seller's total commitment amount or facility buy amount exceeds seller's commitment amount in that facility.

Post-Closing Primary: Closing a primary after the Host bank deal has closed is not permitted. Non-Host Bank primaries attached to closed Non-Host Bank Deals may still be closed.

All Circles: The Branch assigned to the Servicing Group for a Host Bank must be the same as the Branch of the Host Bank Lender's portfolio allocations.

When the Host Bank is the Agent, Primary and Assignee Servicing Groups are not permitted to have a negative position.

4. **Warnings** will be issued when the "Close" Option is selected if any of the following conditions apply. (User must either acknowledge the warning or cancel the "Close" request:

Primary: Warning is displayed when **system** closes a primary that has a share of a facility that has pending or active outstandings, pointing out that closing the primary will not automatically affect the loan funding (since Primaries do not have funding decisions) and user must adjust the funding manually. Warning is **not** issued when closing non-host primaries in a non-host agent deal (since Loan IQ does not keep track of funding in these cases).

Circle Buy: Warnings previously issued if aggregate **buy** amount exceeds trading lines, baskets or positions are currently being bypassed, and will not be reinstated until Trading Lines have been redesigned.

Circle Sell: Warning that the circle must be closed immediately is issued if portfolio allocations are being made out of an amortizing portfolio.

All Circles: Warning is issued at circle close if an active loan is past its repricing date, and therefore will not be automatically adjusted. Warning is also issued if the circle closing date is less than the effective date of any of the facilities in which the circle has a share. User must acknowledge the warning in order to continue the close process.

5. Closing the Host Bank's assignments and participations brings up a window displaying the Expected Close Date as the effective date of the closing, which is always a valid business day. If incorrect, user must modify the Expected Close Date before closing the circle. Changes to Circle Close Date after circle close are "documentation only."

Closing a circle that has not yet been "circled" gives the user the option of generating the "circled" event as a by-product of the close. The user may then enter the Circled/Legal Trade Date or allow it to default to the Circle Close Date. Again, Close Date may not be a future date, may not be prior to **Circled/Legal Trade** date. For assignments and participations, the circle close date cannot be earlier than the Deal Close Date.

6. In addition to updating circle status to "closed" and setting the Circle Closing Date, Closing Amount is set to the current amount, and the applicable Lender Profile and Location are updated as necessary (First and Last Transaction Dates are set to Closing Date, "In Use" indicator is set to "Yes," Customer Status is updated to "Active," as required).
7. Closing a pooled sale causes each pool member's **contractual gross position** to be decreased by his share of the sale (in the aggregate and also by individual facility sold). If sale is to a **primary**, closing the pooled sale also causes each member's **primary share to be decreased** by his share of the pooled sale (in the aggregate and also by individual facility sold). Decreases to Host Bank pool member's primary circle are applied **first** to the Warehouse, and the remainder is then applied to the Match Funded Balance of affected loans.
8. User may subsequently change the Closing Date of the circle by accessing the Close Event itself and entering a new effective date (which cannot be less than the circle date or greater than the current date. For assignments and participations, the circle close date cannot be earlier than the Deal Close Date. The change in Closing Date will appear as an individual event, and is for purposes of "documentation only."
9. Closing a participation buyback (or the result of a participation transfer Option) will automatically decrement the current amount in the source transaction by the current amount of the transaction being closed.
10. If a closed sell affects the trading position, and the sale is to an "Unqualified Buyer," the close **decreases the usage against the trading line or basket, as appropriate.**
11. **Notifications** - When a Host Bank **assignment or participation** or an **Outside Assignment or Outside Participation Transfer** closes, an Internal Notification ("**Circle Close**") will be sent to the Distribution List defined in the Notifications Matrix. Normally, this will include all members of the "**Deal Team**" (everyone on the Deal Personnel Assignment List) and all **Salespersons and/or Traders** assigned to the circle. **No notifications** are issued upon the close of a **primary circle**, or when the closing date is changed on any previously closed circle.
12. At circle close, the amount of any **Upfront Fees** associated with each facility investment is calculated, saved and then downloaded to the Syndication Fee Spreadsheet upon demand. After the circle closes, an "Upfront Fees" button on the Facility Investment Detail screen is available for those circles that required a Buy/Sell price in order to close. **The Upfront Fee Amounts may be changed, deleted or added.**
13. At circle close, adjustments are made as necessary to correct the P&L, Discount and WAC (Weighted Average Cost), for any share changes and/or price changes occurring prior to closing.

Important Note: If the discount rounding adjustment calculated at circle close is greater than the maximum set on the Currency Table in Table Maintenance, for any one branch and currency, the circle cannot be closed. Error message is issued displaying the amount of the buyer's discount or premium, the total portfolio discount and the total portfolio P/L.

Since the calculation of discount amount for cashflows and funding memo is slightly different from the calculation used for determining its offset for gl entries, there is a possibility that the two amounts

can be slightly different (because of rounding). In Release 5.1, there is a maximum (set by the User) per currency. If the difference is not greater than this maximum, that difference is written to a miscellaneous account. If the difference is greater than the maximum the error is raised.

14. Closing a circle other than a primary adjusts active outstandings according to the circle's Funding Decision. Automatic Share Adjustments will be applied to the selected Outstandings as of the **later** of the Outstanding's Effective Date and the Closing Date of the Circle.
15. In order for funding decisions to be validated and released properly on circle close, validation is not performed until the Circle Closing Date has been set.

Important Note: Circle now validates all funding decisions during circle close (rather than discontinuing the validation when the first error is encountered). The complete list of validation errors is then presented to the user and may be kept open while the necessary adjustments are made. If no validation errors are encountered, circle close proceeds to completion.

16. Circle sells decrease the Warehouse amount first, then the Match funded amount, from the **lowest** COF rate to the highest. Circle buys increase the Warehouse amount.
17. Closing a circle sets the "release date" on the circle commitment transaction (accessible by Ad Hoc Query) to the circle's current business date.
18. If an Amendment number has been assigned (see Circle Status/Detail page, Amendment Number) then the checkbox "Change to Amendment Primary" is enabled and the user has the option to check the box. The default setting is false (unchecked). If checked, then circle is **changed to Amendment Primary** as part of the Circle Close.

Note: Transaction cannot be released if a Cashflow Settlement Currency has been chosen, but no F/X Rate has been set. User must set the F/X Rate for the Settlement Currency in order to release the transaction.

19. If one or more outstandings for which there is a non-zero funding or interest decision that is included in cashflows is past its repricing date, then the circle cannot be closed until these outstandings are repriced or their funding and interest decisions are changed to zero.

Note: Circle close functionality is available to all users attempting to close a circle that has non-book amounts. Clients must set up the appropriate G/L Short Name for Realized P&L - Non Book (the RPNBK G/L Short Name), otherwise they will receive a mapping error. The appropriate mapping must be set up before the circle can be closed.

Cancel

1. Cannot cancel the sole lender primary on a Sole Lender Deal unless the Deal is pending or is a Non-Host Bank Deal. Otherwise the deal must be made Non Sole-Lender before the primary can be cancelled. If deal is **not** a Sole Lender Deal, any pending or open circle can be cancelled. Any personnel authorized to cancel circles can perform the cancellation. Cancellation of a circle closes out that circle's portfolio allocations.
2. If an open approved circle is canceled, availability is affected as follows:
 - Participation or Assignment Sale = "Available for Sale" is increased by current amount.
 - Primary = Amount Remaining to be Syndicated is increased by current amount.
3. If an open approved Buy (or Sell to Qualified Buyer) that affected the trading position is canceled, the usage against the trading line or basket will be **decreased (or increased)**, as appropriate.
4. System will attempt to cancel any **outstanding** faxes when Canceling a circle. If faxes exist but cannot be cancelled for some reason, a warning message will be issued. Upon acknowledgment, user will be able to proceed with the cancellation of the circle. (Since related faxes are also deleted when the

cancelled circle is deleted, and since **sent faxes** cannot be deleted, a circle with sent faxes cannot be deleted).

5. Choosing the "Cancel" option displays the *Cancel Circle* window. A reason for the cancellation **must** be entered, together with an optional comment. If the cancellation request is valid, the circle status will be updated to "**Canceled.**"
6. Unrealized P&L is reversed out upon cancellation of the circle, and a corresponding offset is made to the Discount, so that the cancelled sale is brought back to the original WAC (Weighted Average Cost).
7. When the last remaining Host Bank Circle in an Unverified Closed Deal is cancelled, the Deal will revert back to a Closed Non-Host Bank Deal.
8. **Marketing Circles** - A circle with a cancellation reason of 'Marketing' is a "**Marketing Circle.**" (Code in Reject Reason Code Table = '**MKTG**').) When the reason for canceling a circle is 'Marketing,' the title bar in the Circle Notebook and the description in the Circle Select List for existing circles will show a status of "Canceled/Marketing" rather than just "canceled," and the Status shown for canceled circles on the Details page of the Circle Notebook includes the reason for cancellation.

Any type of canceled circle may be made a marketing circle, including internal assignments and participations and internal trades, and making one side of an internal circle a marketing circle also makes the other side a marketing circle.

The reason for cancellation of a previously canceled circle can be changed by selecting the Effective Date button (on Circle Events page) when the **most recent Cancellation Event is highlighted**. The same 'Cancel Circle' screen opens, except the "GL Entries" button is not shown. If a circle is currently a marketing circle and is currently linked to other circles, the cancellation reason **may not be changed until the links are deleted**. (The cancellation effective date may also be changed, and a new comment may be added.)

Linked Circles - Any circle that is not inactive (not canceled and not terminated) may be **linked** to any marketing circle (regardless of circle type). Refer to "Option: Link/De-Link With Marketing Circle" and "Option: Show Marketing Links" for more information.

9. If a Pending Deal is terminated via the "Deal Died" option, all primaries are automatically cancelled. The same applies to any non-closed circles if a facility is terminated and the circle has no investment in any other facility.

Note: Circle cancellation will generate G/L Entries if there is any Benefit of Commitment Reduction affecting the circle.

10. A circle can be only be deleted if it has been cancelled and then only if no Portfolio Allocations exist. A cancelled circle with Portfolio Allocations may be deleted if the following is true: a) Portfolio Allocations were performed on the same day that circle is cancelled and delete is attempted and batch has not run for the time zone of the branch of the Portfolio Allocations. b) Portfolio allocations have only been done once, as only the most recent portfolio may be deleted and any prior portfolio allocations cannot. This will subsequently prevent the circle from being deleted.

Note: As per the **Extension of AutoStart Allocation Functionality** enhancement, available with Release 6.0.08.08 (Patch), 6.0.09.11 and later releases, the following separately licensed enhancement applies:

Loan IQ provides the ability to automatically make portfolio allocations for the sells short when the user cancels the buy. This prevents the need to manually modify the portfolio allocations of any circle sells against the trade date available for the portfolio allocations of the buy in order to cancel the Buy. Prior to this enhancement, if the circle sells were not modified manually prior to the attempt to cancel, an error was received.

Rules that apply:

1. The order of how circles are made short is on a Last In, First Out (i.e., LIFO) basis based on trade date of the circle (i.e., the circled legal trade date) first and update time stamp of the portfolio allocations for the short sell secondly. In the case where there are multiple trades on the same

trade date update time stamps due to the following are ignored: allocation changes due to facility commitment reduction, allocation changes to benefit of commitment reduction, allocation changes due to manual benefit of commitment reduction, and any allocation when the amount is zero.

2. This functionality is also applicable to Internal Trades as part of the extension of short functionality to internal trades, provided the ASAIT system parameter is set to Yes.
3. Cancellation of Circle Internal Trade buys automatically short any open sells against the buy. This includes internal trade sells, internal assignment sells, and internal participation sells.

All circle types can cover a short internal trade sell.

4. Any reductions to a circle buy amount due to a facility commitment reduction will not be affected by this functionality.
5. The automatic shorting of sells when a buy is reduced or cancelled is separately licensed functionality.

Cancel Circle Window

Attribute	Req/Opt	Size/Format	Rules
Cancellation Date	System Generated	Date	System defaults date to current date. Cannot override.
Reason	Required	Table: Reject Reason Code	Select one or more values from list of (active) cancellation reason codes.
Comment	Optional	256 char	Free-form text entry

Show Settlement Approval Status

This option is available to all non-canceled circles until they have been approved for settlement.

The status screen lists all rows from the Approvals Matrix that apply to the settlement approval of this circle, based on matching by branch, host bank net and total amount of the circle and host bank net outstandings after this circle closes. Rows pertaining to circle's settlement approval are shown regardless of whether **this** circle would currently generate warnings. For each row, an asterisk is shown next to each approval requirement that has already been met. Screen also displays a list of details for the users who have already approved this circle for settlement, if any.

Drilling down on a row in the list of approved requirements opens the "Online Approval Detail Viewer" identifying every user who has already approved this circle for settlement. If settlement approvers are required by location, screen lists the affected locations and shows the users from each location that have already approved the circle for settlement. If approvers are not required by location, 'Not Applicable' is shown in the list box.

Note: If approvers by location are required but portfolio allocations have not been entered yet, the circle does not yet have any locations, and 'Not Applicable' will be shown.

Circle - Maintenance Menu

The following are accessible to users from the "**Maintenance**" menu:

- Block Trades
- Cashflows
- Change Lender Share Type
- Change Share After Close
- Change to Buyback
- Change to New Lender/Location
- Event Fees
- Fee Decisions
- Funding
- Interest Pricing
- Link/De-Link With Marketing Circle
- Pool Allocations
- Portfolio Allocations
- Preferred Remittance Instructions
- Primary Roles In Deal
- Set Default Servicing Groups

Before selecting any of the Maintenance Options that will update the circle, the Circle Notebook must be in "**Update**" mode. If necessary, the user must **select "Update" from the other Options menu before proceeding.**

Block Trade Allocations

Available for Assignment and Participations (both Buys and Sells), prior to the circle being sent to Settlement Approval. **Not available** for Primary Circle, Internal Circles, Internal Trades, Brokered Trades, Outside assignments, Sub Participations, Pooled Circles, etc. Block trade allocations may be created only once the Circle Amount has been entered and the facility commitment amounts have been allocated. Selecting "Block Trade Allocations" from the Maintenance Menu in the Circle Notebook will bring up the Block Trade Allocations Screen, which will allow the user to allocate the circle amount to other lenders. Upon closing the Block Trade Allocations Screen after the original circle amount has been fully allocated, new circles will automatically be created for each lender and the original "parent" circle will be permanently cancelled.

The new "child" circles will inherit the following from the "parent" circle (if they have been entered): Buy/Sell Price, Portfolio Allocations, Host Bank Buyer or Seller Servicing Group, Pricing Comment, Fee Skims, Portfolio for Fee Skims, Discount, Buy/Sell Calculated Price, Settings for Interest/Fee Settlement Decisions, Interest Skims, Portfolio for Interest Skims, Target Close Date, Expected Close Date, Conditions To Close, MIS Codes, Salesperson/Traders, Affects Trading Position indicator, and comments from the Comments Page (the author of the comments from the Comments Page or Pricing Comments in the new circles will be the User ID of the person who created the Block Trade Allocations). **Please note:** any fees entered on the Event Fees screen of the Parent Circle **will not** be carried over to the Child Circles.

Note: As per the Block Trade Enhancement of Event Fee enhancement available in Release 6.0.08.05 (Patch also for 08.02), the following separately licensed functionality applies:

The following event fees are populated from the Parent Circle to each of the Child Circles:

Internal commission

Assignment recordation fee/Participation transfer fee

Broker fee

Delay compensation

One time post trade date fee payment

Accrued fees bought and sold

Breakfunding

The event fee amounts on the Parent Circle are populated for each of the Child Circles, pro-rated based on the respective Percentage of Source. The ability is provided to modify the values after the Child Circles are created.

Note: As per the Enhance Zero Value Trades enhancement available in Release 6.0.08.05 (Patch also for 08.02), the following functionality applies:

Loan IQ allows creation of Block Trade Allocations for Zero Value trades. Users can create allocations to other lenders and Loan IQ creates subsequent child trades and permanently cancels the parent circle. When the allocations for the child trades are created, a record of the percentage the allocation was of the original parent trade is created for each child circle, even though the amount of the child circles are zero. This percentage appears in the Event Comment for the create event on the child circle.

Delayed compensation accrued for the parent is copied to the child circles pro rata based on the entered amount/percentage for each child circle.

The description of the 'Cancelled' Event on the Events Page of the parent circle will state that the circle was cancelled due to creation of Block Trade Allocations. An Event "Block Trade Allocation" will be created in the child circles, stating that the circle was created via a Block Trade Allocation. **Drilling down on this event will bring the user to the Permanently Cancelled parent circle.**

Note: Once a parent circle has been "Permanently Cancelled" due to the creation of a Block Trade, selecting the 'Block Trade Allocation' option from the Maintenance Menu will bring up a list of all the Pending Circles created by the allocation (similar to the regular 'Select Lender Commitment Screen', except that only pending child circles will appear). Conversely, the pending circles created by the Block Trade Allocation will be visible in the regular Select Lender Commitment Screen

Note: A circle that has been "Permanently Cancelled" due to the creation of Block Trade Allocations may **not** be deleted. (Although circles created as a result of Block Trade Allocations may be deleted once they have been cancelled, provided they meet with the regular criteria for deletion of a circle).

Portfolio Allocations - If the original circle has only one portfolio allocation, that portfolio allocation and all of its attributes (price, marks, discount, etc.) will transfer to the new circles with the amounts being pro-rated based on the amounts of the new circles. The WAC must flow down to the Allocation Circles. The WAC for the child circles must therefore be the same as the parent circle.

Similarly, If more than one allocation exists for the original circle, those allocations and all their attributes (price, marks, discount, etc.) must also transfer to the new circles, the amounts being pro-rated based on the new circle amount. The WAC for the child circles must therefore be the same as the parent circle.

Note: Due to rounding differences when the trader discount is calculated on the original circle as opposed to when it is calculated separately for each new, smaller trade allocation circle, it is possible that in some cases the trade discount and weighted average cost will not be exactly the same as when there was only the original circle.

Benefit of Commitment Reduction – If Benefit of Commitment Reduction occurs in the original Parent Circle, whether entered manually in the Parent Circle or as a result of a Facility Commitment Reduction (prior to the creation of the Block Trade Allocation while the Parent Circle was still an open trade), the original amount of the Benefit of Commitment Reduction will be prorated across the child circles. Regardless of how many Benefit of Commitment Reductions have occurred for the original circle, the new

child circles will only have **one** Benefit of Commitment Reduction (and portfolio allocation per Portfolio Bucket for the Benefit of Commitment Reduction) will appear in each of the child circles and will be done as a Benefit of Commitment Reduction Adjustment in the circle, effective on the business date when the Block Trade Allocation was created. The amount will be an aggregate of each prorated Benefit of Commitment Reduction amount.

Notes:

- If the source circle has non-zero Benefit of Commitment Reduction in a portfolio bucket which currently has a zero share of the circle (e.g., there was a non-zero position, Benefit of Commitment Reduction was created, and then the circle share was changed to another portfolio bucket), an error message will be displayed indicating that the Benefit of Commitment Reduction in this position must be reduced to zero or moved to another portfolio.
- When a Block Trade Allocation is created, an Internal Notification **for each child circle created** will be sent to all Users defined on the Distribution List defined in the Notifications Matrix if a rules exists for the Notifiable Transaction 'Block Trade Allocation.'
- A default counterparty contact is added when the child circle is created and the circle's status will be Awaiting Approval. If the customer's Lender Profile has a Primary Trading Location, then the child circle for the counterparty inherits the contact for that location.
- Beginning with Release 5.5 and forward, if a non-primary trading location is selected, a warning message is displayed when you tab off the location field. If you continue, and try to save the block allocation an additional message is displayed asking if you want to continue. If you select Yes, a further warning is issued: "There is no default contact for ABC customer at XYZ location. A contact must be manually entered before this circle may be sent to approval. Do you wish to continue? Yes or No". If you click Yes, the parent circle is permanently cancelled and child circles are created with the correct data.
- The criteria for selection when populating the list of counterparties available for selecting for allocation includes the following two categories:
- **Every other child of the Counterparty's Immediate and Ultimate Parents** must also appear in the selection list, as long as those children have completed Lender Locations.
- For example, if Customer 'A's Immediate Parent is Customer Y and Customer 'A's Ultimate Parent is Customer Z, then every other customer who also has Customer Y as either its Immediate or Ultimate Parent and every other customer who also has Customer Z as either its Immediate or Ultimate Parent will appear in the selection window when the user chooses to allocate.

The Immediate and Ultimate Parents of the original Counterparty must also appear in the selection list, as long as those parents have completed Lender Locations.

For example, if Customer 'A's Immediate Parent is Customer Y and Customer 'A's Ultimate Parent is Customer Z, then Customer Y and Customer Z must also appear in the selection window when the user chooses to allocate.

Block Trade Allocations Screen

Note that in order to distinguish between the lender's aggregate amount and the lender's individual facility amounts, the lender aggregate row appears in blue and the facility rows appear in black.

Field Name	Req/Opts	Size/Format	Rules
Allocations	Conditional	List of allocated circles	Lists the allocations for the child Circles, prior to their creation, as they are added to or deleted from the Block Trade Allocations. Displays Lender/Facility, Location, CCY, Amount and Percent of Source (circle). Lender/Facility displays the lender chosen when user clicks the 'Add' button below, and the name of the facility or facilities being traded by the original parent circle.

Field Name	Req/Opts	Size/Format	Rules
			Location will default if Lender Profile for the selected customer has only one location. If multiple locations exist for the Customer's Lender Profile, there will be no default and the user must select a location for the lender before the Block Trade Allocation screen can be closed and the child circle created. CCY is the same currency (the deal currency) as the parent circle and as with all circles, cannot be changed. Amount- for the allocation is entered here and may be modified prior to the confirmation ('OK') and exit from the screen which creates the child circles. This amount must be the aggregate of the commitment (facility) level amounts, which will be pro-rated automatically when the amount is entered. Commitment level amounts may also be modified. Entry of amounts on the Facility Commitment level updates the allocation amount as well. Percent of Source displays the percentage of the source circle represented by the amount that has been allocated.
Add	Optional	Button	Brings up the 'Select Lender' window. Will default to the Lender who is the Buyer/Seller of the parent circle. In order for other lenders to appear for selection in this window, a customer must have the Buyer/Seller Customer of the parent circle defined as its Immediate and/or Ultimate Parent in its customer notebook. If no other lenders have the Buyer/Seller of the parent circle defined as the Immediate/Ultimate parent, then the Buyer/Seller of the parent circle will be the only lender to appear for selection. System permits allocation to the Parent lender. An 'Other Lender' button is provided, which will bring up the Customer Select screen and allow any customer with a completed Lender Profile to be used for an allocation.
Delete	Optional	Button	Deletes the selected allocation.
Source Circle – displays original and allocated amounts of the source circle.			
CCY	System Generated	Display	Displays the currency of the Parent Circle, which is the Deal Currency.
Amount	System Generated	Display	Displays the original amount of the parent circle.
Total Allocated	System Generated	Display	Displays the total amount allocated to child circles so far (will adjust as allocations are made). The total allocated may never exceed the original circle amount. User will receive an error in this case if trying to close Block Trade Allocation Screen.
Percent Allocated	System Generated	Display	Displays the total percent allocated to child circles so far (will adjust as allocations are made)
Left to Allocate	System Generated	Display	Displays the total amount of the parent circle which is <i>left</i> to allocate to child circles so far (will adjust as allocations are made). Must be zero in order to close the Block Trade Allocations screen.
List of Facilities	System Generated	Display	Lists all facilities being trade in via the Parent Circle. Displays Facility Name, Currency, Amount , Total Amount Allocated, Percent Allocated, Left Allocate.
OK	Conditional	Button	Clicking the OK button triggers the creation of the child circles, based on the allocations created above. Block Trade Allocations screen may not be closed until the entire amount of the original, parent circle has been fully allocated.

Cashflows

Option is available **prior to circle close**, as long as the circle's **Servicing Group** has been established. For pooled circles, pool allocations must be performed first (before cashflows can be created). Cashflows are required before circle can be approved. Cashflow screen that appears when the "Cashflows" option is selected displays the Deal/Facility and Main Branch above a list box displaying all of the Cashflows associated with the circle. The Status, Payment Method, Customer Short Name (prefixed by 'To' or 'From'), Left to match, Transaction Amount, Matched Amount, Currency, Account Number and Name (ABA/DDA Number, etc.), UID, Beneficiary Account, Beneficiary Type, Division, Date Done, Time Done, Expense Code, Priority, and Servicing Group Name, SG Alias, SG Location and Watchful Account Indicator are displayed for every cashflow, as applicable, and user can drill down to view/change the cashflow details.

So that the user need not scroll back and forth to see important cashflow information, a Browser has displays the following fields from the selected cashflow item: Servicing Group Name, Alias and Location, ABA/CHIPS/DDA # and Name, Beneficiary Account and Type, Amount Matched, Amount Not Yet Matched, and Payment Reference Data.

Notes:

Cashflows (other than transfer fees) for **participation transfer buys** cannot be created until the third party is assigned (since the cashflows are between the host bank buyer and the third party (the original seller of the circle)).

If remittance instructions for a cashflow are IMT and cashflows have been released and the Circle is sub sequentially cancelled, user will not receive the usual warning that transaction cannot be un-canceled, since a circle can never be un-canceled.

If Funding Decisions needs to be changed before Circle has closed, but IMT Cashflows have already been released, user must first **cancel** the released Cashflows before returning the Circle to "Open".

IMT cashflows, associated with a circle sell when the Host Bank has a zero position in the deal and is buying and selling on the same day, can be released, provided that the Servicing Group can be defaulting from any unclosed circle buys for the branch. Defaulting the servicing group allows the Circle Sell to be sent to Settlement Approval, after which the IMT cashflows can be released in the normal manner.

Beginning with Release 6.0.09.02 and forward, cashflows can be split for Circle transactions.

When changes are made to these transactions which would change the cashflows, the cashflows are deleted. A warning message is displayed and the transactions are re-derived without the splits and unfrozen the next time they are accessed.

For more information on Split Cashflows, please see the Cashflows Edit and Validation Rules document.

Change Lender Share Type

The following changes in Lender Share Type are presently allowed on **any active circle**, subject to the validations specified below. **After Circle Close**, changing Lender Share Type is performed for **documentation purposes only**, and has no effect on Lender Positions. To actually affect Lender Positions, Facility Share Adjustments must be performed (via Facility "Lender Position" Query).

Lender Share Type	Valid To Change To	Rules
Origination Primary	Distribution Primary	1. Not valid for Host Bank primaries 2. For non-Host Bank primaries, allowed both prior to and after circle close. 3. Requesting User is assigned 100% sales credit. 4. After circle close, requesting user becomes Circle Approver. 5. Any pool allocations remain, but any existing portfolio allocations are reduced to zero.

Lender Share Type	Valid To Change To	Rules
		Effective Date defaults to Circle Close Date and cannot be changed. Note: Change is not allowed on a closed primary unless at least one contact exists, and the Effective Date of circle close cannot be changed when changing an Origination Primary to a Distribution Primary, or vice versa.
Distribution Primary	Origination Primary	Allowed both prior to and after circle close, and is valid for pooled primaries as well. Effective Date defaults to Circle Close Date and cannot be changed. Note: An approved Distribution Primary will be changed to a pending origination primary.
Assignment	Distribution Primary	1. Not valid after circle close. 2. Not valid for pooled assignments
Distribution Primary	Assignment	Not valid after circle close or on a Sole Lender Deal. Valid for all Distribution Primaries, including Pooled Distribution Primaries (Existing pooled allocations will be preserved). Note: Host Bank Counterparty (the Seller), its Location and Risk Book, all of which are required when a Distribution Primary is changed to an Assignment, must be specified on the "Change Lender Share Type" screen.
Assignment	Participation	Not valid for Pooled Assignments. Cannot cause Host Bank contractual position to become negative. If Host Bank is Agent, cannot cause Seller's contractual Servicing Group (SG) position to become negative. 4. Effective Date Defaults to Circle Close Date and may be modified.
Participation	Assignment	Not valid on a Sole Lender Deal. Not valid for any Participation with linkages to other circles (that is, Participation Swaps with linked transactions, any type of Participation Transfer, Participation Buybacks, and Participations that are the source of Buybacks or Participation Transfers). Effective Date Defaults to Circle Close Date and may be modified.
Assignment	Amendment Primary	Closed Assignment Sells (except internal assignments) and closed Outside Assignments may now be changed to "Amendment Primary": Within Circle Notebook, still behaves just like an assignment. Will be listed on Circle Select screen as Amendment Primary, and will still show a Risk Book and Booking Vehicle. In Lender Query, will show up under both the original buyer and the original seller. Amendment primaries do not show up in the Deal Primaries list and are not included in any primary totals on that list. When Host Bank is Agent, Swingline Banks must be primaries. Amendment primaries will pass this test. Effective Date defaults to Circle Close Date and cannot be changed.
Amendment Primary	Assignment or Outside Assignment	Amendment primaries may be changed back to assignments. If circle started out as an Outside Assignment, it will revert to an Outside Assignment; else it reverts to Host Bank Assignment. Note: Effective Date defaults to Circle Close Date and cannot be changed.

Option is **not valid** for **Outside Assignments**, **except** when changing an Outside Assignment to an Amendment Primary.

1. **Error** will be issued if "Change Lender Share Type" is selected but no valid Lender Share Type changes are possible. **Warning** will be issued if at least one but not all choices are available.
2. Contrary to what happens at circle **create**, the new Lender Share Type selected is **not** validated against Saleability rules for allowability.

3. The **warnings** issued at Circle Approval will be repeated, as applicable, when changes are made to Lender Share Type on **Approved but not yet Closed circles**.
4. Validations are performed in all of the following situations (**when either the Host Bank contractual gross position or the Lender's contractual gross (SG) position will be reduced as a result of the Lender Share Type change**). **Error** will be issued (and the change will not be permitted) if the tested position would become **negative** as a result of the change:
 5. Changing a Participation Sell to an Assignment Sell, causing the Host Bank Contractual Gross to become negative.
 6. Changing a Participation Buy to an Assignment Buy, causing the Lender's Contractual Gross (SG Position) to become negative.
 7. Changing an Assignment Sell to a Participation Sell, causing the Lender's Contractual Gross (SG Position) to become negative.
 8. Changing an Assignment Buy to a Participation Buy, causing the Host Bank Contractual Gross to become negative.
9. If the Lender Share Type is being changed from participation to assignment on an **internal** circle, the contractual gross of the **seller** will be validated for the decrease, to make sure the Host Bank Seller does not oversell its position. For changes from assignment to participation on an internal circle, the contractual gross of the **Host Bank Buyer** will be validated for the decrease.
10. Changing Lender Share Type creates a circle event, the effective date of which defaults to circle close date, if present, else to the circle date.
11. When **Lender Share Type is changed** (to a Participation or to an Assignment), the system automatically creates a **new** Lender Document corresponding to the New Lender Share Type, if one is required. Any existing documents associated with the previous Lender Share Type are not disturbed. (If the change in share type is due to an error, the user must **delete** the original Lender Document).
12. Compliance will be notified if, prior to circle close, a distribution primary is changed to an assignment and the lender is not a Qualified Buyer (because of the P&L implications).

Beginning with Release 6.0.10.05 (Patch), the following applies as per the separately licensed enhancement, Auto Completion of Portfolio Allocations:

This functionality applies to the following trade amendments which can cause portfolio allocations to be reduced to zero:

Change to new lender/location which involves changing one host bank lender to another host bank lender

Changing Lender share type from a Lender share type that impacts assignable amount to a lender share type that does not impact assignable amount or vice-versa

The lender share types and their impact on assignable amount are:

Circle Sell

Lender share type	Impacts Assignable amount?
Assignment	Y
Participation	Y

Lender share type	Impacts Assignable amount?
Assignment	Y
Participation	N

Example:

Using the above table, for a circle sell, changing lender share type from Assignment to Participation will not have an impact on assignable amount, whereas for a circle buy changing lender share type from Assignment to Participation will have an impact on assignable amount.

Changing Transaction type from a Transaction type that impacts assignable amount to a Transaction type that does not impact assignable amount or vice-versa

The Transaction types and their impact on assignable amount are shown below. It is not possible to change from a sell to a buy at all:

Circle Sell

Transaction type	Impacts Assignable amount?
Sub-participation	N
Sell More	Y
Sell back	N
Participation transfer sell	N

Circle Buy

Transaction type	Impacts Assignable amount?
Sub-participation	N
Buy More	N
Buy back	Y
Participation transfer sell	N

Note:

For a Circle sell: Sell More does not impact assignable if it is selling more of a sub-participation

For a Circle buy: Buy back does not affect assignable if it is buying back a sub-participation

The new portfolio allocations are completed in the same portfolio/expense codes as the previous allocations. The auto portfolio allocations must only refer to the portfolio/expense codes used by current non-zero allocations. It never refers to dormant zero allocations and their associated portfolio/expense codes when determining which portfolio/expense code to auto allocate to.

Due to the trade amendments, if short allocations need to be done, Loan IQ does auto short allocations.

- If the circle is a circle sell, then the allocations of that circle sell are done as short allocations
 - If the circle is a buy, even when new allocations are done, if it will cause the portfolio position trade date net or assignable to be negative, then Loan IQ automatically re-allocates sell positions from long to short
-

Note: This can happen, for example, if the host bank buyer is changed from one host bank A to host bank B. This could cause the trade date portfolio position for host bank A to become negative (which is normally an error that would prevent the lender share change from being completed). In this case, Loan IQ automatically re-allocates sells in host bank A's position from long to short.

Automatic portfolio allocation after a trade amendment involving a share change prior to close is provided. This includes the auto portfolio allocation to a facility which previously had zero allocation.

Note: The functionality mentioned above shall apply only if the circle currently has portfolio allocations.

Users are provided the ability to auto complete portfolio allocations in the case of risk book amendments on trades.

Note: Available in Release 7.5.1.3 HF13 and later, if any sub-allocated child circle is changed from assignment to participation or participation to assignment, the remaining child circles are not changed. In

addition, the cancelled parent trade is also not changed. Hence, the change in the share type affects only the circle that is changed.

Perform Automatic Portfolio Allocation

After a trade amendment involving a lender share type/transaction type which changes assignable amount, if the user opts to do automatic portfolio allocations, then the following rules apply:

Loan IQ does the new portfolio allocations in the same portfolio/expense codes as the previous allocation

If there are multiple portfolio expense codes, the amount shall be allocated across the multiple portfolio expense codes(portfolio positions) based on the previous split across these portfolio expense codes(portfolio positions)

After a trade amendment involving a lender change, if the user opts to do automatic portfolio allocations, then the following rules apply:

When changing lender, on pressing OK on the change lender screen to change the host bank lender, if the new host bank is associated with more than one branch, the user shall be prompted to select the branch for the new portfolio allocations

When a lender is changed and all the portfolio codes for the previous portfolio allocations are also associated with the new branch on the Portfolio and Branch Association code table, Loan IQ shall do the automatic allocation as follows:

Loan IQ shall do the new portfolio allocations in the same portfolio/expense codes as the previous allocation

If there are multiple portfolio expense codes, the amount shall be allocated across the multiple portfolio expense codes(portfolio positions) based on the previous split across these portfolio expense codes(portfolio positions)

When a lender is changed and all the portfolio codes for the previous portfolio allocations are not associated with the new branch on the Portfolio and Branch Association code table, Loan IQ shall display an error that "All the portfolio codes for the previous portfolio allocations are not associated with the new branch on the Portfolio and Branch Association code table and hence automatic portfolio allocations cannot be done."

After a trade amendment involving a share change prior to close:

If a facility amount is being increased from zero to non-zero, Loan IQ generates a warning that the portfolio allocations would get auto completed to the active portfolio/expense code of the existing non zero facility(s) , regardless of whether any of the amounts for any of those existing non-zero facilities are being changed, assuming the circle has facility allocations across only one portfolio/expense code and provides ability for the user to say yes/no

If the user confirms, then Loan IQ does automatic portfolio allocations as noted above

If the user does not confirm, then Loan IQ does not do automatic portfolio allocations and generates an informational message that automatic portfolio allocations have not been completed

Examples assuming user confirms automatic portfolio allocations must be done:

Scenario 1

A circle has been entered with 100k against Facility A in portfolio/expense code P1, and 0 against Facility B

If circle gets amended via share change prior to close to be 50k against Facility A, and 50k against Facility B

The increase of 50k to Facility B must get auto allocated to portfolio/expense code P1

Scenario 2

One circle has been entered with 100k against Facility A in portfolio/expense code P1

Circle gets amended via share change prior to close to be 0k against Facility A, and 100k against Facility B
The increase of 100k to Facility B must get auto allocated to P1

If the circle has facility allocations across multiple portfolio/expense codes, Loan IQ generates an informational message that automatic portfolio allocations cannot be completed

Example assuming user confirms automatic portfolio allocations must be done:

One circle has been entered with 50k against Facility A in portfolio/expense code P1, 50k against Facility B in portfolio exp code P2 and 0 against Facility C

Circle gets amended via share change prior to close to be 25k against Facility A, and 25k against Facility B and 50k against Facility C

The client will never have one circle with facility allocations across many portfolio/expense codes. Hence in a situation like above, Loan IQ generates an informational message that automatic portfolio allocations cannot be done

Perform Automatic Short Portfolio Allocation

For a circle sell, if the trade amendment causes a change which results in a short situation to itself, then Loan IQ automatically does short allocations to the extent necessary if the user has selected option to do an automatic portfolio allocation.

Example: The scenario is that there is not sufficient position in the affected portfolio positions to cover the sell. In that case, the portfolio allocations will be created as short (to the extent necessary). For example, the circle sell is allocated 1,000.00 to portfolio 1/expense code 1 and 600.00 to portfolio 2/expense code 2. The lender is changed from Host Bank A to Host Bank B. For Host Bank B, the trade date net position in portfolio 1/expense code 1 is 800.00, and the trade date net position in portfolio 2/expense code 2 is 1,000.00. Therefore, the new allocations will be 800.00 long and 200.00 short in portfolio 1/expense code 1; 600.00 long in portfolio 2/expense code 2.

Note: The user doing the trade amendment needs to have update access to Circle > Trade Date Short in order for the circle sell to be automatically shorted.

Perform Automatic Allocations Risk Book Amendments

Portfolio allocations currently exist:

- On the portfolio allocation screen when the user selects a risk book and clicks OK, Loan IQ issues the following warning: "Changing the risk book will cause existing portfolio allocations to be reset to zero. Do you wish to do automatic portfolio allocations?" The options are Yes/No/Cancel.
- If option Yes is selected, the following functionality applies:
 - o If there is only one active portfolio/expense code associated with the new risk book, Loan IQ assumes this portfolio/expense code is to be used for portfolio allocations and the user must receive a pop up message asking if they want portfolio allocations to be completed against this portfolio/expense code. Upon selecting Yes the portfolio allocations are automatically completed against the new expense code.
 - o If more than one portfolio/expense codes are associated with the risk book, Loan IQ provides a pop up window displaying all active portfolio/expense codes associated with the risk book asking the user to select the portfolio/expense code(s) against which they want portfolio allocations to be completed. Upon selecting a portfolio/expense code(s), Loan IQ automatically completes portfolio allocations against this portfolio/expense code(s).
 - o On presenting the portfolio expense code(s) against which portfolio allocations will be done, if user selects No, the proposed risk book change shall be cancelled and Loan IQ returns to the portfolio allocation screen.
- If option No is selected, the current system behavior of zeroing out portfolio allocations applies.

- If option *Cancel* is selected the risk book change is cancelled.

Portfolio allocations do not currently exist:

- On the portfolio allocation screen when the user clicks risk book, selects a risk book, and clicks OK, Loan IQ issues the following warning: “Do you wish to do automatic portfolio allocations?”
- If option *Yes* is selected, the following functionality applies:
 - o If there is only one active portfolio/expense code associated with the new risk book, Loan IQ assumes this portfolio/expense code is to be used for portfolio allocations and the user must receive a pop up message asking if they want portfolio allocations to be completed against this portfolio/expense code. If the host bank has more than one branch associated with it, Loan IQ will also prompt the user to select a branch. If the host bank branch or portfolio/expense code is selected, and the other can default, then the one that can default will do so and will be shown as the only choice and selected in the drop-list. Upon selecting *Yes* and the branch, the portfolio allocations must be automatically completed against the new portfolio/expense code.
 - o If more than one portfolio/expense codes are associated with the risk book, Loan IQ provides a pop up window displaying all active portfolio/expense codes associated with the risk book asking the user to select the portfolio/expense code(s) against which they want portfolio allocations to be completed. If the host bank has more than one branch associated with it, Loan IQ will also prompt the user to select a branch. If the host bank branch or portfolio/expense code is selected, and the other can default, then the one that can default will do so and will be shown as the only choice and selected in the drop-list. Upon selecting a portfolio/expense code(s) and branch, Loan IQ automatically completes portfolio allocations against this portfolio/expense code(s).
 - o On presenting the portfolio expense code(s) against which portfolio allocations will be done, if user selects *No*, the proposed risk book change shall be cancelled and Loan IQ returns to the portfolio allocation screen.
- If option *No* is selected, the risk book will be changed without any portfolio allocations done automatically.
- If option *Cancel* is selected the risk book change is cancelled.

Internal trades:

- If allocations already exist for the sell side, Loan IQ asks whether to do portfolio allocations as discussed above. If there are no portfolio allocations for the sell side, and user clicks on risk book on the portfolio allocation screen of the buy side circle and clicks OK, Loan IQ issues the following message:
“Sell side circle does not have portfolio allocations and allocations must be done for the sell before allocations may be done for the Buy. Do you wish to do automatic portfolio allocations for both the Sell side and Buy side?”
- The options are yes/no/cancel.

Note: This does not imply that the selections for the sell side become selections for the buy side. The user is able to do selections for both sell side and buy side.

- If option *Yes* is selected, the following functionality applies:
 - o If there is only one active portfolio/expense code associated with the new risk book, Loan IQ assumes this portfolio/expense code is to be used for portfolio allocations and the user must receive a pop up message asking if they want portfolio allocations to be completed against this portfolio/expense code for both the sell side and buy side circles. If the host bank has more than one branch associated with it, Loan IQ will also prompt the user to select a branch. If the host bank branch or portfolio/expense code is selected, and the other can default, then the one that can default will do so and will be shown as the only choice and selected in the drop-list. Upon selecting *Yes* and selecting the branch, the portfolio allocations are automatically completed against the new portfolio/expense code.

- o If more than one portfolio/expense codes are associated with the risk book, Loan IQ provides a pop up window displaying all active portfolio/expense codes associated with the risk book asking the user to select the portfolio/expense code(s) against which they want portfolio allocations to be completed for both the buy side and sell side circles. If the host bank has more than one branch associated with it, Loan IQ will also prompt the user to select a branch. If the host bank branch or portfolio/expense code is selected, and the other can default, then the one that can default will do so and will be shown as the only choice and selected in the drop-list. Upon selecting a portfolio/expense code(s) and branch, Loan IQ automatically completes portfolio allocations against this portfolio/expense code(s).
- o On presenting the portfolio expense code(s) against which portfolio allocations will be done, if user selects *No*, the proposed risk book change shall be cancelled and Loan IQ returns to the portfolio allocation screen.
- If option *No* is selected Loan IQ shall not do an automatic portfolio allocations.
- If option *Cancel* is selected the risk book change is cancelled.

Change Share After Close

Option is available **only after circle close** to correct **just** the Circled Amount, or to correct **just** the Closing Amount. Changes are made for **"documentation purposes only,"** primarily so that the circle will appear correctly on Lender Query. Changes applied to the circle **do not** affect the lender's position, which may be adjusted only via Facility's "Lender Position" Query. (Ability to change Circled Amount after Circle Close also extends to Internal Trades.)

User may pro-rate a new aggregate amount, or may enter amounts for selected facilities. Either the "New Aggregate Amount" or "New Percent of Global" can be entered and the system calculates the value not entered.

Pool and Portfolio allocations are not adjusted.

When "Change Share After Close" is selected for a Pooled Sale, the edit validations that govern closing a pooled sale will be reapplied. A warning will be issued if "Change Share After Close" is selected for a Swap or Buyback transaction. If a lender has no investment in a facility at circle close, "change share" may not be used to give that lender a closing amount in that facility, although the "circled" or current facility investment amounts may be changed.

The following validation rules are applied at the facility investment level, in all cases where the circle encompasses more than one facility:

Option 1: Correct Current Amount:

Changes Circled Amount effective as of the displayed Circled/Legal Trade Date. This is **never the default** selection, and does not alter either the closing or current (allocated) amounts.

Option 2: Correct Closing Amount:

Changes only the Current Amount. Not allowed on closed participation Buyback or Sellback. If **no increase/decrease** has occurred, **effective date defaults to current date**, but can be overridden to another date greater than the closing date and not greater than current date. If **increase/decrease** has occurred, **effective date defaults to date of last Commitment Increase or Decrease**, but can be overridden to another date not less than last Increase/Decrease date and not greater than current date. The corrected closing amount of any or all facility investments in a closed circle may now be set to zero.

Option 2 is the default selection.

Note: When reducing a **primary's** share of a facility investment to zero, the facility investment will be deleted from the database if:

The facility investment has no portfolio allocations, or its portfolio allocations are allowed to be deleted from the database.

A facility whose facility investments have all been deleted from the database can be subsequently deleted itself.

Change to Buyback

1. Option is available to **closed external Participation Buys** only (not including swaps or participation transfer buys), and changes the closed Participation Buy to a closed Participation Buyback. Option is intended to correct those situations where the initial circle was erroneously set up as a Buy, when it must have been a Buyback. (A Participation Sell and Participation Buy for the same deal and lender are treated as two separate transactions, with money flowing in both directions. The money for a Participation Sell and a Buyback for the same deal and lender is netted, and if not an exact wash, flows in only one direction)
2. Prior to circle close, the user can change a Participation Buy to a Buyback by modifying the Transaction Type on the Status/Detail page, and choosing an existing Participation Agreement to be the source of the Buyback. Selecting the "Change to Buyback" option allows the user to transform a **closed** Participation Buy into a **closed** Participation Buyback, after choosing the proper "Source Agreement."
3. System will present as candidates for the source agreement all existing participation agreements that note the same deal and lender names as the participation buy. **Only one** participation agreement can be linked as the source of the buyback.
4. After the Source Agreement has been selected and linked, the closed Buy is changed into a closed buyback, and a "Transaction Type change" event is created as a record of the change.

Change to New Lender/Location

Change to New Lender/Location provides the choice of changing the circle's Buyer, Seller (or Outside Assignor for Outside Assignments) or Third Party Lender and/or Location.

The rules are:

1. New Lender/Location combination selected/entered must be different from current lender/location. User may specify the same lender and change just the location. Option cannot be used to change a lender to a Host Bank or from a Host Bank.
2. May change a Host Bank Lender to another Host Bank Lender, prior to circle close. After circle close, only the Host Bank Lender Location may be changed. (Ability to change Lender Location on a closed circle also extends to Internal Trades.)
3. Buybacks, which already have a source of sale, assigned and swaps, which already have linked trades, must have those links deleted prior to changing the lender name.
4. Location chosen for new lender will replace current Servicing Group Location and Buying/Selling Location and must be "complete" when chosen.
5. For Outside Assignments, the Outside Assignor's Location always comes from its Ongoing Servicing Group, and, in a deal where the Host Bank is Agent, may be changed only by changing the Ongoing Servicing Group's Location. The Outside Assignor itself may be changed via "Change to New Lender."
6. If the circle was approved as a Qualified Buyer and is then changed to an Unqualified Lender name, the circle's "Qualified Buyer" indicator will be turned off and trading position usage will be updated accordingly. Compliance will be notified if circle becomes "unqualified," if it is a Host Bank (non-broker) Assignment or Participation (because of the P&L implication).
7. Contacts for the current lender are retained, but On-Going Servicing Groups for the current lender are removed. (The "required" contacts for the circle must be associated with the current lender/location).
8. If Host Bank is Agent, position validation is performed. For closed circle sells, the On-going Servicing Group contractual gross position for the current lender will be validated to ensure that removing the circle amount from its position will not make that position negative. For closed circle buys, the On-Going Servicing Group position for the new lender will be validated to ensure that buying from the new lender will not make that position negative. (The host bank position is not validated since it is not changing.)

9. Circle status is not changed.
10. Changing lender name and/or location creates a circle event, the effective date of which cannot be modified. Event includes the old and new lender/location. (For changes to Outside Assignors, the new location will not appear since the event is created before the Servicing Group (from which location is obtained) is added).
11. **Changes after Circle Close** are for **documentation purposes** only. Ongoing Servicing Groups (except for pool members and lenders in participations that amend previous participations) and lenders and their locations can all be changed after circle close. However, such changes are for **documentation only**, and will **not affect lender shares**.

Pool members and Host Bank Lenders may **not** be changed after circle close, although their locations may be changed.

Change Lender/Location - With the **Validation Host Bank and Risk Book Selection at Circle Level** enhancement, available as a patch in Release 6.0.09.08, Loan IQ limits the available Host Banks in the Lender list to the Host Bank associated with the Deal branch in an existing Circle. Loan IQ defaults the Host Bank Lender to the Host Bank Lender associated with the Branch of the Deal. For more information, please see the Circle, Additional Functionality, Validate Host Bank and Risk Book Selection at Circle Level enhancement in Online Help.

Delayed Compensation

Selecting this option will bring up the *Delayed Compensation* window, provided the client is licensed for the functionality. Only Users with *Update Access* under Application Functions in **User Profile** will be able to modify Delayed Compensation Data. Users with *Inquiry Only* and *Access Denied* will be able to view the *Delayed Compensation* window.

Whether or not a circle will accrue Delayed Compensation depends on two factors:

1. The setting of the **Delayed Compensation Applies** indicator.
2. The Delayed Compensation Start Date.

Provided that the **Delayed Compensation Applies** indicator is set to Yes (checked), once the Delayed Compensation Start Date is reached, the nightly batch will calculate and post entries for Delayed Compensation. The batch will continue to calculate, accrue and post Delayed Compensation entries each night up to the Expected Close Date of the Circle. Once the Expected Close Date has been reached, provided the circle has **not** been Approved for Settlement, the batch will continue to calculate and post the Delayed Compensation amounts but will not accrue any more days (this also will not include the Expected Close Date as this is the date the circle is theoretically supposed to close and therefore no compensation is due).

The appearance of the *Delayed Compensation* window, Cost of Carry Rates, will depend on whether or not the Trade is Par or Distressed, which is determined by the setting of the **Distressed** indicator on the Detail tab of the Circle Notebook.

Note: As per the Payment in Kind (PIK) Interest enhancement available in Release 6.0.08.05, the following separately licensed functionality applies:

If the facility is eligible for PIK and PIK Interest rules have been defined, circles with the facility use the PIK functions for Non-Cash Interest Accrual and not the Delayed Compensation functions.

Delayed Compensation only applies to the Cash Portion of the Interest Accrual. The PIK Portion of the Interest Accrual is not subject to Delayed Compensation.

In the case of distressed trades settled late, the buyer must still pay the seller the cost of carry. No interest income is paid to the buyer since the trade is distressed.

Beginning in 6.0.10.05, the Delayed Compensation module supports recent Loan Market Association (LMA) regulations pertaining to par trades. Loan IQ's delayed compensation calculations for all LMA par trades done on or after January 25, 2010 are identical to those for distressed trades, provided the following three conditions are met:

1. On the **Details** tab of the Circle notebook, **Distressed** is not selected. This defines the trade as a par trade.
2. On the **Codes** tab of the Circle notebook, a **Trade Settlement Standard of LMA** is selected. In the Trade Settlement Number of Days table, **Par Settlement Number of Days** is defined.
3. The new system parameter, **DCDLP** (Delayed Compensation Cut-off Date for LMA Par) is set. It defines the cut-off date. Any trade done before the cut-off date (its default value is January 25, 2010) is subject to the previous system behavior for calculation of delayed compensation of par trades. Any trade done on or after the cut-off date is subject to the new behavior, and this functionality only applies to trades done on or after the cut-off date.

All Delayed Compensation window functionality that exists for distressed trades applies to LMA par trades (i.e., trades conforming to the conditions outlined above). For example, **Cost of Carry** is displayed on the Delayed Compensation window for LMA par trades. Other distressed trade functionality that applies to LMA par trades includes:

Accessing the Delayed Compensation Additional Amount window for Cost of Carry from the Delayed Compensation window

Calculating Accrued Interest & Fees as they are calculated for distressed trades

Controlling whether or not to Settle Unpaid Interest/Fees

The ability to drill down online items on the Delayed Compensation window to view Amount Paid To Date

As per the enhanced Delayed Compensation functionality available in Release 7.2.4 and patched to Release 6.0.12.02, the delayed compensation calculations for par and near par secondary loan trades have been modified to comply with new LSTA regulations pertaining to par trades. Loan IQ's delayed compensation calculations for all LSTA par trades done on or after June 29, 2012 are identical to those for distressed trades, provided the following three conditions are met:

1. On the **Details** tab of the Circle notebook, **Distressed** is not selected. This defines the trade as a par trade.
2. On the **Codes** tab of the Circle notebook, a **Trade Settlement Standard of LSTA** is selected. In the Trade Settlement Number of Days table, **Par Settlement Number of Days** is defined.
3. The new system parameter, **DCPAD** (Delayed Compensation Cut-off Date for Treating Par Trades as Distressed Trades) is set. It defines the cut-off date. Any trade done before the cut-off date (its default value is June 29, 2012) is subject to the previous system behavior for calculation of delayed compensation of par trades. Any trade done on or after the cut-off date is subject to the new behavior, and this functionality only applies to trades done on or after the cut-off date.

All Delayed Compensation window functionality that exists for distressed trades applies to LSTA par trades, including:

- A section for Cost of Carry Rates for both viewing and modification purposes.
- Delayed Compensation Line Items for Cost of Carry and Interest and/or Fees Received.
- The Toggle Settle Unpaid Interest/Fees command in the Actions menu to settle accrued interest and fees only if the borrower has paid or settle all amounts accrued.
- The Override option to modify the Cost of Carry default values.

Note: The **Outstanding Ongoing Fee** is not taken into consideration when Delayed Compensation Fee is calculated.

Delayed Compensation Window

Attribute	Req/Opt	Size/Format	Rules
<i>Delayed Compensation Indicators</i>			
Amounts have been tweaked	Optional	Display	Defaults to No. After a line item is tweaked by the user, this indicator changes from No to Yes.

Attribute	Req/Opt	Size/Format	Rules
Delayed Compensation Applies	Optional	Display	Defaults to Yes. The value of this indicator on the Delayed Compensation window is driven by the initial value set for the System Parameter, DCAPL – Delayed Compensation Applies, which determines whether this indicator defaults to checked or unchecked. If the Delayed Compensation Applies indicator is set to Yes, then all new circles/trades under that particular Branch are subject to Delayed Compensation calculations and G/L entries once the Delayed Compensation Start Date is reached.
Settle Unpaid Interest/Fees	Optional	Display	Defaults to Yes. The Settle Unpaid Interest/Fees indicator defines whether or not the unpaid interest and fees are settled at circle close.
Override Delayed Compensation Start Date	Optional	Indicator	Allows override of Delayed Compensation Start Date
Delayed Compensation Start Date	Optional	Display	Delayed Compensation Start Date
<i>Cost of Carry Rates</i> - Displays the cost of carry rates for Delayed Compensation. The default settings of the Funding Rate, Funding Rate Frequency and Rate Basis are determined by the settings of system parameters in the System Parameter Table in Table Maintenance. Available in Release 7.6.2.2 and later. As part of <i>Cost of Carry for Alternative Reference Rates</i> functionality, the Delayed Compensation Cost of Carry Rate screen is enhanced to include, Cost of Carry Index Advance Days (numeric field), Use Average Rate (check box), Spread Adjustment (numeric field), and Override (button). Note: When the Float (check box) is selected for <i>Rate</i> and/or <i>Spread Adjustment</i>, then the field name is displayed as Floating Rate and/or Floating Spread Adjustment, respectively. For more information, refer to the Fusion Loan IQ Alternative Reference Rates Informational Guide.			
<i>Line Items</i> - Displays the Delayed Compensation Accrual Line Items by Portfolio/Expense Code(s) of the Circle. For Par Trades, Delayed Compensation Line Items for Loans and/or Fees are displayed. For Distressed Trades, Delayed Compensation Line Items for Cost of Carry and Interest and/or Fees Received are displayed.			
Tweak Line Item	Optional	Button	Allows the following attributes of a line item to be tweaked: Start Date, End Date, Paid to Date, and Balance.
<i>Additional Amounts</i> - Allows addition of delayed compensation amounts when Delayed Compensation, Cost of Carry or Interest/Fees Received are being accrued on a loan or fee that has not been booked in Loan IQ.			

Event Fees

Option is enabled for all **Participations, Assignments, Broker Transactions and Internal Trades** (that is, for all distribution circles except distribution primaries) and for **Outside Assignments** in Deals where the Host Bank is **Agent**. Option is applicable to both Buys and Sells, and event fees may be entered for a circle at any time prior to circle close. **Once the circle is closed, event fees (of any type) cannot be entered or updated.** Circle Event Fees may be charged in the currency other than the deal currency. Cashflows for each of the fees will be in the currency of the fee.

Note: As per the **Expense and Branch Code Association** enhancement, available with Release 6.0.08.08, the following separately licensed enhancement applies:

The selection of any Expense Code buttons on the Event Fees window displays only valid Expense Codes for the branch of the portfolio allocations if defined, or for the branch of the Host Bank Servicing Group if defined. The selection list for valid Expense Codes is blank if neither is defined.

If changes are made to the branch of the portfolio allocations or the branch of the Host Bank Servicing Group after one or more expense codes have been defined, none of the existing expense codes are revalidated. Revalidation of all expense codes are performed:

At Send to Settlement Approval – Warning

At Settlement Approval – Warning

At Close – Hard error if validation fails

Each invalid Expense Code creates a warning/error message for the corresponding Circle Event Fee and the invalid Expense Code is not blanked out.

Note: G/L Entries are not created for the Internal Commission Fee of an Internal Trade.

Note: As per the Block Trade Enhancement of Event Fee enhancement available in Release 6.0.08.05 (Patch also for 08.02), the following separately licensed functionality applies:

On the Event Fees screen of the Circle Notebook, Loan IQ populates each of the event fee values on the parent trade on a prorated basis to each of the child trades.

If any of the fees are split across multiple currencies, they are prorated to each of the child trades on a prorated basis using the values in the parent trade.

The currencies selected on the split screen of the parent trade for any of the fees flow as is from the parent trade to each of the child trades.

The above rules shall be followed for the following fees:

Internal Commission Fee

Loan IQ populates currency, paying expense code and receiving expense code for the Internal commission fee as populated in the Parent Trade to each of the child trades.

Note: As per the **Expense and Branch Code Association** enhancement, available with Release 6.0.08.08, the following separately licensed enhancement applies:

The Paying and Receiving Expense Codes display only valid Expense Codes for the branch of the portfolio allocations if defined, or for the branch of the Host Bank Servicing Group if defined. The selection list for valid Expense Codes is blank if neither is defined.

Loan IQ populates Amount for the child trade based on a prorated basis using the value populated in the parent trade.

Split Fee

Loan IQ populates the split currency screen if populated on the parent trade as follows;

The Fee Amount is the prorated transferred fee to the child trade

The Amount in Currency of the event fee on the child trade is prorated based on the Amount in currency of the event fee for the respective currencies in the Parent trade.

The Split CCY & FX rates are values populated without any changes from the details on the split screen of the parent trade.

The Split Amount is prorated based on the Split Amount for the respective currencies in the Parent trade.

Assignment Recordation Fee

All items are populated similar to what has been indicated earlier. The specific items which are unique to Assignment Recordation fee, are populated as below:

Loan IQ populates the same Override Expense code that is on the Parent trade to each of the child trades.

If the parent circle counterparty is inside the bank group and the assignment recordation fee inside bank group is not templated at the deal level, Loan IQ copies the entire fee to the first child.

If the parent circle counterparty is outside the bank group and the assignment recordation fee outside bank group is not templated at the deal level, Loan IQ copies the entire fee to the first child.

If the parent circle counterparty is inside the bank group and the assignment recordation fee inside bank group is templated at the deal level and is flat, Loan IQ copies the entire fee to the first child.

If the parent circle counterparty is outside the bank group and the assignment recordation fee outside bank group is templated at the deal level and is flat, Loan IQ copies the entire fee to the first child.

If the parent circle counterparty is inside the bank group and the assignment recordation fee inside bank group is templated at the deal level and is a formula, Loan IQ prorates the fee among the child circles.

If the parent circle counterparty is outside the bank group and the assignment recordation fee outside bank group is templated at the deal level and is a formula, Loan IQ prorates the fee among the child circles.

If the fee is prorated, Loan IQ populates Paid by buyer for the child trade based on a prorated basis using the value populated in the parent trade.

If the fee is prorated, Loan IQ populates Paid by Seller for the child trade based on a prorated basis using the value populated in the parent trade.

If the fee is not prorated, Loan IQ populates the Paid by Buyer and Paid By Seller values as is from the parent trade to the first child.

Loan IQ populates Waived based on the same business rules applicable to the parent trade.

Loan IQ checks/unchecks the Paid By Buyer Directly To agent /Paid by seller to buyer checkbox on the child trade exactly as populated in the parent trade.

In situations where the first child trade alone has all the fees, Loan IQ checks/unchecks the Paid By Buyer Directly To agent checkbox/ Paid by seller to buyer checkbox on the first child trade only exactly as populated in the parent trade. It is kept unchecked for all other child trades.

Note: As per the **Expense and Branch Code Association** enhancement, available with Release 6.0.08.08, the following separately licensed enhancement applies:

The Override Expense Code for Assignment Recordation displays only valid Expense Codes for the branch of the portfolio allocations if defined, or for the branch of the Host Bank Servicing Group if defined. The selection list for valid Expense Codes is blank if neither is defined.

Note: As per the Assignment Recordation Fee Income Allocation enhancement available in Release TBD, the assignment recordation fee income allocation for circle assignment fees has been enhanced. When the client is the Admin agent, the fee income received from the counterparty uses the Override Expense Code field, or defaults to the Expense Code of the Deal, and has no portfolio association. This functionality is controlled by the system parameter UDEHA (*Use Deal Expense Code for Host Assignment Recordation Fee Income*). When the **Override Circle Closing Fees** license is enabled, the *Applies to Income* or *Applies to Expense* indicators specify whether the Override Expense Code applies to either Income, or Expense, or both. The system parameter DAOEA (*Default Assignment Recordation Fee Override Expense Applicability*) determines the default values of the Assignment Recordation Fee Override Expense Code indicators for Income and for Expense, if the UDEHA system parameter is enabled. This is applicable only when an expense code is added where none previously existed. If an Override Expense Code exists, at least one of the indicators must be checked. For existing circles where an assignment recordation fee override expense code exists, both the *Applies to Income* and *Applies to Expense* indicators are enabled by default, to reflect the existing functionality.

Participation Transfer Fee

All items are populated similar to what has been indicated earlier. The specific items which are unique to Participation Transfer fee are populated as below:

Loan IQ populates Amount for the child trade based on a prorated basis using the value populated in the parent trade.

Loan IQ populates Paid by buyer for the child trade based on a prorated basis using the value populated in the parent trade.

Loan IQ populates Paid by Seller for the child trade based on a prorated basis using the value populated in the parent trade.

Loan IQ populates the same Override Expense code that is on the Parent trade to each of the child trades.

Broker Fee

All items are populated similar to what has been indicated earlier. The specific items which are unique to Broker fee are populated as below:

Loan IQ populates the Broker that is on the Parent Trade to each of the child trades.

Loan IQ populates the same Override Expense code that is on the Parent trade to each of the child trades.

When the child trade is created, if the parties in one of the child trades is the broker for the original trade, then broker fee is not copied and Loan IQ generates a warning that broker fee is not being copied since one of the child trades has the broker as one of the counterparties on one of the child trades.

Note: As per the **Expense and Branch Code Association** enhancement, available with Release 6.0.08.08, the following separately licensed enhancement applies:

The Override Expense Code for Broker Fee displays only valid Expense Codes for the branch of the portfolio allocations if defined, or for the branch of the Host Bank Servicing Group if defined. The selection list for valid Expense Codes is blank if neither is defined.

Note: As per the **Brokerage in Amount Format through TTE** enhancement, available with Release 6.0.08.08 (Patch), 6.0.09.11 and later releases, the following separately licensed enhancement applies:

The Brokerage Amount, whether entered as a Percent or a fixed Amount is also displayed in the Broker Fee section of the Circle Notebook. The Amount entered in the Broker Trade Fee defaults to the Circle Notebook Events Broker Fee Amount along with its currency.

Other Fee

All items are populated similar to what has been indicated earlier for the following fees:

Delayed Compensation:

One Time Post Trade Date Fee Payment:

Accrued Fees Bought and Sold:

Breakfunding:

For those fees that have an Override Expense code, Loan IQ populates the same Override Expense code that is on the Parent trade to each of the child trades.

Note: As per the **Expense and Branch Code Association** enhancement, available with Release 6.0.08.08, the following separately licensed enhancement applies:

The Override Expense Code for Delay Compensation, One Time Post Trade Date Fee Payment, Accrued Fees Bought and Sold, and Breakfunding displays only valid Expense Codes for the branch of the portfolio allocations if defined, or for the branch of the Host Bank Servicing Group if defined. The selection list for valid Expense Codes is blank if neither is defined.

Note: As per the Enhance Zero Value Trades enhancement available in Release 6.0.08.05 (Patch also for 08.02), the following functionality applies:

Loan IQ now allows zero value circles with event fees to be sent for settlement approval and generates cashflows/GL entries for the trades. Where the trade was originally allocated over multiple portfolios, the final GL posting for the event fee cashflows are pro-rated across the multiple portfolio/expense codes based on the allocation. Although the portfolio allocations are reduced to zero, Loan IQ still pro rates the event fee cashflows postings over the multiple portfolio/expense codes when closing a zero value trade.

In pro rating event fees on zero value trades that have had portfolio allocations previously done, Loan IQ looks at the timestamps of the latest commitment decrease (the one that brought the trade to zero) and takes the pro rata of the portfolio allocations from that particular commitment decrease.

For zero value trades that have not had previous portfolio allocations done, in pro rating event fees prior to the trade amount being brought to zero, Loan IQ prompts users to manually select the portfolio/expense codes across which to pro rate any event fees that may have been added to the circle and need to be settled. The selection of portfolio expense codes is based on the available portfolio/expense codes for the Risk Book of the circle.

The first part of the Event Fees screen is customized according to circle type, and will define an Assignment Recordation Fee, a Participation Transfer Fee and/or an Internal Commission, as applicable.

Attribute	Req/Opt	Size/Format	Rules
Internal Commission Applicable to all circles except Primaries, Internal Assignments, Internal Participations, Outside Participation Transfers and Pooled Circles.			
Currency	Conditional	Drop list Table: Currency	Defaults to the deal currency but may be modified to any active currency specified in the Currency Table.
Amount	Optional	System Amount Standard	Internal Trade: If templated at the deal level, the Internal Commission fee amount and its currency flow down from Deal pricing when the circle amount is first entered, although user may always override it. The entire fee is Paid to Seller. Notes: If a user manually enters a fee amount before the amount of the Internal Trade is initially entered, automatic flow down from the deal will not occur. No flow down occurs for any circles other than Internal Trades, even when an Internal Commission has been templated in Deal pricing. However, a user may always enter the Internal Commission Amount directly, or choose the Flow Down Commission From Deal button.
Flow Down Commission From Deal	Conditional	Button	Applicable only if Internal Commission Fee has been templated at the deal level, and resets the fee according to deal pricing, overriding any fee amounts entered by the user. Note: If button is used while the circle amount is zero, and the fee is expressed as a rate rather than as a flat amount, the fee will remain zero.
Paying Expense Code	Required	Table: Expense Code	Must be different from Receiving Expense Code.
Receiving Expense Code	Required	Table: Expense Code	Must be different from Paying Expense Code.
Split Internal Commission	Optional	Button	Allows the user to split the Internal Commission Fee into multiple currencies.

Attribute	Req/Opt	Size/Format	Rules
			The Split Internal Commission button is separately licensed functionality. Licensed clients must refer to the <i>Loan IQ Settle Circle Fees in Multiple Currencies – Setup & User Guide</i> for more information. If you are not licensed and would like further information about Settling Circle Fees in Multiple Currencies functionality, please contact your Loan IQ Account Manager.
Assignment Recordation Fee: Applicable to all Broker and Host Bank Assignments including Internal Assignments. Applicable to Outside Assignments when Host Bank is Agent.			
Currency	Conditional	Drop list Table: Currency	Defaults to the deal currency but may be modified to any active currency specified in the Currency Table.
Amount	Optional	System Amount Standard	If templated at the deal level, the appropriate Assignment Recordation Fee amount and its currency (for Inside or Outside the Bank Group) will flow down to the circle from Deal pricing when the circle amount is first entered. Unless Host Bank Seller is the Admin Agent, the entire fee also flows to Paid by Seller, and Paid by Buyer is set to zero. All amounts (Total Amount of the Fee, Paid by Seller and Paid by Buyer) may be overridden subject to following rules, but the sum of Paid By Buyer, Paid By Seller and Amount Waived must equal the Total Fee Amount. Except for pooled circles, assignment recordation fees cannot be split between the buyer and seller, when either one is a Host Bank who is also the Admin Agent for the deal. Pooled circles can still be split between "Paid By Buyer" and "Paid by Seller," even when one of the pool members is the Host Bank Admin Agent, since other pool members may be splitting the fee. (In determining whether the Host Bank Buyer or Seller is the Admin Agent, only the Legal Entity Names are checked. The branch of the Admin Agent is not checked against the Branch of the Host Lender's Servicing Group in the circle). Since Host Bank Admin Agent does not pay any portion of the assignment recordation fee, error message is issued if user attempts to enter "Paid by Buyer" (for Host Bank Buyer) or "Paid by Seller" (for Host Bank Seller) when Host Bank is Admin Agent. Note: "Inside the Bank Group" means that the Buyer of the assignment currently has a non-zero (closed) contractual share of the deal (in any servicing group); otherwise, buyer is considered to be "Outside the Bank Group". (For broker assignment buys, the buyer will seem to be the booking bank, and the inside/outside bank group check will be based on its contractual share. This approach is not correct and will be corrected when broker transactions are redesigned in a future release). Notes: If user manually enters a fee amount before circle amount is initially entered, subsequent flow down from deal will not occur. Expense Code for G/L Entries for Assignment Recordation Fee Income will be the Deal Expense

Attribute	Req/Opt	Size/Format	Rules
			Code, if the HB is the Agent. If the Host Bank is not agent, it will be the expense code of the circle's Portfolio Allocations. G/L Entries for Assignment Recordation Fee Expense always is that of the Circle Portfolio Allocations. In either case when going to the Circle's Portfolio Allocations, if there is more than one Portfolio Allocation with different expense codes, it will be prorated across.
Paid by Buyer	Optional	System Amount Standard	If Host Bank is Buyer and Admin Agent, defaults to zero and cannot be modified. If Host Bank is Seller and Admin Agent, defaults to Total Fee Amount. Can be modified but cannot exceed the Total Fee Amount. If Host Bank is not Admin Agent, defaults to zero. Can be modified but cannot exceed the Total Fee Amount.
Split Paid By Buyer	Optional	Button	Allows the user to split the Buyer Assignment Recordation Fee into multiple currencies. The Split Paid By Buyer button is separately licensed functionality. Licensed clients must refer to the <i>Loan IQ Settle Circle Fees in Multiple Currencies – Setup & User Guide</i> for more information. If you are not licensed and would like further information about Settling Circle Fees in Multiple Currencies functionality, please contact your Loan IQ Account Manager.
Paid by Seller	Optional	System Amount Standard	If Host Bank is Seller and Admin Agent, defaults to zero and cannot be modified. Otherwise, defaults to Total Fee Amount. Can be modified but cannot exceed the Total Fee Amount.
Split Paid By Seller	Optional	Button	Allows the user to split the Seller Assignment Recordation Fee into multiple currencies. The Split Paid By Seller button is separately licensed functionality. Licensed clients must refer to the <i>Loan IQ Settle Circle Fees in Multiple Currencies – Setup & User Guide</i> for more information. If you are not licensed and would like further information about Settling Circle Fees in Multiple Currencies functionality, please contact your Loan IQ Account Manager.
Amount Waived	System Generated	System Amount Standard	Defaults to zero. As user modifies the fee amounts, system calculates "Amount Waived" as the difference between the amounts paid by buyer and seller and the Total Fee Amount.
Flow Down Fee From Deal	Conditional	Button	Applicable only to fees templated at the deal level, and resets the fees according to deal pricing, overriding any fee amounts entered by the user. Note: If button is used while the circle amount is zero, and the fee is expressed as a rate rather than as a flat amount, the fee will, of course, remain zero.
Paid By Buyer Directly to Agent	Conditional	Checkbox Indicator	The <i>Assignment Recordation Fee</i> functionality is available beginning with Release 6.0 and forward. Allows the User to direct the cashflow for the Assignment Recordation Fee to be paid by the Buyer directly to the Agent as an override to the normal functionality.

Attribute	Req/Opt	Size/Format	Rules
			Host Bank Agented Deals: Host Bank Sells: When the Host Bank is both Agent and Seller and has the same branch, the "Paid By Buyer Directly to Agent" indicator will default to 'No' (Unchecked) and be protected. Host Bank seller's portion, if any will always be waived. Cashflow is as follows: From the Non Host Bank Buyer to the Host Bank Agent/Seller. This will be reflected on the Funding Memo. When the Host Bank is both Agent and Seller, but the Agent and Seller are different entities and/or have a different branch, the "Paid By Buyer Directly to Agent" indicator will default to 'No' (unchecked.) When the indicator is unchecked: Cashflow is as follows: From Non Host Buyer to Host Bank Seller as well as from Host Bank Seller to Host Bank Agent. This will be reflected on the Funding memo. When the indicator is checked: Cashflow is as follows: From Host Bank Seller to Host Bank Agent as well as from Non Host Buyer to Host Bank Agent. Host Bank Buys: When the Host Bank is both Agent and Buyer and has the same branch, the "Paid by Buyer Directly to Agent" indicator will default to 'No' (unchecked) and be protected. Host Bank Buyer's portion, if any, will always be waived. Cashflow is as follows: From Non Host Seller to Host Bank Buyer/Agent. This will be reflected on the Funding memo. When the Host Bank is both Agent and Buyer, but the Agent and Buyer are different entities and/or have a different branch, "Paid By Buyer Directly to Agent" indicator will default to 'No' (unchecked), but can be changed. When the indicator is unchecked: Cashflow is as follows: From Host Bank Buyer to Non Host Bank Seller and To Host Bank Agent from Non Host Seller. This will be reflected on the Funding Memo. When the indicator is checked: Cashflow is as follows: From Host Bank Buyer to Host Bank Agent and from Non Host Seller to Host Bank Agent. This will NOT appear on the Funding Memo, as no cash has passed between the Buyer and the Seller. Outside Assignments: When an Outside Assignment is created for a Host Bank Agented Deal, the "Paid By Buyer Directly to Agent" indicator will default to 'No,' but can be changed. Cashflows are as follows, and will NOT appear on the Funding Memo in either case: When the indicator is unchecked: From Non Host Bank Seller to Host Bank Agent. When the indicator is checked: From Non Host Bank Seller to Host Bank Agent and From Non Host Bank Buyer to Host bank Agent. Non Host Bank Agented Deals: When the Agent and the Buyer are the same Non Host Bank Customer and the Host Bank is the Seller,

Attribute	Req/Opt	Size/Format	Rules
			the “Paid By Buyer Directly to Agent” indicator will default to unchecked and be protected. Cashflow is as follows: From Host Bank Seller to Non Host Bank Buyer/Agent. The amount being remitted from the Seller to the Buyer will appear on the Funding Memo. When the Non Host Agent and the Non Host Buyer have different Location/Servicing Groups or are different customers, the “Paid By Buyer Directly to Agent” indicator will default to ‘No’ but can be changed. Cashflows are as follows: When the indicator is unchecked: From Non Host bank Buyer to Host Bank Seller and From Host Bank Seller to Non Host Bank Agent. The amount being remitted from the Buyer to the Seller will appear on the Funding Memo. When the indicator is checked: From Host Bank Seller to Non Host Bank Agent. This will not appear on the Funding Memo. Note: Beginning with Release 5.4.07.08 (Patch) , 6.0.08.02 (Patch) and Release 6.0.08.05 the following functionality applies: If recordation fees are being paid to the agent directly, the Funding Memo states whether the Buyer is paying the entire recording fee, the Seller is paying the entire recording fee, or the Buyer and Seller are splitting the recording fee and are paying separately to the Agent.
Paid By Seller Directly to Buyer	Conditional	Checkbox Indicator	Allows the User to direct the cashflow for the Assignment Recordation Fee to be paid by the Seller directly to the Buyer as an override to the normal functionality. Please note, the “Paid By Seller Directly to Buyer”, is protected, <u>until the “Paid By Buyer Directly to Agent” indicator is checked.</u> Host Bank Agented Deals: Host Bank Buys or Sells: When the Host Bank is both Agent, and either the Buyer or Seller, the “Paid By Seller Directly to Buyer” indicator will default to ‘No’ (Unchecked) and be protected. When the Host Bank is both Agent, and either the Buyer or Seller, but the Agent and Buyer or Seller are different entities and/or have a different branch, the “Paid By Seller Directly to Buyer” indicator will default to ‘No’ (Unchecked) and be protected. Host Bank Agented Deals: Outside Assignments When an Outside Assignment is created for a Host Bank Agented Deal, the “Paid By Seller Directly to Buyer” indicator will default to ‘No,’ and can only be changed when the “Paid By Buyer Directly to Agent” is checked. If the Assignment Recordation Fee is to be Paid by the Seller, and the “Paid By Seller Directly to Buyer” is checked, there will be a cashflow for the full amount of the fee from the Buyer to the Agent. This is due to

Attribute	Req/Opt	Size/Format	Rules
			the fact that "Paid By Seller Directly to Buyer" is only available when the "Paid By Buyer Directly to Agent" is checked. Based on this, the Seller would send the fee to the Buyer, and the Buyer will remit the fee to the Agent. If the Assignment Recordation Fee is to be split between the Buyer and Seller, and the "Paid By Seller Directly to Buyer" is checked, there will be a cashflow for the full amount of the fee from the Buyer to the Agent. This is due to the fact that "Paid By Seller Directly to Buyer" is only available when the "Paid By Buyer Directly to Agent" is checked. Based on this, the Seller would send their portion to the fee to the Buyer, and the Buyer will remit the full amount of fee to the Agent. Host Bank Buyer to Host bank Agent. Non Host Bank Agented Deals: When the Agent and the Buyer are the same Non Host Bank Customer and the Host Bank is the Seller, the "Paid By Buyer Directly to Agent" indicator will default to unchecked and be protected. Cashflow is as follows: From Host Bank Seller to Non Host Bank Buyer/Agent. The amount being remitted from the Seller to the Buyer will appear on the Funding Memo. When the Non Host Agent and the Non Host Buyer have different Location/Servicing Groups or are different customers, the "Paid By Buyer Directly to Agent" indicator will default to 'No' but can be changed. Cashflows are as follows: When the indicator is unchecked: From Non Host bank Buyer to Host Bank Seller and From Host Bank Seller to Non Host Bank Agent. The amount being remitted from the Buyer to the Seller will appear on the Funding Memo. When the indicator is checked: From Host Bank Seller to Non Host Bank Agent. This will not appear on the Funding Memo
Override Expense Code	Optional	Button	Allows the user to specify an expense code different from that associated with the Deal or Circle. The Override Expense Code button is separately licensed functionality. Licensed clients must refer to the <i>Loan IQ Enhanced Circle Event Fees – Setup & User Guide</i> for more information. If you are not licensed and would like further information about Enhanced Circle Event Fees functionality, please contact your Loan IQ Account Manager.
Applies to Income	Optional	Checkbox	Available in Release TBD as per the Assignment Recordation Fee Income Allocation enhancement. Specifies that the Override Expense Code applies to Income when the Override Circle Closing Fees license is enabled. The default value is determined by the DAOEA (Default Assignment Recordation Fee Override Expense Applicability) system parameter.

Attribute	Req/Opt	Size/Format	Rules
Applies to Expense	Optional	Checkbox	Available in Release TBD as per the Assignment Recordation Fee Income Allocation enhancement. Specifies that the Override Expense Code applies to Expense when the Override Circle Closing Fees license is enabled. The default value is determined by the DAOEA (<i>Default Assignment Recordation Fee Override Expense Applicability</i>) system parameter.
Participation Fee: Applicable to all Broker and Host Bank Participations including Internal Participations.			
Currency	Conditional	Drop list Table: Currency	Defaults to the deal currency but may be modified to any active currency specified in the Currency Table.
Amount	Optional	System Amount Standard	Participation Transfer Fees are not templated at the deal level, but are negotiated per circle. User enters the Total Amount of the Fee, which then flows to "Paid by Buyer" on Sells and to "Paid by Seller" on Buys. Sum of Paid by Buyer and Paid by Seller must always equal the Total Amount of the Fee.
Paid by Buyer	Optional	System Amount Standard	Set to Total Fee Amount on a Sell (lender is the buyer). Can be modified but cannot exceed the Total Fee Amount.
Split Paid By Buyer	Optional	Button	Allows the user to split the Buyer Participation Fee into multiple currencies. The Split Paid By Buyer button is separately licensed functionality. Licensed clients must refer to the <i>Loan IQ Settle Circle Fees in Multiple Currencies – Setup & User Guide</i> for more information. If you are not licensed and would like further information about Settling Circle Fees in Multiple Currencies functionality, please contact your Loan IQ Account Manager.
Paid by Seller	Optional	System Amount Standard	Set to Total Fee Amount on a Buy (lender is the seller). Can be modified but cannot exceed the Total Fee Amount.
Split Paid By Seller	Optional	Button	Allows the user to split the Seller Participation Fee into multiple currencies. The Split Paid By Seller button is separately licensed functionality. Licensed clients must refer to the <i>Loan IQ Settle Circle Fees in Multiple Currencies – Setup & User Guide</i> for more information. If you are not licensed and would like further information about Settling Circle Fees in Multiple Currencies functionality, please contact your Loan IQ Account Manager.
Override Expense Code	Optional	Button	Allows the user to specify an expense code different from that associated with the Deal or Circle. The Override Expense Code button is separately licensed functionality. Licensed clients must refer to the <i>Loan IQ Enhanced Circle Event Fees – Setup & User Guide</i> for more information. If you are not licensed and would like further information about Enhanced Circle Event Fees functionality, please contact your Loan IQ Account Manager.
Broker Fee: Applicable to all Broker Transactions and to all Host Bank Assignments and Participations including Internal Circles.			

Attribute	Req/Opt	Size/Format	Rules
Broker	Optional	Button	For Broker Transactions, the Broker is the booking bank and cannot be changed. For Host Bank Assignments and Participations, a Broker must be defined in order to save a non-zero Broker Fee Amount. If broker fee is zero, any broker assigned to the circle will be removed (after issuing a warning message). Any customer, regardless of Profile Type, may be named as Broker; however, at BTU, the customer receiving the Broker Fee must have a valid MCN. Note: When entering a broker, an error will be displayed if the broker is the circle buyer or seller or is the third party in a circle which requires a third party (i.e., a participation transfer). If an optional third party is entered, the broker may be the same as that optional third party. If a party to the circle is changed to be the same as a previously entered broker, the error will be picked up when attempting to approve the circle for settlement (or close the circle) or the next time a change is made and saved on the Event Fees screen.
Currency	Conditional	Drop list Table: Currency	Defaults to the deal currency but may be modified to any active currency specified in the Currency Table.
Amount	Optional	System Amount Standard	User enters broker fee amount (the amount host bank pays to a broker), which can be zero. Notes: If Broker Fee Amount is zero when 'OK' is pressed, the system will remove any broker assigned to the circle (except for broker transactions, where the broker is the booking bank), after displaying a working message. G/L entries for broker fees will default to the Expense Code of the Circle's Portfolio Allocations. If multiple Portfolio Buckets were involved, the system will use the first non-zero bucket in the first Facility Investment. For broker fees on internal assignments and participations, the branch and expense code depends on whether the cashflow is from the point of view of the buyer or seller. If from the point of view of the buyer, it will be the buyer's branch and expense code; otherwise, it will be the seller's. If portfolio allocations have not yet been done when G/L entries are projected, an error message will be displayed.
Split Broker Fee	Optional	Button	Allows the user to split the Broker Fee into multiple currencies. The Split Broker Fee button is separately licensed functionality. Licensed clients must refer to the <i>Loan IQ Settle Circle Fees in Multiple Currencies – Setup & User Guide</i> for more information. If you are not licensed and would like further information about Settling Circle Fees in Multiple Currencies functionality, please contact your Loan IQ Account Manager.

Attribute	Req/Opt	Size/Format	Rules
Override Expense Code	Optional	Button	Allows the user to specify an expense code different from that associated with the Deal or Circle. The Override Expense Code button is separately licensed functionality. Licensed clients must refer to the <i>Loan IQ Enhanced Circle Event Fees – Setup & User Guide</i> for more information. If you are not licensed and would like further information about Enhanced Circle Event Fees functionality, please contact your Loan IQ Account Manager.
Other Fees:			
Currency	Conditional	Drop list Table: Currency	Defaults to the deal currency but may be modified to any active currency specified in the Currency Table.
Delay Compensation	Optional	System Amount Standard	If positive, indicates the fee is being paid to the buyer; a negative amount is acceptable and indicates the fee is to be paid by the buyer.
Split Delay Compensation	Optional	Button	Allows the user to split the Delay Compensation Fee into multiple currencies. The Split Delay Compensation button is separately licensed functionality. Licensed clients must refer to the <i>Loan IQ Settle Circle Fees in Multiple Currencies – Setup & User Guide</i> for more information. If you are not licensed and would like further information about Settling Circle Fees in Multiple Currencies functionality, please contact your Loan IQ Account Manager.
Override Expense Code	Optional	Button	Allows the user to specify an expense code different from that associated with the Deal or Circle. The Override Expense Code button is separately licensed functionality. Licensed clients must refer to the <i>Loan IQ Enhanced Circle Event Fees – Setup & User Guide</i> for more information. If you are not licensed and would like further information about Enhanced Circle Event Fees functionality, please contact your Loan IQ Account Manager.
Currency	Conditional	Drop list Table: Currency	Defaults to the deal currency but may be modified to any active currency specified in the Currency Table.
One Time Post Trade Date Fee Payment	Optional	System Amount Standard	If positive, indicates the fee is being paid to the buyer; a negative amount is acceptable and indicates the fee is to be paid by the buyer. Available in Release 6.0.12.11, the following separately licensed Cost of Carry Multi Currency Loan Calculation functionality applies: The One time post trade date fee window is modified to provide the ability to: - Select the facility to which the fee applies - Determine whether the fee applies to delayed compensation calculations - View history for each piece of the split payment Note: Whenever a new amount is added or modified in the split payment window, an event is created in

Attribute	Req/Opt	Size/Format	Rules
			the circle notebook that includes the details (amount, date) of the addition or modification.
Split One Time Payment	Optional	Button	Allows the user to split the One Time Post Trade Date Payment Fee into multiple currencies. The Split One Time Payment button is separately licensed functionality. Licensed clients must refer to the <i>Loan IQ Settle Circle Fees in Multiple Currencies – Setup & User Guide</i> for more information. If you are not licensed and would like further information about Settling Circle Fees in Multiple Currencies functionality, please contact your Loan IQ Account Manager.
Override Expense Code	Optional	Button	Allows the user to specify an expense code different from that associated with the Deal or Circle. The Override Expense Code button is separately licensed functionality. Licensed clients must refer to the <i>Loan IQ Enhanced Circle Event Fees – Setup & User Guide</i> for more information. If you are not licensed and would like further information about Enhanced Circle Event Fees functionality, please contact your Loan IQ Account Manager.
Currency	Conditional	Drop list Table: Currency	Defaults to the deal currency but may be modified to any active currency specified in the Currency Table.
Accrual Interest/Fees Bought and Sold	Optional	System Amount Standard	Amount entered must be positive, and represents the total amount of accrued interest and fees being purchased by the buyer of the circle. (This amount is shown on the Funding Memo but is not a part of the circle's cashflows and the Interest Settlement Option selected on the Facilities page must be "Actual Settlement Date/ Paid By Buyer/Paid At Close).
Split Accrued Interest	Optional	Button	Allows the user to split the Accrued Fee into multiple currencies. The Split Accrued Interest button is separately licensed functionality. Licensed clients must refer to the <i>Loan IQ Settle Circle Fees in Multiple Currencies – Setup & User Guide</i> for more information. If you are not licensed and would like further information about Settling Circle Fees in Multiple Currencies functionality, please contact your Loan IQ Account Manager.
Breakfunding Fee	Optional	System Amount Standard	The fee can be owed to the buyer or the seller, depending on the current funding rate as of two days prior to settlement and the funding rate of the current outstanding loans. If the funding rate is higher, then the seller pays the buyer. If the funding rate is lower, then the buyer pays the seller. The Breakfunding Fee can be entered as either a positive or negative value. For a sell, a positive Breakfunding Fee indicates that the host seller pays the fee. If the Breakfunding Fee is negative, then the host seller receives the fee. For a buy, a positive Breakfunding Fee indicates that the buyer receives the fee. If the Breakfunding Fee is negative, then the host buyer pays the fee.

Attribute	Req/Opt	Size/Format	Rules
			The Breakfunding Fee field is separately licensed functionality. Licensed clients must refer to the <i>Loan Enhanced Circle Event Fees – Setup & User Guide</i> for more information. If you are not licensed and would like further information about Enhanced Circle Event Fees functionality, please contact your Loan IQ Account Manager.
Currency	Conditional	Drop list Table: Currency	Defaults to the deal currency but may be modified to any active currency specified in the Currency Table.
Split Breakfunding	Optional	Button	Allows the user to split the Breakfunding Fee into multiple currencies. The Split Breakfunding button is separately licensed functionality. Licensed clients must refer to the <i>Loan IQ Settle Circle Fees in Multiple Currencies – Setup & User Guide</i> for more information. If you are not licensed and would like further information about Settling Circle Fees in Multiple Currencies functionality, please contact your Loan IQ Account Manager.
Override Expense Code	Optional	Button	Allows the user to specify an expense code different from that associated with the Deal or Circle. The Override Expense Code button is separately licensed functionality. Licensed clients must refer to the <i>Loan IQ Enhanced Circle Event Fees – Setup & User Guide</i> for more information. If you are not licensed and would like further information about Enhanced Circle Event Fees functionality, please contact your Loan IQ Account Manager.

Available in Release 6.0.12.11, the following separately licensed Cost of Carry Multi Currency Loan Calculation functionality applies:

Purchase Price computation during Cost of Carry calculation is modified only for Trades with multi-currency facility/facilities with delayed compensation as follows. Loan IQ calculates the Purchase Price for Cost of Carry calculations on a currency by currency basis, based on the individual loan currencies, as well as the Facility currency, as defined below:

Actual Settlement Amount Due from Buyer to Seller (excluding Delayed Compensation)

[Buyer's Share of the Funded Amount in Loan Currency @ Delayed Compensation Start Date] * [Buy/Sell Price]

Minus

[Buyer's Share of Undrawn Amount in Loan Currency** @ Delayed Compensation Start Date] * [100-Buy/Sell Price]

Minus

[Buyer's Share of Commitment Reductions in Loan Currency++ on or after Trade Date but on or before Settlement Date] * [100-Buy/Sell Price]

Minus

[Non-recurring Fees in Loan Currency received by the Seller on or before the Settlement Date to which the Buyer is Entitled]

***Note:** if this amount comes to a negative sum, the absolute value is due from Seller to Buyer

Buyers Share of Funded Amount in each applicable loan currency:

This amount is calculated for each applicable loan currency during multicurrency facility trades for Purchase Price calculation during cost of carry computation.

Buyer's share of Undrawn amount discount in loan currency:

This calculation is same as followed in current circle funding memo in Delayed compensation applicable trades.

** Undrawn amount discount calculation in Loan Currency is only applicable when Facility and Outstanding are in the same currency. In other scenarios this amount is zero. The undrawn amount is always stated in the Facility Currency. Loan IQ calculates the undrawn amount piece of the Purchase Price as it currently does .

Buyer's share of each loan payment in loan currency:

If the commitment reduction is due to a scheduled or unscheduled principal payment on or after the Circle Trade Date and on or before the Circle Close Date, then the benefit of commitment reduction due to principal payment is considered in the calculation of the purchase price.

For example in a fully funded term facility, a principal payment on Term Loan reduces its balance as well as causing the commitment reduction.

++ A Commitment Reduction is actually done in the Currency of the Facility. In the scenario where the Commitment Reduction is the result of a Loan Principal Payment with Auto-Reduce indicator checked, Loan IQ is able to determine the amount of the Commitment Reduction in the Loan Currency and that is used to calculate the Purchase Price balance for the Cost of Carry calculation in that Loan Currency. However, if the Commitment Reduction is done manually via the Facility Increase/Decrease Schedule, Loan IQ does not have a link to the actual Principal Payment and determines the amount of the Commitment Reduction in the Facility Currency and that will be used to calculate the Purchase Price balance for the Cost of Carry calculation in that Facility Currency.

Non-recurring Fees in Loan Currency:

If the fee payment is received on or after the Circle Trade Date and on or before the Actual Settlement Date (i.e. Circle Close Date), then the benefit of fee payment is considered in the calculation of the purchase price.

Here Non-recurring fees refers to only "One time post trade date fee payment" fee which is not recurring in nature. In the event fees window "Assignment recordation fee" is not included in the non-recurring fees.

In the event fees window above fee has a history button to capture the modifications to fee amount with dates.

History for above event fee modification is provided as based on the effective date of the modification (as entered by the user) and the modified amount delayed compensation will change. This amount is considered in non-recurring fee, which is included in the purchase price calculation.

In a deal, if a fee is paid in specific currency other than in the facility currency and there is no existing outstanding in that currency, then Delayed Compensation calculations are handled separately out of Loan IQ.

For example "one time post trade date fee payment" amount may be entered on day one and then may be changed on day 5 and the purchase price calculation looks at the amount on the different dates.

In a deal, if a fee is paid in specific currency other than in the facility currency and there is no existing outstanding in that currency, then Delayed Compensation calculations are handled separately out of Loan IQ.

For any non-recurring fee that is not in the currency of any outstanding, Loan IQ does not include in the purchase price formula for cost of carry.

However, if the fee is in the currency of the facility (example: there is no outstanding in the facility currency) Loan IQ calculates and includes this fee in the purchase price formula for cost of carry.

Note: In the case of the unfunded discount where there are no loans in the facility currency, Loan IQ still calculates unfunded discount for the facility currency, using the formula (with the funded amount in currency as zero).

Example

I Details of Transaction

The calculation assumes the following in relation to the transaction:

Type of Trade:	Distressed Trade (not incorporating Delayed Settlement Compensation)
Trade Date:	T
Settlement Date:	T + 20
Facility:	Multicurrency Revolving Credit Facility
Commitment being sold:	EUR 10 million
Drawn at Settlement Date:	£5 million
Undrawn commitment being sold (base currency):	EUR 5 million
Cancellation of undrawn commitment being sold (made on T+15):	EUR 1 million
Purchase Rate:	50%
Non-Recurring Fees for the account of Buyer:	EUR 100k (paid on T+1)
Transfer fees:	None

II

Settlement Amount calculations

(A)

Settlement Amount calculation in respect of sterling denominated amounts (T+20)³

50% x £5,000,000	(Funded portion denominated in sterling as at Settlement Date (T+20))
<i>minus</i> (100% - 50%) x £0	(Unfunded portion denominated in sterling as at Settlement Date (T+20))
<i>minus</i> (100% - 50%) x £0	(Prepayments/reductions denominated in sterling as at Settlement Date (T+20))
<i>minus</i> £0	(Non-Recurring Fees denominated in sterling)
= £2,500,000 (payable by Buyer to Seller)	

(B)

Settlement Amount calculation in respect of Euro denominated amounts (T+20)

50% x EUR 0	(Funded portion denominated in EUR as at Settlement Date (T+20)) ⁴
<i>minus</i> (100% - 50%) x EUR 4,000,000	(Unfunded portion denominated in EUR as at Settlement Date (T+20))
<i>minus</i> (100% - 50%) x EUR 1,000,000	(Cancellation of EUR denominated commitment (T+15))

minus EUR 100,000

(Non-Recurring Fees denominated in EUR)

= - EUR 2,600,000

= EUR 2,600,000 (payable by Seller to Buyer)⁵

(C)

Settlement Amount payable – Two way payment

£2,500,000 (payable by Buyer to Seller)

EUR 2,600,000 (payable by Seller to Buyer)

Fee Decisions

Option is available only **prior to circle close**.

The Circle Fee Decisions Screen that appears when the “Fee Pricing” option is selected is composed of a Facility Selection Box, three lists of fees that apply to the selected facility (List of Upfront Fees, List of Ongoing Fees and List of Additional Circle Fees), plus a work-area designed to simplify the reconciliation of the Buy/Sell Price. **Option is not available for Internal Trades.**

Note: Fee Decisions are saved upon exiting the screen, rather than by Facility.

Available in Release 7.1 with separately licensed functionality, Fee ID in Fee Notebooks and List, the Fee Alias is shown in the Fee List on Circle Fee Decisions.

Circle Fee Decision Screen

Attribute	Req/Opt	Size/Format	Rules
List of Facilities	System Generated	Display	Displays the Facility Name, Global Commitment, Buy/Sell Price, Amount, Maturity Date, Expiry Date, Interest Skim, Ongoing Fee Skim and Currency. Note: If a facility has been terminated, no new fee decisions can be created. However, any existing fee decisions will be listed.
Set Upfront Defaults	Optional	Button	Brings up a window allowing user to re-set the actual share of each listed Upfront Fee to: .. Current .. Borrower .. Offered (applies only to primaries) ..None Validations: 1. Fee Decisions for a Primary Circle default to the Upfront Fees specified in Primary Offered Pricing, if Primary Offered Pricing exists. 2. Fee Decisions for a Primary Circle default to the Upfront Fees specified in Borrower Pricing, if no Primary Offered Pricing exists. 3. Regardless of whether Primary Offered Pricing exists or not, Fee Decisions for a new Secondary Circle always default to "None".

Attribute	Req/Opt	Size/Format	Rules
			4. None of the Additional Circle Fees included in Primary Offered Pricing flow down automatically to the primary circle's Fee Decisions. The only way to flow down the Additional Circle Fees specified in Primary Offered Pricing is to select the "Set Upfront Defaults" button on the Primary Circle's Fee Decisions page and choose "Offered". 5. Offered - Choosing this option resets all upfront and all additional circle fees to what is specified in Primary Offered Pricing. (This is the only way in which Additional Circle Fees specified in Primary Offered Pricing can be flowed down into the primary circles). 6. Borrower - Choosing this option resets Circle Fee Decisions to what was specified in Borrower Pricing. 7. None - Choosing this option resets Circle Fee Decisions completely, removing all Upfront Fees and all Additional Circle Fees.
List of Ongoing Fees	System Generated	Display	Lists the Fee ID (Available in Release 7.1 with separately licensed functionality, Fee ID in Fee Notebooks and List, the Fee Alias is shown in the Fee List on Circle Fee Decisions), Level (Available in Release 7.3 with separately licensed functionality – Interest Pricing by Borrower), Skim, Full Calculated Share and Actual Share for every Ongoing Fee defined for the selected facility. Drilling down on a listed Ongoing Fee brings up the <i>Fee Decision</i> window for Ongoing Fees, allowing user to view/modify the Ongoing Fee details pertaining to this facility investment. Note: When licensed with Interest Pricing by Borrower, the Circle Ongoing Fee Decisions (for Skims) includes the ability to make ongoing fee decisions for each of the Ongoing Fees at all levels. The list of ongoing fees includes all ongoing fees defined in the Facility Fee Pricing, regardless of level. Note: SBLC fees will not appear in the Ongoing Fee list for Risk Participations.
List of Upfront Fees	System Generated	Display	Lists the Fee ID (Available in Release 7.1 with separately licensed functionality, Fee ID in Fee Notebooks and List, the Fee Alias is shown in the Fee List on Circle Fee Decisions), Calculated Share, Actual Share, Actual Amount and "Include in Price" Indicator (Y/N) for every Upfront Fee defined for the selected facility. Drilling down on a listed Upfront Fee brings up the "Fee Decision" window for Upfront Fees, allowing user to view/modify the Upfront Fee details pertaining to this facility investment. Note: If Circle Upfront Fee Decision is made initially to retain a percentage of a "formula-based" borrower fee, and then Deal Borrower Pricing is changed to express that borrower fee as a Flat Fee, the Circle Upfront Fee Decision will be converted to Flat Amount the next time it is loaded, and will be defaulted as appropriate: .. Full - for Primaries .. None - for Secondaries Note: If Circle Upfront Fee Decision is made initially to retain a flat amount of a "flat amount-based" borrower fee, and then Deal Borrower Pricing is changed to express that fee as a formula-based fee, the Circle Upfront Fee Decision

Attribute	Req/Opt	Size/Format	Rules
			will remain as a Flat Amount. It will not be converted, and will need to be manually adjusted if the amount is no longer appropriate. Note: If Deal Processing Area is different from Facilities/Circle Processing Area, no Upfront Fees can be allocated to the circle, since FHAD (Fees Held Awaiting Distribution) belonging to a different processing area cannot be impacted. (Discount is allowed, but not Upfront Fees). (See "Circle Processing Area" write-up in Appendix). Note: All Fee Decisions are created as float until modified.
List of Additional Circle Fees	System Generated	Display	Lists the Fee ID (Available in Release 7.1 with separately licensed functionality, Fee ID in Fee Notebooks and List, the Fee Alias is shown in the Fee List on Circle Fee Decisions), Additional Circle Fee Name, Amount, "Include in Price" Indicator (Y/N) and Rate for every Additional Circle Fee chosen for this facility investment. Drilling down on a listed Additional Circle Fee brings up the "Additional Circle Fee" window. Note: A Preclosing Fee may be a Flat amount only.
Add	Optional	Button	Brings up the "Additional Circle Fee" window, allowing user to add a new "Additional Circle Fee."
Delete	Optional	Button	Removes the selected Additional Circle Fee from the Fee Decision worksheet.
Upfront/Additional Circle Fees Included in Price	System Generated	Display	Displays the total of the Upfront Fees and Additional Circle Fees included in the Buy/Sell Price. Note: The "Include in Price" column on both the Upfront and Additional Circle Fee Lists will display "Y" for all fees included in the calculated Buy/Sell Price.
Fee Details	Optional	Button	Beginning with Release 6.0.10.02, the following separately licensed functionality applies to both Circle Buy/Sell: Loan IQ provides the ability to input fee details through the Fee Details button. Clicking the "Fee Details" button pops up a "Fee Details" window. Choosing the "Add" button pops up a "Fee Detail" window providing the ability to input Fee Type and Amount. The Fee Type drop down list provides for selection only those fees set as <i>Upfront Fees / Included In Price</i> or <i>Additional Circle Fee / Included in Price</i>. Once a facility is highlighted and the fee details button is clicked, Loan IQ provides ability to input fee details for that specific facility. Once fee details have been input(for circle sell and circle buy), if the portfolio indicator is changed to "discount by fee type does not apply", then during send to settlement approval/settlement approval/close, Loan IQ generates an error that fee details have to be removed. Once fee details have been input(for circle sell and circle buy), if the system parameter setting is changed to non-applicable, then during send to settlement approval/settlement approval/close, Loan IQ displays an error that fee details must be removed. Refer to the <i>Loan IQ Portfolio Positions Edit & Validation Rules</i> document for more information.

Attribute	Req/Opt	Size/Format	Rules
			Total discount for fee details purpose = Entered discount in the "Amount of discount" field on the facility investment screen + upfront/additional circle fees included in price. For internal circles, only one set of fee details exist per facility investment and are owned by the facility investments for the buy. However, the fee details are able to be entered/accessed via either circle. At circle close, the fee detail applies to both circles to the extent that this functionality is applicable to the branches and portfolios of the two circles. Once fee details are input (for the global amount of the discount input at the facility investment level plus the upfront fees and additional circle fees included in price), fee details are applied to the portfolio allocations based on the portfolio allocation's percentage of the facility investment amount. When the circle is closed, fee details are written only for those portfolios for which the "discount by fee type applies" indicator is turned on. Once a circle is closed, if the details button is clicked, Loan IQ displays the details as input by the user.
			During send to settlement approval/settlement approval/close (for circles), Loan IQ validates that the sum of detailed lines is equal to the full amount of discount only if this functionality applies to at least one of the circle portfolio allocations and generates an error if the components do not add up. (Note: For an internal circle, this validation occurs if the functionality applies to at least one of the portfolio allocations on either the buy or the sell. Note: Circle Sell specifics: When a circle sell causes any G/L entries for a change in the portfolio position discount or premium, the fee details for the change in discount/premium amount is prorated based on projected fee type balance in the facility portfolio position i.e. the balances after applying the fee type balances input in the circle. Refer to the <i>Loan IQ Participation Fee, Premium or Discount Amount and other Amortized Fees Setup & User Guide</i> for more information. If you are not licensed for this enhancement and would like further information, please contact your Loan IQ Account Manager.
Discount	Optional	System Amount Standard	Discount amount entered is immediately reflected in Calculated Buy/Sell Price. Negative discounts are allowed. Note: Discount can be entered either here or on the Facility drill-down on the first page of Circle NB.
Buy/Sell Calculation	System Generated	Display	System calculates and re-displays Buy/Sell Price whenever any of its component parts has changed.
Buy/Sell Price	Required	Percent	Buy/Sell Price can be entered either here or on the Facility drill-down on the first page of Circle NB. Note: No warning is issued if user exits from the Circle Fee Decision Screen without reconciling the Buy/Sell Price to the system-calculated price. However, the circle cannot be closed until the two prices (user-entered and system-calculated) are in agreement.

Attribute	Req/Opt	Size/Format	Rules
Accept Calculated Price	Optional	Button	Resets the Buy/Sell Price of the selected facility investment to the Buy/Sell Calculated Price.

Fee Decision for Upfront Fees

Attribute	Req/Opt	Size/Format	Rules
Upfront Fee Type	System Generated	Display	Appears in Title Bar. For example, "Fee Decision for: Origination."
Upfront Fee Formula	System Generated	Display	Appears at top of Fee Decision window. For example, "Total Commitment x Rate (20BP)."
Flat Amount/Distribute All/Distribute, Retain	Required	Indicators (Radio Buttons)	.. If Upfront Fee is not distributed, indicates "Distribute, Retain," the "Distribute" percentage will be zero, and the "Retain" percentage will be the calculated share (for example, 0.2% or 20BP). .. If Upfront Fee is completely distributed, indicates "Distribute All," the "Distribute" percentage will be the calculated share (for example, 0.2% or 20 BP), and the "Retain" percentage will be zero. .. If Upfront Fee is to be partially distributed and partially retained, indicates "Distribute, Retain," and the "Distribute" and "Retain" decimals shares will add up to the calculated share.
Distribute/Retain Percentage Shares	Conditional	Percentage	Not applicable to "Flat Amount" or "Distribute All." Neither the Distribute Percentage nor the Retain Percentage can be negative, and neither can exceed the calculated share percentage (Borrower's Rate) for this upfront fee. Note: Both are entered as percentages, and their sum will always be equal to the calculated share percentage (Total Borrower's Rate) for this upfront fee.

Fee Decision for Ongoing Fees

Attribute	Req/Opt	Size/Format	Rules
Ongoing Fee Type	System Generated	Display	Appears in Title Bar.
Formula	Optional	Button	Retrieves the formula that is in effect for the selected Ongoing Fee, and displays it at the top of the Fee Decision window. For example, "Global Current x Rate (40BP)."
Skim All/Skim	Required	Indicators (Radio Buttons)	.. If all of the Ongoing Fee is being passed along, (no skim), indicates "Skim," but the Skim Rate will be zero, and the "Effective Rate" will be the full Borrower Rate. .. If entire Ongoing Fee is being skimmed, indicates "Skim All," the Skim Rate will be the full Borrower Rate, and the "Effective Rate" will be zero. If Ongoing Fee is being partially skimmed, indicates "Skim," and the Skim Rate and Effective Rates will add up to the full Borrower Rate.

Attribute	Req/Opt	Size/Format	Rules
Skim Rate/Effective Rate	Required	Percent	Both the Skim Rate and the Effective Rate are entered as percent, and their sum will always be the full Borrower Rate for this ongoing fee. Note: Negative skims can now be entered for Ongoing Fee Decisions in Circle. Validations: Available from Release 7.3.1.19 and later, 1. At the Circle level, Fee Type is available under Maintenance > Fee Decisions and not at the actual instance of the fee. Therefore, adding a skim to the Fee Type displays a skim on the Fee Lender Shares of that Type of Fee. 2. If the user creates another copy of the same fee using "Create Ongoing Fee" option, then the fee is replicated, and the Skim Lender shares are also replicated but Skim is not applied to the Accruals of the Second fee. 3. The user can create another fee of the same type in the Pricing Fee Type table and achieve the same result i.e., add a skim on a second fee which is applicable on the same balance.
Branch/Portfolio/Expense	Conditional	Button	If Skim Rate is non-zero, user must select the portfolio information needed to book the skim. As per the Expense and Branch Code Association enhancement, available with Release 6.0.08.08, the following separately licensed enhancement applies: Only valid Expense Codes display for the mandatory Branch selected. The Branch must be selected first then select the Portfolio/Expense Code. If the Branch is changed after selecting the Portfolio/Expense Code, the refreshed Portfolio/Expense Code list associated with the selected Branch is displayed. If the Portfolio or the Expense Code is not valid for the new Branch, Loan IQ displays only valid Portfolio/Expense Codes for the newly selected Branch.

Additional Circle Fee

Attribute	Req/Opt	Size/Format	Rules
Type of Fee	Required	Table: Additional Circle Fees	Select one (active) value from list of Additional Circle Fees.
Included in Price	System Generated	Display	Indicates whether or not the Additional Circle Fee selected is included in the Buy/Sell Price
Flat Amount/Circle Amount x	Required	Indicators (Radio Buttons)	Defaults to Flat Amount, but may be changed to "Circle Amount x."
Flat Amount	Conditional	System Amount Standard	Required if Additional Circle Fee is being entered as a Flat Amount. Cannot be negative.
Percentage	Conditional	Percent	Required if Additional Circle Fee is being entered as a Percentage. Cannot be negative.

Funding

Displays all information needed for user to make a **Funding Decision** and, if applicable, allows user to request generation of the **Funding Memo**. Selection of "Funding" option is not applicable to Broker Transactions (Broker Participations and Assignments).

When selected in **update** mode, an **error** message is displayed if no outstandings exist for any facility in which the circle has a share. When selected in **Inquiry** mode, an "empty" funding decision screen will be displayed under these circumstances. Funding Query is **not applicable** to circles that are **never funded** (for example, Outside Assignments in a deal for which the agent is not a Host Bank, Broker Transactions, Intraday Loans, Bankers Acceptances and Discount Loans).

Also, when selected in **update** mode, a **warning** is issued if no closing or ongoing Servicing Group exists for the buyer/seller (our Counterparty), **noting that a Funding Memo cannot be prepared without a Servicing Group**. (The user may still want to look at the Funding and/or make a Funding Decision. A Funding Decision can be made and saved even if a Funding Memo cannot be prepared).

Prior to Circle Close, displays **outstandings (loans, non-loans, SBLCs, including any pending transactions) that are expected to be active on or before this circle's expected close date. Loans are listed by facility, for all facilities in which this lender is investing**. Facility Name, Alias, Status (active or pending), Pricing Option, Repricing Date, this circle's **pro-rata** share of the outstanding, a **"funding decision"** and the Global Current Outstandings are displayed.

Note: Circles with an updated close date **prior** to the current business date will base their funding decisions on the **current** outstandings. Circles with an expected close date in the future will base their funding decisions on the outstandings projected to be active on that date. **In both cases, the funding decisions will be based on the outstandings as affected by any pending transactions expected to be released by that date.**

Note: Pending payments for the entire principal amount cause the circle to ignore the loan because it reads the loan as having a zero amount. Therefore the loan is not funded and the lender does not show up in lender shares of the loan, even though the circle trade date and close dates are later than the loan effective date.

The funding memo shows information for all facilities in the circle for which the circle has a non-zero amount, regardless of whether or not there are any outstandings under that facility. If there are no outstandings, the memo states: 'No Loans Expected to be Outstanding Under Facility as of [expected closing date of circle].'

In addition, for any facility with loans expected to be effective at circle close, a line is shown regardless of whether or not the lender is funding the particular loan [Any loans not being funded are of course, shown with a zero loan share].

Note: SBLC's and Non-Loans are included in funding decisions so that shares may be pro-rated correctly, but are excluded from the funding memo and cashflows at time of circle closure (since they are not funded).

Intraday Loans, Discounted Loans and Banker's Acceptances are excluded from both the funding decision and from the funding memo and cashflows.

Funding Decision Effective Date is set to the Effective Date of the governing transaction. For instance, if a circle is closed effective 12/31/95, then the effective date of the funding decision will also be 12/31/95.

Funding Decisions can be made, and Funding Memos can be created, even when portfolio allocations have not yet been created.

Note: In the past adding a new outstanding and releasing an outstanding transaction have notified circles with frozen funding decisions for the outstanding, set funding to needs review, and returned settlement approved circles to open. This will no longer be done. Instead, frozen funding decisions will be set to needs review, as described below:

New Outstanding - When a new outstanding (of a type which can have a funding decision) is created, a funding decision (i.e., Outstanding Automatic Share Adjustment) frozen at zero will be created for any circle which is approved for settlement and has a share of the outstanding's facility. This decision will be set to needs review

Releasing Outstanding Transactions – When an outstanding transaction is released, any non-zero frozen funding decisions for the outstanding will be set to need review.

If any funding decisions are set to need review, the user will not be able to release the first cashflow. If any cashflows were released before decisions were set to needs review, subsequent cashflows may be released, but the user will get a warning message. Circles may not close while there are any cashflows needing reviews.

The circle funding decision screen indicates whether a funding decision needs review (**'NR' in red in the first column**). The user may review a decision, leaving it as is, by using the Review button. If it is necessary to change the decision, the circle must be returned to open. If any cashflows have already been released, they will have to be cancelled in order to return the circle to open.

Note: If there is a change to the Circle (e.g. Change in amount or change in Servicing Group if the Funding Memo has not been sent yet) user will receive an error message that funding needs review due to Circle Changes. If one or more individual funding decisions are set to needs review (NR), message is received that one or more frozen funding decisions need review due to change to outstandings.

Treatment of Pending Transactions:

1. Pending outstandings will be included in the circle funding decision if their effective date is equal to or prior to the circle expected close date. A pending automatic share adjustment will be created for each pending drawdown, including pending repricings with conversions.
2. For pending new loans which are part of a repricing, the pending transaction (that **MUST** close on the same day as the circle) is included while the actual outstanding is excluded.
3. If the drawdown is still pending at circle close, the following **error** will be displayed, "One or more outstandings for which there is a non-zero funding decision which is included in cashflows is still pending. The circle cannot close until these outstandings are released or their funding decisions changed to not funded." **Pending and released loans do not impact funding decisions after circle close.**
4. After circle close, the drawdown's shares will be adjusted directly and an event, **Changed to Needs Review**, will be recorded on the drawdown and a Review Workflow item will be created.
Note: This only applies to drawdowns that have an effective date later than the closing date of the circle (for example, those which do not show up in the funding decisions.) If, after receiving the error in Point 1 listed above, the User sets the funding decision to zero rather than waiting until the drawdown is released, then that drawdown will not be affected in any way by the circle close. It will not be returned from approval and it will not be set to Needs Review.
5. Pending transactions affected by the circle, such as principal payments, that have an effective date equal to or prior to the circle expected close date, will be adjusted at circle close, an event will be recorded, "Changed to Needs Review," and a Review Workflow Item will be created.
6. Fixed Funding Decisions for pending outstandings in a currency different than the Facility Currency, where the F/X Rate has **not** been set, will use the Facility Spot F/X Rate for the outstanding currency.

The ability to net payments - If a particular lender does not want the standard Funding Memo (created by netting payments), the "Settle Gross/Settle Net" indicator setting in the Circle Notebook can be changed from "Settle Net" (default) to "Settle Gross," and the alternate version of the Funding Memo will be prepared.

As per the separately licensed **Trade Settlement with Pending Loan Transactions** enhancement, available in Patch Release 6.0.08.08, the following functionality applies.

In case of Pending Outstandings whose Effective Date is less than or equal to the Expected Closing Date of the Circle and which appear in the "Funding Decision" screen of the Circle notebook, Lender Share

Adjustments are automatically created upon closing the Circle, even though the Funding Decisions for such Pending Outstandings are set to “zero”.

If there are Pending Outstandings appearing in the Funding Decision screen of the Circle notebook, whose Funding Decisions are set to zero, and the Pending Outstandings are released after the Funding Decisions are frozen but prior to closing the Circle, Loan IQ displays an appropriate error message to the user at the time of closing the Circle. The user must then return the Circle Back to Open status and change the Funding Decision for the Outstandings which were released after the Funding Decisions were frozen and then proceed to close the Circle.

Funding Decisions

Three “**funding decisions**” are possible:

“**0.00**” - Indicates the loan is **not being funded** (Set by choosing “Don't Affect” button).

“**float**” - Indicates the Funding Memo has not yet been prepared but when it is, this loan will be included as one of the loans being funded, on a **pro-rata basis**. Until preparation of the Funding Memo, the lender shares are “floating” (that is, they are being adjusted constantly as changes occur, so that they will remain on a pro-rata basis). (Set by choosing “Float” button).

Decision Amount - Displaying an actual amount, rather than ‘0.00’ or ‘float’, indicates either that the Funding Memo has already been prepared and this loan was included for the amount shown, or, if the Funding Memo has not yet been prepared, that this lender’s loan shares have been “frozen” and will be included in the Funding Memo, when prepared, at the amounts shown.

Interest Settlement Decisions for Interest Bought and Sold: This functionality is not available for Risk Participations. The default will be Actual Settlement Date/Paid By Agent and cannot be changed. It is not available for any type of Internal Circle, other than Internal Assignments and Participations.

Depending on the above option, the Funding Decisions Screen, Funding Memo and Cashflows will behave as follows:

Actual Settlement Date – Paid by Agent: The Buyer of the circle assumes their share of the interest as of the Circle Close Date. Unpaid Interest Cycles do not appear on the Funding Decisions Screen. There are no cashflows or G/L’s in the Circle Notebook and nothing appears on the Funding Memo.

Actual Settlement Date – Paid by Buyer/Paid when received: Default When “Paid by Buyer” is selected. The Buyer is purchasing any unpaid interest prior to the Circle Close Date. Any cycles with unpaid Interest will appear on the Funding Decisions screen for a loan eligible for Funding Decisions. Interest Settlement Decisions must be made for the unpaid cycles when Principal Funding occurs. The default Interest Settlement amount is calculated based on the pro rata funding decision for the loan. For the current cycle, the period of interest calculated for the interest settlement is from the Cycle Start Date to, but not thru the Expected Close Date of the Circle. If “Paid when received” is selected, the Buyer does not pay the Seller for the interest purchased until the borrower makes an interest payment. Therefore, there will be no cashflows or G/L entries when the circle closes, although the Automatic Accrual Share Adjustments are released for any interest cycle being purchased and an Interest Participation is created on the Cycle Shares screen in the loan notebook to account for the cashflow due to the seller or from the buyer for the interest purchased, to be settled when the interest payment is made by the borrower. When creating the Funding Memo, a message will be issued asking the user if they wish to include the Interest Decisions on the Funding Memo.

Actual Settlement Date – Paid by Buyer/Paid at close: The Buyer is purchasing any past due interest prior to the Circle Close Date. Any cycles with unpaid Interest will appear on the Funding Decisions screen for a loan eligible for Funding Decisions. Interest Settlement Decisions must be made for any unpaid cycles when Principal Funding occurs. The default Interest Settlement amount is calculated based on the pro rata funding decision for the loan. For the current cycle, the period of interest calculated for the interest settlement is from the Cycle Start Date **to, but not thru the Expected Close Date of the Circle**. The Buyer pays the seller for the interest when the circle is closed. The cashflows and G/L entries will appear in the circle. An automatic Accrual Share Adjustment (similar to the Automatic Lender Share Adjustment created by the funding decision), is created and released in the loan notebook when the circle is closed, for every affected interest cycle. The Interest Decisions will appear on the Funding Memo.

Beginning with Release TBD and patched to Release 6.0.10.05 with the *Add Net Yield Interest To Loan Interest Circle Notebook* enhancement, the "Net Yield Cycle Due" for Interest Cycles is calculated based on the **Net Yield Rate** of those Outstandings (Loans and Loan-Like Outstanding Types) for whom Servicing Fee is applicable. This applies on any Interest Cycle in the Funding Memo when the "Int/Fee" is set to "Paid By: Buyer" and "Paid At Close" in the Circle transaction.

There are no changes to Cashflows and GL entries in the Outstanding, Interest Payment or Circle notebooks.

Note

For Circles with Interest/Fee Settlement as **Paid By Buyer** and **Paid at Close**, the system will validate the interest decision at Circle Close.

To validate, system will prorate the circle **Interest decision** on the basis of portfolio allocations and compare the value against the accrued Portfolio share at Outstanding. In case of insufficient accrued interest for any portfolio, system will throw the error and prompt to do Manual Share Adjustment.

As a special case, there may be some instances where system will throw this validation error arising due to penny differences, for which MSA would be required. This will happen due to different rounding approaches involved while calculating accrual shares (crumb based) and circle "interest decision" for each portfolio.

For example:

Facility HostBank share: 45,77,193.95000000

Facility Portfolio Shares:

Portfolio 1 (P1)	22,88,596.98000000
Portfolio 2 (P2)	22,88,596.97000000

This Facility portfolio split has been done based on proRata.

Create a Circle of amount 45,77,193.95

Portfolio allocations will be automatically prorated as above.

Calculation for proration interest using formula: $\text{Prorated Amount (Interest)} = \text{Portfolio allocation amount} / \text{Facility investment amount}$

At Circle (calculations that happens without Crumb)

Places	Exact value	Rounded to 2 decimal
prorated for P1	14,041.49503068	14,041.50000000
prorated for P2	14,041.49496932	14,041.49000000

At Outstanding:

Calculation at Accruals batch

Accrued for P1	14,041.49000000
Accrued for P2	14,041.50000000

Without addition of crumb, calculated as : $\text{Balance} * \text{AllInRate} * \text{Days} / 360$

For P1	14,041.49605438
For P2	14,041.49599302

- These values are added with the prior CRUMB (which can be negative or positive) and then rounded off
- So in this case, if CRUMB happens to be negative for P1, the rounded value will be 0.49; whereas for P2, considering the Crumb to be positive, the rounded value will be 0.50

- Hence system throws validation error due to this penny difference and Manual Share Adjustment is required to proceed further.

Note:

If the entire portion of host bank commitment for a facility is sold and the trade is created and closed on CBD, and if the interest/fee settlement is selected as **Paid by buyer at Circle Close**, then a penny difference in interest proration issue may arise due to different rounding logic used by accruals (batch) and circle (online). The issue occurs when the system calculates interest proration amount to be greater than the actual interest accrued (by a penny), which leads to an error at the time of circle close - "Circle is selling more interest than exists in the current accrual share for the loan. Please do a cycle shares adjustment to move the required interest to the current Portfolio Position. "For such cases, the workaround is to do a lender share adjustment of a penny. Penny needs to be adjusted from a lender to host bank, which allows the trade to go ahead.

Actual/Other Date – Paid by Agent: The user entered date will determine when the Buyer assumes their legitimate share of the interest accruals (as opposed to the Circle Close Date). When the circle is closed, an Automatic Accrual Share Adjustment is created and released for the period from the Accrual Changeover Date to the Circle Close Date. As no interest is being bought or sold, there will be no cashflows Circle Notebook. There will, however, be a G/L entry in the circle for Interest Income for the Automatic Accrual Share Adjustment.

Actual/Other Date – Paid by Buyer/Paid when received: Default when selecting “Paid by Buyer”. The user entered Accrual Changeover Date will determine when the Buyer assumes their legitimate share of the interest accruals (as opposed to the Circle Close Date). The Buyer has the option to purchase any unpaid interest cycles *prior* to the Changeover Date. Those cycles will appear on the Funding Decisions screen under the respective loans available for Funding. For example, the circle is closes on June 15, but the Accrual Changeover Date is June 1. The Buyer’s legal ownership of the interest begins on June 1, as they would have on the 15 if Actual/Other Date had not been selected. Loan IQ will create an Automatic Interest Accrual Share Adjustment for the period from the Accrual Changeover date to the Circle Close Date. Since the Buyer is legally entitled to this interest, there will be no cashflows since nothing is being purchased. There will, however, be a G/L entry in the circle for Interest Income for the Automatic Accrual Share Adjustment. Interest Decisions must be made on any past due interest which falls prior to the Accrual Changeover Date. In this case, the Buyer does not pay the Seller for the interest purchased until the borrower makes an interest payment. Therefore, there will be no cashflows or G/L entries when the circle closes, although the Automatic Accrual Share Adjustments are released for any interest cycle being purchased. When creating the Funding Memo, the user is given the option of including the Interest Decisions.

Actual/Other Date – Paid by Buyer/Paid at close: The user entered Accrual Changeover Date will determine when the Buyer assumes their legitimate share of the interest accruals (as opposed to the Circle Close Date). The Buyer has the option to purchase any unpaid interest cycles *prior* to the Changeover Date. Those cycles will appear on the Funding Decisions screen under the respective loans available for Funding. For example, the circle is closes on June 15, but the Accrual Changeover Date is June 1. The Buyer’s legal ownership of the interest begins on June 1, as they would have on the 15 if Actual/Other Date had not been selected. Loan IQ will create an Automatic Interest Accrual Share Adjustment for the period from June 1 to June 15. Since the Buyer is legally entitled to this interest, there will be no cashflows since nothing is being purchased. There will, however, be a G/L entry in the circle for Interest Income for the Automatic Accrual Share Adjustment. Interest Decisions must be made on the past due interest which falls prior to the Accrual Changeover Date of June 1. If the past due interest is settled as part of the circle close, cashflows and G/L entries will be created in the Circle Notebook for the Interest Decisions. The interest settlement decisions will appear on the Funding Memo.

Beginning with Release TBD and patched to Release 6.0.10.05 with the *Add Net Yield Interest To Loan Interest Circle Notebook* enhancement, the “Net Yield Cycle Due” for Interest Cycles is calculated based on the **Net Yield Rate** of those Outstandings (Loans and Loan-Like Outstanding Types) for whom Servicing Fee is applicable. This applies on any Interest Cycle in the Funding Memo when the “Int/Fee” is set to “Paid By: Buyer” and “Paid At Close” in the Circle transaction.

There are no changes to Cashflows and GL entries in the Outstanding, Interest Payment or Circle notebooks.

Flat: Only loans with a status of “Non-Accrual” - can have an Interest Settlement Decision of Flat. If ‘Flat’ is selected has been selected, Interest Settlement Decisions cannot be made for accruing loans. Accruing loans will default to a settlement of “Actual Settlement Date/Paid by Agent” and cannot be adjusted. A message to this affect will be issued when accessing the Funding Decisions Screen. In this case, the Seller is giving up all rights to the interest for all unpaid cycles for the portion of the loan the borrower is buying via the circle. The Buyer is assuming a share of all interest cycles based on their share of the principal and paying nothing to the seller. Those cycles will appear on the Funding Decisions Screen. The following text will appear on the Funding Memo for the interest being traded ‘Flat’: “Interest has been traded Flat. Buyer will receive all interest if and when borrower pays.” Although there will be no cashflows for the interest which is being traded Flat, there will be G/L entries and an Automatic Accrual Shares Adjustment will be created for all unpaid cycles.

Notes:

Loans with zero balances, but which still have unpaid interest will be displayed on the Funding Decisions screen in order for Interest Settlement Decisions to be made.

If a loan’s principal Funding Decision is changed prior to close, the system will not regenerate the Interest Settlement Decisions based on the loan’s new principal funded amount.

If any negative Accrual Cycles Exist for the loan (ex: an existing pre-payment on the current cycle), the Interest Settlement Decision cannot be made. User will receive error that an manual accrual share adjustment must be performed to correct the problem, or that Int Settlement options must be changed to “Actual Settlement Date/Paid by Agent”. However, when an Interest Settlement Decision is tweaked for an individual cycle, the adjustment may be negative.

The Effective Dates of the Automatic Interest Accrual Adjustments cannot be greater than the Cycle End Date of the Cycle being adjusted.

If “Actual Settlement Date”, Interest Settlement Decisions will be allowed for both accruing and non-accruing loans.

In the case of back valued trades, the current cycle will not be adjusted if the Circle Expected Close Date or the user entered “Accrual Changeover Date” falls prior the Cycle start date of current cycle. The past cycle in which these dates falls must be adjusted.

Circle Funding Decision Screen

Attribute	Req/Opt	Size/Format	Rules
Buy is Matchfunded	Conditional	Indicator (check box)	Not applicable to Outside Assignments. Available only if the Circle is a Host Bank Buy. Will default to Yes (checked) if the System Parameter, CBDMF (Circle Buy Default Matchfunded) is set to Yes in the System Parameter Table. Otherwise, defaults to No. If Yes, all loans appearing on the Funding Decisions screen whose Interest Pricing Option has the “Matchfunded” indicator set to ‘Yes’ on the Pricing Option Name table and has a match funded position. Matchfunded position is determined by verifying indicator value Host bank is Matchfunding/or warehousing is checked in the rates tab of the loan and will be set to Matchfunded when the Funding Decision is frozen (a ‘Y’ appears in the ‘MF’ column on the Funding Decisions Screen next to the loan). In this case, the Cost of Funds must be set for the newly funded position prior to Circle Close, via the “Set COF button”. Cost of Funds must only be set after the circle has been sent to Settlement Approval and before close. Circle is not closed until COF has been set. If the “Match funded Overridable” indicator is checked on the Pricing Option Name Table for the loan’s interest pricing option,

Attribute	Req/Opt	Size/Format	Rules
			the user can override this by drilling down on the loan under the MF column and checking the 'N' radio button, in which case the COF does not have to be set. If the "Match funded Overridable" indicator is not checked on the Pricing Option Name Table for the loan's interest pricing option, the user may not override match funding and must set the COF for the loan in order Note: When the Host Bank buys into Match funded loan and sets COF for the new position in the Circle Funding Decisions, an Event is recorded in the Events page of the Loan Automatic Share Adjustment Notebook. As per the separately licensed Warehousing of Specific PLS Shares Based on Portfolio enhancement, available in Patch Release 6.0.08.08, the following functionality applies. In new Circle Buy transactions, generation of Portfolio Loan Shares in the existing outstandings, as non-match funded or otherwise, is based on the value of the Non-Match Indicator in the Portfolio code table.
Sell from Matchfunded Balance	Conditional	Indicator (check box)	Not applicable to Outside Assignments. Available only if the Circle is a Host Bank Sell. Will default to Yes (checked) if the System Parameter, CSDMF (Circle Sell Default Match funded) is set to Yes in the System Parameter Table. Otherwise, defaults to No. If Yes, all loans appearing on the Funding Decisions screen for which Interest Pricing Option has the "Match funded" indicator set to Yes on the Pricing Option Name table and has a match funded position. Match funded position is determined by verifying indicator value Host bank is match funding/or warehousing is checked in the rates tab of the loan and is set to Match funded when the Funding Decision is frozen (a 'Y' will appear in the 'MF' column on the Funding Decisions Screen next to the loan). In this case, if the circle has both a Match funded and Non Match funded balance, the sell will come out of the Match funded Balance first. If No, the sell will come out of the Non Matchfunded balance first. The only way to override the default in this situation is to check or uncheck the "Sell is Matchfunded" indicator. Note: Breakfunding will now occur at Circle Close when the Host Bank sells out of a Matchfunded Position.
Expand All	Optional	Button	
Collapse All			
Float/Freeze	Optional	Button	If the highlighted loan's Funding Decision is "float," the button "Freeze" is available and depressing it calculates, displays and freezes the lender's pro-rata share of the selected loan. This means that the lender's loan share will not be adjusted to keep it on a pro-rata basis as subsequent changes occur. Conversely, if the highlighted loan's Funding Decision displays an actual amount, the button reads "Float" and depressing it changes the funding decision back to "Float." Note: Once a decision is frozen, it is preserved even if the circle close date is prior to the loan's effective date. However, when the Automatic Share Adjustment is released at circle close, it is released as-of the latter of the Circle Close date and the loan's effective date. Note: If the funding decision is frozen, the projected and frozen outstanding columns on the Funding Memo will reflect the same

Attribute	Req/Opt	Size/Format	Rules
			amount unless a change has occurred to the principal, causing the projected outstanding amount to be different.
Affect Pro-Rata / Don't Affect	Optional	Button	If the highlighted loan's Funding Decision displays an actual amount, the button "Don't Affect," is available and depressing it removes the loan from the group being funded and sets its funding amount to "0.00." Conversely, if the highlighted loan's "Funding Decision" is "0.00," the button "Affect Pro-Rata" is available and depressing it calculates and displays the lender's pro-rata share of the related loan. This amount will then either float (be adjusted to keep it on a pro-rata basis as subsequent changes occur) or be frozen, depending upon how the Float/Freeze button is set. Note: If the 'Float' or 'Don't Affect' button is clicked and the highlighted funding decision is returned to 'Float' or '00.00', the Interest Settlement Decisions must be returned to zero.
Review	Optional	Button	When "NR" appears in Red in the first column of an outstanding of the funding decision screen, that decision requires review. The user may review a decision, leaving it as is, by using the Review button. Note: If it is necessary to change the decision, the circle must be returned to open. If any cashflows have already been released, they must be canceled in order to return the circle to open.
Set COF	Optional	Button	Will set the COF (Cost of Funds) for the highlighted outstanding if the circle is a Buy and the Matchfunded Indicator is set to 'Yes' for the loan.
Freeze All	Optional	Button	Will set all funding decisions to Frozen.
Float All	Optional	Button	Will set all funding decisions to Float.

Note: Any of the following conditions will **reset frozen funding decisions to float**, and will populate the Event "Funding Status Changed" in the Events Tab of the circle:

1. Expected closing date is changed.
2. Interest settlement type is changed (for example, between actual/settlement, actual/other date and flat.)
3. Interest settlement paid by party is changed (for example, between agent and buyer.)
4. When interest settlement paid is changed (for example, between paid at close and paid when received.)
5. Lender's share of one or more facilities (other than circled amount) is changed.

Note: The following actions affecting **Interest Settlement Decisions** will set the Funding Decisions to "Needs Review":

1. Any payment to a loan's interest cycle *after* the Interest Settlement Decisions have been made will put the Funding Decision to a status of "Needs Review".
2. Any changes to a loan's interest cycle such as a change to the loan's All in Rate or cycle frequency *after* the Interest Settlement Decisions have been made will put the Funding Decision to a status of "Needs Review". This must apply to the current cycle where Interest has been settled, as well as any prior unpaid Cycles which may have had back dated changes applied.
3. If an interest payment for a loan that has an interest settlement decisions is auto released by the batch, the batch will set that Funding Decision to 'Needs Review'.
4. If an interest payment for a loan that has an interest settlement decision is reversed.

Note:

Cannot make a Funding Decision unless User's Processing Area matches the Circle Processing Area, and all loans included in the Funding Decision must belong to facilities whose Processing Area matches the Circle Processing Area. (See "Circle Processing Area" write-up in the Appendix).

Note: For multicurrency deals, the funding memo displays the buyer's share of any loan in the currency of the loan, irrespective of the currency of the deal and/or facility.

Internal Assignments and Participations - The Funding Decision is made via the Buy Side and applies to both the buy and the sell. **Error** is issued if user tries to fund (freeze) a funding decision for an Internal Circle before completing the portfolio allocations for both sides of the circle.

Note: As per the Payment in Kind (PIK) Interest enhancement available in Release 6.0.08.05, the following separately licensed functionality applies:

The Funding Decision distinguishes the regular loans and the PIK Interest Loans, and presents both types of loans separately when the Funding Decision is being created.

Note: The Cost of Funds Spread on a Circle Buy Transaction can be modified by users with appropriate access.

Matchfunded Loans

Users must set the Index Rate for the matchfunded portion of the Circle Buy transaction before the Circle is closed. From the *Set Cost of Funds* window, an authorized user can override the value in the new Spread field, which is derived from the current Spread on the *Funding Rates* window. A non-authorized user may not override this default Spread value. If the Circle Buy transaction is past-dated, the Spread for the current date is used.

Non-matchfunded Loans

If the transaction is a Buy into an existing portfolio bucket, the Spread for the Buy is derived from the Spread defined on this bucket.

If the Buy results in the creation of a new portfolio bucket, the Spread applicable to Effective Date of the Circle Buy transaction is derived from the *Funding Rates* window. If the Circle Buy transaction is past-dated, the Spread for the current date is used.

Users cannot modify the Spread for the non-matchfunded portion of the transaction from the Circle notebook; however, an authorized user can modify the Spread for the non-matchfunded portion from the Outstanding notebook.

Options Menu

The Options Menu in the Funding Decision window offers the following choices:

Outstanding Notebook -Allows the user to easily enter the Outstanding Notebook of the particular outstanding that has been highlighted, and then exit back to Funding Decision Screen.

Validate Funding - Selecting this item will validate funding as if the circle were closing immediately. If there are any unsaved changes when this item is selected, the user will be informed, and the changes will be saved if the user chooses to continue. All **error and warning messages are accumulated and displayed in one list at the end of the validation process with errors first and then warnings**. This list is not modal to the funding decision screen and can remain open while the user makes any corrections to the funding decisions. 'Print' button is also available for hard copy listing of error and warning messages. If the circle is closed, **Validate Funding** option will not be available.

Generate TSI XML File - This command will only be available for licensed users of the TSI API functionality. These users can select this command to create a single XML file containing Trade Confirmation, Funding Memo, and Credit Agreement information for uploading to the Trade Settlement Inc. (TSI) system, facilitating the Secondary Loan Trading settlement process. This command is also available from the Options Menu of the Circle Notebook. For more information, licensed users may refer to the *TSI API Guide* on the Loan IQ Support Site. Non-licensed users

interested in learning more about this functionality must contact their Loan IQ Account Manager for more information.

Funding Memo Menu

The Funding Memo Menu on the Funding Decision Screen offers the following choices:

Create- Allows the User to Create a Funding Memo. Funding Memos are created from a Default template which may be customized for specific branches. For more information regarding creating customized Funding Memo templates, refer to the Notice Templates Edit Val.

View- Allows the User to View a Funding Memo which has already been created.

Funding Memos are required to inform lenders of the information they will need both to fund and to book loans for their Assignments and Participations. The Funding Amount is remitted by the lender to the Host Bank on a sell and is remitted by the Host Bank to the lender on a buy. Funding Memos are created to show a new lender his share of the current outstandings under each facility being purchased.

In order to create a Funding Memo for a circle, following validations must be passed:

1. Circle must be pending, awaiting approval, or approved. Broker Transactions no longer require funding, are excluded from the Funding Memo and will not automatically adjust lender shares when closed. Adjustments to loans must be made manually until broker transactions are redesigned
2. Circle must have been assigned a Lender **Servicing Group (SG)**.
3. Circle must have an **Expected Close Date**.
4. **Active and Pending Loans are included** in the Funding Memo if they are expected to be active on the Expected Close Date of the circle. Non-loans, Intraday Loans, Bankers Acceptances and Discount loans are **excluded** from the Funding Memo.

The Funding Memo shows information for all facilities in the circle for which the circle has a non-zero amount, regardless of whether there are any loans outstanding under the facility. If there are no loans outstanding under that facility, the memo will state: 'No Loans Expected to be Outstanding Under Facility as of (expected closing date of the circle)'.

In addition, for any facility with loans expected to be effective at circle close, a line will be shown regardless of whether the lender is funding the particular loan. (Any loans not being funding will, of course, be shown with a loan share of zero. Previously, loans, which were not being funded, did not appear). Printing the Funding Memo saves it to the database.

Note: As per the Payment in Kind (PIK) Interest enhancement available in Release 6.0.08.05, the following separately licensed functionality applies:

The funding memo shows the amount of the original commitment that was sold on trade date, plus the corresponding amount of the commitment increase that was capitalized from trade date to settlement date. Commitment Bought or Sold Less PIK only displays a price. The Commitment Bought or Sold Less PIK represents the original commitment in the trade as amended by facility commitment decreases and share changes. The commitment increases are the proportion of any facility commitment increases due to PIK interest capitalization due that were allocated to the trade.

SBLC's, Non Loans, etc., which appear on the Funding Decisions Screen will not appear on the Funding Memo (as nothing is being funded).

Funding memos for Assignment Buys include accrued interest and fees when the buyer pays interest and fee settlement at close, however the cashflows never include accrued interest and fees. User selects **"Create"** in the Funding Memo menu option to actually prepare the Funding Memo, after all loans to be funded have been chosen, and the lender loan share amounts have been calculated for each.

When the circle actually closes, the "potential" funding becomes real, and the lender actually assumes a share of the current outstandings of the active loans.

If user selects "Don't Affect" for every loan that is expected to be active on a Circle's Expected Close Date, no warnings will be issued at Circle Close regarding funding, and no Funding Memo will be created.

Canceling a pending circle that has automatic share adjustments pending (representing the frozen funding decisions) also causes the pending adjustments to be deleted.

Calculation of Funding Amount - Funding memo includes the Global Loan Amount as well as this lender's share of the loan, both in the currency of the loan if different from Deal Currency. The calculation of the circle's share of a loan is sometimes referred to as "funding" the loan. Circles that are not closed will automatically **"fund" when a circle amount**

is entered, "refund" when the circle amount, Servicing Group, Lender Share Type or Lender Name is changed, and will have their funding amount automatically deleted when the circle is cancelled. On closing a circle, if the user has not specifically indicated whether or not the circle must be funded, a warning message will indicate that if the user continues, the circle will be considered funded (based on default funding).

All-In Rate - The All-In Rate shown on the Funding Memo for a particular loan is the **Lender's Rate**. If "Skim Pricing" pertains, it reflects the Borrower's All-In Rate plus or minus any relevant skim.

Remittance Instructions: Funding Memo obtains its Remittance Instructions from **the preferred remittance instructions** assigned to the cashflows. If no preferred instructions exist, the user may assign remittance instructions to the cashflows directly. The **cashflows** are from the point of view of the host bank, either **to** or **from the other party**. The **remittance instructions** used for the funding memo are always the **other party's** instructions.

The Funding Memo for Internal Assignments and Participations also finds its remittance instructions using the cash flows. Only "Intercompany" or Interco/DDA can be assigned as payment method for remittance instructions for internal circles.

Notes:

- For pooled circles, there may be cashflows between the host pool agent and the other pool members. The only cash flows that need remittance instructions for the funding memo are the ones to or from the **buyer**.
- When changes are made to a circle **prior to close** that might affect a Funding Decision that has already been made **or** when changes are made to a **closed** circle that might affect related loans, the **"Funding Decision"** screen appears.
- The 'Funding Decision' screen does not change after circle close. The title bar shows the Circle Close Date; new loans made after circle was closed are not shown; and loans that were active during the circle close are shown even if they are not active anymore.

Settle Gross/Settle Net: If indicator in Circle Notebook is set to **"Settle Net"** (default setting), Funding Memo calculations are netted:

- Lender's Funding Amount = Buy/Sell Price * Lender's Share of the Outstanding
- Lender's Unfunded Amount = (Par (100) less Buy/Sell Price) * Unfunded Amount

Note: The total interest bought/sold is broken out separately on the funding memo when settling net. The principal and interest are displayed as separate amounts on Funding Memos regardless of which indicator (Gross or Net) is selected.

Note: Certain changes have been made to the Funding Memo when settling net in multi-currency deals. If the buyer has a share of any outstanding that is not in the same currency as the facility (therefore, constituting a multi-currency transaction), then calculation on the Funding Memo will be done as follows:

-
1. (100% times the buyer's total share of outstandings) minus
 2. (circle share of the facility times discount price (100% minus price))

For example, if the circle facility is 1,000 USD at a price of 98%, with the buyer's outstanding share of 300 USD and 200 GBP, then the Funding memo will report the calculation with the following format:

Buyer remits to seller 280 USD

1. 300 (100% of buyer's share of outstandings under facility)

2. (20) (2% of buyer's share under the facility)

The determination of a multi-currency transaction and calculation is made on a facility-by-facility basis, depending on whether the buyer has a share of any outstanding which is not in the currency of the facility.

However, if the buyer's shares of all the outstandings in a particular facility are in the same currency as the facility, then these enhancements have no bearing and calculations remain the same.

Also, **Payment Data** screen appears so user can enter payment data **not** calculated by the system that must be reflected on the netted Funding Memo. Amounts may be entered for any or all of the following three categories:

Economic Benefit of principal payments and/or permanent Commitment Reductions after Trade Date.

One-Time Fee payments after Trade Date

Delay Compensation

If indicator is changed to **Settle Gross**, Principal due to seller is calculated at Par (100) and Fees Due to Buyer are calculated separately.

Fees:

Assignment Recordation Fees and Participation Transfer Fees Paid By Buyer are included in the Funding Memo, and are excluded from the Funding Memo when Paid by Seller. If Host Bank is the Admin-Agent or Buyer of the Circle, Assignment Recordation Fee will be included in the cashflow.

Beginning with Release 5.4.07.08 (Patch), 6.0.08.02 (Patch) and Release 6.0.08.05 the following functionality applies: If the Assignment Recordation Fees are being paid to the Agent, the Funding Memo states whether the Buyer is paying the entire recording fee, the Seller is paying the entire recording fee, or the Buyer and Seller are splitting the recording fee and are paying separately to the Agent.

Remittance instructions for the agent payment instructions for the recordation fees payments are displayed only if cashflow for this payment has remittance instructions attached to them to get the information on the funding memo.

If there is not remittance instruction for the cashflow, the user receives a soft warning that the agent's remittance instructions will not be included on the funding memo.

Note: Funding memos may be created for Outside Participation Transfers, even though no funds flow on our books unless there is a participation transfer fee. "Wrong" sender is reflected when funding memo is prepared, but can be edited by the user to reflect "Bankers Trust" and sender's name. (Sometimes we assist the seller and notify the buyer of the outstandings, even though no cash (except for transfer fee) needs to flow through us.

Note: If creating funding when the circle is settling net causes a discount rounding adjustment (funding memo discount, calculation does not match the circle calculation,) and G/L entries subsequently do not balance due to this, (meaning the circle cannot be closed), user must do the following:

1. Change the circle to "Settle Gross" in order to close it.
2. Direct the outgoing cashflow to Special Accounts Payable (SPAP). Incoming cashflow can be matched to those entries.

Changes to Closed Circles:

Changes to a **closed** circle's amounts, Servicing Groups, Lender Share Types, or Lender Name on circles that require a funding decision **no longer** automatically **affect related loans**. If such changes are to be effective, they must be made from the "Lender Position" Query in Facility Notebook. If made via Facility Share Adjustments in this manner, then the **Funding Decision** screen will be displayed, and the user will be required to decide whether the change **must affect the lender's shares of related loans**.

Events:

An event is created only when the **funding status of the circle changes**. If the status is 'Funding' or 'Funding/Memo Sent,' making changes to the funding decision (except changing it to not funding anything) does not create another event because it does not change the funding status of the circle. Likewise, if the funding status is already 'Funding/Memo Sent,' sending another memo does not create another event since the circle's funding status has not changed.

Interest Pricing

The Lender Pricing Screen that appears when the "Interest Pricing" option is selected is composed of a Facility Selection Box and an Interest display area. Only **one** type of Interest Pricing is possible: **Skim pricing (with zero skim = full interest)**.

For "**Skim**" Pricing, a copy of the borrower's pricing text is displayed, with the relevant skim prominently shown above the text list box (as a number of basis points) and a "Show Spreads for Skim Pricing" button allows the user to change to a text view showing the lender spreads. To **close** a circle with "Skim" pricing, the **Branch, Portfolio and Expense Code** for booking the skim must be defined, and the Branch must be the same as the Branch in the portfolio allocations for that facility investment.

If **zero skim** is specified, "**Full Interest**" appears above the text list box and the "Show Spreads for Skim Pricing" button is disabled.

The **"Modify Pricing"** button is applicable only if circle is **"Pending," "Approved" or "Closed,"** and may be selected **only by users who are authorized** to update the circle's pricing in its present state. Two possibilities exist: **"Modify Pricing Pre-Close"** and **"Modify Pricing Post-Close."**

Skims and Buy/Sell price may be changed at any time. However, when circle is in a **post-pending** status, changing Skims, Buy/Sell Price or Pricing Type will be for **"documentation" purposes** only, and no price change events will be generated. In order to actually modify interest skims, Buy/Sell Prices or Pricing Types after circle close, the Facility Lender Positions Query must be selected and then the facility price information can be modified (adjusted).

Note: Skims are not allowed unless Deal Agent has a Servicing Group.

Lender Interest Pricing Screen

Attribute	Req/Opt	Size/Format	Rules
Interest Pricing Type	System Generated	Display	Indicates whether Interest Pricing is Skim or Full Interest. If "Skim," a copy of the borrower's pricing text is displayed with the current skim shown (in basis points) above the text list box. "Full Interest" is displayed above borrower's pricing text if zero skim applies.
Modify Interest	Conditional	Button	Applicable, and optional, only when creating or updating a "Pending," "Approved" or "Closed" circle. Button selection brings up a dialog box so user can: Change the Skim Amount. Select "Portfolio for Skim" button and enter the Branch/Portfolio/Expense Code, if "Skim" applies to the circle.
Show Spreads for Skim Pricing	Conditional	Button	If "Skim" applies to this circle, selection of button allows the user to change to a text view that will show lender spreads. Button is disabled for Full Interest Pricing, and is included only when specified skim is non-zero.

Link/De-Link with Marketing Circle

1. **Option is separately secured and may be selected for any circle that is not inactive** (that is, not already canceled or terminated). Any active circle, regardless of its circle type, may be linked to a "marketing circle" in the same deal via this option. **A "marketing" circle is a canceled circle whose reason for cancellation is "MKTG" (Marketing).**
2. Selection of this option brings up a list of all marketing circles in the deal (including both sides of an internal marketing circle). The Lender, Circle Description, Current Amount, Currency, Circle Amount, Closed Amount, Booking Vehicle and Risk Book is shown for every marketing circle, and user drills down to make a selection. When "OK" is pressed, the active circle will be linked to the selected marketing circle.
3. To de-link an active circle from its associated Marketing Circle, bring up the query, select the "Select None" button and then press 'OK.'
4. Canceling a linked circle will remove the link.
5. Description displayed in Circle Notebook Title Bar begins with the word "(Linked)," when applicable. However, the Circle Select list for existing circles does **not** indicate that the circle is linked.

Refer to *Option: Cancel* and *Option: Show Marketing Links* for additional information regarding marketing circles and the circles to which they are linked.

Pool Allocations

1. Option is available as soon as the Sell Amount has been specified, and is **required to close**.

2. Pool allocations are initially calculated by the system automatically, according to the individual pool member pro-rata shares of the pool, but may be overridden. Once the pool allocations have been made, selecting this option allows the user to view them, and, if properly authorized, to modify them.
3. **The Pool Allocation screen** lists the facilities involved in the pooled sale, noting the sell amount for each. The Pool Name, the individual pool member's shares of each sold facility, and their remaining shares in the indicated pool are also noted.
4. If the Host Bank is a member of the pool, the pool allocations must be done first to establish the Host Bank's share of the pooled sale, before the required portfolio allocations can be done. If more than one Host Bank is a member of the pool, the portfolio allocations will be per Host Bank pool member.
5. For each pool member with a non-zero allocation in the circle, the pool member's **servicing** group will be added as an ongoing servicing group for the circle and cannot be changed. If a pool member's allocation is subsequently reduced to zero for all facility investments in the circle, its ongoing servicing group is removed. When a pooled circle is cancelled, the pool allocations and the pool members' ongoing servicing groups are removed. Servicing groups other than ongoing servicing groups may be added for pool members, but only one per location.
6. Pooled circles may not have skims.
7. Changing from one pool to another or between pooled and non-pooled will cause pool allocations and portfolio allocations to be removed. Changing between pooled primaries and pooled assignments, will not affect the pool allocations or portfolio allocations.
8. **Portfolio allocations for host bank pool members selling to a pooled primary are now done in the pooled primary circle.** Default portfolio allocations may be if there is only one possible portfolio position from which the allocation can be taken.
9. Circle change share prior to close affects the pool allocations, and portfolio allocations, pro rata. Changes directly to pool allocations prior to close affect the portfolio allocations pro rata.
10. Changes to pool allocation amounts (whether by change share or directly in the pool allocation screen) **after circle closes** are **documentation only** and will not affect lender positions. They will, however, be reflected in Lender Query.

Portfolio Allocations

1. Option is available for Non-Broker Assignments and Participations and Host Bank Primaries once a circle Buy/Sell amount has been entered and Buy/Sell prices have been entered for every facility in which the lender is investing.
2. When Portfolio Allocations are applicable, they are required to approve circle for settlement.
3. Also, Portfolio Allocations cannot be done unless one of the User's Processing Areas matches the Circle's Processing Area. (See "Circle Processing Area" write-up in the Appendix). In addition, when Portfolio Allocations are created or updated, the time regions of only the facilities affected by the circle are locked.
4. If the system parameter CPARA (Circle Portfolio Allocations Required for Approval) is set to Y (Yes), an error will be issued when trying to send a Circle to Approval before Portfolio Allocations have been entered. If set to N (No), Portfolio Allocations, Circle may be approved without Portfolio Allocation being entered.
5. If the CPLDA (Circle P&L Deferred Until Approval) is set to Y (Yes), Portfolio Allocations may be entered, but P&L will not be calculated for the Portfolio until the circle has been approved. Trade Date Balances will also be unaffected until after approval when CPLDA is set to Yes.
6. If a pooled sale, pool allocations must be done first to establish the Host Bank share of the sale, before portfolio allocations can be done. Selecting the "Portfolio Allocations" option after allocations have been made enables the user to view them and, if in "Update" mode prior to circle close, to modify them.

Brings up Portfolio Allocation screen composed of two parts: Facilities Selection Box, listing all of the facilities involved in the circle, together with their Currency, Buy or Sell amounts, Global Commitment,

Maturity and Expiry Dates and the Portfolio Allocations List Box **showing the existing allocations for a selected facility**. Branch, Portfolio/Expense Code, Expense Code Description, Portfolio Allocation Amount, Assignable Amount and the Expiry and Closing Date are shown for each allocation.

Drilling down on the **Add Portfolio/Expense Code** button brings up the *Portfolio Allocation* window. All portfolio/expense code combinations that are valid for the circle's selected Risk Book are displayed. Users must select a Branch for the allocation if necessary, choose one portfolio/expense code combination, and enter the Allocation Amount. Entry of "Expiration Date" is optional. Expiry date must be in the future.

7. Portfolio allocations are required for all Assignments, all Participations and the Host Bank Primaries. All **circles requiring portfolio allocations require a Risk Book when created**, and the portfolio allocations may be made only for the Risk Book assigned to the circle, and only if an **"available source"** for the allocation exists **in the selected Risk Book**. **Portfolio allocations will not be saved unless they are equal to the lender share of the facility, and cannot be modified after close.**

Important Note: Cannot allocate a **Host Bank Origination Primary** to a **Non-In Syndication portfolio at a price other than par** (because discount or premium would be created that cannot be accounted for). Also, if portfolio allocations already exist in a Non-In Syndication portfolio, the buy/sell price cannot be changed to a price other than par (unless circle is already closed, and the change is for "documentation only").

Buys - All Circle Buys except Internal Trades can be allocated to multiple portfolio/expense code "buckets." Internal Trade buys must be allocated to a single portfolio/expense code "bucket".

Internal Trade Sells - Can come from only one portfolio/expense code "bucket." If insufficient position exists to cover the entire lender share of the facility being sold, a "Portfolio Transfer" must be performed first. (A "bucket" is a combination of Portfolio, Expense Code, and Branch).

All other Sells - Can come from multiple portfolio/expense code "buckets".

Risk Book button - Available as patch with Release 6.0.09.08, the following separately licensed enhancement is available, **Validate Host Bank and Risk Book Selection at Circle Level**. Loan IQ validates that the linkage between Circle Risk Book and Deal Branch based on the Risk Book Association available for the Deal Branch in Branch and Risk Book Association table information. The validation takes place at Facility tab (selling Risk Book button) and Maintenance Menu, Portfolio Allocations window (Risk Book button).

During validations if the link is broken between Circle Risk Book and Deal Branch of the Circle then an error message is displayed and workflow progression stops.

8. All Portfolio Allocations must note a **single branch** and a **single Servicing Group**. Also, the Branch noted in the Servicing Group must agree with the Branch specified in all the portfolio allocations.

Branch selection for short portfolio allocations is as follows:

After a Portfolio Allocation is first performed, if user re-selects the "Add Portfolio/Expense Code", Branch will default to the previous Branch that user had selected.

- If the Portfolio Shares are allocated in different branches within the same facility, the Branch field will not default, but will be blank.
 - If the Portfolio Shares are allocated between two facilities, the System will look for the Branch used for the first facility and use it as the default Branch for the second facility.
 - If the Portfolio Shares for a facility are allocated between two branches, then the Branch for the second facility will not default, but will be blank.
9. All facilities in which the circle has a share must have a Primary Borrower otherwise a **warning** is received when user attempts to access the Portfolio Allocations Screen.

Note: If a circle already has portfolio allocations, and a facility without a primary borrower is then added to the deal and the circle is then given a share of that facility, the portfolio allocations screen will not be accessible in update mode until that facility is given a primary borrower.

Note: This section applies only to those clients who are licensed for the **Available by Branch & Organization Code** functionality.

The relevant Org Code is derived and displayed on the *Circle Portfolio Allocations* window whenever the allocations are performed for a Host Bank branch. For each Host Bank Portfolio Allocation defined in the Circle, the system derives and displays the relevant Org Code (if one exists), as per the active entries of specific combinations of Risk Book, Portfolio, Branch and Facility Line of Business, set on the **Org Code Mapping** table in **Table Maintenance**. For more information regarding the Org Code Mapping table, Refer to the *Loan IQ Table Maintenance Edit & Validation Rules* document.

Note: As per the **Expense and Branch Code Association** enhancement, available with Release 6.0.08.08, the following separately licensed enhancement applies:

The Expense Codes on the *Portfolio/Expense Codes* window displays only valid Portfolio/Expense Codes for the mandatory Branch selected. The Branch must be selected first, followed by selection of the Portfolio/Expense Code.

If the Branch is changed after selecting the Portfolio/Expense Code the new Branch is validated with the selected Portfolio/Expense Code. The selected Portfolio and the selected Expense Code must both be valid for the new Branch. If the Portfolio or the Expense Code is not valid for the new Branch, Loan IQ displays only valid Portfolio/Expense Codes for the new Branch selected. The previous Portfolio/Expense Code is blanked out and a new one must be selected.

Note: If the Portfolio and Expense Code is not valid for the Branch, default portfolio allocations cannot be created.

As per the separately licensed **Warehousing of Specific PLS Shares Based on Portfolio** enhancement, available in Patch Release 6.0.08.08, the following functionality applies.

In case of new Circle Buy transactions, for generation of Portfolio Loan Shares in existing outstandings affected by the Circle Buy, if the license for this enhancement is turned on, and if the Portfolio Loan Shares would otherwise have been match funded, Loan IQ checks the value of the new indicator "Non-Match Funded Only" in the Portfolio code table in Table Maintenance and generates the Portfolio Loan Shares as non-match funded if the value of the new indicator is "Y".

If the value of the new indicator "Non-Match Funded Only" in the Portfolio code table in Table Maintenance is "N", the current functionality continues as regards generation of Portfolio Loan Shares. The functionality is applicable only to automatic generation of Portfolio Loan Shares by Loan IQ. After this enhancement, as per current functionality, users will still be able to manually change fully/partially the Portfolio Loan Shares from match funded to non-match funded and vice-versa.

As per current functionality, in case of new Circle Buy transactions, if:

The Buy is Matchfunded indicator in the Circle Funding Decision screen is turned on

and

The MF column in the Circle Funding Decision screen for any of the existing outstandings has a value Y

The Cost of Funds information is required to be set for such outstandings in order to close the Circle Buy transaction. After this enhancement, when the Cost of Funds information is set for such outstandings, the Cost of Funds information applies only to those Portfolios, to which the Circle Buy transaction is allocated and which have a value N for the new indicator Non-Match Funded in the Portfolio Code table in Table Maintenance.

After this enhancement, in case of new Circle Buy transactions, if:

The Buy is Matchfunded indicator in the Circle Funding Decision screen is turned on

and

The MF column in the Circle Funding Decision screen for any of the existing outstandings has a value Y

The Cost of Funds information is not required to be set for such outstandings in order to close the Circle Buy transaction if all the Portfolios, to which the Circle Buy transaction is allocated, have a value of Y for the new indicator Non-Match Funded in the Portfolio Code table in Table Maintenance. In such cases, the Set COF button in the Circle Funding Decision screen is protected, when any match funded outstandings funding decision is selected after the Circle Buy transaction has been approved for settlement.

Assignable Rules:

Assignable Amount - The portfolio position "Assignable Amount" is the amount that is **available for assignments**. When portfolio allocations are done for circles, the assignable amount may or may not be impacted. Net is always impacted.

The Assignable Amount **will be impacted by assignment buys and sells, participation sells and participation buybacks**.

It will **not be impacted by participation buys; sub participation sells and sub participation buybacks**.

It will be **optionally impacted by portfolio transfers, internal trades and portfolio adjustments** (depending upon a user-entered "assignable amount").

Excess Net - the amount by which the net position in a portfolio bucket exceeds the amount allocated to the assignable position.

Major Rule: Regardless of circle type, the Assignable position can never become greater than the Net position. Therefore, on transfers, internal trades and adjustments, the assignable must be within a minimum/maximum range that reflects the excess net position (that is, how much the net is greater than the assignable). A "Net only" transfer or adjustment can be applied only to the excess net position.

Minimum Assignable Amount - the minimum amount that **MUST** be allocated to the assignable so that the assignable amount of the portfolio bucket will not become greater than the net. Applicable only to internal trades and portfolio transfers.

Maximum Assignable Amount - the largest amount that can be allocated from the assignable without the assignable becoming negative. Applicable only to internal trades and portfolio transfers.

As part of the maintenance of portfolio allocations, **the portfolio assignable position is maintained for circle portfolio allocations**.

For all **assignments and participations**, the assignable portion of the portfolio allocation is **maintained automatically**:

.. For **assignment and participation sells, assignment buys and buybacks of participation sells**, the assignable amount is **equal to the portfolio allocation amount**.

.. For **participation buys, sub participation sells, buybacks of sub participation sells, and participation transfer sells**, the assignable portion of the portfolio allocation is **zero**.

Additional Rules By Circle Type:

Participations -

When entering portfolio allocations for participation sales, a warning message will be displayed if there is excess net (more net than assignable) in the portfolio bucket, asking the user if perhaps a sub-participation sale must be created instead. However, user may disregard the warning and create the participation.

Sub participations -

For sub participation sales, portfolio allocations will not be able to be entered for more than the excess net position in the portfolio bucket.

Internal trades -

1. The **Change Share After Close** option is not available for Internal Trades.
2. Portfolio allocations for the Buy cannot be entered until the portfolio allocations for the Sell have been done, and the Assignable Amount is automatically set to the Assignable Amount on the Sell

(and cannot be changed). Also, the branch for the Internal Trade Buy defaults to the Branch of the Internal Trade Sell and cannot be changed.

3. For the Sell, on entry of the allocation amount, the Assignable Amount defaults to the minimum required assignable amount (to prevent the assignable amount of the portfolio bucket from becoming more than the net). This amount may be changed to any greater amount up to the maximum allowable (i.e., the lesser of the allocation amount and the largest amount that will not cause the portfolio assignable position to become negative).
4. Saving portfolio allocations for the Sell will update the assignable amount of the portfolio allocations for the Buy if they exist; otherwise, default allocations for the buy will be created if possible (that is, if the buy's risk book has only one portfolio bucket).
5. On "Change Share Prior to Close," the assignable portion of the portfolio allocations will be reset to the minimum assignable for the new allocation amount.
6. Internal Trades will be from one portfolio to one portfolio at a time. No multiple portfolios may be specified for either the Buy side or the Sell side of an Internal Trade.
7. In cases where the P&L may need to be deferred, a portfolio transfer must be done rather than an internal circle or an internal trade.

Internal Circles do not follow the same rules as Portfolio Transfers. **Warning** is issued when selling out of an amortizing portfolio that: **"Circle must be closed today to avoid P&L discrepancies."** (An "amortizing" portfolio (for purposes of issuing the warning message) is defined as a **cost** portfolio (other than "In Syndication" or a **LOCOM** portfolio)).

8. Default portfolio allocations logic will automatically **exclude** the ineligible Non-In-Syndication Cost and LOCOM portfolio positions when determining whether or not default portfolio allocations can be performed.

Short Positions

The 'Short' Field on the *Allocations* window allows the user to enter a short amount for the position. The field is **only available for circle sells**. The 'Allocation' Column will remain at zero. The Trade Date Net Amount and Assignable Amount will not be affected. The 'Short' Amount will appear in the 'Short' Column. Portfolios with short positions will be displayed in the Portfolio Allocation List, even if the Trade Date Net Amount is zero. This allows the user to increase the short amount, if desired.

The short position will subsequently appear on the Portfolio Positions screen, where Unrealized P&L will be calculated for the Short position as long as the circle remains open. (For more information on Short Positions on the Portfolio Screen, see the *Loan IQ Portfolio Positions Edit and Validation Rules*.)

The user has the option to allocate some or all of the position as 'Short', but may not exit the Allocations window until the sum of the Short Amount and the Allocate (long) Amount is less than or equal to the sell amount. The user still cannot exit the Portfolio Allocations screen until the entire sell amount is short, allocated (long) or a combination of both.

When a short amount is allocated out from an amortizing portfolio whose WAC is not 100, a warning will be issued ("Warning: A short amount has been allocated for an amortizing portfolio. This may result in P&L discrepancies."). When a long amount is allocated out from an amortizing portfolio whose WAC is not 100, a warning will be issued as well ("Warning: Portfolio allocations are being made out of an amortizing portfolio position which does not have a weighted average cost of 100. Circle must be closed today to avoid P&L discrepancies.") Both warnings apply even when the Circle P&L is deferred to approval (System Parameter CPLDA).

Note: If the CLPDA is set to Yes, the Circle buy that is covering the open Trade Date Short positions must be approved in order for the reallocation screen to appear. However, the Short allocation screen will not appear when buy circle is still in pending with CPLDA on.

The Add Portfolio/Expense button is enabled for sells so that a short position may be created in a portfolio other than where the current commitment (out of which the host bank is selling) is held. In other words, a short position may be created in any Portfolio under the user's available Risk Books.

A Circle **cannot be approved** for settlement as long as a short position exists. The **Complete Short Portfolio Allocation** workflow will remain on the Workflow Page until the short position has been reallocated (in other words, made into a long position). When a short position is re-allocated, a "Reallocation" transaction is created for the Portfolio Position on the *Allocations Details* ("Allocations for:") screen. To reallocate, the user may do one of several things. For example, if a short position has been created where there is actually sufficient Trade Date Available for allocation, simply eliminate the short position and create an actual allocation. If a short position has been created in a portfolio where **no** long position currently exists, the user can perform a circle buy into the portfolio, thereby creating a position from which to allocate a long position.

Benefit of Commitment Reduction is done for short sells. If the circle has only a short position, it is taken against the short. However, if both a short and a long position exist, the reduction will be taken Pro – Rata, as the decrease will always be taken pro rata against the short and long amounts.

Note: If the circle has a long position already allocated and the user performs a "Change Share Prior to Close" which increases the amount of the lender share to greater than the Trade Date Available, a short position for the difference will automatically be created. A **Warning** will be issued letting the user know that short position is being created.

Rules for setting WAC (weighted average cost) for reallocated Short Position(s)

When a Short Position is reallocated to a Long Position, the Short Position will use the current trader WAC (at the time of reallocation).

If at the initial circle creation the position was allocated to the short position, the trader cost price of that allocation is reset to the current trader WAC at the time the first reallocation of short to long is done.

Rules for setting the trader cost price for a circle sell are as follows (Note: WAC for In Syndication portfolio is always zero):

1. Initial circle creation uses the current trader WAC
2. Any manual reallocation (via Portfolio Allocation screen)
 - a. If it does not involve reallocating short to long, it uses the trader cost price of the initial circle allocation.
 - b. If it does involve reallocating short to long, it uses the current trader WAC
3. Circle decrease due to facility commitment decrease uses the trader cost price of the initial circle allocation.
4. Circle share change prior to close
 - a. If a share change is increase after a facility commitment decrease and the user specified that the current WAC must be used (in the pop up window), uses the current WAC
 - b. Otherwise, uses the trader cost price of the initial circle allocation.

Note: As per the Payment in Kind (PIK) Interest enhancement available in Release 6.0.08.05, the following separately licensed functionality applies:

When doing a share change prior to Circle Close, Loan IQ adjusts and restates the associated Accrued not Capitalized Interest for the new commitment share, pro-rata.

Aggregated Discount Impact Methodology for Short positions

The following methodology is used for reversal transactions for Circles that have ever had a Short position (rules below do not apply to In Syndication portfolios since the WAC and Discount is always 0):

Any circle that has ever had a Short Position performs the reversal transaction using the Aggregated Discount Methodology:

Commitment - Discount

$$\text{Commitment} \times 100 = \text{Price}$$

Please note that the internal price, i.e. the price stored in the database and the price at which all calculations are done is not multiplied by 100). The displayed Price is multiplied by 100 as indicated in the formula above.

Where:

Commitment equals the Aggregated Portfolio Allocations commitment balance impacted by the reversal transaction.

For example:

Trade = \$10MM, which was originally allocated as a complete Short Position.

Current Allocation: \$9MM Long
 \$1MM Short

The Commitment amount used in the above formula is the \$9MM Long.

Discount equals the negated Aggregated Trade Date Discount of all the portfolio allocations associated with the portfolio bucket for this circle.

The resulting **Price** is used in the Portfolio Allocation reversal transaction to adjust the appropriate amount of Discount that corresponds with the Commitment reversed.

If the Commitment reversed is only a partial amount of the Circle Amount, then a pro-rata share of the commitment reversal will be applied against the Price, resulting in a pro-rata share discount reversal.

Portfolio Allocation Screens

The allocation list (bottom of the screen) has a column showing the assignable portion of the allocation amount.

The allocation drill down (reached by double clicking on an allocation) contains an assignable amount field.

Changing Transaction Type -

If the circle's transaction type changes between a buy and a buyback, or between a sell and a participation transfer sell, before close, any existing portfolio allocations will be reduced to zero. After close, the assignable amount on the allocations will be updated.

Changing Source of Buyback -

Deleting the source of a buyback or changing the source between a participation sell and sub participation sell (possible only before circle close), will cause any portfolio allocations to be reduced to zero.

Changing Lender Share Type -

Changing lender share type from assignment to participation or from participation to assignment **prior to circle close** will reduce any existing portfolio allocations to zero. If change occurs after circle close, system will not attempt to re-do the portfolio allocation.

Summary of Changes Affecting Assignable Amount:

Before Circle Close, any change that affects the Assignable Amount will reduce the existing portfolio allocations to zero. For example, changing from a participation buy to an assignment buy will reduce the portfolio allocations to zero since a participation buy has no effect on the assignable but an assignment buy does. The same is true when changing from an assignment sell to a participation sell.

After circle close, changes to Lender Share Type are done for **documentation purposes only** and do not affect Portfolio Positions.

Reallocate – the Reallocate button is enabled if there is as short sell. If the Reallocate button is selected, Loan IQ queries the Open Sell Circles (up to awaiting settlement approval status) for that Facility Branch/Portfolio/Expense Code combination to see if any combination of remaining Open Sell Circles can cover this Circle. If so, Loan IQ allows users to reallocate positions from the open covered (partial or fully covered) sells to the new Circle sell that has to be covered and closed.

For more information, Refer to the Long & Short Exceptions procedures in the Circle book in Online Help.

Validation -

In all the situations mentioned above, the portfolio allocations cannot be saved if they cause the assignable position to be negative or to be greater than the net position.

Interest and Fee Skims - If either interest or ongoing fee skims are created after the circle has portfolio allocations, the portfolio bucket for all skims defaults to the bucket of the first portfolio allocation in the list. If, on the other hand, the skims are created prior to adding portfolio allocations and without specifying a portfolio bucket, the interest and fee skim portfolio buckets will automatically be set to the bucket of the first portfolio allocation in the list, when the portfolio allocations are subsequently performed.

Preferred Remittance Instructions

User will be prompted to select a Lender (if more than one Lender associated with this Circle has an Ongoing Servicing Group). Then, the standard screen appears that allows user to pick one or more of the Remittance Instructions already associated with the Circle's Ongoing Servicing Group as the **"Preferred"** ones to be used for any cash flows involving this Lender's **Position** in this specific deal. May also enter free form "From" and "To" information (variables) that will be referenced in the communications (faxes, Money Transfer message) concerning this Lender's Position in this specific deal.

Note: Circle close automatically sets preferred remittance instructions for the lender position being established if:

only **one** remittance instruction exists for the lender location/servicing group

Lender position being established is the **first** share for this lender/servicing group

No preferred remittance instructions have been selected.

Note: Only one set of preferred remittance instructions can pertain to a lenders **contractual** position in a deal. If a primary and an assignment buy, together, account for the contractual position, selecting/changing the preferred instructions for that **position** can be done from **either** circle. Each Participation Agreement also has only one set of preferred remittance instructions, and they may be chosen from any of the circles belonging to that agreement.

Note: Preferred Remittance Instructions cannot be modified from the Circle NB for **closed** circles. They may be modified from the lender shares screen by selecting "Deal Servicing Group Details" option and then drilling down on the desired lender share.

Toggle H.B. (Host Bank) Corresponding button:

Allows user to flag which Host Bank Preferred Remittance Instruction(s) must be used as the Host Bank Corresponding Instruction. The toggle allows for 'Y' or 'N' selection, and the button will be disabled and indicator shown as 'N/A' for either Non-HB entities or non-applicable instructions. When looking for Host Bank corresponding instructions (to match to Incoming Money Transfer - Fed/CHIPS, IMT and Check) in preferred remittance instructions, the System first checks for a valid corresponding instruction with this Toggle H.B. Corresponding Indicator set to 'Y'. If there is only one such valid instruction, it will be used. If there are multiple such preferred remittance instructions, the System will select the first one. Otherwise, the System will look for the first preferred instruction which meets the criteria for use, and if none meet the criteria, then the System will look for the standard instruction; if no standard instruction exists that meets the criteria for use, then the System will look for the first one in the servicing group that meets the criteria for use. When looking for the preferred instruction for a cashflow with a host bank customer, if there is only one valid preferred instruction regardless of the setting of the indicator, the System will use that instruction. If there is more than one valid preferred instruction but there is only one with the indicator set to 'N', the System will use the preferred instruction with the indicator set to N. Otherwise, the System will look for the standard instruction. In order to be considered valid, the corresponding Host Bank instruction must meet the following criteria for use: same product, balance type and currency and the opposite direction (always "To" the Host Bank).

Primary Roles in Deal

Option is available to primaries only. The *Primary Roles in Deal* window is displayed. Clicking the **Modify Roles** button allows user to select one or more values from list of (active Bank Role codes). As the primary syndicate members are added, Roles in Deal defaults to **"Primary."** The "Primary" bank role cannot be de-selected, but other roles may be added.

Note: Only one syndicate member per deal may be designated as Collateral Agent.

Note: Admin Agent, Sole Lender and Pool Assignment Agent are set at the deal level, and are not included in the "Bank Role" Code Table.

Note: If the **Underwriter** indicator was set to Yes on initial create screen, the "Underwriter" bank role will appear as a selected role.

Note: The following rules apply to adding and removing the underwriter role to primaries:

For Existing Primaries:

If the underwriter role is added to a primary, the underwriter indicator is set to true on all other primary circles in the deal for the same lender. Likewise, if the underwriter role is removed from a primary, the underwriter indicator is set to false on all other primary circles in the deal for the same lender. Also, canceling a primary will delete all its roles only if it is the only primary in the deal for that lender.

For Creating New Primaries:

The underwriter indicator will default to false if there are no existing primaries in the deal for the specified lender or if that lender does not already have the underwriter role in the deal. If the lender already is an underwriter in the deal, the indicator will default to true. If the primary is created with the underwriter indicator set to true, the indicator on all other primaries in the deal for that lender will also be set to true (and the underwriter role will be added as a role in deal for that lender). If the primary is created with the indicator set to false, the indicator will be set to false on all other primaries in the deal for that lender, and if the underwriter role already exists for that lender in that deal, it will be removed.

Note: All Roles will be removed, including underwriter, if the Primary Lender in the Circle is changed. No roles are removed if only the **location** of the Primary Lender is changed.

Set Default Servicing Groups

Selecting this option causes the system to attempt to assign an **Ongoing** Servicing Group to any lender in a circle for whom Ongoing Servicing Groups are valid and who does not yet have one. This is true whether an ongoing servicing group is required (always for a host lender and in host agent deals for other lenders) or optional (non-host lenders in deals where a host lender is not agent). If the system cannot find a default for one lender, it will display an informational message and then go on to the next lender.

Non-Host Lenders

When setting default-servicing group for non-host bank, group is determined in the following order:

1. If there is only one valid servicing group for the location, uses that group.
2. Otherwise, if there is only one valid servicing group with a non-zero contractual share for the lender, uses that group.
3. If there are no servicing groups with a non-zero contractual share, and if there is a valid standard servicing group defined for the location, system uses that group. If there are multiple servicing groups with a non-zero contractual share, the system will never default the servicing group.

Standard servicing group is not used when setting default host bank servicing group since default host bank servicing group is the servicing group associated with the portfolio positions for branch of the circle's portfolio allocations (or the branch of the user if the circle does not yet have portfolio allocations).

Note: For Participation Transfer Buys, where a Third Party and a Third Party Ongoing Servicing Group are required, the system will also attempt to find a default-servicing group for the Third Party.

Host Lenders

The Host Bank Ongoing Servicing Group will be set automatically whenever possible. When a circle is created, the host-servicing group will be set to the servicing group, if any, currently assigned to the branch of the logged on user (if the host location specified by the user is also the location of the default servicing group). If no servicing group has yet been assigned at the time portfolio allocations are entered, saving the portfolio allocations will cause the servicing group to be set to the servicing group, if any, currently assigned to the branch of the portfolio allocations. Again, this will be done only if the host location is also the location of the default-servicing group. If the host lender or its location is changed, any existing servicing group for that lender will, of course, be removed. As part of the lender/location change, the system will again attempt to set a default-servicing group for the host lender. Until the circle closes, the user is free to set the host ongoing servicing group to any servicing group assigned to the host lender's location (since the user may be aware that the branch servicing group assignment is going to change by the time the circle closes). However, at circle close, validation will ensure that the current host ongoing servicing group is valid for the branch of the circle. If it is not, an error message will be displayed - it will tell the user either the name and location of the servicing group that is valid for the circle or that there is no servicing group that is valid for the branch of the circle. The user will have to change the circle to the correct servicing group (possibly having to change the host lender location to the correct location first).

If a host servicing group has not yet been set when Set Default Servicing Groups is selected, the system will try to set one - based on the branch of the portfolio allocation or, if no allocations, the logged on user's branch. If a default servicing group cannot be found, a message will be displayed that the system was unable to match a servicing group with the branch of the circle for the host lender at its location.

Toggle SLM Trade

Beginning with Release 6.0.08.08 (Patch) and Release 6.0.09.11 and forward, the following separately licensed SLM Interface functionality applies:

Users can toggle the **SLM Trade** on and off **only** when the following applies:

- User has *Update* access to **Circle SLM Eligible Indicator(s)** application function;
- The Trade Counterparty is SLM Eligible;
- The Deal has SLM Eligible Indicator set to Y and all underlying facilities in which the circle has an actual share have their SLM Eligible indicator set to Y.

An Event is created whenever the SLM Trade indicator has been changed.

Licensed clients must refer to the *Loan IQ Online Changes for SLM Interface Setup & User Guide* document for further documentation. If you are not a licensed client and would like further information about this functionality, please contact your Loan IQ Account Manager.

Circle – Queries Menu

Benefit of Commitment Reduction

If “Benefit of Commitment Reduction” is associated with this circle and a commitment reduction has occurred, selection of this option displays all the WIP items for benefit of commitment reduction paid and received that are associated with this circle, **by facility, by Commitment Reduction**. The G/L Short Name, Currency, Current Balance, Transaction Effective Date and Release Date are displayed for every WIP item. User drills down to view the WIP item or can select “Add” or “Modify.”

Add button brings up a window listing the facilities in the deal, and user selects a facility for the Benefit of Commitment Reduction Adjustment. If circle has no valid portfolio positions for benefit of commitment reduction adjustment for the selected facility, an error message is issued.

Modify button allows the amount of a selected benefit of commitment reduction to be adjusted. When the user selects an item or adds a new item, the system prompts the user to select one of the existing **Circle Portfolio Positions**.

Queries menu on Benefit of Commitment Reduction screens allows user to choose “Portfolios With Benefit of Commitment Reduction” query, bringing up a list of all the portfolio buckets for this circle that currently have benefit of commitment reduction portfolio allocations. The amount of the benefit to the buyer is shown; if the amount is negative, it means the seller is getting the benefit.

Prior to circle close, new benefit of commitment reduction WIP items may be **added** and **existing ones updated**. The adjustments have an amount and an effective date and are released immediately, creating an event in the circle. The G/L entries associated with this transaction can be viewed via a GL Entries button the Events page of the circle notebook (available when a benefit of commitment reduction adjustment event is selected). Benefit of commitment reduction portfolio allocations created for the circle by an adjustment transaction show up on the portfolio allocation list for the portfolio position as manual commitment decrease P/L adjustments.

Add -

Add is available only for non-canceled circles that have not yet closed. The user enters the amount of benefit to the buyer. Entry of a positive amount for a sell or a negative amount for a buy causes creation of a WIP item for benefit of commitment reduction paid (G/L credit) and a commitment decrease portfolio allocation for the circle, which debits P/L. Entry of negative amount for a sell or a positive amount for a buy causes creation of a WIP item for benefit of commitment reduction received (G/L debit) and a commitment decrease portfolio allocation for the circle, which credits P/L. The user selects a portfolio bucket to be affected from a list of all portfolio buckets for this circle, which currently have a non-zero allocation.

Modify -

Modify is available both for non-canceled circles that have not yet closed and for closed and canceled circles. For closed and canceled circles, the current balance of the WIP item may be decreased only. Modify adjusts the current balance of the existing WIP item and may affect any portfolio bucket in the circle, including those that previously had an allocation but have been reduced to zero, for example, via a reallocation. Entry of a positive amount increases the current balance of the WIP item; entry of a negative amount decreases it. The current balance of the WIP item may not be decreased below zero.

Since the adjustment transaction is based on WIP items, it is available only when accounting is enabled. (If accounting is disabled for the deal, it cannot be done.)

Notes:

Benefit of Commitment Reduction Adjustment is available to internal circles via the **Benefit of Commitment Reduction to Internal Circles Enhancement**. This is controlled by the system parameter **ICBCR** (see the section below regarding this enhancement).

Benefit of Commitment Reduction Adjustment is available to In Syndication portfolios.

Benefit of Commitment Reduction is sensitive to whether the adjusted portfolio recognizes P/L or defers it, in order to determine if the offset to the Benefit of Reduction Payable and Receivable is Recognized Realized or Deferred Realized P/L. For a gain in the deferred portfolio, benefit of commitment reduction results in deferred P/L; for a loss, it results in realized P/L.

The benefit of commitment reduction advice is sent only when there is at least one potential circle, which must have benefit of commitment reduction, calculated but cannot:

Circles, which will need portfolio allocations but do not have them yet.

Pooled circles where a host bank is pool agent but no host bank is selling any part of the circle (i.e. has no pool allocations for the circle). Since there are no portfolio allocations, there is no way to calculate benefit of commitment reduction.

Open circles will receive benefit of commitment reduction upon release of a facility commitment reduction when circle has been circled and the Circled/Legal Trade Date is less than or equal to the Effective Date of the commitment reduction.

In a Circle Buy, User will not be able to send Circle to Settlement Approval if a Benefit Commitment Reduction exists in a branch, which is no longer the branch of the Circle. The system will generate an error message and the Benefit of Commitment Reduction amount must first be reduced to zero in order to close the circle.

Beginning with Release 6.0.08.05 when system parameter DBCRF (Display Benefit of Commitment Reduction on Funding Memo) is set to Y, the following is included in the Funding Memo:

the date of the Commitment Reduction Transaction

details and calculations behind the Benefit of Commitment Reduction figures

the basis for Benefit of Commitment Reduction

The following applies to Short Settlement functionality, which is separately licensed. Licensed clients must refer to the *Loan IQ Short Settlement – Setup Guide* and the *Loan IQ Short Settlement – User Guide* for more information. If you are not licensed and would like further information about **Short Settlement** functionality, please contact your Loan IQ Account Manager.

If a facility is short, a Benefit of Commitment Reduction transaction can only be created via a facility decrease.

As per the separately licensed **Commitment Reductions & Trade Entry** enhancement, available in Patch Release 6.0.08.08, the following functionality applies.

For a trade that is created today (current business date), when the trade is circled and portfolio allocations are done, Loan IQ checks if any Commitment decreases were released today (current business date), to determine if the trade amount and/or benefit of commitment reduction need to be calculated for the trade. If the effective date of the commitment reduction(s) equals the circled date of the Trade, Loan IQ automatically reduces the open trade amount by the pro-rata percentage of the commitment decrease(s) and if necessary calculates and captures the benefit of commitment reduction for the trade.

This functionality applies when the trade is circled and the portfolio allocations are done regardless of how the trade is created, online or via the Trade API.

This functionality is applied once the trade is circled and the portfolio allocations are completed. Any subsequent modifications to the portfolio allocations or the Trade Circled Date will not invoke this functionality.

This functionality only applies to Host Bank Buy and Host Bank Sell circle trades and is controlled by system parameter **APCR - Apply Prior Commitment Reductions**, overridable by branch of the deal that the trade is for.

Notes:

In regard to internal circles, system parameter **ICBCR - Internal Circle Benefit of Commitment Reduction Applies** determines whether benefit of commitment reduction applies to internal circles (including internal assignments and participations and internal trades). The benefit of commitment reduction is calculated for internal circles only if **ICBCR - Internal Circle Benefit of Commitment Reduction Applies** is turned on.

Any subsequent changes to the trade circled date or the portfolio allocations will not invoke this functionality. This functionality is only performed the first time the trade is circled and the portfolio allocations are done.

Modifications – Trade Amount

This functionality only applies to trades that are entered today (current business date), and the trade is circled and portfolio allocations are done.

The facility commitment reductions which are applied to the trade are those where the Commitment reduction was released today (current business date), the Commitment reduction effective date is equal to the circled date of the trade, and the create timestamp of the commitment reduction released event is prior to the create timestamp of the trade.

If the above criteria are met, Loan IQ does a circle share change prior to close for each facility in the trade that has a non-zero share. This circle share change prior to close reduces the share of the facility based on the following formula:

Circle Amount (facility Share) * (Sum of all the facility commitment decreases for the facility/(current global facility commitment amount + the sum of all the facility commitment decreases for the facility)).

The Sum of all the facility commitment decreases for the facility refers to the total amount of all applicable facility commitment decreases as defined above.

This circle share change prior to close adjustment is written to the event tab of the circle notebook with a comment that states it was due to previous released commitment reductions.

Modifications – Benefit of Commitment Reduction on the Trade

If applicable, Loan IQ also creates a Benefit of Commitment reduction adjustment on the trade.

The Benefit of commitment reduction appears in the circle notebook (similar to the way the current manual adjustment to benefit of commitment reductions appear on the circle). The GL entries for the modification to the Benefit of Commitment Reductions are associated with the Circle. No new GL entries are created for the previously released commitment reduction transaction.

This modification to the benefit of commitment reduction is written to the event tab of the circle notebook with a comment that states it was due to previous released commitment reductions.

Open Circles with Portfolio Allocations Completed

In scenarios where the facility has open trades with portfolio allocations completed, while reversing a paperclip payment having principal payment with auto reduce facility checked, Loan IQ displays one of the following error messages based on the buy/sell price provided in the trade:

The balance in a WIP account may not be negative. Benefit of Commit.Red.Pay./ is a liability account. Applying this entry would set the current balance to: XXXX (amount)

Or

The balance in a WIP account may not be negative. Benefit of Commit.Red.Rec./ is an Asset account. Applying this entry would set the current balance to: XXXX (amount)

This error message is displayed if you performed any one of the following actions before reversing the paperclip payment:

- Benefit of commitment reduction adjustment
- Cancellation of the circle
- Closure of the circle

Workaround

Perform the following steps to resolve this issue:

1. Delete the reverse paperclip transaction.
2. Process reverse interest payment independently.
3. Perform commitment increase transaction at the facility level which is equal to the principal payment amount processed at the paperclip payment.
4. Perform loan increase for the amount equal to the principal payment amount processed at the paperclip payment.

Note: There is a system limitation to identify the Benefit of Commitment Reduction GL entries in Reversal Paperclip Transaction. Hence, the suggested workaround needs to be executed when this error is encountered in the above scenario.

Benefit of Commitment Reduction to Internal Circles Enhancement

The **Benefit of Commitment Reduction to Internal Circles** enhancement is available in Release 6.0.08.08 (Patch) and Release 6.0.09.08.

The **Benefit of Commitment Reduction to Internal Circles** enhancement is an extension of the existing Benefit of Commitment Reduction functionality to Internal Buy/Sell Transactions. This enhancement allows a benefit of commitment reduction to internal circles, transfer between two Host Bank legal Entities, as well as Internal Trades, and Trades between two Portfolio Positions within the same legal Entity.

System parameter **ICBCR** (*Internal Circle Benefit of Commitment Reduction Applies*) controls whether benefit of commitment reduction is applicable for internal circles. This parameter defaults to *N*, meaning that benefit of commitment reduction does not apply. This parameter is overridable by the branch (of the Deal).

Circles without portfolio allocations for both Buy and Sell:

If only one circle has portfolio allocations, benefit of commitment reduction will not be applied to either circle. The benefit of commitment reduction internal notification, which is generated when circles do not have portfolio allocations, has been enhanced to include these circles.

If both sides of the circle do not have portfolio allocations, benefit of commitment reduction will not apply. This is consistent with current Loan IQ functionality which does not apply benefit of commitment reduction if portfolio allocations do not exist.

Notes regarding the Benefit of Commitment Reduction to Internal Circles enhancement :

If benefit of commitment reduction is manually applied to an internal circle, Loan IQ will not automatically apply benefit of commitment reduction to the contra circle. You will have to manually apply benefit of commitment reduction to the contra circle or you will be unable to close the circles.

All rules regarding benefit of commitment reduction and when it applies pertain to Internal Circles.

The **Benefit of Commitment Reduction to Internal Circles** enhancement will not work with the following functionality:

Portfolio Position Multi-Currency Discount

Pay-In-Kind Interest Functionality

Settlement Date Short Portfolio Position Functionality

Document Tracking

When an assignment or participation circle that requires an Assignment or Participation Agreement Document Tracking Record is created, the system will also **automatically**

create the required Doc Tracking Lender Document. All Assignments and Participations require Doc Tracking records, with the following two exceptions:

Unless the Host Bank is Agent, Outside Assignments and Broker Assignments do not require Lender Documents.

Broker Participations never require Lender Documents.

Once the Participation or Assignment Agreement Lender Document has been created, selection of the "Document Tracking" query opens up the Doc Tracking NB for the associated document. If user has Update Access to Doc Tracking, the Doc Tracking Notebook will open up in Update mode else it will open up in Inquiry Mode).

Other interactions between Circle Processing and Doc Tracking:

1. If the **Participation or Assignment circle is cancelled prior to close**, the system deletes the associated Participation or Assignment Doc Tracking Record.
2. **When the Assignment or Participation circle closes**, the system flows down the Circle Close Date to both the Document Date and the Due Date in the associated Doc Tracking record (if the date(s) are not already present).
3. When **Lender Share Type is changed** (from Participation to Assignment or vice versa), the system automatically creates a **new** Lender Document corresponding to the Change Lender Share Type, rather than simply change in the Document Type in the existing Lender Document to open with the new share type. If the change in share type is due to an error, the user must **delete** the original Lender Document.

GL Entries

Option is available **prior to circle close**. For more information, Refer to the *Loan IQ Accounting and Control Edit & Validation Rules* document, and the *Loan IQ Cashflow Edit & Validation* document.

Note: Loan IQ creates Contingent G/L entries whenever Cashflows with IMT Remittance Instructions (i.e. Payment Methods SWIFT or Telex) are released and the actual Circle Close Date is in the future. These entries are reversed after Circle is closed and batch has run.

Note: If the Host Bank is paying a portion of the Assignment Recordation Fee, a Servicing Group **must** be assigned to the Host Bank in order for GL Entries to be projected.

Contingent entries are created only for outgoing ("To") cashflows. Even then, if the entries are reversed prior to the original contingent entries being posted, it is as though no contingent entries were ever created, and the original entries are deleted.

Lenders

User may select to see (and print) all lenders in the deal. The Host Bank lender(s) appear in blue, at the top of list, followed by the other lenders.

For details, please see separate document, *Loan IQ Lender Query Edit & Validation Rules*.

Risk Book Available for Sale

Option is available to all circles except primaries.

Displays detailed commitment and circle information for the Host Bank regarding the availability for secondary sales of the selected deal, based upon Risk Book. Includes Available to Assign and Available to Participation for the Deal by Facility, by Risk Book, and by Risk Book within Facility. All information displayed is derived by the system.

For details, please see separate document *Loan IQ Available for Sale Edit & Validation Rules*.

Sales Targets

Option is available only to primary circles, and opens the Sales Targets screen if the Deal has had any Sales Targets defined for it. (Replaces "Primary Available for Sale" Query). For details, please see separate document *Loan IQ Sales Targets Edit & Validation Rules*.

Note: From Sales Targets a user may create new circles. If a Sales Target exists and the user attempts to create a host bank circle other than through Sales Target, the following warning message is displayed: "The Host Bank Circle" must be created through the Sales Target approval. Continuing will affect Sales Target. Do you wish to continue?"

Show Location Info

Displays information for the Circle's Buyer or Seller Servicing Group Location (including Unfunded Risk), Counter party Location and Third Party/Location. All information shown is "display only" and, when allowed, may be subsequently changed via **Change to New Lender/Location** option).

Attribute	Req/Opt	Size/Format	Rules
Buyer or Seller Locations:			
Servicing Group Location	System Generated	Display	User must select a Servicing Group Location if more than one location exists for this customer's lender profile. Servicing Group Location must be "complete" when circle is created, but may be changed later to another completed location for this profile (via "Change to New Lender/Location" option). Note: If a lender or lender location is changed, contacts pointing to that lender are not deleted. However, the "required" contacts for that circle must be associated with the current lender at its current Servicing Group or buying/selling location. (If the Servicing Group and Buying/Selling Locations are different, user may select Contacts associated with either the Servicing Group or the Buying/Selling Location). Note: On-going Servicing Group is associated with Servicing Group Location, is dropped when Servicing Group Location changes, and user must select another.
Buyer or Seller Locations:			
Buying or Selling Location	System Generated	Display	Doesn't apply to primaries, else is required. Defaults to Servicing Group Location but may be overridden. Buying/Selling Location must be "complete" when circle is created, but may be later changed to another completed location for this profile (via "Change to New Lender/Location" option).
Unfunded Risk for Servicing Group Location	System Generated	Display	If Unfunded Risk has been specifically approved for this lender's Servicing Group location, the Last Approved Date, Next Review Date, Facility Term, Currency, and Approved, Used and Unused Amounts of Unfunded Risk will be displayed.

Note: If circle is a Buy, the Seller's information appears here (Host Bank is the "Buyer" counterparty on two party circles). If circle is a Sell, the Buyer's information appears here (Host Bank is the "Seller" counterparty on a two-party circle).

Counterparty - Circle has been changed to replace the concept of having a single Lender and "Booking Branch" with the concept of having both a **Buyer and a Seller**. The determination of which one (Buyer or Seller) corresponds to the old Lender and which one corresponds to the **old Booking Branch (now Host Bank customer)** depends upon whether the circle is a Buy or a Sell. Both the Buyer and the Seller now have associated locations. Outside Assignments note a buyer and the Outside Assignor (the Seller)

Attribute	Req/Opt	Size/Format	Rules
Host Bank Counterparty			
Counter party	System Generated	Display	Does not apply to any primaries, pooled sales or outside assignments. If applicable, defaults to Host Bank Customer (Legal Entity) associated with user creating the circle. May override (via "Change to New Lender/Location" option) to another Host Bank Customer valid for the indicated Bank. Note: Counter party (Buyer/Seller) may be changed on Internal Circles prior to circle close, via "Change to New Lender/Location" option. Changing the Counter party on any internal circle (assignment, participation or internal trade) also changes the Lender on the contra circle. Note: Counter party (Buyer or Seller) cannot be changed on an Outside Participation Transfer, since the source of the transfer is a closed participation sold by that particular Host Bank customer. Also, any source transaction (for buybacks and participation transfer sells) or linked transactions (for swaps) must be removed before the Counter party can change.
Counter party Location:	System Generated	Display	If applicable, defaults to Host Bank Legal Entity Location associated with the user creating the circle. May override (via "Change to New Lender/Location" option) to another completed location for the indicated Counter party (Host Bank Legal Entity).

Third Party - All circles may be associated with a Third Party (and associated Third Party Location). Definition of the **"Third Party" is required for Participation Transfer Buys and is optional for all other circles**. The Third Party may be **changed at any time** (via "Change to New Lender/Location") and, **if optional, may be deleted at any time**.

Attribute	Req/Opt	Size/Format	Rules
Third Party:			
Third Party:	System Generated	Display	Third Parties are the source Lender for Outside Participation Transfers, Participation Transfer Sells and Participation Transfer Buys. Required for Participation Transfer Buys; set by system on Outside Assignments and Outside Participation Transfers; optional on all other types of circles. Participation Transfer Buy - Required Third Party is the Lender from whom we are buying the Participation Transfer. The Third Party lender need not already exist in the deal but must have a Lender Profile and a completed Lender Location. Host Bank cannot be named as the Third Party on a Participation Transfer Buy. Outside Participation Transfer - The Third Party is the Lender from whom the Participation is being transferred, is filled in by the system and may not be changed Participation Transfer Sell - The Third Party is set by the system from the Source Participation Agreement assigned to the circle (which denotes the original Lender on the Participation Sale). Cannot be changed by the user except by changing the source agreement. Outside Assignment - The Third Party is set by system to the lender whose position is the source of the Outside Assignment.

Show Marketing Links

Query is accessible to both marketing circles and circles that are linked to marketing circles. (A "marketing circle" is a canceled circle whose reason for cancellation is "MKTG" (Marketing) and a "linked

circle" is any active circle (not canceled and not terminated) that has been linked to a marketing circle (via the "Link/De-Link With Marketing Circle" option).

1. Selecting this query shows details of the marketing circle and a list of all the circles that are linked to the marketing circle. The screen is not modal and is independent of the Circle Notebook.
2. Lender, Circled/Legal Trade Date, Circled Amount, Current Amount and Currency are displayed for the Marketing Circle, and selecting the 'Marketing Circle' button opens the Circle Notebook for the Marketing Circle. Button is specifically labeled according to circle type (for example, "Marketing Assignment Sell," "Marketing Participation Buy," etc.).
3. Lender Name, Circle Description, Current Amount, Currency, Circled Amount, Closed Amount, Booking Vehicle and Risk Book are displayed for every linked circle. Drilling down on any of the linked circles displayed in the tab list opens the Circle Notebook for the selected linked circle.
4. Selecting 'Delete Selected Link' button with focus on a linked circle causes the link to the Marketing Circle to be deleted, and selecting "Delete All Links" button causes all displayed links to the Marketing Circle to be deleted.
5. Selection of either the 'Delete Selected Link' or the 'Delete All Links' button locks all affected circles, and an error message will be displayed if user has the Circle Notebook open in update mode for one of the affected circles.
6. Delete logic also checks for link/de-link security, and makes sure that none of the affected circles is awaiting approval for settlement or is already approved for settlement (in which case the circle cannot be updated).
7. Selection of "Refresh" button refreshes the list of linked circles.
8. If "Show Marketing Links" screen is open when user opens the Circle Notebook for a different circle and then selects "Show Marketing Links," the screen will be refreshed to show the new information.

Refer to "Option: Cancel" and "Option: Link/De-Link with Marketing Circle" for additional details.

Trading Lines

Displays "Trading Line Detail" pop up window, indicating whether or not a trading line exists for the deal.

View Funding Memos

Displays any Funding Memos that have been created for this circle. Feature allows user to see if Funding Memos have already been generated and if so, to view them if desired.

Appendix

Intra-Bank Transactions

Intra-bank transactions (Internal Circles) are secondary Buys and Sells (participations and assignments) transacted between two customers who are both Host Bank Legal Entities.

1. When a new Buy or Sell is created, "**New Internal**" is specified on the Circle Selection screen, and either "Assignment" or "Participation" is specified, the user is prompted to enter both the "Buying" and "Selling" Customers. Both customers selected must be set up as Host Bank Customers with Lender Profiles, or the selection will be denied.
2. Two (2) circles that are mirror-images of each other are created, a "Buy" and a "Sell," and the Circle Notebook opens up for either the Buy or the Sell Side, according to how the Buy/Sell Indicator was set on the Circle Selection Screen.
3. All attributes specified for the original transaction (amounts, events, status changes, etc.) are applied to the mirror-image contra circle (offsetting transaction), and vice-versa, throughout the life of the transactions, with few exceptions. For example, sending one to approval causes the contra circle to be sent to approval, changing amounts in one changes the amounts in the other. Canceling or terminating one also cancels or terminates the other, etc. The only exceptions to this rule are that the two transactions are **approved independently** of one another, each one's "Affects Trading Position" indicator can be set independently and each one's closed status may be changed (to another closed status) independently of one another. Also, the sell cannot be re-opened, since the offsetting Buy is not eligible for re-opening.
4. Each circle has its own contacts and Servicing Groups, which are location specific.
5. While the circles are approved independently of one another, if one is later changed in a manner that causes it to be "Returned to Pending" or to be sent back to "Awaiting Approval," the mirror-image Contra Circle is also returned to pending or sent back to be re-approved.
6. "Availability" is bank-wide. Movements between two customers that are both Legal Entities within the same bank will not affect "availability," since both the buy and its offsetting sell, or the sell and its offsetting buy, affect availability at the same time and for the same amount. The buy increases availability, and the sell decreases availability for the same amount as soon as the circles are created.
7. Each circle must have an assigned Risk Book.
8. "Affects Trading Position" indicator defaults to "No" in both the Buy and the Sell and either may be set to "Yes."
9. Neither side of a Closed Intra-Bank transaction may be re-opened.
10. Cannot create an intra-bank Broker Transaction.
11. The contra circle for an Internal Buyback is an Internal Sellback.

Internal Trades

Internal Trades are Buy/Sell transactions between two different Risk Books within the same Host Bank Legal Entity (Customer). The two Lender Locations may be the same, or may be different.

Internal Trades do not require contacts, Servicing Groups or a Pricing Comment. (Contacts and Servicing Group are optional, but Pricing Comment cannot be entered). The only pricing allowed on an internal trade is the Buy/Sell Price, which is required. The commission to be paid by the buyer (instead of or in addition to any P&L generated by the difference between the price at which the seller originally obtained what is being sold), if any, may be entered as a Transfer Fee.

All Portfolio Allocation pertaining to Internal Trades will be Portfolio Transfers. Only one portfolio "bucket" may be specified for the source, and only one portfolio "bucket" may be specified for the target, when the allocations are performed. In all other ways, internal trades are similar to Intra-Bank Transactions (Internal Buy/Sells between two different Host Bank Legal Entities (Customers)).

The "Affects Trading Position" Indicator is applicable to Internal Trades, defaults to "No" in both the Buy and the Sell and either may be changed to "Yes" independently of the other. The "Buy" may affect the Trading Position and the Sell may not, or vice versa, similar to the independent settings in Intra-Bank Transactions.

No on-line notifications are prepared or sent for Internal Trades.

Note: As per the **Extension of AutoStart Allocation Functionality** enhancement, available with Release 6.0.08.08 (Patch), 6.0.09.11 and later releases, the following separately licensed enhancement applies:

The value of the short position field is available for internal trades when creating portfolio allocations. The short field for portfolio allocations is added where internal trades are applicable:

- Portfolio allocations screen for internal trades. Users are now able to enter short amount.
- Portfolio Positions Query screen, Short Position column, is now populated.
- Trade Ticket Entry Internal Trades are allowed to go short if the amount exceeds the available.

Note: Licenses required for this functionality:

Trade Ticket Entry

Trade Ticket Entry > Create Internal Circles

Trade Ticket Entry > Trade Ticket Entry Short Sells

- Manual updates on Assignable amount on an Internal Trade are not allowed if short position exists.
- Areas of Auto reallocation of Short Sell positions addressed by this enhancement:
 - o Automatic reallocation of short positions is included for Internal Trades. When a buy is done into the facility/portfolio and short positions exist on the portfolio, when the portfolio allocations are done for the buy, the user is presented with the option of reallocating the short positions as long, provided the client is licensed for the functionality. Internal trade short sells are included on this screen when a circle buy is done into the portfolio where the internal trade short exists.

Note: Any type of circle buy can cover an internal short position.

The automatic reallocation of trade date shorts functionality in Trade Ticket Entry includes internal trades.

Definition and Purpose of Risk Books

Risk books are collections of portfolio/expense codes. From a business standpoint, risk books are a business unit's risk position, e.g. par trading's risk book is the net of portfolio allocations from all the buys and sells that make up par trading's position or trading book.

Risk books were defined and implemented in Loan IQ because certain trading groups did not want other groups, or users, to see their positions in certain deals. Before risk books were implemented in Loan IQ, users with access to a deal could see the positions held anywhere in the bank and all the details of all circles on a deal.

With risk books in Loan IQ, every user is given access to only certain risk books and so can see positions only in those risk books. Some users may be given access to all risk books.

Note that, regardless of risk book access, users may only see positions in deals to which they have separate deal access.

Access to Risk Books

A user's access to specific risk books is defined in user profile. User **has access** to any Risk Book included in user's "Risk Book Access" List. For each risk book to which a user is given access, authority may **additionally** be granted to:

- a. Buy/sell out of that risk book
- b. Enter trader marks for that risk book, and/or
- c. View prices in that risk book.

If a user is given access to a risk book, but not been granted specific authority to buy/sell or view prices, then the user can see all circles in the risk book but not drill down to the circle notebook.

View Price authority allows the user access to the circle notebook for each circle in that risk book. This allows viewing all buy/sell prices, trade dates, and portfolio position information (for example, Trade Date Net Position, Closed Position, skim, average cost, trader and approved marks, discounts, etc.)

If a user is granted buy/sell authority in a risk book, then that user will also have view price authority. He may however be granted view price authority in any particular risk book without being granted buy/sell authority.

In any risk book to which a user has access, that user may only see the deals to which he has access.

All users may see the public bank group view (i.e. all primary and assignment positions, including amounts and lenders, but no prices and no participation information) in all risk books for deals to which they have access.

Access to Bank's Net Position Information

A user may also be given View All access to risk books. This allows the user to see all information in all risk books (though he must be given separate buy/sell or enter trader mark authority for each risk book). View All also allows the user to see the net bank position on lender query and in the deal and facility notebook.

For users without View All, Lender Query will show all primary and assignment circles (open and closed), but will only show the participation circles in those risk books to which they have access. Further, prices will only be shown for those circles (primary, assignee, participation) in risk books to which the user has been given View Pricing authority.

Users without View All must not see the bank's true net position because they have not been given access to all risk books. Without View All, a user cannot see participation positions in those risk books to which he has not been given access. He must therefore not see the bank's net position because he could possibly derive participation information from knowing the gross and net positions in a deal.

Identifying Risk Books on Lender Query Items

Each circle on lender query will be identified with its risk book. "Secondary Available for Sale" has been changed in Release 2.2 to "Risk Book Available," selection of which allows a user to see what is available for sale in those risk books to which the user has **view access**.

Risk Books on Circles

All circles require a risk book when they are created. A circle can have only one risk book. Once a risk book is selected for a circle, the user can only choose portfolio/expense codes that are in that risk book.

Circle portfolio allocations may only be made to portfolio/expense code combinations, which are assigned to the circle's risk book.

However, after a circle has closed, the risk book on that circle can be changed for access to that circle, even though the existing portfolio allocations would not change. For example, a deal might be trading at par and so be in the par risk book, and then start trading distressed. Management wishes to switch the deal to the distressed traders, and so to their risk book. The distressed risk book could then be put on all previously executed circles – which had been executed in the par risk book – to allow the distressed trader access to participation positions in that risk book and to price information on those circles.

If You Don't Need Risk Book Security

If a bank does not need risk book security, it can give View All Risk Books (in user profile) to all users. However, note that users still need to be given buy/sell and trader mark authority independently, per risk book. One risk book could be defined, with all valid portfolio/expense code combinations 'assigned' to that risk book. All users who input circles or marks would be assigned to that risk book. On circle input, if a user only has one risk book in the access list, the risk book is automatically assigned to the circle, without user input.

One downside of defining only one risk book is that all traders would see, and have access to, all facility positions for input of trader marks.

Summary of Circle Types

Origination Primary

Bank that is part of the syndicate and signs the credit agreement. Can influence the deal's structure and pricing. Has full voting rights on all aspects of credit agreement after close. Host bank origination primary requires portfolio allocations.

Distribution Primary

Bank that was brought into the deal by distribution personnel. Host bank cannot be a distribution primary.

Assignment

Bank brought into deal via an assignment agreement. Assumes all of the rights and responsibilities of the primary. Has a direct relationship with the borrower. Requires portfolio allocations. In Loan IQ, Assignments are only made **to/from the host bank**. Assignments made between two non-hosts banks are created as **Outside Assignments**.

Participation

Bank brought into the deal via a participation agreement. Usually not known to borrower. Has limited voting rights. Requires portfolio allocations.

Participation Transfer Buy

Bank A sells a participation to Bank B. Bank B transfers all or part to host bank (host bank buys). Requires portfolio allocations.

Closing a Participation Buy, Participation Transfer Buy, Participation Sell, Participation Swap in or Swap out creates a **new** Participation Agreement. All other Types of Participation transaction **amend existing** Participation Agreements.

Risk Participation

Almost identical to a regular participation except nothing is funded. Ongoing fees for risk participations are treated by the system the same way as for regular participations. (The following *Risk Participations Balances* functionality is available beginning with Release 6.0 and forward. Ongoing fees that are due to a Risk Participant or Funded Participant as part of the contracted risk transfer, are calculated based on the Participants shares of the Utilized and Utilized balances in the same way as a Lenders Ongoing Fees. In other words, as long as the Utilization Impact rule on the Pricing options for Ongoing fees is set to Pro-Rata, then the fees will be calculated same as the Ongoing fees.) Any fees, which must not be distributed at all to the risk participant, e.g., unutilized fee, would have to be designated as skim all in a circle fee decision. Risk Participant does not receive a portion of the interest, as would a regular participant; however, an optional Risk Margin percentage may be entered. Risk Margin percentage is a percentage of the outstanding loan amounts and is payable according to the interest payment cycles on the loan(s). In

addition (or in place of) the buyer of the risk participation may receive a skim of the interest receivable to the seller. This skim is established through existing Loan IQ functionality.

The following Participation Transactions **amend existing** Participation Agreements:

Buy Back - For example, the host, at location New York, is buying back a participation previously sold to Bank A, at location Atlanta. The buyback must be created with buyer the host, at location New York, and seller Bank A, at location Atlanta. The available source agreements for this buy back are any with buyer Bank A, buyer location Atlanta, seller host, seller location, New York, and an amount greater than 0. (Note: When changing a closed participation from a buy to a buyback, the available source agreements will include those with an amount of 0 since the actual agreement is adjusted separately and may already have been adjusted down to zero.) If the participation being bought back was a sub-participation, the sale did not affect portfolio assignable and, therefore, neither will the buy back. Otherwise, the sale did affect portfolio assignable, and so will the buy back. Closing the buyback will reduce the amount of the source agreement.

Buy More - For example, the host, at location New York, bought a participation from Bank A, at location Atlanta and is now amending that agreement to buy more. The buy more must be created for the same buyer (host), buyer location (New York), seller (Bank A), seller location (Atlanta). The available source agreements for this buy more are any with seller Bank A, seller location Atlanta, buyer host, buyer location, New York. Buy more never affects portfolio assignable position. Closing the buy more will increase the amount of the source agreement.

Note: Amount of a listed Available Source Agreement may be **zero**. Participation agreements that have been completely sold back, bought back or transferred (so that their amount is now zero) appear in the list of available agreements for "Sell More" and "Buy More").

Sell Back - For example, the host, at location New York, is selling back a participation previously bought from Bank A, at location Atlanta. The sell back must be created with seller the host, at location New York, and buyer Bank A, at location Atlanta. The available source agreements for this buy back are any with seller Bank A, seller location Atlanta, buyer host, buyer location, New York, and an amount greater than 0. Participations being sold back never affect portfolio assignable since the original buy (whether or not a sub-participation buy) did not affect portfolio assignable. Closing the sell back will decrease the amount of the source agreement.

Sell More - For example, the host, at location New York, sold a participation from Bank A, at location Atlanta and is now amending that agreement to sell more. The sell more must be created for the same seller (host), seller location (New York), buyer (Bank A), buyer location (Atlanta). The available source agreements for this sell more are any with buyer Bank A, buyer location Atlanta, seller host, seller location, New York. Selling more of a sub-participation does not affect portfolio assignable position; otherwise, portfolio assignable is affected. Closing the sell more will increase the amount of the source agreement.

Note: Amount of a listed Available Source Agreement may be **zero**. Participation agreements that have been completely sold back, bought back or transferred (so that their amount is now zero) appear in the list of available agreements for "Sell More" and "Buy More").

Outside Participation Transfer Sell - The transaction type "Outside Participation Transfer," available only when creating a circle, replaces the circle notebook menu item 'Participation Transfer'. As always, participation transfer buys are created as approved and may not be changed to another transaction type. For example, the host, at location New York, sold a participation to Bank A, at location Atlanta. Bank A is now transferring some or all of this agreement to Bank B, which will result in a **new participation agreement between the host and Bank B**. The outside participation transfer sell is between seller host, at location New York, and buyer Bank B. The **available source agreements** are any with the host as the seller at location New York. When the agreement with Bank A is selected, this will cause Bank A to be the third party of the new circle, at location Atlanta, with the same servicing group as on the source agreement. No portfolio allocations are associated with the new circle since the circle amount is not currently in the host's position. Closing the outside participation transfer sell will reduce the amount of the source agreement and create a new participation agreement between the host and Bank B.

Participation Transfer Sell - For example, the host, at location New York, buys a participation from Bank A, at location Atlanta, and now wants to transfer it to Bank B (with whom Bank A will have the ongoing relationship). The participation transfer sell is between seller host at location New York and Bank B. **The available source agreements** are any with the host as buyer at location New York. When the agreement with Bank A is selected, this will cause Bank A to be the third party of the new circle, at location Atlanta, with the same servicing group as on the source agreement. Since the original buy did not affect portfolio assignable position, neither does the transfer sell. Closing the participation transfer sell decreases the amount of the source agreement.

Sub-Participation Buy - Bank A sells a participation to Bank B. Bank B then sells all or part of the participation to the host bank. (Host Bank is the Buyer). Requires portfolio allocations.

Sub-Participation Sell - Bank A sells a participation to Bank B. Bank B then sells all or part of the participation to the host bank. (Host Bank is the Buyer). Host bank then sells all or part to Bank C. Requires portfolio allocations. Sub Participation Sell always creates a **new** Participation Agreement (which is marked as a "sub-participation"). The sub-participation sell is validated against "**excess net**" - that is, the difference by which Net exceeds the Assignable. Since the Sub-Participation does not affect the "assignable," but only the "net," **a sub-participation cannot be closed if it will take the net below the assignable.**

Swaps - needs linked transaction buy in/sell out

Host bank position in one deal is "swapped" for another bank's position in another deal.

Example:

Swap Out	Deal A / BTCO	15MM	(sell)
Swap In	Deal B / Bank A	10MM	(buy)

Both Assignments and Participations can be swapped. Require portfolio allocations.

Brokered Transactions

Assignments and Participations may be bought and sold as brokered transactions - Brokered Assignment Sell, Brokered Assignment Buy, Brokered Participation Sell, and Brokered Participation Buy. The bank never owns the loan and a fee is charged for acting as the broker between a seller and a buyer. Portfolio allocations are not done on brokered transactions.

Pools

A pool is a group of banks that agree that sales made by one member effect all the pool members. Pool members can only be closed primaries. Multiple Pools are allowed. There must be at least two members in a pool, unless Pool starts and ends on the same date. Each pool must have a Pool Agent. Pooled circles must have Pool Allocations done to determine the host bank share in the pool, and then Portfolio Allocations are required for the Host Bank share.

Internal Circles

Internal circles are made between two Host Bank Customers or between two Risk Books of the same Host Bank Customer and have two sides - buy and sell. The corresponding sides of internal circles are known as Contra-Circles. Internal circles require Portfolio Allocations.

Internal Assignment

Assignment between two Host Bank Customers. Creates two contra circles (Assignment Buy and Assignment Sell).

Internal Participation

Participation between two Host Bank Customers. Creates two contra circles (Participation Buy and Participation Sell).

Internal Swaps

Swap between two Host Bank Customers. Needs linked transaction Buy In / Sell Out. Host Bank Customer's position in one deal is "swapped" for another Host Bank Customer's position in another deal.

Example:

Swap Out	Deal A / BTCO	15MM	(sell)
Swap In	Deal B / BT Delaware	10MM	(buy)

Both Assignments and Participation can be swapped. Require portfolio allocations.

Internal Trade

Trade made within two Risk Books of the same Host Bank Customer. Transaction has two sides, the Buy and the Sell (Contra-Circles).

Internal Trades can be created with only one Risk Book, but they cannot be closed unless both sides have a Risk Book (and the two Risk Books must be different). Both sides of an Internal Trade must note the same Lender and may or may not have the same Lender Location.

Circle Processing Area

1. Circle has a **Processing Area (no Default)** that is persistent on the database, and need not be present until portfolio allocations or funding decisions are made or circle is closed.
2. The system will set it/validate it/reset it as needed since there will be, at best, only one available choice.

Circle Processing Area is not needed until Portfolio Allocations are to be performed, Funding Decisions are to be made, or circle is to be closed.

3. Whenever Circle Processing Area is needed, system acts as follows:
 - a. If Circle Processing Area is already present, it is checked against (and must be equal to) the processing area of every facility covered by that circle. (If facility investment is non-zero, facility-processing area must match circle-processing area). If Circle fails this validation, its processing area will be **removed**.

If Circle Processing Area is not present when it is needed, system tries to set it (see above) and will either leave it blank (because circle covers facilities in different processing areas) or will set it equal to the common processing area.

4. Circle Processing Area must be present before Portfolio Allocations or Funding Decisions can be done or circle can be closed.

Cannot perform Portfolio Allocations unless the Circle Processing Area matches **one** of the Processing Areas assigned to the User (either the "Primary" User processing area or one of the "Secondary" processing areas defined for that User in User Profile).

Cannot make Funding Decision unless one of the User's Processing Areas matches the Circle Processing Area and Portfolio Allocations have already been performed.

All loans included in the Funding Decision must belong to facilities whose processing area matches the Circle Processing Area. Funding Decision for loans belonging to facilities with a different processing area will be set to ZERO and will be protected.

5. Cannot close the circle unless one of the User's Processing Areas matches the Circle Processing Area and all facilities covered by the circle have a matching Processing Area. (System rechecks

the covered facilities again; to make sure their processing area still agrees with the Circle Processing Area).

6. If Deal Processing Area is different from Facilities/Circle Processing Area, cannot impact Fees Held Awaiting Distribution (FHAD), so no Upfront Fees can be assigned to that Circle. (Discount is allowing, but not Upfront Fees).
7. Once a circle's portfolio allocations have been done, the system will not allow a share change that would cause portfolio allocations to exist in more than one processing area. (However, reducing existing allocations to zero and increasing allocations in a different processing area is allowed).

Circle Locking

The time zones of facilities affected by the circle are locked, as follows:

1. On circle create, no time zones are locked (since no lender share is specified) unless the circle is a buyback, sell back, participation transfer sell or outside participation transfer for which the full amount checkbox was checked. In that case, the time zones of facilities in which the circle has a lender share are locked by the circle create process.
2. On putting the circle notebook into update mode (or opening it in update mode), the time zones of facilities in which the circle has a lender share are locked by the circle notebook.
3. Since the circle amount may be changed directly in the circle notebook when first increasing it from zero, saving the circle locks (for the circle notebook) the time zones for facilities for which a lender share has been added.
4. When changing share of a circle, saving the share change locks (for share change) the time zones of facilities for which a lender share has been added. On completion of the share change the time zones are unlocked for share change and relocked for the circle notebook, which also unlocks the time zone for any facilities, which no longer have a lender share.

Note: If the circle notebook cannot relock a time zone because its batch started between saving the share change and relocking for the circle notebook, the circle notebook is switched to inquiry mode.

Holiday Calendars

As with elsewhere in Loan IQ, Non-Business Day errors are now warnings. Calendars and Date validations in circle are as follows:

1. Dates validated and/or set to a business day using the calendar associated with the branch of the deal:
 - o Circled/legal Trade Date
 - o Confirmation Letter Received Date
 - o Adding business days to dates for purposes of creating the circle confirmation letter
2. Dates validated and/or set to a business day using the calendars associated with the branches affected by circle accounting and by the calendars associated with the currencies of the circle's cashflows:
 - o Target Closing Date
 - o Expected Closing Date
 - o Closing Date
 - o Cancellation Date (since canceling may have accounting)
3. The cashflow currency calendars are not checked until the circle is sent to settlement approval (and thereafter). The branches affected by accounting are:

For target closing, expected closing and closing dates:

- o The branches of the circle's portfolio allocations – this is one branch except for pooled circles which have multiple host bank pool members; for internal circles, it is the branches of

both the buy and the sell. If there are no portfolio allocations, the branch of the deal will be used.

- o Any additional branches affected by benefit of commitment reduction accounting.
- o For cancellation date:
- o Any branches affected by benefit of commitment reduction accounting. If there are none, then the branch of the deal.

The effective date of any benefit of commitment reduction adjustment (Circle Notebook, Queries menu) is validated using the calendar associated with the branch of the portfolio position affected.

****END-OF-DOCUMENT****